VA Tech Wabag (WABAG)

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Call: May 2023

WABAG
An ISO 9001 Company
May 29, 2023
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
NSE Symbol: WABAG BSE Limited,
Floor 25, P J Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 533269
Dear Sir/ Madam,
Sub: Transcript of Earnings Conference Call & Investors Meet on Q4 FY23 Results.
Pursuant to Regulation 30(6) and 46 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Conference Call & Investors Meet on Q4 FY23 Results held on Tuesday, May 23, 2023.
The Transcript of Earnings Conference Call & Investors Meet on Q4 FY23 Results is also available on the Company's website www.wabag.com .
Kindly take the same on record.
Thanking You,
For VA TECH WABAG LIMITED
Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No: F4832
Encl.: As above
Sustainable solutions, for a better life
VA TECH WABAG LIMITED
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"VA Tech Wabag Limited
Q4 FY23 Earnings Conference Call & Investors Meet "
May 2 3, 202 3

MANAGEMENT : MR. RAJIV MITTAL – CHAIRMAN AND MANAGING DIRECTOR – VA TECH WABAG LIMITED
MR. PANKAJ MALHAN - GROUP CHIEF EXECUTIVE OFFICER AND DEPUTY MANAGING DIRECTOR – VA TECH WABAG LIMITED
MR. SKANDAPRASAD SEETHARAMAN – CHIEF FINANCIAL OFFICER – VA TECH WABAG LIMITED
MR. SHAILESH KUMAR – CHIEF EXECUTIVE OFFICER – INDIA CLUSTER – VA TECH WABAG LIMITED

MODERATOR : MR. SUYASH SAMANT – STELLAR IR

Rajiv Mittal : Good evening friends, ladies and gentlemen, first let me thank you all for making it convenient to attend this investor's meet which we are doing almost after four years plus. Of course, COVID has kept us away, but otherwise this used to be a yearly event. Though we have been doing such calls over a telephone con call, but there's nothing like coming, looking into your faces, getting the feedback from you on first hand basis, shaking hand with you, we were missing that, so it's really fortunat e to see you all in strength and I understand some are on the way and this is what we are here for, to meet you, get your guidance, get your expectations from the company because we are here to serve our shareholders and that is a single purpose.

We do our business to make sure that we add value, we create wealth for all our shareholders. Let me introduce my team on the d ais, extreme left to me is Mr. Pankaj Mal han, he's our Group CEO and Deputy Managing Director joined us recently about six months back. Next to him is Mr. Skandaprasad Seetharaman , he's our CFO and he's been with the company for a long time and he's taken over the CFO's position about a couple of years back. To my immediate left is Mr. S hailesh Kumar, he's our CEO – India Cluster and he ha s also joined us about a year and a half back, he's heading our India cluster, India cluster is the biggest cluster for Waba g and is one of the three clusters we have , which Shailesh is heading is India cluster which is India and all the neighbouring count ries including Southeast Asia and other clusters are Middle East and Africa and our legacy cluster is Europe , which we had acquired from Siemens in 2007 from a reverse acquisition .

This is a meeting where we are going to share with you our results and befo re we go to that, I think you will be happy to know that your company where you have put in your hard earned money . We are in 25 countries, we are truly Indian multinational, you can see our presence in Southeast Asia, in Middle East, in Africa and in Europe, that's what your company is and you will be even happier to know that next year we will be completing 100 years o f Waba g, so next year we'll be celebrating our centenary year because Waba g as a brand came to existence in 1924 and this is 100 years we'll be completing during next year. We have a huge legacy which gives us huge technical advantage, brand value and re ferences more than 6,500 plants we have built in this period which is helping the business to pre -qualify for any project anywhere in the world, any size, any complexity.

We'll be covering a bit on Waba g for all the new investors who did not have so mu ch in -depth understanding of Waba g, then little bit about the sector especially the sustainability, the green, the circular economy, the climate change which are all the buzzwords and your company's business is right in the center of all these concepts whi ch are very popular and is the right thing, people are taking interest in it to protect our Earth , Mother Earth and this is where your company is playing a big role in managing this.

Long -term strategy , around two years back we had a very renowned professional to support us in drawing a strategy which we did was approved by the board and we have started implementing it and we have started seeing the result of this strategy and briefly we'll discuss about it. Th en finally of course , the numbers which matter the most, we'll talk about business metrics, the numbers which are very important and we'll share with you and try to take your views on that.

I think the thing in four quadrants is what Waba g stands for, as you know we are one of the very few companies which are into pure play water, you will not find any body like us who only focuses in water, our b

usiness is only water, we have no other business es, neither we have an aspiration to diversify i nto anything, we are happy with what we are doing . We are knowledgeable of what we are doing, we have a brand which is very solid in this sector and we want to continue it and this is something which we are also focusing on the technology part of. We are not a general contractor like many other companies who are trying to enter this sector, we are a specialized contractor and we call ourselves a technology compan y. We have more than 125 IP rights in terms of patent and trademark and th ese IP rights we use it in our own business, we don't subcontract it, we don't license it, it is used only for proprietary projects.

I think we have continued to invest money in R&D centers where we are producing both technology in terms of process and produc t and this is something that, a part of our top line is always invested in new technologies and new products. Most of our research and development is today happening in sustainability, green and climate change and renewable energy. This is where the focus is and we believe this is where the future is, the market is going to support that so we are investing money and time into that.

Now if you look at our “going global ” in terms of deliveries, we are already present in 25 countries and with 99 years of exper ience, 25 countries in just from 1995 year onwards, we have built more than 1 ,400 plants. You will not find companies who have this kind of a track record and not only in one country, multiple geographies. These are technologies which are second to none. These are global technologies, we compete with global companies not only with Indian companies and we compete with best in the class and we are second to none.

We have a tremendous price advantage because of our sheer presence in India compared to our

competitors who predominantly come from Europe. So , this is giving us a cost arbitrage though our expectations of margins are far higher than a European company's expectation of margin. Still it leaves enough money to give a competitive edge over our European competitors.
I think it's very important to see that Wabag is not only an Indian company, it's recognized globally. You would be happy to know if you don't know already that Wabag started about 25 years back as a startup company and today it's number thre e globally. There's no company globally wh ich have achieved so much in so little time and proud to be not only a Wabagite but also be a proud Indian to say that the India n flag is in the water sector at number three. So this is a real proud moment that we could achieve what so many other companies could not achieve.
Desalination, which is also something of future technology, you see a lot of interest is coming there to buil d up water security globally. We are again in top 10 globally in providing desalination technology. We realized when we did our strategy that we should not do something what we are not good at and something what we are not good at is sheer construction, ci vil works.
That's not something good for us and at most of the time it's like pa ss through in our P&L and we don't make lot of margin. That portion subdues our margin. So it was decided to focus on EP

job, what is EP ? Engineering , what we are good at and p rocurement of the technology components which are required to build an advanced technology plant. This is something we should supply. This is where we should make decent margin and not get subdued by civil works which is just like a pa ss through for us.
Plus also when you take this kind of civil work it's always delayed for reasons which are out of your control and most of them are R OW issues but when you are not doing the civil work you are not played by th ese delays. So that is the reason , we said we fo cus on EP projects goi

ng
forward and you will see all this is having effect on our bottom line as well as cash flow.
We also said that we will not get into plain vanilla run of the mi ll technologies because that has become a commodity. We will focus on advanced technology , where we can limit the competition because in our business still business is L1 business. So if we have to be L1 then we have to put barriers for other companies , so that they don't pull the price down and one of the best way to put barriers is to use technology as your barrier because what you have done , what references you have , these other companies will not be able to do and even if they try to bring joint ventures and all that they will not be able to compete with you.
So that was the other strategy we had but at the same time we said we want to remain asset light. It has been worked for us over the years we have seen the companies who have gone for an asset heavy m odel, we have seen what has happened to them. We are very proud that in the last 25 years , we have followed very religiously to remain asset light. Even presently , we are handling some HAM projects but we have found a way that it is not heavy on our balanc e sheet and we remain asset light.
We are a service provider and we want to remain service provider . We don't want to invest neither in assets nor in a manufacturing facility. We are design company ; we will get it outsourced and we'll get it manufactured our technology components but we don't want to invest in manufacturing also.
A new concept has come and we'll talk more about it later in my discussion. See today we call there are two types of water one is a “God given water ” other we call it today a “Manufactured Water”. God given is all what is glaciers Yamunotri , Gangotri flowing down rainwater which is filling our lakes for you in Mumbai, Tansa, Tulsi, Vaitarna and that is the lakes they are used to supply water throughout the year . But with all the climate change happening and drought situation happening , we have seen what has happened to cities and countries.
So we wanted to come up with a solution which is drought proof irrespective of drought we can manufacture water so we can help to supplement this water by our technology. First , we said let's go to see and use seawater as this is a perennial source of water and it's a drought proof any season , any condition you will always have seawater. So why don't we use seawater and convert that into potable water which can be used for both domestic and industrial customers.
This technology is working well you know we had built a plant almost 11 years back in Chennai , last 10 years we have been operating this plant and it is giving water to south of Chennai very

reliable , economical and viable technology since last10 years . Further innovation has happened

which has brought the cost down and reliability up and more and more plants are coming.
So we are going to focus the next decades on this de salination and try to build our order book and execution on that because the competition is limited, people don't have references in this. Neither they have the scale at which, the new plants are coming. So, we will be easily able to put the qualification barrier and make decent margins for the company.
The other Manufactured Water, we talk about used water. Whether it's used water from industry or from domestic users, from our houses, th ese hotels, commercial establishments, they go down the drain, most of the time. Even your own Mumbai, doesn't have treatment plants, it goes into the sea. We are polluting the environment, so the government has come very strictly. We have put even NGT on it, if you do that, you can be slapped with fines. So we said, why to make this liability cost us, convert the liability into a resource and resource will give you a business compulsion to treat this

water not only the compliance you have to do to the dischar ge standard s.
So from sewage today, we are recovering all three forms of resources, the first one is gas, which we convert all the organics to biogas methane and it is used to produce energy, to run the plant or it is used for CNG production both are econo mically valuable resource. Second, we use this wastewater and it is very rich in fertilizer, manure, nitrogen, phosphorus, potash. All this, even Government of India gives us subsidy for that, if we sell it to the farmers every ton, we get dire ct money from government of India. So they are encouraging us, to use this rather than try to only dispose it. So we have to treat it, use it and it has again economic value.
The biggest economic value comes in recycling this water. We have plants all over the globe, not only in India, our first plant was set up 25 years back in Africa, which people are still drinking this water. That's the only resource, they have to survive. Nothing has happened to them. They're all healthy and they're putting up a new plant now. So it shows that, it's a mental barrier, that you cannot drink this water but if you go to Singapore, we will use the same water coming out of the taps, coming out of the wash basin, brushing our teeth, there's no problem.
When we say, it is in our country we said, no we don't want to use this treated water but biologically, chemically, it is much safer than this bottled water. If any one of you come to Chennai, we take you to the plant and we will show you, that we can drink this water . We can give you a bottle, go to or send it to any lab and see that, whether it meets all the WHO parameters. So this day is not too far, when this recycle water will be used for potable purpose but it's well accepted today, to use it for non -potable purpose. So all the industr ies are only going to get this water. Those days are gone when they tap into groundwater and take the water. Central groundwater commission is going to disconnect all th ese and slap heavy fines , if they do something, which is not licensed for them to take groundwater. We have not only projects in Chennai today, we are executing a project in Ghaziabad, where the same thing has happened, that they are disconnecting all the groundwater tapings , which the industry has done and they have to buy this water in industry. In Chennai, we're selling it for INR 80 a kilo liter and in Ghaziabad, it's close to INR 50.

Now you see, how a liability is converted into resource. So it is a business compulsion that, you have to treat. It's not a compliance to the discharge standard s, you have to treat and this is what is making a big difference in the mindset of treating this water. I think all of you know this, we are a complete solution provider and we do design engineering procurement, construction, installation, commissioning and operation maintenance, for all sectors, whether it is water, wastewater, municipal, industrial, desalination, reuse, sludge management, we do all of it and the model, we use to execute projects, can be EP model, can be EPC model, can be DBO – Design , Build and Operate model or it can be also HAM model. So, these are the models, which we use, to execute ourselves.
This is what I was telling you, proud to be not only as a Wabagite, but also an Indian to seek globally, we are today at number three and you see, we've not gone overnight. We've gone from 10 to six to four and today to three and this shows that, your company is moving in the right direction, moving in with lot o f momentum and belief and I'm sure, it's a matter of time, we further improve our rating. On the right side you see, on desalination, we are at number six, globally and I'm sure with this new project in Chennai, our rating will move more to left wards , I don't know, whether it will be three, four, next yea

r, we have to see, where our rating will move.
Just to talk about our leadership team, this is our board . I'm joined by Mr. Varadarajan, who's a co-promoter with me, Mr. Milin Mehta , Independent Director , Mrs. Vijaya Sampath , Independent Director, Mr. Ranjit Singh , Independent Director and Mr. Amit Goela Non-

Independent Non-Executive Director. These are the people on the board and I have a management team. I've already introduced Mr. Pankaj Mal han, Mr. Skand aprasad Seetharaman, Mr. Shailesh Kumar, Mr. Mahmut Gedek, who's not here , he leads our European cluster and Rajneesh Chopra, who heads our Global Business Development. This is our top management team.
Let's talk a little bit about the sector. You can see, there's a huge outlay of this technologies, which are happening in southern part and also in North America. A lot of technologies, which are used, recycle is very vastly promoted and all this discharge standards have very strong regulatory framework, even in India. NGT has been given powers to slap heavy fines including imprisonment, if you don't need the discharge done. There's huge investment globally happening in desalination, led by of course S audi Arabia, which we are going to invest a lot of money, over the next three years Egypt has announced huge desalination schemes, where we are also pre - qualified. So, we'll be looking for having our chances to win some projects there, we have been already in Egypt, for last over 40 years and we are doing a lot of projects in Egypt.
Somebody was talking to me over a cup of tea, semiconductor, yes, it's a big business. At least ultra pure water, semiconductor doesn't need only water, it needs ultra pure wat er. It needs technology and we have done a few plants, we know what to do and that's where, we are. Green hydrogen, everybody's is talking about it, maybe it's not economical today but it's a matter of time, like solar. It took some time to become viable, so I'm very sure, green hydrogen is also technology, it's a matter of time. We'll be all talking about it, how it is helping businesses to grow and also manage the climate change and reduce the greenhouse gases.

Water will play a very important role in h ydrogen production. Oil and gas, we remain very bullish on it. We have one of the best references globally and we will continue to be focusing on oil and gas. You must have seen in the last many years, there's a suddenly a lot of interest in investment in water sector.
Water sector is seen as because SDG goals and number six is all talking about water and environment and we are right there. You talk about ESG, it all talks about environment, social and govern ance. So again we are, very much there as a w ater sector. You talk about green, clean all this water is right in the focus. So we would believe that, going forward, there are going to be huge investments coming into the sector. Plus all the multilaterals are seeing this sector being a social sector w ith renewed interest, lot of money is flowing into this sector, whether it's from JICA Japan, World Bank, Asian Development Bank, KFW from Germany, all this money is coming into its very attractive interest rate and a long tenure to Government of India.
The numbers are huge, we don't want to talk about it, even let's assume, they invest half of it, one fourth of it, huge numbers. So water sector is going to see huge attraction of funds in th e years to come. As I told you, we have three clusters, India cluster, MEA cluster and Europe cluster. India is going to be driven by all government funds, which are all sovereign funds, which are coming, whether it's AMRUT, Jal Jeevan mission, Namami Gange , Jal Jeevan mission is also some say “Har Ghar Nal Se Jal,” this is an initiative of Honorable Prime Minister, to see that, every house has a tap and piped connection. So that's a huge investment goin

g into Jal
Jeevan mission. Swachh Bharat mission too.
Also five states have already signed into reuse of use d water and I am sure as, time passes, success stories will reveal and we see more and more buyers for reuse of water. There's also a huge demand for water in Southeast Asia, which is the India cluster business and we'll keep focusing on it. MEA as I told you, Saudi Arabia alone have a plan of investing 28 billion to treat wastewater. We don't want only treat water but also the treated water like i told you, they want to reuse it. So that's what they say, the target is 35% of wastewater, they want to recycle by the year 2030.
Egypt, I told you, huge desalination plant, where pre -qualification is over and we have qualified for it. Lot of work is happening in Africa, lot of multilateral money is going. Lot of G2G money is flowing into Africa to support t hem, to manage this climate change. In Europe, there is, we talk about nutrient removal. They go two steps up and talk about micro -nutrient removal .
So there are technologies at a different level and we are right there. We are one of the companies, who have maximum references in micro -nutrient removal. So they are into a different league, which probably will reach in the next 20 years but to say, we are a company also having all these advanced technologies and we will have references by the time, this part of the world, will need it, we would have built maybe 50 plants by them. So we will always have a head start, when this technology will become relevant in o ur part of geographies .
Again lot of EU funds are moving into former Eastern bloc of Europe and that will also open up new opportunities for the company. We talked about biogas market, you can see how big is this

one. Lot of plants are not tapping this biogas, which is wasted and if you are wasting biogas, you

are really taking up oxygen from atmosphere because it mix four oxygens to kill one m ethane , so it is having a very drastic effect on Greenhouse effect gases and that is the reason, you shoul d tap this biogas, not let it out into air, convert into CNG or energy and this is a huge potential. You can see, almost 80 billion potential is there in biogas, which is not tapped today. Somebody has to apply, even a small business sense to say, why don' t we tap into this potential and convert this, into an economic resource. Again we are doing lot of work on hydrogen to partner with people who have the electrodes to produce hydrogen and we can be their water partner to give them clean water so the elect rodes will not have scaling on it. So we have to remove lots of minerals because scaling doesn't happen.

We can see when we talk about SDG goals. We don't only talk , we have numbers to support, what we have done to support this SDG goals. This is what our path is to net zero so all the greenhouse gases we want to reduce it and that's what we are working on. If you see water neutral, we are making industries to be water neutral. And how we are doing it as we said used water we are recycling up to 85% to 90%, but 10% which is remaining goes for zero liquid discharge.

So that goes for the evaporation route where again that water is recovered. So net discharge from any industry will become zero. We have already references and I think more plants will follow this route. That they don't deal with regulators pollution control boards, because if they're discharging water they have to meet the compliance. When they don't discharge anything , one has given them water security under any condition, they have their own recycle water. Like our Honorable Prime Minister says Aatma Nirbhar, self-reliant , they are producing their own water, plus they're not discharging anything out so th at headache is also gone.

Waste to energy we talked about we can convert waste into energy, which is today a liability.

We can convert into resource. Resource recovery we talked about it gas , solid , water . Circular economy, by doing all this we are helpin g to converge towards circular economy. Because everything we are recycling , reusing and this is going back into the ground.

So, nothing is going to waste. You can see the bottom part of the presentation. So much of desalination , water we are producing, recycle water we are producing, so much green energy we are producing, wastewater treatment we are doing, clean water per day what we are producing, saving power cost by producing power from biogas, we are saving so much of thermal energy and he nce reducing the greenhouse effect.

And also, we are saving so much of greenhouse gases, enormous quantity. So, we are making a small contribution to the global SDG goals. This is a group strategy and this is what we have come up in last two years. You can see why we have come up with. We have always wanted to grow and grow profitably. We are never a company who was only thinking of growth in terms of revenue, top lines, no. Our bottom line should grow faster than top line and that is what we call prof itable growth.

Market leadership, we have shown you, we have done enough to achieve the market leadership and people respect us, they look at us with regard and brand has tremendous value. Today, third

year consecutive, we are generating free cash. You hav e seen our presentation, we have uploaded into our investor relation page of our website. Third year consecutively, we have generated free cash.

Our growths are quantum, you have seen our profitability in terms of EBITDA, PBT, PAT. And this is the trend we want to continue and grow, not stepwise growth, we want to grow quantum, leaps we want to do. And today, the order book we have will enable us to achieve this.

Last but not least, because concern has been the valuation, we do not deserve to be valued so low, 10 multiple and we have to do everything to change the valuation because company is in the right business, company is doing the right things, why we should not be valued for what we are worth. These are the strategies which we had, we said to improve t his, whatever I told you, we need to have very strong marketing team, we call them go to market teams.

They are the people who are going to sell technologies, they are the people who are going to penetrate the market, they are going to open up new markets, they are going to sell new advanced technologies, which will create barrier for our competitors and we need smart team who can open new doors and convert existing clients to what we want.

O&M focus, service business has always been our focus, as we say we are not top line driven,

people who are top line driven, for them O&M business is not important, for us it is extremely important, it is annuity business, it gives us visibility. Today, we have a huge 10 to 12 years visibility of O&M with the backlog we have.
So, we are going to focus on standalone business, we are going to focus on one city, one operator, we will talk later a little bit more about it, like we are doing in Agra and also in Ghaziabad, only one operator for the whole city to maintain th e complete waste water infrastructure. That is the model we want to follow for many cities in the future and this we brought in from Istanbul, Turkey, where we did management of Istanbul city for 3 years.
We want to in near future or medium term, we want o ur O&M revenues to be at least 20% of the total revenue of the company. This will bring in stability, this will bring in better margins, better cash flows and better predictability of our numbers. As I told you, we are focusing on EP, we are taking the C o ut, that is not focused, if it comes, we will do it, but that is not the way we want to go.
We want to focus on industrial business, which we have always

done, in fact this company was
born when we took the first Reliance job in Jamnagar, they were setting up a green field refinery. So, even today we are focusing on industries, we want to focus more, because they give us opportunity to really use some of our innovative technologies, which we have done very successfully.
Today we are one of the leaders in oil and gas, so we want to continue that journey. We also want to be more international, if you have seen our presentations over the last couple of years, our split of order book, we are more 50 -50, our revenues are more 50 -50. So we want to continue that, because it is a lumpy business, some years because of some large orders like Chennai order,

can shift this, but on long term we want to be in international market, at least 50% of our revenue should flow from international market.
Partnership, as we said, we need partnership both in technology, construction and finance. Construction, because we don't want to do civil, we need partners who can do civil, so it is off our balance sheet. We also don't want to invest, we want to remain an asset -light company, we want financial partners who have deep pockets, who are interested in investing to earn their IRR, so we are already partnered with some of them like IFCs, ADBs and Tata Clean tech, they are investing and also some other front like Green Growth Equity Fund, they are also investing in equity, so these are the partnerships we want to do, so that all the investment is off our balance sheet and we remain asset -light.
Technology, we beli eve we are second to none in technology, but technology is always evolving. If somebody has a better technology than us, we don't mind going and getting these technologies from them and that's something we are willing to take care of. Again, we are doing s o much business globally, we want to develop a few centers across the globe where projects can be executed completely from engineering to commissioning from one center.
So we are developing few centers across the globe which can service any geography from their center, so it will be a dedicated team, they need not be, they have to sit in one place, but the teams will be one, they can even work remotely because it's all possible, COVID has taught us that remotely things can work and we did it very successful ly, in fact our successful years have been the COVID years, so why not continue what we have done well.
Now, I will give the business metrics presentation to my colleague, our CFO, Mr. Skandaprasad Seetharaman.
Skandaprasad S: Thank you, Mr. M ittal. Good evening, everybody. I will take a few minutes to go through the key metrics, I am sure you have seen the investor presentation. So, these are the highlights for the year, we continue our profitable growth journey, which has been our focus and c ommitment to all stakeholders, our EBITDA has grown by 43% before exceptional items and PAT has grown by 74% to about INR 230 crores in the last year, our order book is at a historic high of INR 13,200 crores, which is again 30% year over year, this provides us a very robust revenue visibility for the next few years, both on EPC and on O&M front .
From a cash and working capital, our focus remains intact, you would have seen us giving you commitment on cash in t he last conference calls, we have generated operational cash like in the last couple of years of INR 85 crores, 850 million on consolidated basis and free cash of INR 86 crores in this year . We continue our turnaround from being a net debt to a net cash company this year as well, with a net cash balance at the end of the year of about INR 100 crores.
There has been a significant reduction in our gross debt by 50%, we moved from INR 428 crores, which was the last year's gross debt to about INR 213 crores i n this year. Working capital again has been a key f

ocus for us to keep it under 90 days. We are well below 90 days a t 78 days with
a 10% gross reduction in absolute values.

Credit rating, obviously the reflection of how we perform and today we are at the h ighest short term rating of A1+, this again reaffirms the strong business credentials that we exhibit. As I said, this has been the highlight, this has been us delivering on the commitments of cash. If you see the first four bars is when we did have a net debt scenario and as we moved more on implementation of the strategy, it started also reflecting on both the metrics as well as most importantly cash.

Like we said, when we started about say 10 -12 years back, the focus was on order book, then it moved to t op line. Now the focus is on profitable growth and generating cash because valuation doesn't come from top line or from order book, it comes from how profitable we are and how much we are able to generate cash for our shareholders.

A historic desalination order, highest ever for Wabag, historic high, JICA funded and the largest desalination plant both in India and Southeast Asia. We are very proud to have won this against tough international competition and if you see the pre -qualified parties, we were the only Indian party, Indian leader, JV in the four parties which got pre -qualified.

This will make Chennai the desalination capital and we are very proud that we will be managing 70% of the water production through desalination in the city of Chennai. We have already done the 100 MLD, this is another 400 MLD that we are doing. Second, this is another historic order in terms of our breakthrough into this geography, Bangladesh, again a World Bank and AIIB funded project. This is again won against tough inter national competition and like Mr. Mittal mentioned , this is one place where we are generating green energy from biogas, which will be captivity used for the plant, which will make it power neutral.

On key performance metrics, I'm sure you would have noted that in the last few years, we have been representing core and non -core with the large exceptional items that came through. The overhang is completely out. Now, our numbers are actually reflecting what is our business performance. And these are the numbers which are directly from the results. The ROCE of about 18.5%, EBITDA double digit, as we have said always 12%, a PAT of close to 8% and working capital at 78 days.

And this is our order book composition at the INR 13,200 crores with a very healthy O&M mi x of about 40%, which gives us visibility over the next 10 -12 years in terms of O&M turnover . And as Mr. Mittal said, the business is lumpy, so it will move between years, but our endeavor will be to keep the international and Indian business at 5 0-50. This is the moment is largely because of the large project that we got in Chennai.

So our focus has been on Manufactured Water, will be on Manufactured Water. So by Manufactured Water, we first focus on protecting the environment and this also powers the economy. As was mentioned, one is recycle, the other is desalination, and third is industrial water treatment. All these three product lines, as you can see, are not any more liabilities. These are all money generators and it ends up protecting the environment because it promotes eventually a circular economy.

We'd like to take a couple of minutes to play a video on "Manufactured Water”.

[Video Presentation]

Moderator: Ladies and gentlemen, there's a video being played on the site. Please be connected. Thank you.

Skandaprasad S: I'm sure you've seen that we don't just talk Manufactured Water, we also walk the talk. With this, thank you very much for your attention and we are open for Q&A.

Rajiv Mittal : Everybody who wants to ask questions , they can put their ha

nds, talk about their names and the
organization they are represent and the mic will come to you. Ladies and Gentlemen.

Siddharth Gupta : Good Evening Sir. I am Siddharth Gupta from Voyager Capital . Great to hear from you and meet you all in person. I will bucket my question into two halves. One about the business metrics and one about the growth. With regard to the write off what everyone is thinking about. INR 289 crores that we have written off, is it on account of both the projects i.e., APGENCO and Tecpro or is it just one of the project. And second if we could have an update on the litigation status or broadly when do we expect the litigation to be resolved and the second with regard to the growth metrics, the growth of the company we are looking at. One of things that we wanted to know was we did talk a lot about we in the business of Manufactured Water, and largely most of our business is either B2G or B2B, is B2C a segment we are targeting in the sense that if at all possible getting into bottled water manufacturing or packaged water manufacturing and a question I had was with regard to the margins . Is there a substantial difference in terms of the margin s that we broadly enjoy in the European region vs. Middle East and if yes why is it that we are focusing on more on Middle East than Europe. Thank you Sir.

Rajiv Mittal : Regarding the write off , the three cases are in litigation, some are at NCLT, and some are in arbitration. Now, we have been patiently waiting for it. Even NCLT case, so -called fast track, four, five years, no decision. And that is the reason we have taken this case and whether it belongs to both the projects or no. Predominantly, this write -off is because of APGENCO, which are one is at NCL T, other is in arbitrat ion. You can see still we have not taken the TSGENCO because that is already at the highest level of Supreme Court arbitration. We expecting the decision quite soon. And client has already accepted that they owe us this money. Just because of arbitration c onclusion, the payment is not made. I'm hoping that arbitration will be concluded favorably to us and that money will be recovered. So other than TSGENCO, everything else is written off. We'll continue to pursue the legal things on these three receiva bles we have in our books and if things come true, we'll add back to our income. But today, we waited enough time and that's the reason we've done that.

Regarding your second question, which one is on B2C? Simple answer is no. We want to remain what we are doing, as I told you right at the start. What we do, we continue to do. What we do good, we want to do better. But we don't want to get into a business which we don't know. We have no expertise. It is completely a different FMCG business. We are not experts there, so we will not do that.

And the last one was about margins. I think, as you have seen that the margins have been good and which has also enabled us to write -off because this year, the margins have been fantastic. The businesses have done we ll. The EP part has worked for us. The international part has worked

for us. Currency gain has worked for us for the international projects. So , all the parameters have worked for us, which has enabled us to get a decent, good bottom line, which enabled us to write -off and still be in green.

Now going forward, maybe one or two things, we may not be so lucky, but double -digit EBITDA margins are very sustainable at consolidated basis. That's something we want to confirm that. Thank you.

Analyst: My question i s on receivables, post the write -back we have done I think we still have around INR 1,500 crores of receivables which is the revenue of the las 6 months , so is there a gap between payment schedule with the clients, how we account for the revenue, is there a gaps of what are the payment due da

te and that is why there are difference. What is the reason for 6 months of revenue under receivables ?

Rajiv Mittal : I think first thing you should k now that there are a lot of new projects Reliance, Senegal, Sibur, Russia which towards the second half and towards the last quarter and last month there were lot of dispatches, material dispatches, EP projects which has taken the revenues up but also they are not due to be collected. Some of this material will have to reach Russia before they even start processing our things and it is a good two-month s cycle from the day you dispatch and the day you pay you cash.

Others are having some payment cycles anything between three months to more than that on international projects and Indian projects 52 days to 70 days. So these are the last quarter or last four, five months revenues are not even due and that is the reason there is a bulkiness in the second half of this which always in the first half of this year, even first quarter we should be able to collect a lot of that. This happens every year but this year it has been special because of lot of new projects where we h ave inv oiced . And we ended up inv oicing almost in the last month and last quarter.

Analyst: Second question was regarding EP vs. EPC projects. So t oday what percentage is still construction we are doing like how much is the EPC percentage? And how do yo u see that going down ? And is there a margin difference when you do only EP vs. EPC contract ?

Rajiv Mittal : Yes, I think something which we cannot control. We can only direct our sales and marketing team to go after projects which are more EP than EPC. But there are still customers who want us to take a single point responsibility. And that is where we enter into pa rtnership with companies who will do the C part. So our endeavor going forward will be to reduce C which we have been able to do over the last couple of years and going forward we will continue to do that but also this is also comes from a business st rateg y, where we want to do EP.

And your question on EP has a better margin? Yes, EP has a better margin, better timing, better cash flow, all this is the reason we want to focus on EP. And you have seen last two years our margins have improved, our cash flows have improved and this is the combined effect of two things we are doing right based on our strategy.

Analyst: What percentage would still be the construction in our order book o r revenue for this year?
Rajiv Mittal : I will not be able to tell you an exact number but maybe excluding this recent Perur job, maybe 20% to 25% approximately .
Rajiv Mittal : Anybody. Also we want to hear from people who has joined us through phone if they have any questions .
Analyst: Congratulations on a good operating performance. My question is that in the last 5 years , the revenue growth has been little lumpy. So g iven that now we are at a stable position, can you provide revenue guidance and I would also like you to share EBITDA guidance and EBITDA margin because we are now close to 11% and can we expect this trajectory to continue ?
Rajiv Mittal : See I have already told one of our friends here that this year you have 12%, okay. Yes, we have been lucky on few fronts which we have told you but anything on double digit you can take it in your model. Okay, I will not be able to give you exact number. I think that is the best guidance I can give you but you can definitely consider double digit which we have been aiming for many - many years in the past but now you can confidently take that. Because of the strategy shift we have done you can take that double digit numbers.
Revenue growth, as I told you we ar e not focused on revenue growth but it is going to be an outcome of our order backlog. We are not going to book orders just to grow on revenue. We are going to boo

k orders to grow on bottom line and cash, okay. But with the kind of order book we have, all time high, historical high, you are going to get a revenue growth, irrespective because we have to execute the project in the given time. So that will definitely see a good revenue growth in the years to come. And we also are endeavoring to further improve our order backlog in the years to come.
Analyst: My second question is regarding the Chennai desalination plant. When are we going to start the execution of the order ? And when can we see the revenue peaking from that particular order ?
Rajiv Mittal : This large project have certain time to complete all the formalities. We have completed all the formalities. The contract has been signed , it goes to the funding agency to set up LC limits because we h ave a dollar component in it, which only JICA from Japan, Tokyo can pay us. So this LC limits will be signed. These are all condition precedents before the effective date. Our work has started but contractually, effective date will not be announced till al l this condition precedent is met including giving us a site.
There will be a political foundation stone laying for this kind of massive project which we expect in the coming month all that they will do, they will hand over the site . I assume that in this next 30 days, we will meet all that and get going and start invoicing at least the engineering portion of it and then going forward we start invoicing the construction portion because we start with construction within this year. So you will see some revenu es coming in the first half, mainly engineering and little bit of construction but there will be some good revenues will come in the second half and it will peak next year.

Analyst: Is there a scope for further improvement in working capital cycle and f inance cost?
Skandaprasad S: We will be anywhere between 60-90 days and I think with the EP & EPC mix that we have anything below 90 days is something that we will continue to endeavor . We are at 78, and would like to go down and we have demonstrated , we have been at 55-60 days also. So we like to maintain this but with larger projects, obviously, there will be some expansion. But on the other side, the EP will balance it , so we will maintain our wo rking capital .
Analyst: What is the expectation on order inflow through FY24 ?
Rajiv Mittal : The market is very bullish . I have shown you there are huge opportunities in India and abroad. So we would like to target order intake at a similar level at what we have given this year.
Analyst: How is the bid pipeline?
Rajiv Mittal : This pipeline is very strong, very robust. A lot of bids are in the pipeline where we are even a preferred bidder. So God willing keeping our fingers crossed we may be able to announce some orders in this quarter.
Analyst: Given the inordinate delay s seen this far what are the odds on the recovery of the debtors amount being recovered written off in Q4 which is near INR 290 crores ?

Rajiv Mittal : See, this is something if I could answer this question to you, we would have never written off. The only th ing I can say, sincerely, we will continue to fight, continue to invest our legal expenses to ensure that we recover this money. So we are not giving up. This is only the book entry to clean the baggage which we have been doing for so long. So we want to b e in the light of this and the true business performance you can measure that what the company is doing rather than getting these provisions every year as per ECL policy . We don't want that. And anyway this write up is also going to be cash -accretive by the way.
Analyst: What are the management’s top priorities and key areas of focus?
Rajiv Mittal : The areas of focus is to implement the strategy. That is what will give us profitable growth. That is what will give us valuation improvement. What all we h ave got from this very low valuation. Next year we stand in front of you and improve the valuation from this 10 multiples to 15. We are all smiling. So we are working on it.
Analyst: Congratulations on the Q4 numbers and for the much awaited JICA order won . Since we are expecting more orders in Q1 also, are we expecting any fundraise in near future ? With regard to Russia project, as of now in the last quarter you had specifically mentioned that you are facing logistics issue for that project so what is the current situation as of now. And are we still bidding in Russia since you said there is good scope in Russia since competitors are less and also due to geo-political issues ?
Rajiv Mitt al: I think you should know, as I said, we are a startup company. 25 years we started. In 25 years, we have grown this company by leaps and bounds. Today, we are the only company who is proud to say, we are globally number three . Without any fundraise , we have done through our

business accruals and that is what we have invested back . Even the IPO we did in 2010, we gave exit to all the Private Equity investors to make this company truly a public. A small portion came to us. We had to do because o f SEBI. INR 125 crores we invested in our office and in IT infrastructure because we were going global. Today, in Chennai, we are controlling all the IT of our 25 offices. So we have invested there. So nothing we have put it to our business.
The only and only fundraise we got was a few years back when we raised INR 120 crores. In these 26 years, the only fundraise we have is INR 120 crores . God willing, even with all these projects, we may not need a fundraiser to fuel our working capital for executing these projects. That's our belief. We have done it successfully in the past. We want to continue to do that and try not to do fundraise and still be able to deliver the project.
Analyst: Can we expect this order book to touch 16000 -17000 in the coming 1 -2 years ?
Rajiv Mittal : Why we should not do that? So aim would be, like I said to the young lady there , even order what we did last year, we intend to do even this year. So if we do that, and even if we have a growth on our sales, still we'll add at least 2,000 to our order book, even in this year. So from 13.2 to 15, another one or two years, why we should not reach 17,000.
Analyst: And my second question regarding the Russia project ?
Rajiv Mittal : Russia is stabilizing. We had sanctions issues. We had a lot of vendors change because a lot of European companies did not want to do business with Russia. So we had to change the vendors to India, Chinese and other vendors who can do business. We lost a l ot of time in this. And also, deliveries from certain locations were not possible. We had to transfer it to various places. I think it's all in place. This year is going to be a bumper year for Russia's Sibur project. You will see a huge sales number becau se a lot of, or most of the supplies will move in this year, up to March. And that's what we are expecting.
And your second thought, yes, Russia remains our key market. Russia will be focused. We have a special team focusing on it because India is preferre d there. We like to do business and they open LCs. Even for this Russian project, they opened $100 million LCs , single LCs from Kazakhstan, not from Russia, from Kazakhstan Bank to State Bank of India. So, there's no payment risk. Why we should not do this? Why? And as you rightly said, our competition is less. European companies have gone out. So, we should take advantage and improve our business and improve our margin.
Yash Shah : This is Yash here from IBS Capital. Regarding the two new growth opportunities i.e., green hydrogen fuel segment and semi -conductor industry . Where are we current ly in the se ?
Pankaj Malhan : The green hydrogen remains a point of focus for us. You have seen some numbers on it. We are already in touch with lot of partners and India is going to pick up and working with partners in this space. Middle East again we are working with lot of partners , and that space is heating up more than India and we would be there also .
Yash Shah : Any projects currently?

Pankaj Malhan : Currently, no but there are some projects in the pipeline.
Rajiv Mittal : It will take some time for green hydrogen. Economically, still it's not viable. So, there will be slow in investment. Till it reaches a critical mass, then it will take off.
Yash Shah : But are we ready technologically?
Rajiv Mittal : Yes yes. Here I said, we are into ultra pure water like Pankaj said in semiconductor. If we are at that level, hydrogen doesn't need that quality of water. It needs one bit lower, but better than desal, but lower than semiconductor. We are there. We even produce wa ter for semiconductor. We have plants for that. Yes , technology wise, we are ready.
Skandaprasad S: We will not do anything on hydrogen, we are the water partner. We produce water to ultra -pure quality, we are ready, we n eed the hydrogen space to pick up and be economically viable.
Yash Shah : Where are we in the semiconductor space? How many projects do we have currently ?
Pankaj Malhan : India is just opening up and there are lots of investments which are announced and yet to take off from ground . And from a water technology ground, we are already there . We have executed some projects in Europe, we are sitting cool on that . As and when these projects mature off , we are there on the technology part.
Rajiv Mittal: We have already constructed a couple of plants, one in Qatar, where we have supplied our plant to produce water quality, suitable for production of semiconductor s.
Yash Shah : Can we expect a dividend policy since five years we have stopped doing that ?
Rajiv Mittal : Dividend policy is very much there, go to our website, policy is very much there.
Yash Shah : We are turning cash positive, so can we expect anything soon ?
Rajiv Mittal : It depends what is good for the investors, we are investing in the business, we are not raising funds and growing the business, improving the valuation, so investors can decide whether dividend is important or the i mprovement and valuation is important. We can go into the market and raise funds, so it is a combined decision of all of us. So we tend to make a decision on your behalf which we believe is good for the shareholders. We are open for suggestion.
Yash Shah : Since we are turning 100 years so, so we are expecting something big.
Rajiv Mittal : We are turning big, we are turning big, we will definitely consider your suggestion. Thank you. Okay, somebody is on the con call, we will give those team also a chance to ask the questions.
Moderator: Question comes from the line of Shreyans Mehta with Shree Capitals, go ahead.
Shreyans Mehta: Yes, good afternoon, thanks for sharing all the details. I just have two quick questions, number one it being a professionally run company, why don't we have ESOP scheme for our executives and all the employees? That's question number one.

Rajiv Mittal : Slowly, slowly, I think everybody is here , the question from this gentleman is we are professio nally run company, why do we not have an executive program for ESOP? I think the answer Shreyans is we have done twice the ESOP scheme when it was really making lot of sense, one we had done in 2006, another we had done in 2010.
We are in discussion with v arious experts what is good for motivation and rewarding our executives and we don't only limit to top executives. We

give it across the company, we have demonstrated that it has been a great motivator. We will have to consider because ESOP is no longer a very attractive thing from the tax which has come in. So we will have to consider what is most attractive for our people which we can give more money in their hand, we will consider that Shreyans.
Shreyans Mehta: Yes, I appreciate that, so if we do not app rove of ESOP after new consideration, you will possibly will have something else which you consider to be more appropriate for employee motivation, so as in when you come to some decision on that, it will be helpful if you share the details?
Rajiv Mittal No, no we always share but for your information we have a very decent performance related bonus program, which we have it for last 15 years in this organization. We were probably the first one in the engineering industry to have this variable pay, so there is a fixed pay and there is always variable pay which is depending on the performance of individual and also of the company.
Shreyans Mehta: On the same line then if we also have some understanding about retention of talent because as you continue to talk about being the asset light company, not having our main strength is technology as you have repeatedly mentioned, technology possibly backed by patents and talent s or the manpower which we are employed, so how is the retention of our human resources?
Rajiv Mittal : Yes, I think the retention has to be meaningfully employing people, giving them challenging

exciting assignments, having a great career path and creating a great environment to work in, it was also good to see that we have been also selected and n ominated as best places to work recently.

So there are some right things we are doing but this is a continuous process and we will definitely keep on focusing on it as you rightly said, talent management and talent retention is the biggest job for our HR t oday because there is a market is opening up and we want our talent to remain with us because they are the people who are going to contribute to our future growth.

Shreyans Mehta: Right, I appreciate that, just last question from my side.

Rajiv Mittal : So many questions, can you come back Shreyans? Because you have already taken three questions, we have a rule of two questions per participant.

Shreyans Mehta: Sure, no issues, yes.

Analyst: Our order book is INR 13,300 crores. INR 2,700 crores is O&M order book. If you can just give a broad range of execution timeline of O &M and execution timeline of the EPC project ?

Rajiv Mitta l: EPC is typically three years , O&M from the backlog we have. It gives us a revenue visibility of almost a decade , 10 years .

Analyst: How many how much receivables we have written off cumulatively ?

Rajiv Mittal: There is a clear Ind AS ECL policy, where you have to provide for delay and default, so that we provide whenever we get it back, we reverse it. But every year, if we remove this AP GENCO , there's not much 10 -20 C rs, which is not even 1% of our total top line, maybe half a percent of that.

Analyst: And you mentioned about the T SGENCO . So, how much is that ?

Rajiv Mitta l: INR110 crores .

Nitin Gandhi : This is Nitin here from KIFS Trade Capital . What is the 3 years O&M order book approximately ?

Rajiv Mitta l: Won't be able to give you off hand. Why don't you contact us offline . Our team here will give you all the details.

Nitin Gandhi: What about the framework order book?

Rajiv Mittal: We are not one of the companies which takes orders, these are the orders we have received, we have signed the contract, the client has not opened the LC . We will not invest a single rupee on it till the time we get a payment a ba nk guarantee . That order we put in framework like how we have shown you in Libya Desalination plant, a large one, a client has to open LC before we start execution. We want our investors to know there is a order there but will take into force after we get a proper LC.

Nitin Gandhi: Again, it will be 3 years like EPC?

Rajiv Mittal: This will not be 3 years because EP, it will be 2 years.

Nitin Gandhi : Since our order book is stepping up faster, what is our potential to execute within a year?

Shailesh Kumar : Executable capa bility what we have tod ay is very robust. We have a very capable execution team. We have a strong system and procedure and we have a lot of learnings from our last decade. We are ready to go and execute such larger projects .

Nitin Gandhi: Can we have some number on this?

Rajiv Mittal: We have to execute what we have to execute. What we are contracted to execute. You either execute using your internal teams or outsource team till you build your internal team. The execution has to be done, only the methodology will depend how quickly you can build the talent pool. Th ere are enough agencies around to outsource, for n on-core engineering work.

Analyst: How much was year outsourced?

Rajiv Mittal: Nothing, very less.

Analyst: How much was O&M in last year's revenue?

Rajiv Mittal: INR 400 crores .

Analyst : Is it the same percentage historically ?

Rajiv Mittal: It has been growing cause of one city one operator . It is giving a bulk O&M and our DBO contracts are coming in force, plus HAM contracts will come this year and this will further enhance the O&M revenues.

Analyst: What is the size of the Qatar semiconductor unit?

Rajiv Mittal: It was not big, semiconductor water requirement is not big maybe 12 -14, because the requirement of water is not massive but the quality of water is a challenge.

Analyst: In North America the water requiremen t is massive, most of the players like AMDs and others have a huge requirement for water.
Rajiv Mittal: Not a single project, unless they go for a massive semiconductor project , but in Qatar it was not massive. It is more about quality that capacity of water.
Analyst: What about be the effective tax rate for FY 2024 -25?
Skandaprasad S: It will roughly be around 24 -25%. As large amount of order book is in India. And already our European geography has come down to 5%, again largely based in North Africa and in the Middle East. So, effective tax rate would be 24 -25%. We have been in the range of 23 -25%.
Analyst: How much we spend on R&D , percentage of spend on revenues ?
Rajiv Mittal : We are one of the few companies in India in engineering which is still investing in R&D and that too in advanced geographies of central Europe. That's how we have 125 IP rights, patents and t rademarks. So, our expenditure as we do a lot of co-work with clients and sometimes educational institutions, less than 1% of our topline.
Analyst: What is the debt reduction and average cost of debt?
Skandaprasad S: We have been focusing on debt reduction. And that's how we've been net cash over the last two, three years. Obviously, there'll be some amount of debt we will use to balance . And with a lot of export projects, we are also able to raise debt from the banks at a much low er rate than what let's say we would do just in INR debt . So we are sub 9% in terms of our overall cost of capital. If you see how we have been on the interest charges just to a calculation on an average we have been sub 9% .
Dhwanil: Hello, Dhwanil here from I Wealth management. What is our USP?

Rajiv Mittal: We are into advanced technology, complex projects, and in this league we do not have many Indian companies, we are not into run of the mil l projects where new players are coming in. Lots of con struction companies coming in. We try to avoid this, our target market we see m

ore
international players. Even if Indian players come, we have to tie -up with international players as joint ventures. We have a huge price arbitrage of being a India company, which is an advantage for us as our manpower cost and over heads are lesser than European company, we are at the same level when it comes to technology.
Dhwanil: Are we planning for any capex to support the growth ?
Rajiv Mittal: No capex, we are an asset light company as you can see from the gross block and net block. This we will continue, only block is our building and IT infrastructure. Nothing else.
Moderator: Question comes from the line of Jinesh Kothari with HDFC Securities Limited. Please go ahead.
Jinesh Kothari: So I just wanted to get some insights on our upcoming order pipeline. So we are currently having an all -time high order book. So what are the prospects you are looking forward as the L 1 order in the coming years and the order pipeline that we are looking at?
Rajiv Mittal : Our focus is going to be on Manufactured Water. So our main focus is going to be on "Manufactured Water" on desalination and reuse, which the team will continue to f ocus. Yes, once a while we'll continue to take industrial projects, some projects in sewage and water treatment also. But we'll have to see that we are competitive in it and we can create some differential with our technologies. But our focus will continue to be in Manufactured Water going forward.
Jinesh Kothari: And may I have a number for the bid pipeline, sir?
Rajiv Mittal : The bid pipeline can go into billions and thousands of crores. But what I was telling some of our friends here that there is a go od pipeline, a concrete pipeline of which some projects we are already declared as a preferred bidder. This we expect in the next six to eight weeks we should be able to declare the orders.
Moderator: Thank you. Our next question comes from Neeraj with AM Securities. Please go ahead. Neeraj, your line is unmuted. You could please ask your question. Since there is no response, we move on to our next question. It's from the line of Tushar Raghatate with KamayaKya Wealth Management Private Limited. Pl ease go ahead.
Tushar Raghatate: Good evening, sir, and thank you for the opportunity. Sir, I could see that the Company is looking more on the EP projects. So I just want to understand the EP project contribution to the total order book . Considering the EPC order, we have near 60% of the EPC order. I just want to understand the EP contribution to that INR 7,920 crores odd number?
Skandaprasad S: So this was answered earlier also. Our EP portion would be roughly 30% -35% of our order book today, especially because of this large lumpy order that we have received from Chennai Metro for the 400 MLD desalination. So we would have about 30% -35% of our EPC order book as EP.

Tushar Raghatate: Okay. Sir, my next question would be, for this O&M project, what would be the annual run rate for the O&M projects which you can be sure of?
Skandaprasad S: See, these projects in the order book will start at di fferent timelines as the EPC part of these orders gets over. Then the O&M starts. But we have at least a visibility of about 10 years of revenue coming out of this order book.
Tushar Raghatate: Okay. Sir, is my calculation correct that considering the exec ution period of 2 -3 years, so considering that 7,900 odd EPC contract, the number is coming out near to INR 2,640 crores . If you add the O&M part to that, so the number should, the top line should grow to a good extent from here on. What's your thought on that, sir?
Skandaprasad S: So, the question is, there is an order book which will pan out over 3 years, the EPC. And the O&M, if we add even the current 400 kind of number, we are seeing growth with this number. And he's asking wha t is your

thought on that?
Rajiv Mittal : There's nothing to be very intelligent about it. As you rightly have said, with the order book we have, definitely we are looking at growth and we have to see how much we can execute from EPC. O&M will be anyway a s teady business and that will give us a top line number in the years to come. But definitely with the kind of order book we have, we are looking at a top line growth also.
Ashwini : Hello, Ashwini here from 3P Investments. What is the difference between you r know how and what Veolia does for example ? What is the real big difference? What is the gap and how do you close the gap in the years ahead? Second what is the opportunity on industrial side in India and outside and how do you address that ?
Rajiv Mittal: We are second to none. More or less, type of technology what Veolia’s , we also have. We don’t see a gap. No gap which needs to be filled up to meet market demand. We are second to none, we use our proprietary technology in our plants. Ind ustrial is definitely our focus area and is 30% our execution revenues. We will try to maintain that. Because of this lumpy order it might come down, however, over a period of 10 years 30% of our business will come from industrial. And will focus on complex large industrial plants, and they mainly come from oil and gas and we are second to none in oil and gas , and we have done projects all around the world. And this will continue to give more opportunities in oil and gas and that will be ou r main focus and we will also be moving into semi conductor areas .
Analy st: In terms of awarding the projects, in terms of the industrial and municipal side, what is the key element the consumers look for?
Rajiv Mittal: Major order comes from municipal customers, government sectors to maintain conspiracy the L1 criteria but pursuing them to have L1 but evaluated one. Where a certain percentage is given for technical and something for price , so if are able to achieve a good rating for technical then even if our price is not L1 then we can still be the preferred bidder.
Analyst: And in terms of technical spec, what is the customer precisely looking for?

Rajiv Mittal: Look at it from only an economical point of view, 1. Are you able to give him a more reliable product? 2. Can you fit into the space he gives you? 3. Capex may be high, but is the capex plus opex cost lower in lifetime ? Today no one gives you an award cause of capex but because of the life time project cost . That also they evaluate, and the reliability of the partner. What has been your reliability in the past and how well you have executed and have you met the perfor mance standards? Have you executed on time and do you have the workforce. There are standards. Are the experienced to execute this project? These are few parameters consider ed, to give you a technical score.
Rucheeta: Hello, Rucheeta from I We alth. With several challenges associated with the traditional desalination process such as high cost involved due to large fossil fuel energy requirements and the environmental impact . As these desal plants produces green house gases from large amount of fossil fuel energy use , where is Wabag on usage of solar power technology.
Rajiv Mittal: See I repeat, we only want to do at what w e are good at and what we know. We are not into power sector neither into solar . There are projects where we are pre -qualified like Egypt with hybrid models and that is not our expertise . We always tie -up with companies who have experience of building these plants and operating these. So it will always be a partnership and we will focus on water and somebody else can do the power. But yes the green energy and renewable energy is the trend going forward. We may also see in Chennai , there is a talk that they may invite tender for powering th

e desal ination plant with renewable energy.
Rucheeta: What is the capex and opex difference between a normal desalination plant and solar based plant?
Rajiv Mittal: Anybody will go for solar not only because it is renewable and green. It has to make capital sense, to make opex sense and the cost of power should be lower and that is what we see, solar can be lower but it has its limitations, they will only make a commercial decision if renewable is cheaper than thermal.
Rucheeta: What will be the cost for a solar plant for example ?
Rajiv Mittal: No one will put up a solar plant, they will buy from people who own the asset. It will be more opex and capex will not be on the balance sheet. So thermal power plants the government does not put but the organization does but they are selling at a fixed price with certain escalations. That will be the m odel in the future also even if it is a renewable power.
Management: Thank you.
Moderator: Thank you. On behalf of VA Tech Wabag Limited, that concludes the conference call. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

."...---WA BAG
An ISO 9001 Company
February 16, 2024
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
NSE Symbol: WABAG BSE Limited,
Floor 25, P J Towers,
Dalai Street,
Mumbai - 400 001
BSE Scrip Code: 533269
Dear Sir/Madam,
Sub: Transcript of Analyst/Institutional Investor Conference Call on Q3 FY24 Financial Results as per the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Pursuant to Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Analyst/Institutional Investor Conference Call on Q3 FY24 Results held on Monday, February 12, 2024.
The Transcript of Analyst/Institutional Investor Conference Call on Q3 FY24 Results is also available on the Company's website at www.wabag.com.
Kindly take the same on record.
Thanking You,
For VA TECH WABAG LIMITED
Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No: F4832
Encl.: As above
Sustainable solutions, for a better life
VA TECH WABAG LIMITED
CIN : L45205TN1995PLC030231
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"VA Tech Wabag Limited
Q3 & 9M FY'24 Post Results Conference Call "
February 12, 202 4

MANAGEMENT : MR. RAJIV MITTAL – CHAIRMAN AND MANAGING DIRECTOR – VA TECH WABAG LIMITED
MR. SKANDAPRASAD SEETHARAMAN – GROUP CHIEF FINANCIAL OFFICER – VA TECH WABAG LIMITED

MODERATOR : MS. SAVLI MANGLE – ADFACTORS PR PVT. LTD.

Moderator : Ladies and gentlemen, good evening, and welcome everyone to today's Earnings Call post announcement of Q3 and 9 Months FY24 Results of VA Tech Wabag Limited . On the call today from the management team, we have Mr. Rajiv Mittal, Chairman and Managing Director; and Mr. Skandaprasad Seetharaman, Group Chief Financial Officer.

Kindly note that d uring this call, the company may make certain forward -looking statements concerning the business prospect and profitability, which may be subject to risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.

The conference call will be archived and transcript will be made available on the company's website. The company's results update presentation has been uploaded on the website and stock exchange, which provides an overview about the core offeri ngs and analysis of the results for this period. We trust that you had an opportunity to look through the same. We will start with the opening remarks from the management, post which we will open up for the interactive Q&A.

I now hand over it to Mr. Mitta l to take you all through the key business highlights. Over to you, Mr. Mittal.

Rajiv Mittal : Thank you. Good evening, ladies and gentlemen. I'm delighted to welcome you all to the quarterly earnings call post announcement of Q3 and 9 months FY24 results o f VA Tech Wabag Limited.

Your continued support and engagements are crucial to our growth journey, and we appreciate your presence today. Joining me today for this call is Mr. Skandaprasad Seetharaman, our Group Chief Financial Officer. It is with immense pride and joy I share with you that this year, your company has completed 100 years of existence, I repeat, 100 years of its existence in the water sector.

Last 100 years have not only been exciting and challenging but also very rewarding. During these y ears, Wabag has transformed from a local start -up unit to a large global corporation. We continue to be a pure -play water company, focusing on emerging markets and remaining asset - light. This significant milestone is a testament to our unwavering commitmen t, resilience and enduring spirit of innovation that has defined our growth over the past century, the impact of which resonates across borders, touching life of communities, industries and environment.

For a century, we have been at the forefront of pion eering water solution, driven by our unwavering commitment to quality, innovation and sustainability. From the ground -breaking technologies to comprehensive water management systems, we have played a pivotal role in shaping the landscape of water sector. A t Wabag, sustainability is just not a buzzword, it is ingrained in our DNA.

We take great pride in being awarded the prestigious “Energy Globe Award 2024 ” in water category in Norway for our outstanding project, the Jubail Industrial City wastewater treatment plant and water reclamation plant, Marafiq, in Saudi Arabia, followed by another award where we were a national winner in KSA from Energy Globe in Saudi Arabia for Marafiq project, which was received a few months ago.

Our commitment to environmental responsibility remains unwavering. As we move forward, we are dedicated to continue contributing to a circular economy. Recently, Wabag has forged a strategic partnership with Peak Sustainability Ventures to establish 100 Bio-CNG plants across India, GCC, Africa and Europe.

This partnership aims to harness the untapped potential of organic waste to generate bio -CNG, meeting energy demands responsibly and thus contribute to the reduction of greenhouse gases emission and also air pollution. This initiative exemplifies our innovation and environmentally conscious approach, transforming waste to renewable energy f

or a cleaner, greener and more sustainable future.

Our financial performance in the last 9 months reflect our focus on delivering profitable growth with a strategic emphasis on international geographies, industrial projects, advanced technology plants, engineering and procurement, which is EP business, and long -term operation and maintenance.

We have continuously impro ved our margin profile and maintained a positive cash flow, underscoring our commitment to long -term growth in line with our strategy “Wriddhi ”. As an advanced technology business leader, our order intake, major ly comprises of plants in desalination, recyc le and reuse and affluent treatment segment. With our continued focus on emerging markets and efforts of our agile go -to-market teams, we have secured 59% of our order inflow in this fiscal from international geographies. All these orders were won against strong international competition.

Recently, we secured an industrial order worth US Dollar 33.5 million from SEPCO III Electric Power Construction Corporation Limited towards engineering and procurement of a 20 million -litre-per-day industrial wastewater treatment plant at Ras Tanura refinery complex in Kingdom of Saudi Arabia. This order is being executed for Miahona and Saudi Aramco, which is scheduled to be completed over a 20 month period, is another testimony of Wabag's technology leadership in oil an d gas sector and enables us to further cement our presence in Middle East region.

We have maintained a high -quality order book of around INR12,000 crores with a healthy mix of 57% EPC and 43% O&M, majority of which have secured payment terms. Further, our strong order book and pipeline visibility instills confidence in our ability to continue to grow and generate value for our stakeholders in the years to come.

I extend my sincere gratitude to all our investors for their continued confidence in Wabag. Your support drives us forward as we continue our journey of global leadership in water sector. Our commitment to delivering shareholder values remain steady fast.

Now we look forward in engaging in an insightful discussion during question and answer session. Before that, we move over to the financial highlights. I would now request, Skanda, to take you through the same. Over to you, Skanda.

Skan daprasad S: Thank you, Mr. Mittal. Good evening, friends. I trust you have had a chance to review the results update presentation as circulated and uploaded on our website. Let's delve into some key

operational highlights first , followed by financial highl ights for the quarter and 9 months ended December 31, 2023.

During the quarter, the execution speed of our ongoing projects remained commendable. New projects like Perur desalination plant in Chennai and Pagla STP in Bangladesh have commenced planning act ivities with engineering, making substantial progress and thus enabling start of procurement and construction.

Notably, our key industrial projects, Reliance desalination project in Jamnagar Gujarat and the AGCC project SIBUR in Russia, is progressing wel l to be completed in H1 of next fiscal as anticipated.

Our KMDA HAM project is now in commissioning stage and we expect to finish the activities within this quarter. S TP HAM projects being built for BUIDCO at Digha Kankarbagh and the 40 million litres per day Ghaziabad Nagar Nigam tertiary treatment recycled reuse water project being built for GNN has been steadily advancing with engineering and procurement activities substantially completed and construction activities under swift progress.

As we have con sistently maintained our focus on the Middle East and Africa cluster as the next growth engine remains strong, we recently secured a 20 million litres per day industrial wastewater treatment plant at Ras Tanura refinery complex in Kingdom of Saudi Arabia, al

igning with our growth story in this region. MEA cluster has tremendous potential, and we will continue putting in our efforts to convert a good amount of the opportunities in this region as we move forward.

Also, a matter of great delight and endorsemen t of our efforts in improving margins, cash flow, reduction in debt and general business progress, our credit rating was recently upgraded to “A+” with a positive outlook on long -term basis, while we remain at “A1+” on short -term basis, the highest short -term rating.

Moving on to the financials. Our consolidated revenue from operations increased by 8% year -over-year to Rs.704 crore owing to new and large projects commencing revenue generation and continued execution speed on other ongoing projects. Our revenue growth has been despite strategic divestment of 2 of our subsidiaries in the last year.

Our consolidated EBITDA stood at Rs.99 crores maintaining a double -digit EBITDA margin, as we have been indicating over our interactions. We achieved another qu arter of profitable growth, that is our PAT growing at a rate faster than top line. Consolidated PAT for the quarter stood at Rs.63 crores, up 34% year -over-year.

For the 9 -month period, consolidated operating revenue stood at Rs.1,922 crores, the consoli dated EBITDA improved to Rs.261 crores with a healthy margin driven by execution efficiencies and reduced total cost of operations (TCO). The PAT attributable to owners stood at Rs.173 crores on a consolidated basis, up by 40%, year -over-year. We closed th is quarter as well on a net cash positive position, demonstrating our efficiencies in cash and debt management. Our return on capital employed also remains strong at around 20%, reflecting our asset -light and technology -focused approach.

To our clients an d partners, thank you for your trust and collaboration. Your support has been the bedrock of our success. As we celebrate 100 years, we renew our commitment to delivering services of the highest quality, meeting and exceeding expectations of the market. We also express our heartfelt thanks to our bankers, investors, fellow Wabagites and all of the stakeholders for the continued support extended to us.

With this, we now open the floor for the interactive question and answer session.

Moderator: And the first question is from the line of Kaushik Mohan from Ashika Institutional Equities.

Kaushik Mohan: Congratulations for the good set of numbers. Sir, currently, we have around INR12,000 crores of order book. What is the landscape and how much time will we take to execute all of this order book? And what will be in the Q4 that will be executed?

Rajiv Mittal: See, as we said before that we have an order book which is 60% EPC and around 40% is O&M. And generally, EPC orders take about 3 years and O&M i s long term O&M, anything between 5 to 15 years, so you can take 8 to 10 years as an average time to execute this order.

This year, even after divestment of our 2 subsidiaries abroad, we generally would like to see a growth in our numbers. And as we have shown you already at YTD December, we expect the same momentum to continue for the fourth quarter.

Kaushik Mohan: Got it. Sir, my second question follows on trade receivables. Sir, currently, we have Rs.1,665 crores in the trade receivables. So what is our receivable days and contracts with our clients? So when can we assume this entire trade receivable will be converted into cash and what time duration is needed? Is there any bad debt or if not any bad debt on this?

Skandaprasad S : See, as you have said, t he quality of orders that we picked today are all payment security backed orders. They are either Multilateral, Sovereign -Funded, Federal Government backed or LC backed. So I don't think you should have any doubts around collectability of these projects.

Receivables g

o through their cycle. Projects are in different stages. But what we have done is we have been able to maintain a working capital , because usually we have general back -to-back. So if a vendor supplies and the customer accepts, they pay, we are able to pay the vendor. We also manage our working capital using various instruments like LC , BGs and various other instruments, which allow us credit periods. So we don't see any concern over there. Yes, we have consistently improved on the receivable collection days, and you will see that even going forward , but I'd like to again underline that you have already seen in the last 3 years, plus also all these quarters, how we've been able to maintain a net cash position and also generate operational cash flow. This is possible only through an efficient debt and cash management cycle.

Moderator: The next que stion is from the line of Ashish Soni from family office.

Ashish Soni: Sir, this is regarding these future opportunities in green hydrogen and semiconductors. So when do you think anything can materialize and how soon?

Rajiv Mittal: See, today, these both sectors hold a huge future potential. Now after COVID, everybody wants to be self -reliant. Whether it's Asia, U.S. or Europe, they're all setting their own manufacturing base for the chips, semiconductor, and semiconductor needs ultra -pure water for chips making. We have already done a plant. We have a reference for that. But we continue to look for even more advanced technologies which are available , because being a technology company we always like to give the best to our clients.

We feel that in next co uple of years, we will see a good potential of semiconductor water requirement. And in terms of hydrogen, especially for green hydrogen, we need water as a raw material , because with the electrodes, the hydrogen is generated by breaking water and a clean water is a raw material, which is what we specialize in. So we will like to secure our position with the various developers and technology providers to be a water partner.

And still, it is not economically viable. Still lot of advanced world is going to in vest in this hydrogen, which is going to reduce the greenhouse gases, which is a target they have to meet. But to be economically viable, my personal guess is anything between 3 to 5 years. And once it comes in, it's like solar, this will really take an ex ponential growth and will stay there for decades.

Ashish Soni: Regarding the bio -CNG, when do you think anything can flow to our revenues?

Rajiv Mittal: I think it's something which we expect immediate because there are some plants we have in mind, and we believe in the first quarter next fiscal year we should be able to sign something and generally, it will take about 9 months to 12 months to execute this project.

Ashish Soni: Okay. So basically semiconductor you're saying that it will be a near -term play and Green

Hydrogen to be a longer -term play, correct?
Rajiv Mittal: Yes, at least 3 to 5 years is my personal guess.
Moderator: The next question is from the line of Amish Kana ni from JM Financial Services.
Amish Kanani: Sir, congrats on a very good set of numbers in terms of profitability. Sir, we observed that the 9 -month revenue is about Rs.1,900 crores, whereas our order intake looks like Rs.1,761 crores. Any sense of whethe r, are we happy? And is it in line with our expectation? Generally, we would like to have our orders being more than our revenue. So can we make up in the rest of the year to be that as a case? And in that context, how does the Middle East and India opport unity is panning out in terms of pipeline, sir?
Rajiv Mittal: Amish, you're absolutely right. Any company would like to see order intake to be little higher than revenues. But today, we are very fortunate that we are sitting on Rs.12,000 crores, whi

ch is already giving us a visibility of almost 3 years. So we are not concerned about it, and this will not take us to make some wrong decision or choosing a wrong order or bid desperately. Our priorities, as we said before in our speech, payment security, margin , cash flow and technology selection remains a basis of selecting our order intake.

We are very hopeful because the market is flooded with inquiries. It's just a matter of time, which it takes. Though India because of forthcoming election, it will go a li ttle slow for the next few months, but we have shifted a lot of resources in the international market and we are hopeful that some projects in India and a lot more from international markets, you will see in the next couple of quarters.
Amish Kanani: Sure, sir. And sir, if you can give us some sense of how is the working capital panning out, both in terms of working capital including the retention money that we're expecting some release from Qatar and Tunisia, if I remember correctly. And also our net cash position.
Skandaprasad S: See, we are at a net cash positive position even for this quarter, Amish. And you've already seen that we have already recovered the retention on the Marafiq project in the first half of this year. The other 2 projects are in adva nced stages of closing. So in FY24 -25 you will see that we will finish the projects, finish the defect liability so that it is eligible for collection of these retentions. And as I explained, from a working capital perspective, today, with the order intak es, with our debt being in control, with a net cash position that we are maintaining. I'm sure you understand that the working capital is fairly okay.
Amish Kanani: And sir, if you can give us the numbers as regards net cash as of 31st December? And also, whether you can give us the free cash flow for 9 months at least, if not quarterly? Have we generated a free cash flow positive, sir?
Skandaprasad S: We did generate the free cash positive for the 9 months, and we ended with a net cash positive position of about Rs.100 crores.
Amish Kanani: That's very encouraging and all the best
Moderator: The next question is from the line of Arun Kailasan from Geojit Financial Services.
Arun Kailasan: Yes. Congrats on 100 years of existence. I just wanted to ask about the EPC municipal segment. For the last 3 quarters, on a Y -o-Y basis, we have booked a revenue that is lower than the previous corresponding year. And even the execution numbers also indicate that the executions have been on the lower side. So is there any stuck up that we are facing in this particular segment ?
Rajiv Mittal: No, this is something, if you remember in the previous few quarterly discussions we have had with you. This was very expected because 3 of our large projects, whether it's Chennai desal ination or Bangladesh sewage treatment plant or the CIDCO water, these are all projects which were secured about 9 months back.
Generally, to do the contract signing and put the zero date in order, it takes about 3 to 4 months. And after that, it takes ab out 4 to 6 months to finish the engineering. That is what in these 3 projects, we are just in the final stages of engineering, which sets the stage for procurement and construction. And we always told you that towards the third and fourth quarter only, we can see some revenues flowing. And from the first quarter of next fiscal, we will see a momentum picking up, and we'll see much higher revenues because construction and procurement would

have picked up. So this was expected, and this will always happen whe n you get some large projects like this.
Arun Kailasan: Okay. Sir, my next question would be with regard to the total cost of operations. If I look at the

consolidated thing, I mean, we have had a

lower total cost of operations. But on the standalone basis , we see the costs are higher. I mean it's reported higher. Is there any specific reason like that?

Rajiv Mittal: No. I think we know India is an inflatory market. We all work in India. Today, we are a growing company, and there's a huge pressure of people who aspire to get into water to pinch our stuff. So we have to meet the competitive salaries there . Plus, we are also growing in numbers becau se our workload is much higher.

But if you see internationally, we are reducing it, which is high -cost geographies and some of these activities, which were normally done in the international geographies, we are shifting those works to India to keep the overall cost in control, and that is a part of our strategy, and I think it's working well for us.

Arun Ka ilasan: All right. Sir, if I can just squeeze in one more question. It is on the 100 Bio-CNG plants that we have. Can I know like , because you had commented on an earlier question that you have identified a couple of water treatment plants. So this will be done in already existing plants? And do we mean to produce Bio-CNG from one of these waste from water treatment like slurry or sludge, etcetera? Is that the plan? And on a cost basis, like how much is this going to cost us? If you could comment on that.

Rajiv Mittal: I think you're very right , when we have to say what is the lower -hanging fruit? The low -hanging fruit, as you rightly said, is our existing plants where we would recover the biogas and enrich it by removing the impurities and then compress it to be used as a fuel. This will be done in the next 3 to 6 months. And then it takes about 9 to 12 months to construct that purification plant and a compressor plant.

And I think this is the game plan. But this is not only going to be for wastewater munic ipal projects, can be industrial projects, can be municipal solid waste projects, can be for press mud . Any form of organics, which can be converted to methane, we will use this technology to convert to methane so that a valuable product in form of a fuel, which is clean and green, is generated, which has a market value. So this is our game plan. But initially to demonstrate this concept, we are going to set up about 4 to 6 plants in the next 12 to 15 months.

Arun Kailasan: And sir, on the cost basis, how m uch are we expected to incur?

Rajiv Mittal: See, depending, if the asset is existing, probably it will take a couple of million U.S. dollars to put this plant. But if the asset is not existing, probably it will take about 4 million dollars per plant.

Moder ator: The next question i s from the line of Arun Chakrava thy, an individual investor.

Arun Chakravathy: I've got only one question about TSGENCO arbitration award, did you receive anything yet?

Rajiv Mittal: No. I think immediately after this award, there was election and there was a change in government. So I think the ministry and the bureaucrats are being now appointed. So we expect that in the first quarter, we should be hoping to get this, and there are some other legal things which have to be cleared by the TSGENCO legal team, which I believe in this quarter, it will be cleared, which will pave the way for us to collect our money from first quarter next fiscal year. So maybe in 2, 3, 4 tranches, we should be able to collect the full money.

Arun Chakrav athy: Okay. Okay. That's a good news. And congrats for good set of numbers this quarter.

Rajiv Mittal: Thank you.

Moderator: The next question is from the line of Dhananjay Mishra from Sunidhi Securities.

Dhananjay Mishra: Yes. Congratulations on excellent operating performance. Sir, as you said that this being election year, domestic market will be a little bit slow or even the current geopolitical things. So can you give some idea in terms of bid which all

orders will be affected in the next 12 months par ticularly and which segment?

Rajiv Mittal: See, as I said that our focus today expecting this slowdown for about 4 to 6 months, we have shifted a lot of resources in the international market. A lot of bids are under processing. Some of the bids we are alre ady as a preferred bidder. So we expect next 4 to 6 months, we should be able to announce a few more international orders.

Some of them probably can be large orders, if we are lucky. And we will still continue to work with the Indian clients, both on the industrial side as well as on the municipal side to set up a good order pipeline, which we believe immediately after the elections, this also should be harnessed.

Dhananjay Mishra: And sir, this Libya order has been a framework order for a very long time. So I mean what is the reason it is not converting in actual order?

Rajiv Mittal: See, this is Libya. You know what happened through the geopolitical situation, the revolution in

the country. Now the country is getting stable. And slowly based on their affo rdability one -by-
one project they are giving it to us. We had told you that we have just finished Tobruk
desalination plant, which is a drinking water source.
Now they have started discussing with us these 2 or 3 framework orders which you are talking
about. They have already escalated the price because the time has gone. We have arrived at a
new number with the client knowing that its time has gone, so the prices are escalated, a new
number has been arrived at. And as soon as this is passed in the cabinet , I think they will work
on opening the LC. And without LC, we will not start. Once the LC is open, we will immediately
start this project. We are very hopeful in next couple of quarters, we should be able to start at
least couple of these projects.
Dhanan jay Mishra: Okay. Sir, that is all from my side. And this year, we are going to achieve highest ever EBITDA
and PAT, and I hope in coming years, we will be achieving highest ever revenue.

Rajiv Mittal: We'll celebrate together.
Moderator: The next question is from the line of Nikhil Abhyankar from ICIC Securities.
Nikhil Abhyankar: Congrats on a very good set of numbers. Sir, my question is again pertaining to the order inflows.
You mentioned that most of the orders inflows that you are expecting are in nex t 4 or 6 months.
So should we assume that there won't be any significant order inflow in this financial year?
Rajiv Mittal: No, definitely will be. You must have also heard telling earlier during my speech as well as some
Q&A that orders will come. Even in India, it will come. But majority of orders in the next 4 to
6 months are going to be from international geographies. We are not saying no orders. We are
saying from international geographies, I repeat.
Nikhil Abhyankar: Okay. But domestically as well you are expecting significant orders ?
Rajiv Mittal: We are going to see subdued activ ities once the code of conduct comes in , you know that at least
for 4 months nothing will happen till the results are declared and the new government is formed
and the minist ers and the bureaucrats are put into place.
Nikhil Abhyankar: Right. So can you just share the number for the projects where you have already submitted the
bids and what is the quantum of those bids?
Rajiv Mittal: See, it's more than 1 billion dollar s we h ave submitted the bid and another 1 billion dollar s we
are working on, which in next 3 to 4 months, we'll submit the bids.
Nikhil Abhyankar: Okay. So 1 billion dollar s. So this is both you're saying international and domestic.
Rajiv Mittal: Yes, yes, total , as a group.
Nikhil Abhyankar: Okay, understood. And sir, final question on the HAM projects. If I'm not wrong, we have got 3
HAM projects, and we were also looking to monetize them. So any update

on those?
Rajiv Mittal: Yes. The first one, the Kolkata on e, we expect to achieve the commercial production within this
quarter. The other 2 should be in the first half of next fiscal year. So once the commercial
production starts, the revenues will start coming in, and this is where we expect the investors
who h ave a majority will take control. We would finish our EPC and we'll continue doing a long -
term O&M, which is about 15 years O&M. At that point of time, when the investors are
comfortable with the performance, we can even think of monetizing our investments .
Nikhil Abhyankar: Out of 3 HAM projects, 2 will be operational and one is still under construction ?
Rajiv Mittal: No. One will be operational in this quarter. The other 2 will be operational in the first half of
next year. All three are in advanced stages.
Nikhil Abhyankar: Understood. And sir, going ahead, just wanted to understand whether, say, in next 3 -4 years, if
we generate a portfolio of these HAM assets, can we even look at an inward instrument to
monetize these assets?

Rajiv Mittal: This has to be because we have continuously told you that we are an asset -light company. Our
job is not to remain invested. Once we are a technology partner and we demonstrate the
construction, the EPC performance and then going forward, the O&M performance, I thi nk then
we can definitely monetize our portion of the investment.
Moderator: The next que stion is from the line of Ruchi ta from iWealth Capital.
Ruchita: Sir, my question was regarding the European subsidiary. So last year, what was the revenue and
EBITDA for it, same quarter last year?
Skandaprasad S : See, we don't give out these numbers specifically. Just to give you a context, if you're referring
to the European subsidiaries that we've divested, in the 9 months, about Rs.130 crores - Rs.140
crores is att ributable to these subsidiaries. And on an annual basis, about Rs.200 crores is the

revenue of these subsidiaries. So that's the like -for-like in case you want to adjust between the 2 periods.

And EBITDA will be hardly anything because that is one of the reasons why we wanted to divest these operations. EBITDA and profitability lower and revenue being higher. So strategically, we wanted to keep Europe as a tech hub and concentrate operations on the emerging economies.

Ruchita: Okay, sir. And sir, if we loo k at December to December, we have grown around 7% to 8% on our EBITDA level . So just wanted to understand that how much of EP that we have executed and how much is EPC?

Skandaprasad S : See, this will change between periods, Rucheeta. But generally, out of our EPC revenues, roughly about 1/3rd has been running on EP. Sometimes it is higher, sometimes it is lower. So this 9 month would have a higher mix of EP, like from SIBUR, industrial, from Reliance and some of the other HAM projects, EPC projects. So thi s mix differs. But as we said, about 1/3rd of our EPC revenues usually is composed of EP.

Ruchita: Okay. And sir, just one last question. What is the kind of order book growth that we envisage for the next 2 years?

Skandaprasad S : I think 10% to 15% is a f air estimation to make. But of course, the market is quite vibrant. The sector is very bullish, and we are very confident from Middle East, Africa, all these geographies are firing on all cylinders. So we we'll be happy to surprise the market. But fair ass umption to make 10% -15%.

Ruchita: Okay, sir. And this year?

Rajiv Mittal: See, I think don't go on a year -over-year basis. Our projects run for 3 years. So you can't basket us into a year -by-year basis. I gave you a CAGR number, we are about Rs.12,000 crores, roughly around that level, and we'll be hopeful to maintain at least that. And if we are lucky and get some larger projects, probably we'll grow it this year also.

Moderator: T

he next question is from the line of Omkar Jahagirdar, an individual in vestor.

Omkar Jahagirdar: Congratulations to you and Wabag team for the highest operating margin in the history of Wabag. We were having Rs.10,000 crores of order book since 2018. Finally, after winning 2 big projects of Chennai and Bangladesh, order book has become Rs.12,000 crores. Unfortunately, letter of credit and other formalities took time and because of that reason, no revenue got generated from these 2 large projects.

So my question, whether Wabag will do better in H2, whether yearly numbers will be more than last year in terms of revenue or not? And Wabag is confident whether they will beat last year revenue numbers or they will close revenue at nearby last year's numbers, as our 9 months total revenue is Rs.120 crores less as compared to last yea r? So this was my question number one. And second question, I'll ask later once I get the answer for this.

Rajiv Mittal: See, you are looking at just absolute numbers as it is declared. Just now one of our friends asked this question of the 2 subsidiaries which we have divested. You have to consider that our numbers should be seen with respect to the 2 subsidiaries, which we have divested which our CFO has said that on an annual basis, it will be about Rs.200 crore s will be their revenue. So if we do the sa me number as last year, we have to see that we have done Rs.200 crore s extra. This is the only message I would like you to note.

Omkar Jahagirdar: Sir, but just wanted to understand whether a billing has not been done or the, you can say, execution of the some of the project was slow because the order book has increased almost Rs.12,000 crores and earlier, we were at Rs.10,000 crores. So any specific reason? Or as you mentioned earlier, the execution takes place after 6 months or 9 months, a little bit better than initial months?

Rajiv Mittal: Absolutely. You said it. You answered it. This is what we discussed earlier when our friends had asked this q uestion. It takes about 3 to 4 months to establish the project. As you rightly said, letter of credit, contract signing, these are all multilateral projects, one is the JICA funded, other is a World Bank funded. There are formalities to be done, which is n ow over. The engineering then has to be done because this is the “EPC” i.e. engineering, procurement and construction order. So then “E” has to be done, engineering has to be done, conceptual engineering, basic engineering and detailed engineering. Once th e detailed engineering is approved, then it sets the stage for procurement and construction.

We are at that stage now for the 2 projects, which you mentioned. And from this quarter itself, we will see some growth of revenues, but the real pickup will happ en from next fiscal year.

Omkar Jahagirdar: Are we confident we'll beat Y -o-Y revenue number this year, sir? Or will close nearby as compared to last year?

Rajiv Mittal: See, again, I'm saying that even if, let's say, we take the second of your option, we close near to last year number, we would have still grown by Rs.200 crores because 2 of our subsidiaries we

have divested with their total revenue was Rs.200 crores. Please keep that in mind.
Moderator: The next question is from the line of Kaushik Poddar from KB Capital Markets.

Kaushik Poddar: See, you just now spoke of having submitted bids for a billion dollar and another 1 billion dollar s you are planning to submit in the next quarter or something. So in that case of the 2 billion dollar s, what is your strike rate in the past?
Rajiv Mittal: See, generally, in the international market, we have won 1 in 5 or 1 in 6. So you can say, average about 15% -20%.
Kaushik Poddar: Okay. So if we take 20% , in that case it is 400 million dollar , w

hich translates into something like Rs.3,200 crores. Will there be more in next year? , or how , because your turnover will be around Rs.3,000 crores this year, if I take it. So there may not be much growth next year, is it?
Rajiv Mittal: Why do you say that? We just now been di scussing with our friends that the projects which we signed and went from Rs.8,000 crores to Rs.10,000 crores and Rs.10,000 crores to Rs.12,000 crores ha s now really taken off because the engineering is over. That itself will see the growth, okay, number one.
Number two, the new orders which are going to come, that will also see the growth in the second half of next fiscal year. So this is a continuous pro cess, we will win projects, we will execute projects, then we'll win projects and execute projects. So growth is inevitable for Wabag. You will see growth. Now only question is what is going to be the quantum of growth. It has to be seen with the speed of order intake and speed of execution will determine the speed of growth. Growth is inevitable.
Kaushik Poddar: Okay. Can you accelerate to around say 15% next year?
Rajiv Mittal: See, we all can look forward to. There's no doubt about it. But we also have to be realistic. You will also have to make your models. We always believe in giving a little conservative outlook so that we can beat that outlook. So we would like you to be a little conservative in your outlook so that you can get positive surprises.
Moderator: The next question is from the line of Akshay Shah from Kriis PMS .
Aksh ay Shah: Sir, I wanted to understand whether there is a difference in EBITDA margin in Indian project and International project?
Rajiv Mittal: Generally, yes. And that is the re ason in our “Wriddhi ” strategy, we have focused on international geographies. And that's the reason we said in MEA, Middle East and Africa, is going to be our focus in this FY25 because the cash flows are likely to be better, advanced technologies will be used and EBITDA margi ns will be better. And we are also trying to see more international projects if we can go as EP contractor rather than an EPC contractor. Even the latest order, which we have announced, is an EP order, not an EPC order. So EP orders will have even better m argins than an EPC order.
Aksh ay Shah: Okay. And sir, there are some competitors in the Indian market who are making 20 %-24% margin . So whether technology is different in that case or there is some other reason?

Rajiv Mittal: I don't know. I think you shou ld ask those companies, but that's not the market we are in. They may have some other smart reasons.
Moderator: The next question is from the line of Rishikesh from RoboCapital.
Rishikesh: So our current O&M and EPC mix is around 18% and 82% , respectively . How do we see this mix to change in the next 2 to 3 years?
Rajiv Mittal: We have given you this number, but our immediate focus is 20% O&M and 80% EPC. Going forward, we would like to move to 22% and ultimately to 25% in 3 to 5 years. We will continuously like to improve the mix between O&M and EPC because that gives us more visibility, more predictability, better cash flow, better margins, lower risk.
Rishikesh: Okay. And also, what is our EBITDA margins for both the segments for EPC as well as for O&M?
Rajiv Mittal: We have given you an average about 14%, which we are getting. So you can see EPC will be 12% to 12.5%, and O&M will be 15% to 16%.
Rishikesh: Okay. And just one more question. You said our bid pipeline, which is currently of 1 billion dollar , and you will be planning to bid another 1 billion dollar . So just wanted to get a sense how this number used to be, let's say, 5 years back? Just a broad sense, not an exact figure, but to get a broad sense.
Rajiv Mittal: Much lower. Because generally, bo th in India and internationally,

the ticket sizes of the projects
are continuously going up. So this number used to be much smaller in the past. And going forward, we would see these numbers to be even higher.

Moderator: The nex t question is from the line of Sachin Jain , an individual investor.

Sachin Jain: My question is that water as an opportunity is basically getting a lot of traction across the globe. And I understand that you have a Rs.12,000 + crores kind of order book, and you are expected to win a lot in Middle East and Africa. So if you have to paint the picture, say, the last 3 to 4 years, qualitatively, how big in your opinion, Wabag can become? I mean not to give a number. But just generally, your aspiration if I have to decode, how you think of Wabag in next 5 years?

Rajiv Mittal: Technically, if you even take 10% to 15% growth every year, which is CAGR growth we would expect to go, our order book should be close to Rs.20,000 crores, our top line should be past Rs.6,000 crores to Rs.7,000 crores. This is what the company should be , that we should be more than double in the top line and close to double in the order book.

And the most important is, as we are growing, we are also seeing and you are seeing when we are taking the right steps, o ur valuations are also growing. Not only our top line and bottom line is growing, but also our P/E multiples are growing.

Sachin Jain: And sir, as you indicated, over a period time, O&M as a proportion, say, your aspiration to take it to 25%, then can it b ring EBITDA margins in line of, say, 18% - 20% kind of margins? Is it possible with that kind of mix?

Rajiv Mittal: I think I would like to definitely think about it like you're thinking, Sachin. But I would not like to comment. We'll take a step at a time rather than take quantum leaps. We always believe in taking a step at a time, seeing how the market is developing, how the competition is developing, what kind of projects are coming, what is the thought process at the customer's end and take a step at a time.

Today, from 8%, we went to 10% -12%, and today we are able to declare 14% -15%. I think we have shown in the last 3 to 4 years that how the margins can grow. I trust we have a setup, we have the right strategy in place to keep this growth momentum.

Sachin Jain: And sir, one last question. Are there any projects where you've not bided where you wanted to because of any constraint? Are there any projects you've not bided ?

Rajiv Mittal: Yes. There are many, many, many. Not one. I cannot even name them. Th ere are many projects. We gracefully stay away, something which does not go along with our strategy, does not go along with our customer risk, does not go along with many other factors, which we decide to stay away.

Sachin Jain: No, sir, my question is the project which is meeting your parameters, but because of certain constraints at your end, you could not, I mean to ask that?

Rajiv Mittal: No, no. I think if it meets all our parameters, like they say, in a marriage , If thirty -six qualities are found t hen marriage takes place and if we got all then we would have bought the project, not only bid the project, we will win the project.

Sachin Jain: Sure. So basically, there is no internal constraint at our end either in form of balance sheet or any other th ings?

Rajiv Mittal: Not at all. Today, we have one of the most healthiest balance sheets in the water sector as a pure - play company. So we have no issue at all. Today, we are one player who have got shortlisted and prequalified for Egypt, more than 1,000 M LD desalination projects. We are bidding for 1,500 MLD sewage treatment plant in CIS countries.

So quantum of the project is not at all of concern to us and our balance sheet is good enough to support this kind of projects. And we have demonstrated over t he last 25 years that we have gro

wn from our internal accruals. We have not gone out and even generated funds. And if you read our credit rating, this just came few days back.

You’ll see that they are also agreeing with us that we have everything required, and that's the reason they have given us a positive outlook that the company has all what is required for growth and hence, they have given us the “A+” positive outlook.

Sachin Jain: Sure, sure. And congrats, sir. And all the best. Good to see company at an inflection point. All the best.

Rajiv Mittal: Thank you.

Moderator: The next questio n is from the line of Hemant , an individual investor.

Hemant: Congratulations on a very good set of numbers. Sir, basically, I have 2 questions. One is that we

are installing and I mean we've been installing 100 Bio-CNG plants , which has a revenue
potential of USD 200 million, right? So just wanted to ask the current order book excludes this
100 Bio-CNG plant revenue potential?
Rajiv Mittal: Yes, yes, definitely. It's just an initiative announced. We have not booked any orders. That's
what I told earlier when the question was asked. We probably would start booking the orders in
a couple of quarters, then we'll start taking those order value in our order book. At the moment,
it doesn't have any value of those plants in this order book.
Hemant: What will be the kind of revenue which we will be booking in FY25 from this c ontract?
Rajiv Mittal: It is not going to be a revenue driver. It is going to be major bottom line driver, a visibility driver.
And above all, it is for a circular economy, green economy, reducing the greenhouse gases, our
contribution to sustainability. T hat is what it is going to be. Of course, it will have a top line
effect. It will have a bottom line effect. It will throw out cash. But above all, it will also have a
lot of other benefits to the globe at large and to the society.
Hemant: And sir, what wi ll be the tenure, I mean, to install 100 Bio-CNG plants?
Rajiv Mittal: Initially, as I said, to set up the concept, we will go for 4 to 6 plants in the first year. Once the
concept is set up, then I think it will have a meteoric rise, maybe 20 -25 plants pe r year. And over
a 5-year period, we can have 100 plants.
Hemant: And sir, we are L1 in how many projects? Could you, I mean, specify those?
Rajiv Mittal: See, I won't say L1 because it is evaluated L1 and all that. I would say preferred bidder in a
couple of projects, which are likely to be awarded next 3 to 4 months.
Hemant: So can you please quantify a number?
Rajiv Mittal: Number in terms of the order?
Hemant: Number in terms of value.
Rajiv Mittal: Yes. It's about 100 million dollar s.
Moderator: The next question is from the line of Sriharsha KJ, an individual investor.
Sriharsha KJ: Sir, this is with regard to the prospects of the Russian market. In the earlier few con calls, you
had mentioned about the huge prospects available in the Russian market for the desalination
proje cts. But till date, we have not received any orders from the Russian market. So going
forward, what are the prospects in the Russian market?
Rajiv Mittal: I think we all have to be very careful. We are a global player. And because of th is sanctions
becoming stronger and stronger, a lot of these products come from a developed world. And even
the client side, they are a little slow in awarding. We are also a little slow in developing this
project till we see some future in that and t he sanctions are a little bit being lenient. So I think at

the moment, we are a little bit slow on taking any orders and clients are also a little cautious in
awarding because a lot of these products, which is required for desalination come from the
advanc ed European and U.S. markets.
Sriharsha KJ: Okay. And another

question is, in the month of January this year, Mumbai invited some tenders
for their desalination project. Have you submitted the bid for this project? And do you expect
the project to be award ed?
Rajiv Mittal: I would not comment on whether I expect the project to be awarded. This only Mumbai or
Maharashtra government can announce that. Today, we have not submitted because these were
Swiss auction projects, and we don't want to get into this ti ll we are clear that they have intention
to look at the alternative contractors for the Swiss auction . Probably, we will take a call after the
election.
Moderator: The next question is from the line of Prashantkumar Hazariwala , an individual investor.
Prashantkumar H: My question is how many Bio-Gas plants are we going to install in our running plants or running
sites.
Rajiv Mittal: There are some projects which we have in our sites. Our first intention is to install the plant there
because that is goin g to be the fastest and the cheapest to demonstrate this concept. The concept
selling has to take place first. And that is what, as I said before, the first year, we will demonstrate
the easy ones, which are more at our existing sites, and this will be abo ut 4 to 6 over the next 1
year.
Prashantkumar H: What kind of revenue you can get from these 4 -5 sites, any ballpark number?
Rajiv Mittal: Not a lot, as I said. Average may be a couple of millions per site even if you do 6 plants. Maybe
it will be about 15 million dollar s.
Prashantkumar H: What kind of capex do we need to do for these kind of plants?
Rajiv Mittal: This will be 15 million dollar s, will be the cost and then the revenue will be depending on how
we can sell this CNG or compressed biogas as a fu el and that will be the revenue we will generate
year after year for the next 20 -25 years.
Moderator: The next question is from the line of Tej Patel from Nivesh Investments.

Tej Patel: Yes. So my question is from the general sense like we have improved our margins from like 8 %-9% from last few quarters to 12% - 14%. So what are the major reasons for it? Is it the change in the product mix like the EPC, EP? Is this a change in the geographical mix or some any other reason? That's my first question .
Skand aprasad S: See, Tej, it's been. It's a combination of all of those reasons that you mentioned, and this is part of our strategy, looking at more EP projects, looking at more industrial projects, going more international, improving our O&M base, managing ca sh better, turning net cash positive, managing our borrowing rates. So all of this has contributed both to the profitable EBITDA growth and the PAT growth.

Tej Patel: There are some other projects which just involves building of the C1 networks, right? And we have also taken those projects in the past. And there are other projects which only involves undertaking of the let's say creation of the STPs and the WTPs. So I just wanted to understand what would be the margin difference between C1 network projects and then EPC designing a project of an STP?
Skandaprasad S : Each project is unique. And more importantly, we don't kind of build only networks. That's not our business. We deal basically in treatment plants. So network can be an accessory, but it cannot be the core of our business. So we will be a technology and process contractor and not a civil contractor. We are not, we will not be also. So the margin profile probably we'll not be able to comment because we do not operate in the sewer network space.
Mode rator: The next que stion is from the line of Arkopratim Pal from Sanjay Agarwal Broking.
Arkopratim Pal: If the project mix remains the same, we will definitely show improved profitably. But do you see in near future also we will keep on getting overseas projects to maintain margin at a higher level? Because earlier, o

ur margin was 8% to 10%, but now it is very good at 12% to 14%. So do you think this margin will be sustainable in the near future also?
Skandaprasad S : See, we continue to follow our strateg y where we are focusing on EP, I ndustrial and International projects and also improve O&M and that is how the margin profile has improved over the years, as you rightly mentioned. We continue to remain committed to the strategy. So we don't see any reason why these margins should be anything different. If at all, over a period of time, we will only aspire to improve it with a better product mix.
Arkopratim Pal: Okay, all right. And just sort of also trying to understand, I mean, let's take an example of the Chennai project, which you have recently won a big project. How do you break this down between EPC and O&M?
Skandaprasad S : See, this is a composite bid. Whenever you're required to do like a “DBO ” i.e. design, build, operate project, it's a composite build. You have to produce the most effective life cycle cost. It is not just EPC or O&M that will win you because this bid was constructing over 42 months and maintaining for 20 years. So it's a composite bid where a life cycle evaluation is done and that is how it gets evaluated both from a price and a technical perspective.
Moderator: The next question is from the line of Akash Pawar from Sahasrar Capital.
Akash Pawar: So in a recent interview, you had mentioned about growing your order book by around 15% to 20% for next couple of years. So just wanted to understand what's the base we are talking here? Are we talking about Y -o-Y growth that is on the FY23 closing order book or is it on the current order book that we have?
Skandaprasad S : We have a current order book of about Rs.12,000 crores, and that is what we will aspire to keep growing not just for 1 year, it is a CAGR, it will take 3 -5 years is the range of growth that we are talking about, the bulli shness in the market, the bullishness in the sectors that we are operating. So that's the CAGR growth we are expecting.

Akash Pawar: Okay. the next question was on the issue of depleting groundwater. So just wanted to understand how big of an opportunity i t is for us in the recharging of groundwater.
Skandaprasad S : See, this is going to be huge, especially we have already demonstrated this. In Chennai, we have a recycle plant which we have constructed and operating. We are building a recycle plant in Ghazi abad precisely for this reason where the industries will be the off takers of water, not just restricted to India, even in overseas geographies, this is becoming more and more prevalent, where sewage or wastewater is no longer a waste, but an economic reso urce. And this is going to be key.
We have already said there are 3 main sectors we want to concentrate on as a product:

desalination, which is high technology; recycled reuse, which contributes to circular economy; and industrial and international projec ts, which allow us to deploy advanced technology and mark key references in the oil and gas sector across the world. So this is going to be a very good opportunity.
Moderator: The next question is from the line of Ramanuj Chandak from Chandak Brothers. Please go ahead.
Ramanuj Chandak : Keeping in mind the w ay China is getting everything and political tensions are rising because of China, is any of our suppliers from China or what is the status of VA Tech Wabag's subsidiary in China? Are we exporting an y way to China? And second question is, sir, you have entered a partnership with Peak Sustainability for 100 Biogas plants. Who will be potential customers? To whom will this biogas be sold?
Skandaprasad S : See, I'll take the second question first. From a biogas perspective, this is going to be our existing treatment plants as well as organic waste from various other s

ources that will be used to produce biogas. Customers can be somebody who want to use Bio-CNG as a fuel. Compressed biogas can be kind of pum ped into the pipeline. The off takers are more and more that we see. There is no dearth of customers there. It is only a dearth of people who are able to produce high -quality plants with a good recovery of biogas.
I think your other question was on China. See, we are an international organization. A good amount of our business is also exporting from India as well as we buy from various European vendors whenever we go international. So there is no dependency on China as such. In fact, most of the vendors wo uld be international vendors as well as Indian vendors of very high quality. So there is no dependence on China.
Ramanuj Chandak : Actually, sir, in past we have seen many biogas plants in small scale and medium scale, they have failed because they are unab le to find customers who buy their biogas. So what will be the medium in which you will be selling this biogas? Will it be cylinders, will it be pipelines, or how?
Rajiv Mittal: See, we have seen and we have a very good track record. Over the last 2 decade s, we ourselves have set up biogas plants and most of these biogas, we have used for our captive projects to generate electricity. And with this electricity, we have run the plants and not taken power from the grid. So we have a very, very successful track record of using this. Now what we are talking about going higher up in the value chain.

Instead of burning it in the generators and generating electricity, we want to convert into CNG, which has a much higher value than the electricity, and that would ne ed little purification of biogas and according to us, at least none of our plants has ever failed in this, and we are very confident that we will be able to generate value.
Ramanuj Chandak : Okay. Sir, what is the difference in the price of biogas per kilo and LPG ?
Rajiv Mittal: Should be close to each other , because what is biogas? Compressed natural gas. And what is natural gas? It's methane. And this is what biogas contains methane, so they are identical.
Ramanuj Chandak : Sir, what is the current price of biogas considered? Just a rough estimation in India.
Rajiv Mittal: See, this depends on where it is being used. It is used for boilers. It is for generating electricity. It is for fuelling the vehicles. So I think fuelling the vehicles, you can read on an y fuel station, what is the cost of biogas for fuelling the vehicles. That's the price, which is today.
Ramanuj Chandak : Okay. Sir, what is the criteria which you are taking for setting up the biogas plant? I mean in which kind of area will you prefer setting up the plant?
Rajiv Mittal: See, we have answered this before that if we go for our existing assets, it will be about 2 million dollars - 2.5 million dollars per plant is what we are estimating, of course, depending on the size of the plant. And i f we have to start a new asset, it will be 4 million dollars - 5 million dollars .
Ramanuj Chandak : Sir, the way China has said any time in past it will be invading Taiwan. Let's assume that really China invades Taiwan, will this create many opportunities f or Wabag or will it not create any big difference?
Rajiv Mittal: It will not be a big difference because our market is global, and we already see enough opportunities. To get one more opportunity will not make a big difference for us.
Moderator: Due to the time constraint, we will take this as the last question. I would now like to hand the conference over to Mr. Rajiv Mittal for closing comments.
Rajiv Mittal: Thank you, friends, for your active participation in this Q3 and 9 months FY24 earnings call. We have uploaded the analyst presentation in our website. In case you have any further queries, you may get in touch w ith o

ur Adfactors, our IR Adviso rs or you feel free to get in touch with us directly. Thank you once again, and let the next century be even more remarkable than the last one. Bye -bye.

Moderator: Thank you. On behalf of the VA Tech Wabag Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

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May 30, 2024
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BSE Scrip Code: 533269
Dear Sir/ Madam,
Sub: Transcript of the Investors' Conference call/meet on Q4 & FY24 Results
Pursuant to Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Investors' Conference call/meet "Annual Investor Meet 2024" organized and held on Friday, May 24, 2024.
The said transcript is also made available on the Company's website at www.wabag.com.
Kindly take the same on record.
Thanking You,
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Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No: F4832
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MR. S. VARADARAJAN -- WHOLE TIME DIRECTOR AND CHIEF GROWTH OFFICER – VA TECH WABAG LIMITED
MR. SKANDAPRASAD SEETHARAMAN – CHIEF FINANCIAL OFFICER – VA TECH WABAG LIMITED
MR. SHAILESH KUMAR – CHIEF EXECUTIVE OFFICER – INDIA CLUSTER – VA TECH WABAG LIMITED

Moderator: Thank you, everyone. Ladies and gentlemen, a very warm good evening to you, and a very warm welcome to VA Tech Wabag's Annual Investor Meet 2024. Thank you to all of you to take the time out today to be part of this wonderful occasion. VA Tech Wabag, a pioneer in the water sector does not need an introduction. So I am going to go through.

I'll give you a little bit of an overview about the Wa bag Group, founded in Germany in 1924. Today, as we speak, VA Tech Wabag, is a pure play Indian multinational in the sphere of water technology. As a market leader in the water sector, its operations are spread across four continents and in over 25 countri es.

Wabag is the third largest private operator in the water sector and is ranked fifth largest among global desalination players. Wabag has successfully delivered over 1,450 projects over the past 25 years across drinking water treatment, wastewater treat ment, recycle reuse, desalination and industrial water treatment for marquee clients in the municipal and industrial sector.

As a group, Wabag is always strived to remain asset -light and technology focus to deliver sustainable solutions to its customers wo rldwide. From ground -breaking technologies to comprehensive water management systems, the group has played a pivotal role in shaping the landscape of the water sector , while resiliently weathering the ups and downs of the markets over decades.

This year, W abag brand is celebrating a centenary, marking 100 years of legacy in delivering innovative, affordable and sustainable water solutions touching lives of billions of people across the world. It is our pleasure to host all of you for this informative and in teractive session with the senior management of VA Tech Wabag.

Today, we have with us Mr. Rajiv Mittal, Chairman and Managing Director; Mr. S. Varadarajan, Whole Time Director and Chief Growth Officer; Mr. Skandaprasad Seetharaman, Chief Financial Officer; and Mr. Shailesh Kumar, Chief Executive Officer, the India Cluster.

Before we begin, I might like to add that presentations and discussions during this meeting may contain forward -looking statements about the company and the group, which are based on beliefs, opinions and expectations as of date. Statements are not guarantees of future performance and involve risks and uncertainties that may be difficult to predict.

Without much further ado, I'd like to now request Mr. Rajiv Mittal to kick off the proceedi ngs. Thank you so much, and looking forward to a wonderful interactive and informative session. Over to you, Mr. Mittal. Thank you.

Rajiv Mittal: Good evening, ladies and gentlemen. Thank you for your presence here, and also, we have our investors and anal ysts who have joined us virtually. Welcome you all to this year -end investor meet, where we talk about our Q4 performances, our annual results, and also the things we have planned for our future growth in this sector. So we'd like to discuss all this with you.

And most important, we always come at least once a year to have a face -to-face meeting not only to tell you what we have done and what we are planning to do, but also to take feedback from you, what you expect, did we meet your expectation? And if we did not, tell us where and also tell us your version of how. What we have missed and how you think we can improve that in the coming years. We would really appreciate if you feel free and give us this feedback. That's the most important part of this event.

We will also use post our presentation of results, we'll also take about 20 -odd minutes to celebrate our centenary year. This is our 100 years of completion of brand Wabag, and we are proud that we are celebrating this. God has been kind to us to make us part of this celebration. It's not common for people to get this op

portunity to celebrate this centenary year. We are part of this generation, which is getting this opportunity, and we are also thankful for that. And we'd like to celebrate this also with y ou after this analyst and investor meet.

Let's start with our presentation. I think this is what I told you. We are 100 years young, but still going strong. Hundred years is for this sector is nothing , I don't know how many more 100 years we will see. But it's important not to just spend 100 years, but what we have achieved in this 100 years and what we are planning to achieve in the coming 100 years.

This slide, you have seen it before, for first time people who are attending this , I would like to say, we are a technology -focused company. We are just not contractor. We don't do run -of-the-mill projects . We do projects which are technologically challenging, which uses some of our proprietary technologies. As I've said in this slide, we have more than 125 pat ents and trademarks, which we don't license, we don't sell , we just use for our proprietary projects. So this is one of the differentiators. We're still being an Indian company. We still invest money in our R&D , in our technology upgrades, both to develop processes and also products. And this is one of the reasons of our success.

I think this is what today, you all know better than me. You are the investors; you know the trends in investing. Today, clean, green, blue, sustainability, climate change, resourc e recovery, circular business models are the key words. They're just not words. There are funds which are behind this and focusing on this kind of companies who are in this sector, in this area of focus and that's where your company is. Every part of what we do falls under this definition. And as we go along, we'll explain you a little more on that what I'm saying.

We are a global company. Our models are global. We are based in almost 25 countries, 4 continents, very rare for an Indian company to have this wide geographical reach. We have built more than 1,450 plants in last 20 -25 years, and these are all technology plants.

Most important, is our selection of projects. We concentrate on payment security as a criteria number 1 for selecting our projects. What do we do? You can analyse it. If you can't take help of our team, take help of our investor relation company, they will help you to go through our order book to check when we say payment security, how do we get this payment security.

Most of the projects are multilaterally funded projects, World Bank, JICA, ADB, K FW. Then comes the sovereign funding from the central government, which has a sovereign guarantee,

projects like AMRUT, Namami Gange, Clean Ganga program that all guaranteed from the central gover nment. International projects, especially in Middle East, where they don't need multilateral funding because they have enough funds from the oil, there we have Letters of Credit. So these are the selections, which I want to share with you. We are very careful in selecting our projects, which one we bid, which one we don't bid.

The other one, you will be happy to know , we continue to be globally number 3, proud, not only being a WABAGite, but also being an Indian multinational, proud to be number 3 in te rms of servicing people and serving them with water and sanitation thing. Recently, there was also a survey globally , we are ranked number 5 globally, again, in desalination field. And this, we will talk more. But just to let you know, today, it's not that we just talk as an Indian leading company. We talk as a global leading company.

EP specialist, we have told you last year, I just want to emphasize again and again that we had a strategy “Wriddhi ”. We have discussed this with you before, almost 2.5 -3 year s back. And since then, we said the “C” portion, the construction (“C) portion, we don'

t add value. Let's be
very clear. We want a top line, we can bring “C” into it, but we add no value. We subcontracted , or we partner with somebody and it's a pass -throug h in our books. When you have pass -through, we don't make the normal margins which we make in our technology projects. So we decided we will reduce our “C” unless there is a compulsion from the client forces us to take it, that's not our preferred option.

So “C” is going out of our business. We want to be a technologically focused company, and that is the reason we talk about technology, engineering and supply of key components i s our business. It will continue that way.

It's also important that we remain a sset light. Some of you would wonder in last 3 years, we have invested in some of the HAM projects (Hybrid Annuity Model) where Government of India is investing 40% and as a private sector, we are supposed to invest 60%. If we do those projects, how can we remain asset light. Very simple. In this 60% ; 75% is a debt, which has a no recourse on the listed company. It's at the SPV level, 75% means 45% of 60% is debt. O f the balance 15%, is the equity. And in that 15%, our share of equity is 25%.

Now you can calculate in a 100 of the project. If I have 15%, 25% hardly, we are talking about 3.75%. 3.75% is my investment in HAM to get a project of 100. I just want you to understand how we have structured our HAM project where we don't want to invest. And you can understand on a 100 project, if margin, we don't make 3.5%, what are we doing?

So the margin on the project is far far exceeds the investment in equity we make. Plus we always sign an agreement after construction, after COD, 1 or 2 years of operation, we show them that the plant is performing, whatever we have designed and constructed and then we have a clause to sell even that 3.75%. So we want to keep our books very light. And you can check this.

You have the balance sheet. The company has announced it. So very soon, you will have the annual report. Please check our net block or gross block will be the lowest in this sector, and we want to remain that way. We have no ambition to build our balance sheet heavy, go for debt and

have concessions on our balanc e sheet. We will take part because we are the leaders, but we will not take assets on our balance sheet. So this is also a point I want you to very clearly do.

We also want to focus on manufactured water. You would ask me, are you God? Are you going to man ufacture ice, which is going to melt and give us water? Or are you going to give us rain? We are going to do neither. But we want to help God in giving an alternate sources of water. These are not the only two sources, the melt of glaciers from Yamunotri a nd Gangotri that runs into Ganga and Yamuna , neither rain wh ich God is giving. With all this climate change, we all have gone through this year, the heat wave, what we are facing.
Naturally, somewhere is telling us that climate change is happening is not o nly in words, in real fact, it's happening. And there's a common thing in summer, there's a drought, water rationing, water cutting. Industries are the first one to suffer because they want to give it to domestic consumers, just imagine the industries who have spent billions to create that industry and if they don't run what happens to their P&L account. That is where we want to come in. And say that we want to support God in giving water, both for domestic usage as well as for commercial or industrial usag e.
What we do, we go to two perennial sources, which are drought -proof. Obviously, the one you can guess is sea, the ocean. Will you ever see a ocean drying up under the worst of the condition, it's a perennial source. It's a drought -proof source. Why don' t we use that water which is available in ample, and use that for giving fresh water, drinking water, and that

's what we have been
advocating, and that's where you have seen that we have been rated number 5 globally. So not only we talk, we also have built plants , we have experience and the market recognizes us.
What is the second perennial source, which will never dry up, the wastewater. Wastewater, which goes from our kitchens, from our shower rooms, from our toilets, from our washings, all this water eve r will dry up? Not at all. So that's also a perennial drought -proof source. So we have to recycle that. Those days are gone that once through goes out, no. Please collect that what you have used. We call it used water. Treat it, treat it to a standard, whi ch is drinking water standard and whether you use for drinking or you use for irrigation or you use for industrial and commercial use, this is an alternate source of water. And that's what we call it as manufactured water.
Experienced leadership . I don't t hink as an organization , we were the first company to be listed as a pure -play water company, we had no comparable. Even today, I would say there are no comparable of what we do, what technologies we have, what capabilities we have, what size of plants we have done, what number of references we have, there are no comp arable . And today, the comp arable are only in the global market. This remains like that. And we have a very experienced team. My colleagues are here. If you take our average age of our top mana gement and senior leadership team is 30 year s plus. So we have been all living in water sector for many - many decades.
I think also what is important is from governance point of view, our Board comprises of two third independent directors. Only me and my co lleague, Mr. Varadarajan, are Executive Directors, rest 4 out of 6 are independent directors. Most of the committees or almost, I would

say, all of the committees have independent directors as the ir Chairperson . But this is the governance in the company, w hich also is very important to say that your money is safe. It's used for the purpose you have invested in the company, and that's my assurance that everything what you expect us to do, we do it.
As I told you, we are total water management company. We do from conceptualization to commissioning. We also, as I told you, we invest, whether it's HAM projects or build -own-operate projects, we invest, but we still remain asset -light. I gave you one example that is what we'll tell you. Though we may invest in the se projects, but we will remain asset light. That is something we will not deviate.
And you can see whatever is type of project w hether industrial, municipal, water, wastewater, recycled, desal, everything is under one brand called “Wabag ”. And Wabag is a total water management company, and we have no ambition, no desire to diversify. We want to remain only in water.
This is a short history. I think you all know that we are celebrating our 100 years as a group. In India, we came in 1996 end - 1997 early , with a ban g project of Reliance Jamnagar that time, the single largest project. It was a startup company. With me, there were only other 5 members when we got India's largest project. See the confidence of group like Reliance had in our ability, those days, 1997 to give us the largest project in the country with only total 6, including me, we got the project and we executed successfully. We till today, we remain a preferred contractor to Reliance doing all the projects.
And in 2005, we did the management buyo ut with help of ICICI Ventures. And in 2007, we did a historic never heard of reverse acquisition, a daughter company buying the parent company.

We did Indian management buyout of the Indian subsidiary, and Indian subsidiary went on to buy the global Wabag company from Siemens, where we got the global references, brands, technology, technology staff, experienced staff. All thi

s in 2007, we did a reverse acquisition,
which you would not hear, many of those where a daughter company is buying the parent compan y.
In 2010, I think you all know our journey. We did a IPO, which was a successful IPO. And since then, we have been getting your support, encouragement and trust. And we have today, grown from a start -up 6-member team to globally recognized cooperation. W e are globally number 3. And this has all happened because the love and trust we have of the investors like you.
Now this is what we talked about clean, green, circular economy, climate change. The single slide will tell you, it's not only the talk. Here i s the numbers which support the talk. You see in terms of greenhouse gases; we are pat h to Net Zero. That is the way we are moving, water neutral plants where we recycle 100% of the water , what is also called zero discharge plant. So you have , no really issues of discharge standards. And also because you're recycling the unit is self - sufficient in water, the reliability of water is there, and that is what it is.
And then you have waste to energy, which is a topic you would have also seen the announcement, compress biogas, all this, resource recovery, whether it's sludge , manure,

nutrients, fertilizers, gas or water. We are recovering everything from water, nothing from water goes waste or wastewater goes waste. Everything is recycled. Circular economy, goin g back where it has come is going back. So it's also conserving water.
Desalination, recycle. These are the numbers you have against each of this, green energy, how many megawatts we are generating, water, how much we are treating, clean water, power savin g for the clients we are doing, and greenhouse gases, how many tons we are reducing. So these are all things we do, which is expected of us to do, and that is what I think the trend in the market. You all know as investors, these are becoming important par ameters, and your company is right in it.
ESG, another important topic. Luckily, our business is all about it. We talk about governance. We don't need to talk about social because our business is all about social, whether we provide clean water, we provide healthy environment to the communities, that's our business. And environment, again, is to protect the environment by treating things and not discharging untreated waste.
This is what we talked about. Me and Mr. Varadarajan, are on the Board as Executive Directors, then next row, we have our Independent Directors and then Mr. Skandaprasad Seetharaman, is our CFO. Shailesh Kumar is our CEO for India Cluster. This is one of our biggest cluster in the whole group. They almost done , about 75% -80% business is done from India cluster. Then we have Mahmut Gedek , he is our CEO for Europe Cluster. You'll see all the marquee names, what you expect a company of our stature should have, we have it, whether it's in India or global, we have all the names.
And regarding funding agency, I told you, we have all the funding whether JICA, ADB, World Bank, sovereign fund, EXIM Bank, everybody, they are supporting us with funding so that we don't have an issue of payment security and serving all the clients, not only municipal corporation, but also large industrial infrastructure clients .
This is a slide I showed you last year. I just want to repeat and recap. This is a strategy about 2.5-3 years back, we developed it, Board approved it and we have implemented it, and you have seen the results over the last 2.5 -3 years that everything has paid. We were not very strong in marketing. So it was very clear that you should open up markets, have your best people go and sell advanced technology projects. This is what was one.
The second was about EP, Industrial and International. That's where the margin is, that's where the less competition is. That is where your skills and technolog

y and your patents will be valued,
so you should do more in this sector. Then service sector , because it's an annuity business, less risk, good cash flow, good margins, grow this service sector. Remain asset -light, we have discussed. Global delivery centers that don't focus only on local, have capability to deliver projects anywhere in the world. And that's wh at is a work in progress at the moment where we are developing global delivery centers.

This is the future, as I told you, also, we want to go and give you a perspective where companies investing their time and money for future. This may not be relevant no w, maybe 1 year from now, 2 years from now, 3 years from now, but that's the movement we are doing.
The first one, you would have seen our announcement where we are getting into compressed biogas. We have been in business of producing biogas for last 3 -4 decades. But all the time, we are using biogas to produce electricity, which is used for captive p erse of running our own plants. But today, we are going to stop that. This is a low value -add product of converting biogas into electricity. We are going to c onvert into compressed natural gas.
Government has fixed the tariff for that. If you sell it to the government, even PSUs, gas stations where you go and fill this gas for your vehicles or you put it in the pipeline, which are running near your plant, you c an have an agreement, a metering system where you can pump it into that. What you get is fixed by the government of India. And today, the rate they have fixed are very very attractive. So which is forcing us to stop this power production and get into compr essed biogas. It is a much more lucrative model.
Next one is digitization. We all know whether it's your industry or our industry, getting skilled, qualified, experienced manpower, which are committed to business is becoming a tough job. Especially growing industry. We have grown, as I told you from 6 to almost about 1,500 -1,600 qualified staff s, plus we have a number of workers , is a tough job.
So we said we will take help of digitization, so that this knowledge which we have gained, it can be reused and h elp us in designing, executing and operating plants. And that is what we are implementing now. The experience will be digitized in the system, and it will have all the information which is required by the people to operate. We don't need hundreds of expert s. Few experts will put it in the system, and that system will be available to thousands of people for them to use it. That digitization is in process. We have announced to the market. We have signed with some specialist company who is helping us to digit ize all this knowledge and information we have.
Then the big thing, everybody talks about hydrogen. That's the next big fuel, especially green hydrogen. This is where companies moving to. And we have no ambition of producing hydrogen. We have no ambition o f producing electrodes required for hydrogen. We have no ambition of producing green energy, which is required for electrolysis.
We are a water company, and we want to be only a water partner for hydrogen production. Hydrogen is produced from water, it's H 2O. H2 is broken from O by electrolysis. And that's our job to give ultrapure water required for H2 production. This ultra -pure water, why I say is ultra -pure because if it has salts , at homes we have seen scaling of electrodes will happen which will reduc e the efficiency of electrodes, and that's where our role comes in to be an ultra -pure water supplier for hydrogen production. That's the role we are playing. And I'm sure in 2 -3 years, it will be more affordable, more plants will come. We'll be ready for that. Already there are half a dozen developers are talking to us to be the water partner.

Semiconductor. Durin

g COVID, we all know a huge demand supply gap, which was created,
which has completely upset our supply chain management, nobody wants it, whethe r it's developing world or developed world, all are setting up their shops to be self -reliant. And there will be huge investment going into semiconductor. We are already seeing some of it and a lot more to come. And again, we want to be a water partner her e. We don't want to produce semiconductors. Semiconductors need ultra, ultra -pure water. We have already done some plant where we have been a water partner. We just want to replicate that and do more of such plants because there's also a specialized field to produce ultra, ultra -pure water for semiconductors, so that on the chips, there is no scaling happening.
Blue Seed, recent announcement, it's from a feeling and a spirit that society has given us a lot to make us what we are. I am personally obliged and thankful and humbled with the kind of support I got from all of you.
Now it's our turn when we have become big and our affordability has gone up, why we should not encourage and give this pre -seed and seed capital to the bubbling young entrepreneurs who have some idea, but lacking finance . Finance a lot of people can give , but along with finance, technology support, engineering support, experience and above all, the market reach, which we want to give it to these young entrepreneurs and help them to commer cialize their ideas, which may be only an idea on paper, maybe a pilot idea, maybe they have done a prototype .
But we want to support them with enough finance and more than that, our knowledge, experience, know -how, technology, to make it commercialized. A nd that's our commitment to the society that we want to create more young entrepreneurs to develop their technologies and

product into this water sector. This is the latest initiative and we are proud that we will contribute something to the water sector.
This is what the region we're in. You know w hether we're in India, huge investment , last 10 years you see how the water sector has attracted investments, whether it's Namami Gange, Jal Jeevan Mission, Har Ghar me Nal. All th ese initiative - Jal Jeevan Mis sion has come , Swachh Bharat, AMRUT to all this are having huge investments and government has supported that.
Clearly, there's a commitment on part of government to provide clean, safe drinking water at your doorstep and also to have a clean and healthy e nvironment around you . So this is a big, big thing. RR, Recycle Reuse. We have no choice. I'm very, very firm believer. We have no choice.
I don't know if some of you have seen , recent Bangalore episode has force d the government to say that we will have tw o-pipe system, which we have been advocating for many, many years, that one you can have for portable, but all other use in our house, why can't you have recycled water, which is as good as portable water, but only psychologically we don't want to take it.
We take it biologically, chemically equal, but at least use it for your washing for your toilet flushing, most of the water goes in toilet flushing. At least you can use that and conserve the good water. Now they are saying, yes, it makes sense, and we'll go for two -pipe system, one for freshwater, one for recycled water. This is the way forward. The whole country has to go through whether we like it or we don't like it, we have to go through it.

Regulatory, a lot of regulations, guidance from the governme nt, but we typically as a country, we don't respect that. We always find a way around it. Now this regulatory mechanism is becoming very tough. We have a few projects where people were just illegally tapping into the groundwater as if it's their water. The y don't realize it's not the ir water, it's not the state water, it's not a local body water. It's a global resource. You just

cannot tap into the groundwater and
take the groundwater.
Now government is becoming very strict. Central Water Commission is disc onnecting these connections, finding people that you can't take. If they cannot take groundwater, what is the next water they want , recycled water. Nobody is going to close their factories because government is stopping their groundwater.
These examples we have in Chennai; we have in Surat. Now we are building a plant in Ghaziabad, all belonging to this category. They are now signing water purchase agreements because otherwise they have no water to run their establishments, what they have s et up. So this is the way forward for water sector.
The CIS countries are emerging in a big way with this Russia -Ukraine war going on .
So this is all what we have to do. And today, we are going into that new market and tremendous focus, especially the west ern world is slowly moving out from that region, and this is something we are going to replace them.
This is all CIS countries, excluding Russia. Again, Asia Pacific is a great market, huge potential. This is also an emerging market. We have been successfu l in the past. In between, we have taken our focus away from it because we were so busy in the rest of the world. This is back in focus. You have seen we are getting projects. We got it in Bangladesh. We had recently got it in Nepal, and this focus is back .
Middle East is a future growth engine. No doubt about it. I'm sure you all are following , not only in water sector, but other sectors also. That's a gold mine. Countries like Saudi is leading the way. UAE is not far behind and other countries are also fo llowing it. But the focus on this is massive. The projects are mega projects. Funding is available, and they are expecting private sector to invest. We are not investors there.
Let me make it very clear. We don't even take this 3% -4% investment there. We a re pure technology partner to the developers who are going to invest for 25 years. We will build the plant for them. If they require our support during O&M, we are available. Otherwise, in this market of Middle East, we are pure technology partner or techn ical partner. And you see the investment which is happening in Middle East and Africa.
Even in Africa, in Egypt, we are prequalified for the highest level of the future projects they are going to come with , 1,000 -MLD desalination plant. You can see what is the stature of the company have grown from where to where. Today, we are second to none globally when it comes to getting prequalified for a project. Our balance sheet is supporting; our technical references are supporting.

So this is very, very important to say that water sector is booming and it will remain so for many decades or I should say, for generations to come. It's not a limited opportunity. It is a very long -term opportunity for generations to come. So much business has to be done, and it will t ake decades to meet that expectation and build a water security, which we want both for human consumption as well as for industrial requirement.
I will now request my colleague, our CFO, Mr. Skandaprasad, to take the financial presentations. Thank you.
Skandaprasad S.: Good evening. Let me take a few minutes to go through the financial highlights of the quarter and year ended, and also give you a outlook for the next 3 to 5 years that we are expecting on the performance side. This is how we performed for the quarter and the year ended 2023-2024. Consolidated revenue of about INR 28,564 million. Consolidated EBITDA over 13% and a PAT of INR 245 crore with a year -over-year growth of about 9%.
Our order book continues to remain st rong at about INR 114 billion, which gives us a good 3 -year revenue visibility. We continue to have a profitable growth journey even in this year , by profitable growth, we mean the

PAT growing at a rate faster than the rate of sales growth.
These numbers are like -to-like because we had divested two of our European subsidiaries in the last year, and this is part of our strategy to continue reducing our exposure to geographies in Europe, which are more top line driven rather than bottom line driven. And we a re now focusing on how to improve profit rather than nearly chasing top line, which is, for us, is just a consequence. These are the key performance metrics for the last year.
As I said, EBITDA of over 13%, PAT of about 9%. We continued to generate cash th is year as well, a free cash flow of about INR 168 crore, and we closed with a net cash positive position of INR 236 crore. We continue to remain asset -light, as Mr. Mittal said, and that's reflective in our ROCE, which is about 19%.
This is a slide probab ly, I think we as an organization and as a management team, we are all proud of. The turnaround from a cash perspective that we have been able to demonstrate with our strategy playing out well. We were at one point, a net debt company. This is about 8 year s back, and you see the whole transition into a net cash company. This is the fourth year where the company and the group has generated a net cash position, and we ended the year with INR 236 crore.
Mr. Mittal spoke about the strategy “Wriddhi ”, which we embarked upon about 3 years back. And I think it is good to understand it in numbers to see that the strategy is actually working. These are the key metrics as far as the strategy is concerned, and we have just averaged it over 3 years for some of the busi ness metrics so that there is no lumpiness that is seen. You would see that our industrial revenue is about 30% over the last 3 years.
International revenue is about 40%. In some years, we were even more than 50%. Our EP, which is a major margin accretion as well as a cash driver was more than one third of our EPC revenues and our O&M reached 15% average. We are in the 15% to 17% kind of range now, and our focus is to take it to 20% in the medium term.

Our ROCE were at one point at 12.3%, which has now move d to the 19% range, and our ROE, which was about 8% has moved to a 15% range over the last 3 years. EBITDA, again, we were 7%-8%, and today, we are over 13% in EBITDA driven by more EP, more international, more industrial and gradually increasing our O&M b usiness. These are all triggers for the uptick in the EBITDA.
PAT again has moved from 4% levels to 9%. One of the key contributors here has also been how we have managed our cash and debt, moving from a net debt company to a net cash company, also reflect s in our interest cost, which has sequentially come down over the last 4 years, and we will continue this path to remain net cash. Our free cash flow in 2024, as I mentioned, was INR 168 crore, and we are fourth year consecutively a net cash company at INR 236 crore.
So this was a slide which we wanted to present to the investors , was about 3 years back , there was a commitment on the strategy, and it is important to demonstrate that the strategy is actually working in the numbers. From a medium -term outlook , having seen how the strategy has transformed the business, provides us a lot of confidence in terms of how we see the business will grow going forward in a 3 to 5-year kind of scale.
We see our order book over a 3 to 5 years to reach about 3x of our revenues. Revenues to grow in a 15% to 20% CAGR. EBITDA to be in the 13% to 15% range, again, th e triggers being more O&M , more EP, going more and more International. We're looking at MEA as an important geography to drive this growth, Southeast Asia, the CIS countries. All of this help us grow more

Internationally. And Industrial of course oil and gas, we are one of the leaders. You would have seen all the marquee names in the oil and gas sect

or already, and these are companies which we are working with ev en today.
ROCE, about 20%. We will continue to remain on our commitment to stay asset -light. We are not interested in investing in assets. We are interested in EPC and O&M, and more importantly, be a technology player. We will not be a contractor. We will be a technology player, and that is how we will remain asset -light and generate good ROC Es, about 20%.
O&M reaching 20% of total revenues , this is an important ticker for us because it provides stability, predictability on revenue, cash flow margins, very low asset, is less heavy on the balance sheet. We will remain net cash positive , this is another commitment. And from a return perspective on the ROE front to be more than 15%.
This is what we had for the day in terms of explaining the business outlook as well as the performance. So we can now open the floor for interactive Q&A, and we'll be glad to answer any questions.
Moderator: Hi everyone. I have my colleagues with mics so you can raise your hand. One small request. If you can just introduce yourself a nd the organization, you are from. Thank you.
Dhananjai Bagrodia: My name is Dhananjay Bagrodia from ASK. Just wanted to ask you , when you talk about hydrogen and semiconductor and new opportunities, for that total capex , how much is attributable to us?

Rajiv Mittal: See on this kind of hydrogen projects, the total capital required will be many times more than what is invested for water. As I said, we would limit our contribution to the total project in terms of water. And water is something which is we a re specialized in. That's where our domain expertise is, and it will not be a major portion of the total investment , because the green energy, the electrodes and all that process and the funding and other things will be a major part. And setting up a water treatment plant will not be a major part.
Dhananjai Bagrodia: It'll be like minuscule in percentage -wise, right? It'll be like single, low single.
Rajiv Mittal: Today, because things have not matured to that level. And still, the cost is evolving of hydro gen. As you know, even today, commercially, it's not viable. The green hydrogen, okay? It's emerging.
So I'm sure over a period of time, all this cost is going to come down. And as a percentage, water will go up because water, there's nothing more we can d o. Today, it will be I think, less than 10%. When the cost of all this is coming down, maybe we go a few notches up 12% to 15% it's my guess. I repeat. I don't have any authentic number, it's my guess.
Dhananjai Bagrodia: Okay. And sir, part two, in terms of working capital, what levers do we have in terms of improving that as we move ahead? Are we focusing on some projects where we'll get better working capital terms or anything on those lines?
Rajiv Mittal: Yes. I would try to respond, and I will leave it to my colleagues to give their views. Today, we have done all what is required. We told you about going for projects which are multilaterally funded, sovereign guarantees, letters of credit. These are all ensuring that we don't have a huge delay in paymen t collection, okay?
But multilaterals will have their own challenges of having at least a 4 -month payment cycle because it has to go to the funding agency to get your letters of credit and the payments released. Plus we have gone into EP. “C” is the one wh ich causes delay on the project. EP should be better. Third, you have seen that we are going to increase our service contribution of O&M, which is also an annuity business. Fourth, we are into international, which is payment cycle is better than domestic. These are some of our strategy points, which we are working on, and it will go. This year, you have to take aberration because we had some 3 to 4 large projects during this year, whet

her it was Pagla in Bangladesh, whether it's Chennai, major desal, Mumbai project. All this, you do initially 6 to 8 months of engineering then you start your supplies and construction. And here, most of it was done in the last quarter or even last month, March.
Obviously, this cash will not come in 30 days. So it will take 3 to 4 months, but you will see what you are seeing now at the closure of March, all this will be liquidated in next quarter. So hopefully, when we give you a balance sheet in September , already this would have been liquidated.
Rohit Natarajan: My name is R ohit Natarajan. I'm coming from Aditya Birla Sun Life Insurance. So my first question is more to do with the order backlog that you have at this point in time? Within next 3 to 5 years, do you have a vision to double it or triple it, and if you have, how d o you plan to

execute it? I mean, what is the non -fund based limits that you have right now? What exactly is the verticals that you would be looking at?
For instance, how much will be the international exposure, how much will be the domestic? Also to give us some color on the international part, because there is Veolia and Suez, there is the other such big players over there, how would you differentiate yourself over there?
And within the domestic space, obviously, it's in the Indian municipal bodies, they do not appreciate much of these technologies that you talk about, their pricing power is quite limited. So help us understand those bigger picture.
Skandaprasad S. : A lot of questions, I should say. So I think from an order book perspective, I think you've seen our medium -term outlook. We've said we want to have at least 3x of our revenues in our order book, and that is at least what we will aim for. And we've already said in some of our communications yesterday, day before, that we are looking at about a INR 16,000 crore order book by the end of this year.
And from a 3 to 5 year perspective, some of the guidances that we have given in terms of how we want the mix of business is answering your question, one, internationally, over 50% where internationally, M iddle East is going to be a growth engine for us. Africa will consistently be a growth driver. CIS countries is an opportunity ; Southeast Asia is an opportunity. These are going to be the international growth drivers.
Second, in terms of industrial, oil an d gas, we are leaders in oil and gas. We will continue to build on that , that's a 30% of revenues that we are looking at . Again , Operation and Maintenance , today it's 15%-17%, we want to take it to 20%. So this is the kind of color that we are seeing in terms of business over the next 3 to 5 years. And in the immediate term, next 12 - 18 months, we see good traction, mainly in the Middle East market to have more orders.
Rajiv Mittal: I think you asked some question which he said too m any questions. So he may be missed two last of your questions which I will answer. You talked about competition , global. You named Veolia, Suez. See, we don't see Veolia as competitor anymore. And this must be clearly understood. We are a technology EPC an d O&M contractor and Veolia is asset -heavy. You can go Google it, go to their net. They like owning assets. We hate owning assets. So we don't compete because what we do, they don't like doing, what they do, we don't like doing.
Suez, majority part of Suez has been acquired by Veolia. I'm sure you know that. So Suez has become very small and only in limited markets and limited business sector. So we also don't see them anymore as a big competitor today in this market.
Next, you asked about Indian clients do not appreciate technology, not true, not true. If that was the case, we would not build advanced technology projects in India. There's not a single oil and gas, whether it's private like Reliance, Essars of the world

, or whether it's PSUs, Indian Oil,
HPC L, BPCL and all that, where they don't have recycle of their wastewater, okay?
MRPL Desalination, Reliance also desalination, HPCL , Vizag desalination . If these are the technologies not valued by them, th en what they have done in building a plant and selec ting

good companies to build those plants. Because water is a lifeline for all these industries, take a case of recycle. I told you Ghaziabad, Chennai, Surat, if it is recycle, is it a run -of-the-mill project? Is it technology that clients are not apprecia ting?
Then why they are giving orders and getting the best of the companies to execute th ese orders and not only execute , also operate for 20 years so that they get reliable performance.
Desalination, recently in India, Asia's largest desalination plant, we are executing. Who were the competition , 4- French , Israeli, Spanish and Wabag . If they don't appreciate this technolog y, what is this 400 -MLD desal plant is doing. So I don't think , I agree fully that Indian clients do not appreciate good companies and good technologies.
Rohit Natarajan: So finally, on the margins front, if I have to appreciate where the margin drivers are? Like is it more to do with the international orders within that? Is it the industrial or the municipal -based where exactly are the margin and the cash flow balancing looks like?
Skandaprasad S.: I think from a margin front, the drivers that we have pu t in the strategy, EP will be a key margin driver. What EP does? There is no construction. So there's more control on time. You don't pass through the construction in the books, which means, automatically, the margins are reflective of the business you do. This is one margin driver.
Number two, Industrial. Faster turnaround projects, more advanced technology projects.
Appreciation of value over price is something that we see. This is another margin driver, which

has been there, which will continue to be the re.
Number three, International. Internationally, the specifications are richer. The payment terms are better. The cycles are better. And even on EPC projects, we are able to bring large construction partners who kind of de -risk us from construction becaus e they would take both the financial as well as the operational risk of construction.
Number four , will be Operational Maintenance. High -margin, again, very good cash flows, very low-risk, cash-and-carry business, and this moving up, as it has been doing, will be another ticker. So these are the 4 triggers and tickers, which will continue to help us sustain and improve our margins.
S. Varadarajan: Maybe we can add one to what Skanda said, even the ticket size of the plants, what we have been in the last 25 -27 years, what you've been seeing as is continuously going up. So as the ticket size of the plants goes up, you will see that the margins will also be better because the kind of overheads you have to invest into execution of every project is becoming more and more efficient as you grow the ticket size. There's another thing which you can watch us.
Amish : This is Amish from JM Financial. Congrats, sir, for a very good year, at least, in terms of profitable growth, as you said, and walking the talk. S ir, a couple of observation here. This year, our order inflow was lower than the revenue that we had, which is an execution. So our outstanding order book to trailing revenue, the number is slightly lower.

I understand it is more than 3 times that we are targeting . And also, we note that last year, this time, we were shying away from saying that we'll grow at, say, single digit, whereas now, we have a visibility of a 15% to 20% growth on a 3 to 5 year basis. So great news there.
The question is, sir, if you can just share with us some pipeline that we are talkin

g about. Are
we participating in some tenders or negotiating bilaterally? which gives us the confidence , that at least the pipeline that we are talking about is giving us t hat confidence of, say, 15% - 20% growth, and that split between, say, India versus Saudi Arabia, and that will give us some hope that this one is tangible. The context is this Code of Conduct, election, which probably would have lost some 3 months. And als o if you can give us some sense there, we would appreciate the guidance better, in terms of pipeline and inquiry.
Rajiv Mittal: So as I said, and I said very confidently, the pipeline is very robust. We have a very solid pipeline. We all know last quarter and this quarter, India business has slowed down because decision -making has already come to a standstill , a couple of months before Code of Conduct and maybe 1 month after the elections are res ult, the government is formed, the ministries are allocated, t he budgets are done, all that. It will take time. Maybe July - August, it will start rolling again. But we didn't stay quiet.
We used this time to shift some of our resources from the Indian region to the Middle East and Africa region. That is a region we have really grown. And as I said to somebody earlier, that in the last 4 to 5 months, we have submitted bids worth $1 billion in Gulf Region alone. That shows how solid is the pipeline. These are all real projects. These are mega projects. These are projec ts upwards of $100 million - $200 million, and these are the kind of projects where we have submitted. And there's not huge competition. There are 3 or 4 companies on each project have submitted.
So we fancy our chances. They are all in technical evaluatio n, and I'm sure, in next couple of months, they will start opening the price bid and start declaring a preferred bidder. We are very confident , that we'll grow our pipeline. And next year, when we meet here, you will see a very decent number of order book, which we will have, which will give you confidence that we have truly a 3 -year revenue thing. And also, we have grown this 15% to 20% in terms of top line.
Sharad Chandra: Hello. My name is Sharad Chandra, I'm an investment adviser. You have a top line of about INR 3,000 crore. You have a profitability of about INR 250 crore. And you have debtor days, which is quite high. And you have debtors, which are more than 6 months of about INR 500 crore. And you have written down, made provisions of INR 125 crore a s doubtful debtors. Now the question is, have you written off any of the debtors? And most of your business is coming from government. So why do you have to make provisions for doubtful debtors?
Rajiv Mittal: I will give you my layman version, our CFO can give you a technical part. See, there is a provision under the Indian accounting standards, which is given by the institute, which is called ECL provisions, which has a delay and doubtful receivables, you have to make a provision. It's not about management confidence, whether it's collectible, not collectible. It's not about government's ability and affordability to pay. It is a simple rule that you have to have an ECL

policy, and you have to make a provision as per that policy. When you collect, you revers e it.
The technical portion, I give it to the CFO.
Skandaprasad S.: I think this INR 125 crore, if I heard it right, it's not a number that I recognize. At least not the provision that we have made. Are you talking about the provision we have done in FY23-24?
Sharad Chandra: Yes, your balance sheet numbers I'm talking about. You have made debtor days , you have defined as INR 500 crore, which is more than 6 months, and INR 125 crore, which you have made provision for doubtful debtors.
Skandaprasad S.: No, th is is the cumulative provisions over years. As Mr. Mittal said, majority of this will be in the nat

ure of delay provisions because there will be milestone payments, which will be delayed. There'll be retention payments. There is also a time delay in collec tion. So under the Ind AS, we are required to make delay provisions. And as it is collected, this is reversed back.
Sharad Chandra: So nothing has been written off until now in the history of the company?
Rajiv Mittal: No, no. You have seen last year, can 't say in the history of the company, last year, we all know INR 300 crore we have written off.
Sharad Chandra: No, that is for the subsidiaries, which you wrote off.
Rajiv Mittal: No, for the listed company, so many years, we talked about GENCO. Last year, we wrote this INR 300 crore off in the same room we stood and told you. So we can't say that in the business we run, you cannot be that you don't. The idea is you learn. And like I told you, we learned.
We'll not take any contracts from state government, okay? That's a learning.
But there is a price to the learning. And we told you very clearly, transparently, we told you what we have written off, okay? So there's nothing to hide there. It's a business you do. There will be some provisions have to be made, as per Ind AS, as per ou r CFO. We have made that.
We are completely compliant, audited, present ed to the shareholders.
Sharad Chandra: So going forward, you are assuring that you'll do business in which you are confident that you will get payments and most of them are multilatera l…
Rajiv Mittal: Yes, absolutely. This was the learning. This is what I made in my speech, that 98% to 99% of them today have a payment security. Any one of you can check our order book, and check the statement I made is right or wrong.
Skandaprasad S.: Just to clarify, even today, our payment securities are at that level. And as I clarified, most of provisions are for delay. So there's not a question of no government will reach a situation where they cannot pay. It may be delayed. Some of these will also be reconciliations towards the end of the project. So it's actually not an inability to pay from the government. When project is closed, there are some things which are reconciled and you adjust.
But even today, we don't have a situation that somebody doe s not pay us. That's not the case.
Today, more than 95% - 97% of our EPC book is either multilaterally funded, sovereign funded, federal government funded or it is backed by a letter of credit. So there is no denial of payment.

There may be delay of paymen t, but that delay of payment is again provisioned, as per the accounting standards.
Sharad Chandra: But this delay of payment may be because of the specifications, which are given for the project, and probably they were not meeting the specifications. Can that also be the case?
Rajiv Mittal: Our CEO S aab, will also get in.
Shailesh Kumar : This is a bit technical. Any project has its life cycle. You do your part of the work, and you're doing as a part of overall project. So rest of the component, if they are taking a bit longer time in completing, our portion is completed.
So when it gets commissioned, then there is a payment milestone that, after commissioning, though you have completed, there is no concern from that payment coming through, but somebody else will complete. That is the payment term you have signed off, so it takes longer time, and that is where you just make a provision. But it's not that payment is in question. These are the kind of things which come in.
Rajiv Mittal: Yes, I think you made a very big statement here. We have a 100 years of track record, okay? And we have built more than 6,500 plants. I can tell you with my hand on my heart, there's not a single plant which has not delivered what we have contracted to deliver. You said that we a re not meeting the performance specification, we would not be a number 3 company globally i

f we don't make our plants to the promise we have made.
There can be some tweaking required to be done, commissioning required to be done, some adjustment, troublesh ooting, it happens in any machinery. But there's no plant built by us which

are rejected by the client and it's not meeting the performance. I want to make this very clear. Because if we are into the business what you're thinking, we should not exist.
Nidhi Shah: My name is Nidhi Shah, and I'm from ICICI Securities. I had 2 questions. The first one is that you mentioned, on medium term, we're targeting revenue CAGR to be 15% to 20%. But in the last 3 years, we've seen that the revenue has degrown. I unders tand that there are a lot of initiatives that you have taken and are still to undertake to reach those levels of CAGR. My question would be, when do you think those would kick in? And by when can we say that we have finally achieved the 15% to 20% CAGR? Th at is my first question.
Rajiv Mittal: I think I've said this. This was the same question which came up in a CNBC interview post our results declaration. I spent quite a bit of time on this CNBC to explain this, and I'm going to try to explain the same thi ng to you. It is a similar question you are asking.
First, we have been very, very clear and vocal. In the last 3 years, even today, you have seen that we want to reduce our “C”, okay? When we reduce our “C”, naturally, which was passing through our books, will not pass through our books. That portion of “C” is gradually going to come down, which you have seen over the years, it's slowly coming down. It will never be zero because there are projects which clie nt will insist that we should take the “C”. But our philosophy, guidance to our team is to reduce the “C” component.

So that is missing in the top line, which you had earlier, which is not there today. And this has helped to get your margins growing. We we re at 7% - 8% on EBITDA; 4% - 5% on PAT. Today, we are 14% - 15% on EBITDA and 9% on PAT. So you can see very clearly this has grown. So it really doesn't matter whether you have a revenue, same or a little less even, as long as you have profitability and cash. And this has thrown out some INR 250 crore of cash, even if we are at the same revenue. So that's number one part of my answer to your question.
Second, again, to rationalize this, some of our European subsidiaries, which were almost stagnant, was no t giving us the bottom line and cash, was only giving us top line, we have divested it. And we have made the announcement, I think it's in the public domain, that two of our European subsidiaries, we have divested. That's another INR 170 - 180 crore, which was there in the previous year, is not there. So this is the two reasons you have not seen the top line grow, but you have seen a substantial, almost doubling, of the bottom line.
Going forward, why did we make this statement of 15% to 20%? Because we are more or less reaching a steady state of “C” coming down and subsidiary divestment happening. Now if you see from this year, we are very hopeful that we will be in that region with the kind of order backlog we have and the order pipeline we have. So I thin k we are saying that with a lot of conviction that we will achieve something in the range of 15% to 20%.
Nidhi Shah: All right. So by that, can you assume that 15% to 20% would be something that we could see from FY25 onwards? Or would that take a little longer than that?
Rajiv Mittal: No, no. You'll see from FY25 onwards, maybe you will see more 15% - 16% and towards , the 3 years later, you will see more towards 20% , by that time, most of the “C” would have taken care.
Nidhi Shah: My second and last question would be, you have recently launched the BLUE SEED initiative. And I would like some kind of clarity on where the funding for this initiative is going to com

e
from and how much have you envisioned capital inside this? And again, where is that going to come from?
Rajiv Mittal: It will come from company's internal accruals. We are not going to go and borrow money. And these are pre -seed and seed capital. So it's not a lot of money. But as the name says, seed to seed and fuel these startups so that they have initial capital to develop their ideas. So I don't think, as I said before, we are not talking about millions of capital going into this. It's our know -how. It's our experience and our access to the global markets is what we are bringing to these young entrepreneurs.
Ramesh Bhojwani: Sir, Ramesh Bhojwani from Mehta & Vakil. First and foremost, many heartiest congratulations to your current team. The one before you an d the one before that, you have completed 100 years. 100 years comes in 3 generations. And you have successfully completed not only 100 years, you have completed 100 years by the daughter taking over the parent plant, as you mentioned in your opening remar ks. And a remarkable thing, 125 + patents. It speaks volumes of your prowess, engineering skill and application. And in your presentation, you also said that there are 2

perennial sources of water. One is the sea. So desalination is here to stay, and you ar e building the biggest desalination plant of 400 million liters per day.

So going forward, I see desalination contributing virtually 40% to 50% of your top line. But the question, which was coming in my mind that you are giving a guidance of 15% to 20% wit h an order book of INR 114 billion, I personally see this order book will be exhausted in the next 3 years or even less. So your guidance is very conservative, of course, very thoughtfully done.

And the last point is we must celebrate 100 years with now fr ee cash flow is coming in, with your positive concurrence in my thought, with a 1:1 bonus issue.

Rajiv Mittal: I thought you said , we should celebrate it with cocktail and dinner. Let's break for cocktail and dinner. I think, yes, I think we agree with your comments. And of course, we'll take it to our Board, your suggestion, and seek their guidance.

Ramesh Bhojwani: The thought which I also wanted to share is on this desalination and the work, wh ich we are doing in various aspects. Going forward, with 1,500 people on our payrolls, are we capable of doubling our turnover? Or we have to add more people and add more material and men to achieve our objective?

Rajiv Mittal: I think my colleague, Mr. Va radarajan, mentioned to you , the ticket sizes are going up. Yes, of course, we will have to add some people, but we don't have to double and triple our force because a project of INR 100 crore or INR 100 million doesn't mean that we have to add 8 times more staff. We need a higher competency of the staff, higher skills of the staff to manage these international clients and the challenging environment, but not necessarily the numbers. Numbers will go up, but not to that order.

And this, as I told you, we sta rted with only 6 people. And today, we have 1,500. That, itself, has shown in the last 26 to 27 years a journey we have grown. And I'm sure in the next 25 years, we will go further. And it's not been an issue with us because we have adopted a certain polic y of hiring young, training them and molding into WABAG culture of doing things.

This has worked for us. I'm sure, going forward, we'll continue this strategy of building our workforce, which are also emotionally attached. In today's materialistic world, a ttrition is the biggest concern. So it's also we have to keep that in mind that we have to build people who are not only with the company for just money, they're also here to learn, emotionally get connected and build their careers.

Ramesh Bhojwani: Absolu tely, sir.

S. Varadarajan: See, just to add, we are also mov

ing towards digitization as the whole world is moving towards.

So this is also adding to the so -called productivity. So it's not about multiplying more number of people. With existing people, how can I optimize like, for example, if I have 100 plants, which I have to operate and maintain, there are some core competencies which I need to invest to make sure the plants are running well.

Now if I have a central place where I'm able to connect to all t hese plants digitally, because all of them have SCADAs and all the kind of digital requisite infrastructure, which can enable me to connect through the Internet, so we are able to even take over the plant sitting in our office. We rectify what is required and give it back to them. This kind of infrastructure is something we have invested, and we are moving also towards using AI and this and that, et cetera. So we are moving digitally also. This also will add to productivity.

Naman Maheshwari: This is Naman Maheshwari from Cape Investments. S ir, first of all, many congratulations for what we have achieved. Globally, we are number 3. Even AI recognizes our presence in the space, right? S ir, there is only 1 question, which I want to ask. We are giving a guidance of 15% growth. Does this include revenue generated from the biogas initiative as well because that itself would be INR 1,500 - 1,600 crore potential business?

Rajiv Mittal: I think th is is yet to kick off. We just signed, and we announced a few months back. And during the Code of Conduct, we have not even approached the market for decision -making. We have to go and tap the market, and we expect to have a good traction in the market. So to the best of our knowledge, yes, it includes. The way we have seen in the next 2 years, how it will pick up. But if it picks up much faster with government's policy and intervention, obviously, we'll stand here next year and revise the guidance.

Hardik : My name is Hardik. I'm from Param Capital. S ir, 3 questions for you, sir. So of the green shoot areas, if you could talk a little bit about what kind of traction you've been seeing so far and if you've seen anything meaningful developed there. So the gree n shoot areas I'm talking about are green hydrogen and semiconductors.

Skandaprasad S. : You're talking about hydrogen and semiconductor, what is the development that we have had until now?

Hardik : Correct. Anything in the green shoot areas.

Skandaprasad S. : See, right now, I mean, semiconductors, yes, we are looking at companies. We are establishing relationship; inquiries are going on. Hydrogen is a little far away. It will be more at pilots for the next couple of years. We'll see how the cost of the overa ll production of hydrogen comes down. That's when scale will come, and we'll start seeing inquiries of a certain respectable level .

Hardik : Okay. Fantastic. And another quick question. So apologies if I missed this. I think there was some version of this q uestion asked. So you mentioned the order book for FY25 will go to, let's say, INR 16,000 crores. And you plan to generate a revenue CAGR of 15% this year. So again, just doing some math, that would be about INR 3,500 crore. As a percentage of order book , what is your appetite to sort of scale up what percentage of your order book you kind of want to execute in a year? Would love to just understand that a bit better.

Skandaprasad S.: Typically, the EPC book, if it's an EP project, anywhere between 24 to 30 months is the unwinding cycle. If it's an EPC project, depending on the size, it could be anywhere between 36 to 42 months. O&M could be 2 years, 5 years, 7 year or 10 years , like a Chennai desal is also 20 years. So you'll have to gather the mix. And in t he order book, depending on the mix, this will be the unwinding that will normally happen.

Pavan: This is Pa van from Fident Asset management . So can you please explain the capital expenditure in EP projects and then EPC projects separately? Like how does the amount of money that goes to EP part ner go and work? And then also milestone -based dependencies, when there is a construction partner who is separate from you? And who are some of the construction partners that you work with when you are doing EP proje ct and then the "C" is being handled by someone else?

Rajiv Mittal: See, when you talk about capital, both whether it's EPC or EP, from a client , is the same capital he has to deploy, whether he has 1 contractor to do the EPC or he has 2 contractor s, 1 doi ng EP and other doing EPC, okay? So capital deployed for a project will be same.

Now when you come across the partners we work with, see construction portion is very local. So we can't have 1 partner for Pan -India or 1 partner globally. We need to have a l ocal partner for every project, and we have got used to certain partners where we've worked with, and we like to continue our relationship with them. Or sometimes the "C" is not even part of our , so client selects the "C" part. So they award "C" part separ ately and EPC part separately. So trust it answers your question.

Pavan: So just to put it in a different perspective, if what would be a cost of like a 100 million liter per day project overall cost? And what percentage would it go to the EP partner?

Rajiv Mittal: See, there's no fixed percentage because it depends on how much technology of the plant. The higher the technology, less will be civil. Like if you go for recycled plants and desal plants, maybe only 20% to 25% will be civil. If you go to convent ional water treatment plant, 50% will be civil. So depending on the type of the plant, this ratio will vary.

Smit Doshi : This is Smit Doshi from Wise Capital. So 1 question with technical. What is the margin difference between EP, EPC and O&M? And as you h ave said that we have bidded for $1 billion of projects. So in that project, what would be the portion in EP? That is first thing.

Second thing, what gives our company right to win? We have 125 -plus patents. We don't have so many comparables in our listed space. And as you have said that, in international market, we are also global in number 3 and number 5. So what our patent m akes difference in projects? So if you give some anecdotes of examples, then it would be very good for us as a layman to get understanding of that thing better.

Rajiv Mittal: Your first question is margin difference. O&M or service business is always at least 50% to 70% better margins than the EPC business. And EP business are always about 20% better margin than the EPC business because the "C" is passed through and EP business, 100% of the margin is accrued by us.

Now how the technology makes an impact, it's very simple. Today, all the clients are smart, they are evaluating the bids on life cycle cost, net present value. So either your capital cost is lower, your operating cost is lower or both are lower.

So our technologies are developed to either reduce the capital cost or the operating cost or both. There's no use of developing new and advanced technology, which cannot reduce the life cycle

cost. So all our effort in developing new products or processes will reduce the life cycle cost. And that is what is helping us to win projects without sacrificing the margins.

Kishore Sunegar: I'm Kishore Sunega r, an investor. A few minutes back, you said that a lesson learned from write -off that you will not take a state government projects, right? Am I right?
Rajiv Mittal: Yes.
Kishore Sunegar: Going forward, desalination will be the 40% of our business. That is also right when you said when one of the question was asked.
Rajiv Mittal: Just said yes. It is there, right?
Kishor

e Sunegar: Then all the "C" is attached with the states?
Rajiv Mittal: Yes.
Kishore Sunegar: Sir, how will we win the business then?
Rajiv Mittal: Because Chennai, example, Asia's largest desalination plant. It is in Chennai, which is the second longest seacoast in the world after Miami. So both definitions, what you said, is there. And it's a Chennai local body, Tamil Nadu state government. Who's funding th is project? Just now, I said, and I'm sure you were present when I said this. See? The gentleman maybe in the front rows are more active.
So JICA, Japanese multilateral agency is funding the project. What we said, the payment is not coming from state gover nment. It's coming from Japan JICA. State government is not funding. I'm not going into their treasury to collect my payment. They only certify the work done, payment comes from Tokyo. So get it clear. Water is a state subject. Water is not a central subje ct in our constitution.
Every time the business we are in, state is going to be the counterparty. But funding, we don't have to depend on the state. And that's the reason we select projects, which I told you, and our CFO also repeated. Multilaterally funde d projects does not give me any exposure on the local bodies or state governments, number one.
Number two, we go for the projects even in UP, Kolkata, which are state , but funded by Namami Gange's central government which giving us sovereign guarantee of r epayment, and that has to be understood. Projects will be with state government, but payment guarantee is by multilateral or by central government. Thank you.
Deepen Shah : Yes, sir, Deepen Shah here. First of all, thanks for the presentation. And I had 1 q uestion on the O&M business, which is the annuity part of the business. Could you just give us some more insights into how does the O&M business pan out once you have completed the project? Like when does the O&M start? Generally, what is the period of the O&M business? And what proportion of the capital cost is the O&M part over a maybe 5 to 10 year period? That would be greatly helpful.

Shailesh Kumar : Yes. So different projects, it depends on how the project is architected. In terms of O&M duration when we complete the project, it starts from 10 years , 15 years, 20 years. So there is no fixed defined period, depends on how customers have architected the project. But anything between 10 to 20 years, it ranges from.
Deepen Shah : Okay. But when does the O&M start? Like you're supposed to complete a project in FY25. So the O&M starts immediately next year?
Shailesh Kumar : Exactly. The moment you finish the project, construction is completed, next day, O&M starts.
Deepen Shah : And what proportion is in terms o f revenue? When you say, INR 100 crores capital cost projects, so how much will be the O&M over the next 10year period?
Shailesh Kumar : It would depend on the type of projects, what we are doing, the kind of involvement it is ther e, kind of manpower, kind of chemical involvement. So different projects would be having a different thing, what duration you are talking about. So it is not a very fixed formula for that.
Rajiv Mittal: Take the Chennai desal we are talking about, one of the largest projects, 50% of the EPC is O&M for 20 years.
Deepen Shah : Okay. 50% over the next 20 years. Okay.
Rajiv Mittal: 20 years is an example of desal. If it's a sewage treatment plant, there will be a different ratio. If it's a recycle plant, it will b e of a different ratio. Because it depends on manpower, machines, spare parts, chemicals, all this comes into the O&M cost. So depending on the technology, this number can vary, but anything in this order of magnitude.
Deepen Shah : And lastly, are there an y penalty clauses associated with any of our projects? And like how have we panned

over the last couple of years, or 3 to 4 years.
Shailesh Kumar : Well, yes, that's an inherent part of all projects, irrespective of location, irrespective of sector we are w orking. But that's a universal phenomenon . When you are into project business there are penalties for performance. There are penalties for delay. But we know how to handle those situations. We, every day, do risk assessment. Periodically, we assess that an d try to mitigate

that. And that is what is our robustness in project delivery.
Vinit : This is Vinit from Karma Capital. Firstly, congratulating the team for completing a century of the business. One question for you, Mr. Mittal, do you foresee any such 400 MLD kind of Chennai desal plants coming out for bidding in the next 2 years, specifically about In dia? And then I have a question for Shailesh.
Rajiv Mittal: Definitely, I think Chennai has shown the way, that to build water security in a water -starved, rain-shadow region in Chennai to build a water security, by the time we build this plant, 50% of the population in Chennai will be fed from desal water. If Chennai has shown the way, I don't think many states and cities will not follow that. So I'm very hopeful, and it also makes sense to build water security when you are on the coast line, and go for mo re desalination.

It is, as I repeat, is a myth when people say it's expensive. The question to be asked, expensive compared to what? It's a relative term, expensive. Compared to what? Because today, desal water is much cheaper than what we all get as a tanker water in our home, okay? Tanker water comes at maybe 2,000 liters to 2,500 liters for INR10,000. So 25 paisa. Desal comes in single digits , INR 7 / INR 8 / INR 9, paisa a liter. Plus it's much more sa fer. You get a piped water. You know exactly the quality of water which is coming. Tanker, you don't know where this guy has picked up. He's dumped into your sump and your watchman is pressing the button and goes to overhead tank and we all use that.
So it's also not safe and reliable, whereas desal water is safe, affordable, reliable and sustainable source. So I am very, very hopeful that governments will open their eyes and many more projects will come over the years.
Vinit : And just 1 question for Shaile sh that, where are we in terms of the One City One Operator kind of projects? And does our 20% contribution from O&M that we are expecting built in any project awarding from that kind of a model that we are already in?
Shailesh Kumar : So this One City One Operator concept was an innovative concept. We pursued with a few people with the government, and we have seen the light of the day, and that is what we are operating. Not a usual phenomenon. We are doing canvassing. We are reaching out to many people.
People have shown interest. They have seen the success out of it, what the value we are creating for the customers. So there is some traction. But bringing it to tendering stage, bringing it to bidding stage, that is yet work in progress. But we see that peop le are seeing the value out of it.
Rajiv Mittal: I think we'll take the last 2 questions, and then we'll spend a few minutes for our 100 -year celebration, and then we'll break for cocktail and dinner. So last 2 questions, please. Too many hands for the las t 2 questions. So we have to combine some of the questions, or we'll take it post our 100 -year celebration.
Praveen : My name is Praveen from Acuitas Capital Advisors. I had a couple of questions for you. Given your international exposure to geographies lik e Africa and the CIS states, how do you mitigate the geopolitical risk involved there?
Rajiv Mittal: For us, we are very clear. For ages and decades now, we are doing international business, cross - border businesses. We are very clear that we always would h ave a combination of onshore and offshore. On

e, onshore, we need to get the local effect and get into the local market, client relationships, subcontractors, sub supplier management. We have always a local team at the ground. And we have an off -site team, which is mostly based either in Austria or India or Turkey. These are experts in terms of engineering, technology, procurement, and this combination has worked.
To mitigate the currency risk, we always have contracts in 2 currencies. What is offshore suppl y, we always take in dollars or euro. What is a local portion, we always take in local currency. So we don't take any currency risk. And as I said, it's multilaterally funded or letters of credit, so

that will also avoid payment risks. So this is the way w e have somehow perfected our international geography business.
Praveen : Just one. So you've spoken about increasing the proportion of the O&M part of the business, right, in the medium term. But if I look at your order book, you're talking about a very sharp acceleration there, right, where likely part of it will come from the E&P part of the business, right, which, as you explained earlier, it could be anywhere in terms of execution between 2 to 3 years. So in the backdrop of a sharp acceleration in the E&P part of the business, how do you

see the O&M proportion going up in parallel with that?
Rajiv Mittal: See, we have to see, in India, most of the EPC business is backed up by O&M. But that's not the case with international business. There's no DBO busi ness, design, build and then O&M . Very few. So it's more still Indian phenomena , where EPC is followed by O&M, but still, that is not the international norm.
Suyash : We heard from you about your focus on circular economy and strong presence of the company. We see the central government , specially the Central Pollution Control Board are tapping hard on the EPR guidelines , especially in the plastic and rubber recycling p lant, do you see something similar coming in the water space where the company can tap on it to monetize the water credit , something what we have done in carbon credit rating part and that is coming into the P&L of the Company ?
Rajiv Mittal: Absolutely. I think we have discussed it already. I to ld you, on a wastewater treatment plant, it's a completely circular economy. 100% is resource recovery. The organics are converted to gas, harnessed, water is recycled and harnessed. The solid residue goes as manure, as a fertilizer. So it's completely res ource recovery and circular economy. Nothing goes as waste.
Now more and more, we are getting into this hydrogen or compressed biogas. There is going to be a phenomena of carbon credits in India, okay? We don't especially have to go abroad to get our carbo n credits. I think this is something written on the wall. It's going to happen. There are polluting industries, which cannot meet their targets. They will have to come to the industries like us and buy the carbon credit. 100% very valid question, very futu ristic question. It's not too distant future, this will happen.
Unknown Analyst : What is the time frame that you see for it to convert into numbers and reflecting into our P&L?
Rajiv Mittal: I'm not the expert, but if you're asking me questions, and I have to take a guess, maybe 2 to 3 years. Not very far. Because every country has signed a treaty to achieve certain carbon greenhouse gas reduction. So if they are not going to achieve, they are going to buy that credits. So this is very much on.
Moderator: We'll take questions offline. Thanks so much guys. We have a small video clip to share with you.
Moderator: I would like to invite Mr. Mittal and to share your experience and your journey with us all?

Rajiv Mittal: Thank you Savli. Again, I think, welcome t o all.

Ladies and gentlemen, I think good evening,
and we celebrate this truly remarkable milestone, which you have just seen a short video, Wabag's 100 -year anniversary. This centenary is just not a testament to our longevity, but a celebration of our inc redible journey from a modest start -up, which I explained to you with just 6 of us, to a globally admired cooperation. That's the journey we have completed.
I want to take this moment, when you all are present, to extend my deepest gratitude to our esteeme d investors and analysts. Your unwavering support and belief in our vision have been a pivotal in our success journey. You saw the potential in us from the very beginning and you have stood by us through the challenges and triumph. Your investment and insi ght have been more than just financial backing. They have been driving force behind our innovation and growth.
You have provided us with not only resources, but also the confidence needed, which is to push the boundaries and raise the bar, exploring newer horizons and continuously evolve. Over the past century, we have transformed and expanded, embracing the change and setting new standards in water sector. This transformation has been possible only and only because of your steadfast partnership and trust i n our capabilities. Together, we have built a legacy of excellence and innovation.
One of the most rewarding aspect of our work is the opportunity to serve the communities, whether it is in the urban center, industrial hubs or corporate campuses, access to clean water is just not a convenience, it is a necessity for maintaining health, productivity and overall quality of life. By providing innovative water treatment solutions, tailored to the need of these communities, we are not only ensuring access to saf e and reliable water, but also supporting economic growth, environment , sustainability and well -being.
Looking ahead to the next 100 years, I'm filled with optimism and excitement for the possibilities that lie ahead of us. As the world continues to face complex challenges from the climate change to resource scarcity to the population growth, the importance of our work has never been greater. We have a responsibility not only to contribute, providing innovative water solutions, but also to lead the way of advancing sustainability, reliance and inclusivity in everything we do.
On behalf of my Board of Directors, management team and we all WABAGites, I would like to extend my deepest gratitude to all of you for your unwavering support and your commitment to a shared vision. Together, we have achieved a remarkable success over the past century, and I have no doubt that, together, we will continue to make this positive difference in the world of

generations to come. Thanks for being part of this integral part of our successful journey. Thank you very much.

Moderator : I'd like to invite Mr. Varadarajan as well to share his experience. Thank you.

S. Varadarajan: I think , I'm not that fortunate enough to be part of the entire 100 years, but I think 27 years of exper ience with this company from whatever small, what Mr. Mittal was talking about, and to now grow into such an organization where we are very proud that we are an Indian multinational company. And we are able to provide sustainable solutions to so many count ries.

And we have evolved ourselves, holding our whatever philosophy that we started with, that we should be very technology -focused, and we should have certain principles like asset lights et cetera, what we were talking about, so that the growth is not e mbedded. The growth is naturally being possible and of course the journey has been very enriching and learning for me. And particularly, I've been as a CFO at the start of the company after 2015, I've been the re as Group CFO. So I met most of you, I've lea rned many things from you. And ag

ain, it gives me an
opportunity of learning in these kind of forums again.

We feel very proud that we are able to contribute to the economy around. And it gives us more confidence going forward with the kind of technology t hat we have that we can excel. We can bring all those higher order of technologies into countries where it is required, and we will be able to add more efficiency to whatever the fundamental for human living that we are dealing with.

So I take this opportu nity to thank you so much for being with us, for trusting us and ev incing confidence in us. And this really gives us lot of strength, and we hope that we will fulfil your expectations going forward. Thank you so much.

Moderator : Thank you so much, Mr. Vara darajan . 100 years of an incredible journey. Some things truly are larger than life.

I'd like to thank everyone for being here and taking your time out to celebrate this 100 year with us. On behalf of the Wabag management, I would like to thank everyone physically and virtually present for this inclusive investor meet. We'd like to welcome you all to join us for cocktails and dinner. Thank you.

Rajiv Mittal: Thank you.

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The Presentation "Annual Investor Meet 2024" made during the meeting is as follows:

Protecting Environment. Powering Economy.1

1

ANNUAL INVESTOR MEET
FY 2024
24thMay 2024

Protecting Environment. Powering Economy.2

Safe Harbour

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02
Protecting Environment. Powering Economy.3
3
Business &
Growth Strategy

Protecting Environment. Powering Economy.4
04100 Years “Young & Strong”
Protecting Environment. Powering Economy.5
Complete Water Treatment Solution Provider
TECHNOLOGY FOCUS
125+ IP Rights
developed in -house for
water treatment technology solutions
Global R&D centres
–in Europe and India
Pioneering, Reliable, Advanced,
Sustainable, Green and Proven
Technologies –promoting Circular Economy
GLOCAL DELIVERY
100 years of presence in over 25 countries;
strong execution track record of over 1,450
Plants since 1995
World class technologies
at competitive
price ; Focused on projects funded by Central
Govt., Multi Laterals & G2G Funding
Ranked 3
rdGlobally by GWI for ensuring
water & sanitation for over 88 Mn people
Ranked among Top 5 Global Desalination
players by GWIEP SPECIALIST
Core expertise
focused on Engineering and
Procurement ; Civil activities outsourced
Focus on ‘
Advanced technology, Value -
Added & High Margin’ projects
Enables to remain
asset light
Manufactured Water
through marquee
references in Recycle & Reuse, Desalination
and Renewable energy thru Biogas
EXPERIENCED LEADERSHIP
Professional management
with avg. 30 yrs.
experience in the water sector
Independent Board
of Directors comprising
industry stalwarts with diverse experience
Promoter
recognised among TOP 20
Transformative Leaders in Water sector,
TOP 3 Global Water Leaders and Global
Asian of the year 2021 -22
05
Protecting Environment. Powering Economy.6
. . . through various business/ delivery models
Engineering, Procurement & Construction (EPC)

Operation & Maintenance (O&M)
Design Build Operate (DBO)
Build Own Operate Transfer (BOOT)
Hybrid Annuity Model (HAM)
WABAG brand is trusted and respected globally for its know -how and domain expertise built in 10 decadesWabag is a leader in the Water Space
. . . With complete portfolio of Water Solutions
with technological and operational expertise . .
Design
Procurement
Construction InstallationCommissioningO&M
Life Cycle
Partnership
For
Municipalities IndustriesRecycle and
ReuseIndustrial water &
waste water treatmentDrinking Water
Treatment
Sludge
treatmentDesalination of sea
& Brackish waterMunicipal waste
water treatment
06
Protecting Environment. Powering Economy.7
100 Years Journey.….
Name changed
to VA Tech
WABAG (India)
in 2000 Austrian Group
VA Tech
acquired
“WABAG” part
of Business
from DB in
1999
1999 -2000Siemens
acquired VA
Tech Group
2005
(Jul)
VA Tech
WABAG
(India)2005
(Sept)
Management
Buyout of the
India
Business
backed by
ICICI Venture
VA Tech
WABAG
(Austria)2007
VA Tech Wabag (India)
acquires its erstwhile parent –
VA Tech WABAG (Austria) from
Siemens
VA Tech
WABAG
(India)Emergence of
Global Water
Player with
focus on the
emerging
marketsHeld by Deutsche
Babcock (DB)

Group
Water Treatment
business
represented by
“WABAG”
1924 -1996VA Tech
WABAG
(Austria)
VA Tech
WABAG
(India)2010
(Oct)VA Tech Wabag
(India) listed on
NSE & BSE
2020
(Sep)
1.2 BnINR
Growth Capital
raised through
Preferential
allotment to
Marquee
Investor Group
2022Completed 25
years of business
operations in India
2023
400 MLD Chennai
Desal Order –
Largest Desal in
South East Asia
2024CENTENARY
YEAR
07
Protecting Environment. Powering Economy.8
Aligning with Sustainable Development Goals (SDG)
Reshaping theSector foraGreener Tomorrow
Our PathTo Net
ZeroWasteTo
EnergyResou rce
RecoveryCircular Economy
Reducing GHG
emissions through our
sustainable solutionsEffective usage of
Recycled WaterGenerating green
energy for25yearsGenerating valuable
resources from wasteContributing to
Circular EconomyWater Neutral
WABAG’s Contribution toWater &Environment over last2.5decades
Clea nWater
perday27.5
million m3
2.7
million m3
Desalinated Water
perday1.3
million m3
Green Energy
perday>41
MW
Wastewater
treated perday27
million m3
Power Cost
perdaySaving
>INR6.6Mn

GHG Emission
p

erdayReducing
>630 Tonnes
Recycled Water
perday
08

Protecting Environment. Powering Economy.9
ESG focus -Sustainable & Responsible Business Practices
09
Providing
Safe Potable Water
through our WTPs &Desalination
facilities
Ensuring
Healthy Ecosystem
though our Wastewater Treatment
&Water Recycle Facilities
Reducing
Carbon Footprint by
generating /consuming Green
Energy
Environment
Employing
&Training 1500 +
Water Professionals across the
globe
Implemented
24CSR Projects
with sectoral focus on Water,
Sanitation and Skill Development
Created
over 17,000Green Jobs
andtouching over 88Mnlives
globally
Social
Water
& Environment
Integrated in Strategic
Business Plan
Alignment
to UN SDG 6
(Clean Water &Sanitation forall)
Board
Level Oversight on
Sustainability Related Issues
through Executive Committee
Governance

Protecting Environment. Powering Economy.10
Leadership Team
10Rajiv Mittal (Promoter)
Chairman & Managing DirectorS.Varadarajan (Promoter)
Director & Chief Growth OfficerExecutive Directors
Milin Mehta
Independent DirectorVijayaSamp ath
IndependentRanjit Singh
Independent DirectorAmit Goela
Non Independent
DirectorNon -Executive Directors
Executive Leadership
Skandaprasad Seetharaman
Chief Financial Officer
Shailesh Kumar
CEO, India Cluster
Mahmut Gedek

CEO, Europe Cluster

Protecting Environment. Powering Economy.11
Our Key clients…
Funding Agencies
■Municipal Water & Waste Water
■Oil & Gas
■Power plants
■Steel
■Food & Beverages
■Fertilizer
■Industrial parksServing clients in….Industrial
Municipal
11
Protecting Environment. Powering Economy.12
Business Strategy
12
Profitable Growth |Success |Market Leadership |Free Cash -flow |Quantum Leap |Improved ValuationAgile
Go To Market
Teams
developing Advanced
Technology JobsFocus on
EP, Industrial
&
International
jobs to improve
diversification, cash -
flows & time controlImproved
O&M
Business
Focus
for better cash -flow,
margins and
predictabilityRemain Asset
Light through
Partnerships
with Financial
(Capital Projects),
Construction &
Technology Partners
to remain Asset LightGlobal
Delivery
Centres
for a competence
based structure, Hub
& Spoke Model to
achieve Execution
Excellence
Protecting Environment. Powering Economy.13
New Initiatives
Biogas to CBG H2OtoGreen H2
Semi -Conductor DigitalizationStrategic tie
up with ‘Peak Sustainability Ventures’
to establish 100 CBG plants
Business
potential of ~200 MnUSD; in discussion
with Municipal and Industrial customers
Proven track record in supplying ultra pure water
to Semi -Conductor industry
Committed to bring in state
-of-the-art globally
proven technologies for best efficiencies and to
remain a dominant playerGlobal leader in clean water production, the key
raw material to produce the Green Fuel of the
future
In
discussion with Hydrogen Developers and

working on enquiries for Green H2desalination
plants
Partnered
with ‘Pani Energy’ to implement applied
AI for water treatment plants
Committed to adopt leading technology and
innovations for operational excellence
Pilot implemented at
Koyambedu TTRO Plant,
ChennaiACTIONS TAKEN FUTURE OPPORTUNITIES
13

New Initiative -BLUE SEED
14WABAG’s Initiative to
Foster Innovation &
Support Emerging
Start -ups in the
Water Sector
To invest in, nurture, and empower Waterpreneurs , driving
impactful solutions for a sustainable & dynamic water futureMISSION STATEMENT --
OFFERINGS ---------------
Direct Access to Live
Projects & Global
MarketsCapital Support
through Pre-Seed /
Seed FundingIndustry Experience,
Technical Knowhow &
Thought Leadership

Strategy in Action
15
Overview of Global Water Market
Massive outlay under Govt.
schemes shall continue to drive
opportunities in India
Recycle & Reuse (R&R) is
projected to be the key growth
driver in India and globally
Increased regulatory compliances
with regard to discharge norms in
Industrial Segment Large scale Desalination projects
announced in Saudi Arabia &
Egypt over next 3 years
Growing Semiconductor and
Green hydrogen market shall drive
the demand for Industrial projects
CIS countries emerges as focus
market for Oil & Gas projects

Strategy in Action
16
Market Drivers in Asia Pacific
Massive outlay under Govt. Schemes like
AMRUT 2.0, Jal Jeevan
Mission, Namami Gange and Swach Bharat Mission 2.0 shall boost
opportunities in the sector.
5
state SRTW(Safe Reuse of Treated Wastewater) policy shall promote
opportunities for Recycle & Reuse .
The
Ministry of Jal Shakti has been allocated INR 97,278 Crores (USD
11.86 Billion) in 2023 -24.
Singapore, Philippines, Vietnam, Indonesia and Thailand has announced some large scale
projects in Wastewater Treatment and Desalination in EPC and BOOT models, which we
are looking to capitalize given our strong references in the Asia Pacific .
(prsindia.org/Budget)

Protecting Environment. Powering Economy.17
Strategy in Action
17
Market Drivers in Middle East and Africa
Govt. of Saudi Arabia allocated
USD 28 billion to support new waste water projects.
In view of vision 2030
Wastewater reuse is seeing significant interest in Saudi Arabia, target for 35% of the
country’s treated wastewater to be reused by 2030.
Israel
planning to increase its Desalination capacity by 650% , which will drive for a healthy pipeline in the
near future .
(GWI)
Egypt’s
strategy for setting up large scale desalination plants in conjunction with Renewable energy.
Planned 21 Projects for 3300 MLD with USD 3 Billion Investment .
(Smart water Magazine)
Urban
, Rural & Climate resilience programs in Africa to drive opportunities & funding for the sector.
World Bank
has approved USD 1395 Million for water projects in Africa.
(World Bank)
Protecting Environment. Powering Economy.18
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Performance
Highlights

Protecting Environment. Powering Economy.19
Wabag continues “Profitable Growth” journey ….
Q4 FY 24:
Consolidated Revenue at Rs. 9,342 Mn
Consolidated EBITDA at Rs. 1,155 Mn (12.4%)
Consolidated PAT at Rs. 724 Mn ;YoY growth of ~5 %*
FY 24:
Consolidated Revenue at Rs. 28,564 Mn
Consolidated EBITDA up at Rs. 3,768 Mn (13.2%)
Consolidated PAT at Rs. 2,456 Mn ;YoY growth of ~9 %*
Order book remains strong at ~Rs. 114 Bn including
Framework contracts; Provides Robust Revenue Visibility
* Compared to previous year numbers, excluding 2 divested European Subsidiaries, for
like-to-like reportingBusiness Highlights –FY 24
STP Arupara, West Bengal, India
19

Protecting Environment. Powering Economy.20
Key Performance Metrics –FY 24
20EBITDA >13%
Driven by EP , International, Industrial &
Technology ProjectsPAT ~9%
Driven by debt control & improved
operating margins
Net Cash Rs. 2,356 Mn
FCF 1,683 Mn
Driven by efficient Debt and Cash
ManagementROCE ~19%
Driven by Asset Light Business Model
Strong Business parameters in line with Long Term Strategy
Protecting Environment. Powering Economy.21
Group continues “NET CASH” Positive path…
21
Fourth consecutive year of
Group “NET CASH” TurnaroundIn Rs. Millions
(519)
(2,916)
(4,327)(1,821)437 96 1,007 2,356
Mar'17 Mar'18 Mar'19 Mar'20 Mar'21 Mar'22 Mar'23 Mar'24
Protecting Environment. Powering Economy.22

Strategy in Action
22
Business Transformation post " Wriddhi "
7.9% to ~15%
FY 2021EP
(% of Revenue)O&M
(% of Revenue)International
(% of Revenue)Industrial
(% of Revenue)
ROCE ROE
EBITDA PAT>1/3 of EPC ~15%
(4 years average)~30%
(4 years average)
12.3% to ~19%
7.7% to >13% 3.9% to ~9%
FY 2021FY 2024FY 2024
FY 2024
Free Cash Flow Net CashFY 2021FY 2021 FY 2024~40%
(4 years average)
INR 2,356 Mn
FY 2024
4thYear consecutively
in a rowINR 1,683 Mn
FY 2024
Protecting Environment. Powering Economy.23
Strategy in Action
23
Medium Term Outlook
Order Book
3X of
RevenueRevenues
15 -20 %
CAGREBITDA
13 -15 %ROCE
>20%
Asset LightO&M at
20% of
Total
RevenuesNet Cash
PositiveROE
>15%

Protecting Environment. Powering Economy.24
THANK YOU

Call: Aug 2024

~WABAG
An ISO 9001 Company
August 16, 2024
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
NSE Symbol: WABAG BSE Limited,
Floor 25, P J Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 533269
Dear Sir/Madam,
Sub: Transcript of the 1Q1 FY25 Results Conference Call'
Please find enclosed the Transcript of 'Q1 FY25 Results Conference Call' held on Friday, August, 09, 2024, post declaration of Unaudited Financial Results (both Standalone and Consolidated) for the quarter ended June 30, 2024. This intimation is filed pursuant to Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The Transcript of 1Q1 FY25 Results Conference Call' is also available on the Company's website at www.wabag.com.
Kindly take the same on record.
Thanking You,
For VA TECH WABAG LIMITED
Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No: F4832
Encl.: As above
Sustainable solutions, for a better life
VA TECH WABAG LIMITED
CIN : L45205TN1995PLC030231
WA BAG "WABAG HOUSE"
No.17, 200 Feet Thoraipakkam - Pallavaram Main Road,
Sunnambu Kolathur, Chennai - 600 117, India. Board : +91-44-6123 2323
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Web : www.wabag.com

"VA Tech Wabag Limited
Q1 FY25 Results Conference Call "
August 09, 202 4

MANAGEMENT : MR. RAJIV MITTAL – CHAIRMAN AND MANAGING DIRECTOR – VA TECH WABAG LIMITED
MR. SKANDAPRASAD SEETHARAMAN – GROUP CHIEF FINANCIAL OFFICER – VA TECH WABAG LIMITED

Moderator: Good evening, and welcome everyone to this Earnings Call Post Announcement of Q1 FY25 Results of VA Tech Wabag Limited. On the call today from the management team, we have Mr. Rajiv Mittal, Chairman and Managing Director; and Mr. Skandaprasad Seetharaman, Group Chief Financial Officer.
Kindly note that during this call, the company may make certain forward -looking statements concerning the business prospect and profitability, which may be subject to risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.
The conference call will be archived and a transcript will be made available on the C ompany's

website. The Company's results update presentation has been uploaded on the website and stock exchanges, which provides an overview about the core offerings and analysis of the results for this period. We trust that you had an opportunity to look through the same. We will start with the opening remarks from the management, post which we will open up for the interactive Q&A. I now hand the conference over to Mr. Mittal to take you all through the key business highlights. Thank you, and over to you, sir.

Rajiv Mittal Thank you. Good evening, ladies and gentlemen. From our side, greetings comes from Vienna. Thank you for joining us. We extend a warm welcome to you all to the earnings call post announcement of Q1 FY25 results of VA Tech Wabag Limited. Joining me today on this earning call is Mr. Skandaprasad Seetharaman, our Group Chief Financial Officer.

We have started the centenary celebration as Wabag marks 100 years of presence. The first celebration will be held today in Vienna, Europe, where Wab ag was originally founded. With our customers , Wabagites, Bankers , Board of Directors , Partners , Suppliers , Investors and all other stakeholders who have played a key role in this growth journey of Wabag.

We have also, in commemoration released our annual report with the centenary flavour . I hope you all have accessed this report of the centenary addition annual report on our website and enjoyed reading about our 100 years of preserving resources, protectin g environment and powering economies across the world.

Over the last 100 years, our remarkable journey has seen us thrive and grow, amidst some of our most significant changes in the human history. In a landscape often dominated by uncertainties, Wabag ha s stood as a beacon of strategic innovation and resilience. Our journey is not merely about numbers on the balance sheet, it is a narrative of a strategic foresight and unwavering commitment to the technological advancement.

Wabag remains dedicated to cre ate innovative solutions to ensure, sustainable water resources , aligning with our purpose, sustainable solutions for better life. The success of our strategy is validated by the numbers where it is demonstrated that profitable growth we have achieved over the last few years. We have started this year with another successful quarter, continuing our journey of profitable growth , and consistently improving our operating margins profile, underscoring our commitment to long -term growth in line with our strategy “Wriddhi”

Let me now take you through some key project highlights. Our prestigious 400 million liters per day Peru Desalination project in Chennai being built for client Chennai Metro politan Water Supply and Sewerage Board and funded by multilateral agen cy, JICA is moving at a brisk pace and the engineering activities are at its peak and completion of ordering of linked items is done. Civil activities have started and main structures are progressing well. Site is gearing up and ramping up of resources to increase the pace of construction for achieving a significant concret ing over the next six month

s. Deliveries are planned to commence in the fourth quarter of this fiscal year onwards. And the peak deliveries will happen during the next fiscal year, when our marine activities will also be in full swing. In summary, the project is progressing well, and it's on time and within budget.

There has been a significant progress also, on our 200 MLD STP Pagla project in Bangladesh, and CIDCO water treatment plant in Maharashtra. Where procurement activities have picked up pace. Our SIBUR and Senegal projects have completed major supply activities and are now moving into installation and commissioning phase.

We have maintained a very high quality order book of arou nd INR11,000 crore s with a healthy mix of 55% EPC and 45% O&M. O&M business has been our focus as this helps us to bring in stability, generate better profit margins, give us better cash flow visibility. Today, we have a long-term visibility of O&M with a robust backlog, and we will continue to focus and develop on O&M business. The geographical diversity of our order pipeline spanning across India, Midd le East, Africa, Southeast Asia, further underscores Wabag's global aspiration and leadership.

Now that the general elections in India are behind us and recent budget announced, gave emphasis on promoting water supply, sewage t reatment, and solid waste management projects and services for 100 large cities through bankable projects in partnership with multilateral development banks. This will augment demand for freshwater and other water infrastructures. Thus , we expect Indian ma rket to pick up further pace and few queue orders are expected to be announced very soon.

Our go -to-market teams continues its effort in developing more projects in Southeast Asia and also CIS emerging markets. We have already got some success in this mar ket, but opportunities are plenty, and our team is well geared up to harness the same. As we have informed you in our conference calls earlier. While the Indian market had slowed down during the general election

phase, we had reallocated our resources to f ocus on International market, especially the MEA region.
We have placed several large bids in the MEA region over the last few quarters, and we are happy to inform you that Wabag is a preferred bidder in some of these projects, which is of a value over IN R6,000 crore s internationally and in the domestic market as well. This gives us immense confidence on the future growth of Wabag, with complex projects ranging in desalination and wastewater both from municipal and industrial clients.

As part of our strat egy to continue reducing our exposure in European region, we have completed divestment of our Romanian subsidiary. This has further enabled us to channelize our focus and resources to the emerging economies, which remain our core market, requiring signific ant investments towards water infrastructure.
To conclude, we have achieved remarkable success over the past century, and we are optimistic that we will compress the growth achieved over a century in the next few years. More than doubling the revenues at an attractive margin within this decade. We will continue to remain a truly Indian multinational, pure play water technology company, with our asset -light approach positioning to deliver superior value to stakeholders while contributing to cleaner, greener and bluer planet.
Now we can move into the financial highlights. I would request, Skanda to take you through the same. Over to you, Skanda.
Skandaprasad S: Thank you, Mr. Mittal. Good evening, friends. Trust you had an opportunity to look at the results update presentation as circulated and uploaded on our website and stock exchanges. Let me quickly take you through the key highlights for the quarter ended 30th June 2024. Our consolidated revenue from operations increased by over 13% y

ear -over-year to INR 627 crore s
and standalone revenues increased by 7% year -over-year to INR546 crore s. Driven by, new and large projects moving at a swift pace and in advanced stages of completion.
Consolidated EBITDA increased by 23% year -over-year to INR81 crore s and stan dalone EBITDA increased by 21% year -over-year to INR79 crore s. We have successfully maintained an operating margin of 13% at consolidated level on the EBITDA front. The PAT stood at INR55 crore s on consolidated basis, up by 31% year -over-year. Another quarter of profitable growth. Where our profits grew at a pace higher than sales growth. This is adjusted for the onetime gain from divestment on subsidiaries.
In summary, we are a global leader in the high technology water treatment business, and we will continue to move ahead in our stated strategic direction. We have demonstrated consistent upward growth and have a strong revenue visibility from a quality order book of INR11,000 crore s. And being a preferred bidder in projects valued over INR6 ,000 crore s.
On this joyous occasion of our centenary celebrations, we would like to express our heart filled thanks, to our customers, vendors, partners, shareholders, bankers, investors, fellow Wabagites and all other stakeholders for their unwavering support extended to us over the last century. We trust that our cooperation would continue for many more years to come, to continue adding value to all our stakeholders.
With this, we can open the floor now f or the question and answer session.
Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Dhiraj Ram from Ashika Stock Broking, please go ahead.
Dhiraj Ram: Congratulations for the gr eat set of numbers. So my first question...

Moderator: I'm sorry to interrupt, sir. Your voice is breaking. Your audio is not clear. May I request you to use your handset, please?
Dhiraj Ram: Sure, I'll come back.
Moderator: Okay, sir. Please rejoin the qu eue. Thank you. We'll take the next question from the line of Rahul Jain from JM Financial PMS. Please go ahead.
Rahul Jain: Yes. S ir thank you for the opportunity. My first question is with regards to execution, India's revenue declined 22% for you. So de spite Chennai contributing to the execution, Also the margins w ere weak at 11.6% on EBIT level basis. So what happened here? If you could help us understand the lower execution and margin during the quarter for the domestic business?
Rajiv Mittal: When you are giving these numbers to which quarter you are comparing this revenues and margin?

Rahul Jain: I'm comparing Q1 to Q1.
Rajiv Mittal: Q1 to Q1, our growth if you say on a consolidated basis, it's about 13%, on standalone basis it's 7.2% and margin is 13 % EBITDA versus 11.9% . All the numbers are up and PAT is almost 31%. So I don't know where you are reading these numbers, if it's Q1 to Q1. Rahul p lease check your number s.
Rahul Jain: Sir, I think your India business, which is $2.6 billion, declined 22% against last year at $3.4 billion. I'm comparing those numbers.
Rajiv Mittal: I don't know where you're picking these numbers, Rahul. None of your numbers are correct.
Rahul Jain: Let me get back on this.
Rajiv Mittal: Fell free Rahul to get back. Thank y ou, Rahul.
Rahul Jain: My second question will be, I see you have a pipeline of around INR6 ,000 crore in India and MEA region, right? So what are these orders related to? And when can we expect this to come in our order book?
Rajiv Mittal: See, when we say that we are confident and we use the word preferred contract or. That means this is a question where we are already a lowest bidder declared. Some places evaluations have been done. Some places still evaluation is going on and post that there is a process at the client's end to go

through all the internal approvals. Then we will get into contract discussion. And it should happen within this fiscal year. Normally it takes anything between one, two, four, five months. So we think even in this calendar year, w e should see these orders progressively. Some of it will start in next one or two months, some of it in three to four months, and some of it in four to five months.
Rahul Jain: Yes Sir, got it.

Rajiv Mittal: This is a firm pipeline. It's not a normal pipel ine. This is all we have bid, we are preferred bidder, we are lowest bidder. All that is a very concrete pipeline.
Rahul Jain: Got it. My next question is, in the budget it was noted that government will be promoting water supply, sewage treatment and soli d waste treatment projects and services in 100 large cities. So how are you looking at this opportunity and can you highlight, how can be the competitive intensity in such p lace? Because there are several other EPC players which are going for the water projects wherein they have highlighted significant opportunity in India as well as globally. How is the competition scaling up on the business side?
Rajiv Mittal: See Rahul, its very clear. Where there is opportunity, competition is most welcome. We have never worried about competition because we understand our strengths, we understand our technology superiority. We understand our offerings , what we give it to our customer and how do we add value.
One thing is very clear, that we select our projects very c arefully. Where we see, that we have a good chance, the payment security is there, cash flow is there and we have an opportunity to use our technology superiority, we select a few projects, and projects we target , generally, we are both technically and com mercially very attractive. So competition? Yes, will be there. Has to be there. But that does not put us in any concern. We are happy to fight the competition and win our quota of projects.
Rahul Jain: Sure, sir. Next question is, are there any semiconduct or or CBG or green hydrogen projects in pipeline in the next two years? If you can highlight that also?
Rajiv Mittal: This is definitely, if you've seen our presentation, we put it on our website for investors and the analyst. I think, is clearly saying th at we are into this new field. You've mentioned the two, which is semiconductor which needs ultra-pure water. Compressed biogas, which is a new initiative of the government, for clean and green environment. We have been in this business already for 30 year s. Now it's only question of converting that into a specification which we can directly pump into the fuel stations or the pipeline.
We have to do a little bit of more cleaning up, which we are already announced a few mo nths back. We have signed with Peak Ventures to develop it together. And we are willing to take these projects forward. And we are planning at least 100 projects to do it over the next few years.
Same thing is with semiconductor. We have ultra-pure technologies. We have our references. We are talking to few other global leaders where we will be the technology champions in that and we will then be going after the projects. Same thing we are doing for hydrogen and same thing for digitization and AI, to be included in our project. These are the four initiatives we will work over the next few years and make sure they all get integrated in our business.
Rahul Jain: Yes, sir. That's it from my side.
Moderator: The next question is from the line of Nidhi Shah from ICICI Securities. Please go ahe ad.

Nidhi Shah: Hi. Thank you so much for taking my question. So my first question would be on the segmented results that you've declared on a consolidated basis. For India we can see that this quarter YoY there was a decline of 22% in

revenues. Could you give some colour as to, firstly, why the India business is down? Number one. And number two is that , we can see that the export revenue has more than doubled. So, again, is there a focus shift in the company? What is going on? That's my first question.
Skandaprasad S: The mix of revenues between India and ROW is usually how the projects are progressing. You've seen in the last few years with the strategy shift, we have focused more on the International business. Also, over the last six to nine months in the general election phase, there has also been a lull in terms of the Indian business. The main contributors for revenue are the SIBUR project and Senegal project, as Mr. Mittal mentioned in his opening remarks. Which are completing their supply phase and mo ving into the installation commissioning phase.
So deliveries have been happening over the last H2 as well as into Q1, and will get largely completed by Q2. So these are the revenues, which are getting a bigger share, and that's why you see that, verus first quarter of last year , in the segment results, the international revenue is better. While the Indian revenue on the other side, it's a mix of projects. You will see over this year, this will slowly change because the newer projects in India, specificall y the 400 MLD desalination plant, will start picking up the deliveries starting Q4. So the manufacturing will happen over the next few quarters and the next year you will have lot of deliveries here.
Of course, this mix will keep dynamic because the INR6 ,000 crore s worth of projects where we said we are preferred bidders has a very good mix of International, large complex projects. So when they also come in, the mix is likely to swing, but I would allude you to look at us over, say, three -four year kind of period, which is what we presented during the year end. And you saw we were about 40% or more on the international business, about 30% on industri al and EP was about one -third of the EPC. So you'll have to see us over a longer period rather than merely a quarter -over-quarter because the mix of projects may change.
Nidhi Shah: Got it. Also, last quarter you mentioned that the order pipeline target for this year is about INR16,000 crore . Are we still maintaining on that number? Or would we like to revise tha t number?
Skandaprasad S: We are expecting with the robust order pipeline and also the orders that where we have told you that we are preferred bidder, we are confident that we will be on track on this. In that range is what we are expecting it to be.
Rajiv Mittal: See, I just want to correct. It's not the order intake. INR16,000 crore s was the order -book
Nidhi Shah: Yes, my bad. The another question that I had is, that so far in Q2, have you seen any further developments on this order booking side? Have you booked anything concretely in the order book ing in Q2 so far?
Rajiv Mittal: This is what we told you. And INR6,000 crore s which is visible to us. A concrete order pipeline which should materialize over the next few months progressively.

Nidhi Shah: No, I was asking in the last one, one and a half odd month have you booked anything? I understand that you're a preferred bidder in INR6,000 crore odd projects. But have you booked anything in the last one and a half month?
Rajiv Mittal: So generally if w e book anything, we'll make an announcement, Nidhi.
Nidhi Shah: Okay. All right. Thank you so much.
Moderator: Thank you. We'll take the next question from the line of Aashish Upganlawar, from InvesQ PMS. Please go ahead.
Aashish Upganlawar: Yes. Sir, want ed to understand, since the balance sheet is not published for Q1, so is there any change in the working capital cycle for us? If you could spell out how the constituents would have moved for us? Number of days, maybe?
Rajiv Mittal: See, I

think we'll take this question, but generally, I think the business is as usual and it's the first quarter. Whatever deliveries and the work we do in the last quarter , we are in the collection phase in the first and second quarter, and you see this when we publish in a mo nth and a half. But I can tell you our Net Cash position remains positive. Which is good, which is, after many years, in the first quarter itself, we have a positive cash flow. And exact numbers you can ask us. Join one on one call and we'll give you. Otherwise in about, when we close the second quarter, we'll give you anyway the full balance sheet.

Aashish Upganlawar: Okay. Sir, in the opening remarks, I think you mentioned. The aim is to double revenues and better the margins. So what the time period are we alluding to here?
Rajiv Mittal: No, I said the same thing, that we would do it within this decade . So in next four or five years we should achieve it. And with this kind of order backlog and order book which we have given you, I don't think it's dif ficult or impossible. Very much possible. And that is the reason I have made this statement.
Aashish Upganlawar: Okay. If I may ask one more. Sir, our business is pretty global. So, risk management becomes most important in terms of receivables, in terms o f execution of the work and stuff. So how are things shaping up because globally we are seeing lot of disturbances, plus we are very very spread over across the globe. So any comments on that will be helpful. Any risk that you see now, or is it all smooth?
Rajiv Mittal: We have told you before and we continue to evaluate our payment security very, very clearly before we decide to bid for the project. As we have told you, if you can see our order book, most of them have a Central Government or Federal Govern ment guarantees. It's their projects. Like Namami Gange, Swach Bharat. AMRUT, the money is from the central government.
Some other projects. Like we talk about Chennai Desal, we talked about Bangladesh, we talked about our projects in Senegal. All these a re multilaterally funded. Organizations like World Bank, Asian Development Bank. JICA from Japan, KFW from Germany. These are all multilateral because we are in a social sector. These are government funds, which fund these

projects which are directly impac ting the social sector. So we always focus on those projects which give us this payment security.
Some of the other clients in, say, Middle East and all, they are all government organization. They are 100% owned by their local government. And some of the other projects where we see that there is LC requirement, we go to our clients and ensure that we have a LC completely backing up our payments and then only we start our project. So from a payment security, we are fully secured.
Aashish Upganlawar: Okay. T hank you.
Moderator: Thank you. We'll take the next question from the line of Harshal Parikh, from Equitas Capital. Please go ahead.
Harshal Parikh: Hi. Thanks for the opportunity. Sir, our gross margins have improve d substantially this quarter on a QoQ basis as well as on a YoY basis. So what are the key reasons for the same? And is this gross margin sustainable?
Skandaprasad S: See, we have given already a medium term outlook of 13% to 15% in terms of our EBITDA margins. And we are in that band. This w ill obviously move between quarters and between years, depending on the mix of projects. But this is the band we expect to stay and with the quality of projects that we have, we are confident about this.
Harshal Parikh: So the improvement in gross margin t his quarter can be linked to the higher international revenues in this quarter. Is my assumption correct?
Skandaprasad S: See the EP project mix, International project mix. So all of these are dynamic? Yes, it would be right to attribute it to a higher int erna

tional mix.
Harshal Parikh: Sir, and any update on the One City One Operator scheme? Like when will be more order or more cities will be awarded in this scheme?
Rajiv Mittal: I think we can say, that now we have completed almost 4.5 years of these pilo t projects of Agra , Ghaziabad. There's definitely a believe that this is a way forward for most of the local bodies.
We see some new projects are getting conceived which we will bid during this fiscal year. We also have recently participated in fairly larg e One City One Operator projects in the Middle East market. So, yes, this is some contract type. This is something which we see are getting popu lar not only in India but also i nternationally.
Harshal Parikh: That's helpful, sir. So sir, as you said you are a preferred bidder for INR6 ,000 crore s worth of projects , does that include any awards under this One City One Operator kind of s cheme ?
Rajiv Mittal: Not yet , but definitely includes some of our O& M. But some of the One City One Operator we have not put under this category because this is a large pro ject. Let's wait for further progress before we fancy our chances.
Harshal Parikh: Sir, I have one more question, if you allow?

Rajiv Mittal: I think you can join the queue. I think you have already taken many more than two. So give

others chance and come back.
Moderator: Mr. Parikh, I would request you to kindly rejoin for follow -up. Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.
Aejas Lakhani: Firstly, Mr. Mittal, credit to you and the team for reallocating the resources in what would have been an otherwise slow quarter in India to the International market, so that we've seen good revenue uptake. So it's credit to you and the team. Sir, my first question is that, could you just speak about how the pace of execution and revenue booking for India looks for the rest of the nine months? And also, could you quantify what has been the EP mix in revenues this quarter versus the same, maybe?
Rajiv Mittal: Let me ans wer the first one and I'll leave it to my colleagues Skanda, to answer the second one. See now is the time to pick up pace. As we said, general elections are behind us. Budget is behind us. Very soon the monsoon will be behind us. This is the best period f or execution. From September till March, best period. So naturally, we always see that the pace of execution in the second half is always far, far better than in the first half.
So with all these orders with us. Order pipeline is also pretty full. Enginee ring on some of the projects is more or less complete. So now we are in the phase of ordering, delivery and site work. And we definitely assume, that the pace will be far better than what we have seen till now.
Aejas Lakhani: Sure sir. And sir, on the second question. The EP mix this quarter versus last quarter, same time?
Skandaprasad S: See, it's not a quarter -over-quarter to track, but we are well in line with our strategy. We said at least one -third of our EPC, revenues would come out of EP. And in this quarter we are much better than that because the main contributors have been the SIBUR Project, which is an EP, the Senegal Project, which is also an EP.
Skandaprasad S: Okay. And Skanda, follow -up on that. The SIBUR and Senegal, you said the commissio ning and installation will take place in the second quarter, so we should see good revenue uptick from those specific projects in second quarter and onwards, right?
Skandaprasad S: Aejas, this is an EP project, Senegal, as well as SIBUR, where our work is engineering, procurement and we only supervise the installation commissioning. So majority of the deliveries will be completed in Q2. And after that, it is the client's work in terms of completing civils, giving us funds for supervising. So that is a small

part, but large part of the revenues on these projects will be done by Q2.
Aejas Lakhani: Got it. Thanks. The third one is. Could you speak a little bit about the HAM project. Anything on that front?
Rajiv Mittal: I think. The status quo, that projects ar e moving well. The Kolkata one is commissioned. We are just working with the client for the COD. Will start any moment, maybe next month onwards the COD s are expect ed. The Patna one , the DK , same should happen by end of this year. And same is the thing for GNN, which also should happen by end of this year.

Aejas Lakhani: Got it. Mr. Mittal, you spoke last quarter about a $1 billion in Gulf. And the bid pipeline that we had bid with those mega projects of $200 million odd and at the opening you mentioned INR6000 crore is the pipeline that we are seeing for India and International. So could you help me explain, what is the difference?
Rajiv Mittal: Yes, I think what I told you a quarter back. I'm giving a update of that, saying what we have bid we are likely t o convert at least half of it. We can see very clearly as a concrete pipeline. To me, I'm very happy about the way my team has converted the $1 billion to at least a concrete pipeline of half a billion and more is yet to come, which it will take maybe anot her quarter to see the status of others.
So I think as one of our friends said. I'm pretty satisfied that the strategy we adopted to shift some of our resources while India was slowing down for six months pre-election and post - election in the budget. I think it has fetched rich dividends to us for the strategy we took in shifting our resources from India to the Middle East market.
Moderator: Thank you. The next question is from the line of Dhiraj Ram from Ashika Stock Broking. Please go ahead.
Dhiraj Ram: Sir, recently, Welspun Enterprises has secured wastewater treatment plant in Bhandup of 2000 MLD. So just wanted to know, did Wabag bid for this project or what was the reason for not be able to securing this project?
Rajiv Mit tal: No. As we said, we have certain criteria to select our project. So this project did not fit into our criteria. There were seven plants in BMC. This is only one you are mentioning. There are seven plants, and we did not bid for any of them because it d id not fit into our criteria for order intake.
Dhiraj Ram: Got it, sir. And one last question. We have recently secured a project in Bangladesh. So how are we seeing the execution process in it? Are we seeing any hamper in the execution already?
Rajiv Mitt al: No, it should not be. As they call it, Sonar Bangla. I believe that it will remain a Sonar Bangla.

These are normal things in a developing economies, this to happen. But I'm very happy the way it has been controlled and navigated through. Yes, for the safety, we have evacuated our Indian team from the project site. But our local team is very much there to supervise and continue the work. And as soon as the situation , we feel is safe and also clearance from our Embassy, we will move back our team. So I d on't see this is going to be a major setback. Yes, for a month or so, our team will not be there, but again, we have a local team who can continue the work.
Dhiraj Ram: Got it, sir. Thank you, sir.
Moderator: Thank you. We'll take the next question from th e line of Kaushik Poddar, from KB Capital Markets Private Limited. Please go ahead.
Kaushik Poddar: Yes. See, your stated aim is to grow around 15% to 20%. What kind of employee strength growth do you see for achieving such kind of revenue growth?

Rajiv Mi ttal: Yes, I think this is a very good question. And we always talk about this internally. See, we don't believe that our top line numbers should be directly proportional to our employees growth. We want to grow in our eff

iciencies, we want to grow in our productivity, we want to go into more digitization. All these will give us growth, without really the need of growing the employees proportionally. Yes, some growth will be required, especially when we are going to the new markets, new geographies, new bus inesses.
But it will be far, far lower than the growth on the top number because our efficiencies are growing. We are seeing, we are taking bigger projects. Ticket size of the projects are growing, which does not need the same number of people as 10 of sm all projects would need. So when we are growing in ticket size, we are growing in our systems, we are growing in digitization. I think we expect, the growth of employee will be far, far lower than the proportionate growth anybody else would expect.
Kaushik Poddar: Thanks. And secondly, this thrust area of pure water for hydrogen , CBG and all those things. Do you have the technology for such kind of pure water and all th ose stuff?
Rajiv Mittal: If Wabag as a pure play advanced technology company doesn't have, I don't know who has.
Kaushik Poddar: No, but you also said that you are trying to build up some tie up with some other biggies in this field or something, if I heard you correctly.
Rajiv Mittal: We have no ego. I think Kaushik. I just want to be humble and say, yes. It was not our focus area of semiconductor. We have built a plant a few years back in Qatar, for semiconductor. Ultra -pure water. So we have a reference. But in the meantime, if somebody has something better. Why not get the best in the market and offer it to the client. But that doesn't mean we don't have it. We are always open to learn and adopt if somebody has something better.
But we have our own technologies and we have put up plant s which are in operation. And same is with hydrogen. What it needs? It needs more desalination. It needs to remove salts, which can scale the electrodes. We are already doing desalination. The Asia's largest project we are doing in Chennai. Now maybe we ha ve to do one more step of polishing it to further reduce the TDS, which is lower than the drinking water TDS. And those technologies are simple. Just we have to add one more step.
So, I don't think any of this, like you said, CBG. We already are for four decades producing biogas. So far, we have been burning in the engines, generating electricity. Now we have to pump into pipeline to get a higher value of that product. For that, there is an add -on step of further cleaning up the biogas before you inject in to a pipeline. That extra step we will do. But it's nothing that we don't have, and we hav e it for decades now. In Wabag G roup.
Kaushik Poddar: Okay, thanks. All the best for your new endeavours . Thank you.
Moderator: The next question is from the line of Manish from Equity at Work Family Office. Please go ahead. Please proceed, sir.

Manish: Sir our guidance for current fiscal, which is about 15% to 20%. Our guidance still there, right. You maintain that?
Rajiv Mittal: Yes. Whatever we have given guidance i n the last quarter, we maintain that.
Manish: And sir what is the update on Chennai project? What is the revenue recognition so far and what is the completion timeline for Chennai project?
Rajiv Mittal: As I said, I don't know when I was talking, you were present or not. I clearly mentioned that it's progressing well. It's on time, within budget. We have talked about it. We have said that engineering, we have peaked. We have started concreting. We have started ordering the long

lead items. The deliveries wi ll start from the end of this quarter. Will peak in next fiscal year.
We will also start marine work in the next fiscal year. All that I had mentioned in my speech.
Manish: Sir, what is the net debt as on 30th June 2024 ?
Rajiv Mittal: Maybe couple of INR10 0 crore s. We don't have a

huge debt. We have told you before. We don't
have and our intention is not to have any long term debt. If there's some debt, it's just to cover
some mismatch in cash flow. So we don't have a very high debt.
Manish: And working cap ital also quite smooth, right?
Rajiv Mittal: Yes, it is. It's always after the fourth quarter, it takes maybe three to four months to collect the
money. As I told to one of our friends just before you. That you will see all what we are talking
in the next balance sheet when we publish in September.
Manish: Sir last question.
Moderator: We'll take the next question from the line of Dhimant Shah from ITI Mutual Fund. Please go
ahead.
Dhimant Shah: Yes. Hi, Mr. Mittal. Good to be on the call again. Just two qu estions sir, One is, in terms of PQ
and capability globally, we rank 5th. Now, if you compare ourselves with the top four as per GW
Certification. Any critical gaps yet to be covered in terms of acquiring capability and know -how
for addressing a particular subset like the semiconductor which you just mentioned. And this
can happen as and when the opportunity arises, so if you can help me with that. Please.
Rajiv Mittal: Yes, Dhimant, first I like to clarify, when you say we are fifth. We are fifth in desalination. But
if you see the total water sector, especially serving all the human beings and being of help to the
society. Serving almost 88 million people across the globe. We are number three. Okay. Now,
coming to the technologies, whether it is Desa l or Total Water Management, and we are proud
to be the only Asian company in this top three and top five. Whether top three in Total Water
Management, top five in desalination.
Just two companies are above us. One is Veolia, The French. Another is the Ch inese, The Beijing
Water. Now in a short span, we have reached this position. Naturally we are second to none in
terms of technology. Just that today whether we are third or fifth in desalination. Like you
mentioned very clearly. It depends on the opportun ities. Like desalination was never an

opportunity for India. It's only of late recently, we started getting some opportunities and we
have excelled in that. We are a leader in the Indian market. And now we are penetrating in the
MEA market, which is Africa . Just now, we commissioned a plant in Tunisia, which we were
honoured , that the President of the country comes personally to inaugurate that plant.
Our Chennai project, our Saudi projects. All these are testament to our capability in terms of
technology. And if you ask technology, there's no gap. If you talk about the pre-qualification ,
there is no gap. So it's only that probably we are late entrant to this sector, or this vertical. Hence
we have some catch up to do, which we are catching up pretty fast.
Same thing in the water side. If you talk about technology, we are second to none. Our balance
sheet over the years, have also become very strong. So I don't see that we find any barriers for
pre-qualifying for any project in India or internationally.
Dhimant Shah: Super. And in terms of the next two to three years in particular, because that would also mean
that you achieve closer to your stated goal of 15% to 16% EBITDA margin sustainable with
certain top line growth trajectory. Now, if one scans the opp ortunity size. Do you think the
Middle East geography, the Indian geography or the rest of the world offers you a better
landscape as far as this. So how would you spread , because you have limited man material
resources to address the total size that you can handle with them. So how would you go about
allocating your resources?
Rajiv Mittal: See, we have no target geography wise. We have given you the 15% to 20% top line growth we
are looking at. 13% to 15% EBITDA we are looking at. And for next year, we a re looking at
INR15,000 to INR16,000 crore

s of order book. And just now we said that INR6000 crore s we
already are preferred bidder . So these are the statements which should give enough confidence
to investors like you that what we commit, we will deliver. And that's the reason we continuously
give you an update on quarter -on-quarter at least, so that you can also monitor our progress
compared to the guidance we have given.
Dhimant Shah: But despite that, certain geographies, like last time you had mentione d. That the Middle East
gives you a better flavour as far as the O&M goals as a part of the overall mix. So you could be
tilting towards that side. So any colour on that, if you can.
Rajiv Mittal: See, that is, again, one of the stated goals, Dhimant. We w ant to be, at least 50% International
of our total revenue. Which I think we are very confident we'll be better than that. We will be

more and with the markets opening up, an ease of business for us where we meet all the pre-qualification , client likes our company. We think we have a great opportunity internationally also in addition to India. In those times, we'll have to judge which one gives a better revenue, better profitability, better cash flow, lower risk. Those are the projects we are going to choos e and bid for it and win those projects. But this is stated goal that internationally will be at least 50% and India will be the balance 50%.
Dhimant Shah: Perfect. And just a small clarification. In terms of our capability, do we also address ETP , STP both? If you can just clarify on that.

Rajiv Mittal: Dhimant, in water, there's nothing we don't do. We are a total water management company. Complete gamut put on the municipal side as well as the industrial side we do everything. So there is no gap in our o ffering.
Dhimant Shah: Perfect. So now, last question, if you just see Desal, ETP and STP as separate buckets. In the ensuing future, would you want to kind of spell out where the size of opportunity is bigger for you?
Rajiv Mittal: For us it's very clear Dhimant. We are into advanced technology. We have more than 125 IP rights, trademarks. So naturally our tilt will be more which are technologically challenging projects. And our technology challenging projects are more going into desal and water reuse. Or we call it manufactured water. Naturally, our tilt, being a technology company, will be more towards desal and water reuse.
Dhimant Shah: Perfect. Thank you so much, sir, and all the very best.
Moderator: The next question is from the line of Khushbu Gandh i from Share India Securities. Please go ahead.
Khushbu Gandhi: Yes. Thank you, sir, for giving me the opportunity. Just one question from my side. Basically now, since we are focusing more on the European side of the projects and ME A side of countries. So are we looking over there more of EP and O&M side, are we focusing that going forward our EP, which is a ratio of one -third of EPC, would be increasing to half of EPC in next two to three years?
Skandaprasad S: See Khushbu, j ust to clarify. We are not f ocusing on the Europe geography; we have defocused today close to zero is our European exposure. So just to clarify, our focus will remain on our core markets, emerging economies, India, Middle East, Africa, Southeast Asia and CIS countries. That is where we will stay focused.
Yes, you are right. When we go internationally, there is an opportunity to have EP projects more, but that will not be the only focus of determining whether or not to take a project. While we will be happy to take out the construction portion, if the rest of the parameters are met an EPC project is also something that we will do. Of course, we will have construction partnerships.
We have given you a guidance of at least one -third of the EPC coming from EP. Yes, in certain quarters, the propensity may be higher on EP versus

EPC. Like, for example, this quarter we had
much more than one -third there. There may be a quarter where EPC may be higher. But we will at least like to keep it at one -third. And of course, we'll always be happy and o pen to increasing this part, which is also part of our strategy.
Khushbu Gandhi: So my second question is on the O&M front. Right now we have a good O&M order book. But are we getting repetitive orders for the O&M? Or are we bagging any new orders only for the O&M because our focus is to increase our shares of O&M going forward. So, what's your view there?

Rajiv Mittal : Obviously, as a 100 -year-old company celebrating this centenary year, we can't be only looking for new orders. We have to retain our existi ng customers. That means we are getting a lot of repeat orders, both on EPC and on O&M. At the same time , we are increasing our customer base. That's how we are growing. We are also increasing our geographical base. But existing clients are of tremendous value to us. And we try our best endeavours to retain them.
Moderator: Ms. Gandhi. Does that answer your q uestion, ma'am?
Khushbu Gandhi: Yes. Thank you.
Moderator: Thank you. The next question is from the line of Suyash Bhave, from Wealth Guardian , please go ahead.
Suyash Bhave: Thank you for the opportunity. My question is with respect to the consolidated P&L FY24. In that, our warranty expenses and our liquidated damages , taken together are close to INR100

crore s or so, and they are substantially higher than the total expense over the past four to five years. So just wanted guidance on how should we read or understand this number? Thank you.
Skandaprasad S: See, Suyash, the warranty will vary between years because this is dependent on project completion. When a project comes to an end, especially large projects when they come to an end and an enter defects li ability period, we will create warranty provisions . You have seen over the last few years, that slowly our older projects are coming to a close, so these projects will require warranty to go through the defects liability period. But this is a very project specific term, and there are some projects where we will completely be done. We may not need so much of warranty. There may be back to back warranties with our vendors. In some cases, th ere'd be some punch list points, for which we'll have to make warranty. So it is project specific. But as project get s completed, there may be years where the warranty expenses should be higher.
Suyash Bhave: Okay, sir, I understand that for warranty , for the liquidated damages also, would it be a similar case.
Skandaprasad S: See, LDs are specific project cases. And when we say LD, this is typically debits from the customer, that would come. So in case there are costs which are incurred and debited to us. There may be short certification of invoices towards the end o f closure of the project. From an accounting perspective, it is booked there, but it is typically not, let's say, a failure from our si de, so it should not be seen that way. Take that as part of overall direct cost. And we have taken all of this into consi deration when we have guided our 13% to 15% margin range.
Suyash Bhave: Okay, sir. Thank you. That makes it clear. Thank you.
Moderator: Thank you. The next question is from the line of Sharan an Individual Investor. Please go ahead.
Sharan: Thank you for the opportunity and congratulations on 100 years . My first question is, tentatively from when do you see orders coming from semiconductor and hydrogen sector? Tentatively from which quarter? Or which month?

Rajiv Mittal: See, I think Sharan, these are two areas which are under development. Semiconductor is little faster because there are a lot of manufacturin

g investment happening. So one can expect that end of this year, early next year, you can see something coming from semiconductor. But hydrogen is sti ll in the development phase. Still, it is not commercially viable. So any investment is happening, the governments are investing just to meet their carbon reduction numbers they have agreed globally. But we feel that with lot of investment going into this hydrogen manufacturing of electrodes, maybe in a year, year and a half, it will become more economically viable. And that time we will see more orders coming in.
Sharan: Sure, sir. Yes, that helps. And another question I have is the bio CN G. Do you execute bio CNG only from the waste water or any other waste also, your bio CNG system is capable to integrate or compatible?
Rajiv Mittal: See bio CNG you produce biologically. The bugs don't care, what is the waste as long as they see organic matter in it. Technically speaking, yes, we are open to get any waste which is rich in organi cs. But so far we have limited our offering to wastewater may be municipal, which you said sewage, or industrial waste water. We have limited our offering. But we are open to take any other raw material, which is available for biogas production.
Sharan: Okay. Sir, last request I have just wanted to check. Since y ou completed 100 year s and in this celebration any plans to give back to shareholders in the form of bonus or buyback or split of the shares?
Rajiv Mittal: See, one thing is very clear. We are all here for enhancing the values of the shareholder. And in what form? How? I don't know. That Board has to decide. But one thing is clear, that the return on your investment in our company is our responsibility, and we are here to enhance your return on capital employed in Wabag.
Sharan: Thanks for opportunity once again. And wish you all the best. And the great success in the future.
Moderator: Thank you. The next question is from the line of Shr iharsha KJ, an individual Investor. Please go ahead.
Sriharsha KJ: First of all, thank you for giving me an opportunity. And congratulations on reporting a good set of numbers. So my first question is with regard to the Arbitration Award that was granted for one project. Has that money been received by the company?
Rajiv Mittal: Not yet. An Indian system is little slow. Arbi tration award came in. The opponent has their certain objection to the award, which is getting cleared up. We have to see how legal system, how quickly they can clear up. But once it is cleared up, we will receive our money. So it is still under removing t he objection raised by the losing party.
Sriharsha KJ: Okay. Sir, I have another question. With regard to the sale of the VA Tech Wabag Romanian company. You have also received a dividend of EUR 8.46 million being accumulated, the net worth of the subsidiary company. So you said that the total inflow from the sale of the subsidiary

come to a total of EUR 15.66 million being the total of the dividend and the proceeds of the sale?

Skandaprasad S: See Mr. Sriharsha, about EUR 8.5 million we have received as dividend from the Romanian subsidiary to its parent, VA Tech Wabag Austria. And over and above that, we've also received a EUR 1.2 million, which is a sale consideration. So both of these are the resu lt of the divestment that we have done. You are right.

Sriharsha KJ: Okay, sir. Thank you.

Moderator: Thank you. We'll take the next question from the line of Siddharth Purohit from InvesQ Investment Advisors Private Limited. Please go ahead.

Siddharth Pur ohit: Yes. So just one clarification. In the previous year, we had onetime income due to the divestment of the subsidiary. And this quarter also probably we had one income regarding that. So are there any more such subsidiaries? Or units which are likely t o be divested or what is the strategy bei

ng
there?

Rajiv Mittal : See, we are very clear. We have told you earlier also, and today also that we want to focus on the emerging markets. So there were five subsidies in Europe, which is a stagnant market and increasing cost and risk and less opportunity. So we have divested three in last one year. The other two left, use to be our parent company in Austria, which has all the history. So they are like a mo ther company. They will remain. There's no intention to diversify them. And the last one is Turkey in Istanbul. They are already a cost center because they are very good in providing engineering. So lot of engineering and support for proposal work is done in the Istanbul office. They wou ld also remain supporting the group in our endeavour to take more projects. So no further divestment is planned, at least in foreseeable future.

Investing in new companies, opening up new branch offices, opening up new companies. With regard to growing in the emerging markets. So we are putting in extra resources for growth, what we have planned for the growth in the next few years.

Siddharth Purohit: Okay. And sir, since we might have little higher income from the rest of the world. What will be the norma lized tax rate that we might see in the coming years?

Skandaprasad S: Are you saying normalized tax rate?

Siddharth Purohit: Yes.

Skandaprasad S: See. We will largely be around 25%. Even internationally, the tax rates are kind of converging to this level. Between India and the rest of the world, if you take Saudi Arabia, if you take African countries, where we may do through branches or subsidiaries. I think about 25% would be the broad MMR.

Siddharth Purohit: Okay, sir. That's all from my side. Thank you.

Moderator: The next question is from the line of Manish from Equity at Work Family Office. Please go ahead.

Manish: The profound question that I have. We are valued at some INR8 ,000 crore s, right? Without naming it, our closest competitor is valued at INR10,000 crore s. So what explains the dichotomy and valuation at this juncture?

Rajiv Mittal : This, you should answer, how we can decide that. You are the people who are valuing the company. You have your reasons, you have your metrics, you have your mod els. We are only watching what you guys are doing. We have no explanation to that.

Manish: Okay. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Mittal for closing comments. Over to yo u, sir.

Rajiv Mittal: Thank you. Thank you guys for very active interaction. And thank you once again for your participation in our Q1 FY25 earnings call. We have uploaded the Analyst Presentation in our website. In case you have any further queries, you m ay get in touch directly with Adfactor s IR Advisors. Our Investor Relation advisor based in Mumbai. Or you can also get in touch with us directly. Thank you. Bye bye.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gen tlemen, on behalf of VA Tech Wabag, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2024

CWABAG
An ISO 9001 Company
November 14, 2024
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
NSE Symbol: WABAG BSE Limited,
Floor 25, P J Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 533269
Dear Sir/ Madam,
Sub: Transcript of the 'Q2-H1 FY25 Results Conference Call'
Please find enclosed the Transcript of the `Q2-H1 FY25 Results Conference Call' held on Friday, November 08, 2024, post declaration of Unaudited Financial Results (both standalone and consolidated) of the Company for the quarter and half year ended September 30, 2024.
This intimation is filed pursuant to Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The Transcript of 'Q2-H1 FY25 Results Conference Call' is also available on the Company's website at www.wabag.com.
Kindly take the same on record.
Thanking You,
For VA TECH WABAG LIMITED
Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No: F4832
Encl.: As above
Sustainable solutions, for a better life

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“VA Tech Wabag Limited Q2 and H1 FY25 Earnings Conference Call”

November 08, 2024

MANAGEMENT : MR. RAJIV MITTAL – CHAIRMAN AND MANAGING DIRECTOR – VA TECH WABAG LIMITED
MR. SKANDAPRASAD SEETHARAMAN – GROUP CHIEF FINANCIAL OFFICER – VA TECH WABAG LIMITED

Moderator : Good evening , and welcome everyone to this Earnings Call Post Announcement of Q 2 and H1 FY 25 Results of VA Tech Wabag Limited .
On the call today from the Management Team , we have Mr. Rajiv Mittal – Chairman and Managing Director; and Mr. Skandaprasad Seetharaman – Group Chief Financial Officer.
Kindly note that during this call, the Company may make certain forward -looking statements concerning the business prospect and profitability, which may be subject to risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.
The conf erence call will be archived , and a transcript will be made available on the Company's website. The Company's results update presentation has been uploaded on the website and stock exchanges, which provides an overview about the core offerings and analysis of the results for this period. We trust that you had an opportunity to look through the same.
We will start with the "Opening Remarks " from the Management , post which we will open up for the interactive Q&A.
I now hand it over to Mr. Mittal to take you through the key "Business Highlights ". Over to you, Mr. Mittal .
Rajiv Mittal: Thank you. Good evening, ladies and gentlemen. We extend a warm welcome to you all to the earnings call, post -announcement of Q2 & H1 FY 2 5 results of VA Tech Wa bag Limited.
Joining me today for this earnings call is Mr. Skandaprasad Seetharaman , our Group CFO.
We closed another strong quarter of Earnings , continuing our growth trajectory. We stayed on course in our profitable growth journey whil e remaining steady fast through the corners tones of our long -term strategy - advanced technology projects, emerging market focus, net cash positive position, and asset light approach.
This quarter marked a number of significant milestones from an order i nflow perspective.
Recently, we secured a prestigious 300 mega liters per day seawater desalination plant in Yanbu , Kingdom of Saudi Arabia, from Saudi Water Authority, worth Rs. 2,700 crores.
Saudi Water Authority, formerly known as Saline Water Conversion Corporation (SWCC), manages over 15 million cubic meters of water, mainly in 40 desalination plants , and also some ground and surface water purification stations. The plant will employ state-of-the-art technologies and will be engineered for exceptional water quality and power efficiency.
Scheduled for completion within 30 months' period, this project commences our relationship as a reliable water partner for Saudi Water Authority.

Waba g has also secured a mega order value of Rs. 1,000 crores from Indosol Solar for 1 00 MLD seawater desalination plant, marking our entry into the solar PV sector. This project will provide water security for the 10 gigawatt integrated solar PV manufacturing facility of Ind osol. The EP project, which is to be delivered over 38 months , will be followed by 15 years of operation and maintenance.
Further, reflecting our enduring client relationship, we secured a large repeat or der from Reliance Industries to deliver water system for their Dahej and Nagothane facility, and also a repeat order from Chennai Metro Water Supply and S ewerage Board worth Rs. 415 crores to operate and maintain the Nemmeli desalination plant, which was built and commissioned by Wabag in 2013 for a further period of seven years, reaffirming the trust and confidence our client placed in Wabag's reliable performance and expertise.
Looking ahead, we are further enhancing our presence and efforts in the emerging markets like Middle East, Africa, Indian subcontinent, Southeast Asia and CIS countries. With promising order pipeline, we are confident in sustaining our growth momentum through the second half of

the financial year and in line with our me dium -term outlook.
Our focus business development efforts are yielding remarkable results as demonstrated by the order inflow of over Rs. 4,600 crores secured in H1 with 57% coming from international clients and 31% coming from industrial sector.
You would recall that we had informed our preferred bidder status in projects worth Rs. 6,000 crores and you can see that we have already converted more than 75% of the same. As we speak today , we are happy to inform you that we are preferred bidder in the ord ers worth over Rs. 3,500 crores , which we expect to convert through the next couple of months.
With over Rs. 8,000 crores order inflow outlook already in sight for this financial year , we are on track to reach an order book position of over Rs. 16,000 cr ores by the end of this fiscal year.
Our order book position which stands today at over Rs. 14,500 crores as of H1 with a healthy mix of 59% EPC projects and 41% O&M projects provides a robust revenue and growth

visibility.
I would also like to share some updates on our key projects. Our prestigious 400 MLD Peru r desalination project in Chennai funded by JICA is on track with peak engineering activities under way, civil works progressing well, marine intake and outfall pipe material are received at site and equipment deliveries will commence from H2 this year.
Our 200 MLD sewage treatment plant in Pagla, Bangladesh where we had a couple of months of temporary disruption is largely back on track with construction activities resuming swiftly, procurement activities are also progressing well. Projects like SIBUR and Senegal where

deliveries are largely complete have entered the installation and commissioning phase and are on target.
I am also happy to inform that Kolkata HAM project, our first HAM contrac t with NMCG has achieved COD , Commercial Operation Date has started.
As we advance our mission to shape the future of sustainable water solutions, we are also taking a moment to honor the journey that has brought us here. This year, Wabag reached its Centenary Year and we commenced the celebration of this landmark milestone with a grand event in Vienna in August honoring a century of innovation , leadership and sustainability in water sector .
Continuing this centennial festivities , we hosted our key c ustomers , business partners , bankers and other stakeholders across the Middle East with a vibrant celebration in September in Riyadh , Kingdom of Saudi Arabia .
As we look into the future , Wabag remains committed to building on this 100 -year legacy combining innovative technology with resilience strategy to drive growth across emerging markets .
Thank you once again for your continued support and confidence in Waba g. Now I will hand it over to Skanda to take us through the financial highlights . Over to you , Skanda.
Skandaprasad S : Thank you, Mr. Mittal. Good evening , everyone . I hope you have had a chance to review our result update presentation , which has been shared on our website and with th e stock ex changes .
Let me walk you through our performance highlights for the half year and quarter ended 30th September 2024 . Before I move into the numbers , I am pleased to note that we continue our profitable growth journey into this half year as well with our EBITDA and PAT growing at a rate faste r than the top line as envisaged in our long -term strategy .
With the strong order book position as of H1 and a robust p ipeline vis ibility , we are confident of revenue and profit expansion to continue along with a net cash positive position as we step into the second half of this fiscal year .
Now let me take you through the key financial highlights . Our consolidated H1 revenue , which stood at Rs. 1,327 crores , grew 11% year -over-year compared on li ke-t

o-like basis excluding
divested European entities . The strong order book position provides us a good visibility of revenue expansion . Our standalone revenue for H1 stood at Rs. 1,159 cr ores. For the quarter , revenue on consolidated and standalone basis stood at Rs. 700 crores and Rs. 613 crores respectivel y.
Our consolidated EBITDA f or H1 which stood at Rs. 184 cr ores grew by around 19% year -over-year compared on like-to-like basis excluding divested European entities . We continue to

maintain EBITDA margin in line with our medium -term outlook . These strong margins reflect our focus on efficient execution , a good mix of EP , industrial and international projects , as well as a growing share of revenues from O&M.
Standalone EBITDA for H1 stood at Rs. 171 crores . For the quar ter, EBITDA on consolidated and standalone basis stood at Rs. 103 cr ores and Rs. 92 crores respectively . Our consolidated PAT for H1 which stood at Rs. 126 crores with a PAT margin of 9.5% grew by around 31% year-over-year compared on like -to-like basis excluding divested European entities . Standalone PAT for H1 stood at Rs. 108 cr ores for the quarter . PAT on consolid ated and standalone basis stood at Rs. 71 cror es and Rs. 58 crores respectively .
As you would know , we have been a net cash positive group for the last four years consecutively . Notably , this quarter marks the seventh consecutive quarter that we have maintained a net cash positive position driven by disciplined cash and debt management .
As of H1 , our net cash position stands at Rs. 222 crores . Excluding debt on HAM entities , which is transitory in nature , considering our asset li ght strategy , our net cash position stood at Rs. 338 crores. We close d H1 with a gross cash position of Rs. 645 crores , which consisted of Rs. 294 crores in cash and bank balances and Rs. 351 crores in term deposits .

We are well placed on the cash front to infuse funds into projects to expedite necessary progress , and also we are in the process of enhancing our bank lines both from Indian and international banks to be ready with the non -fund limits to support the next wave of order book growth .
We remain steadfast to our asset -light model, delivering a return on capital employed (ROCE) of around 18%. We continue to create long -term shareholder value, generating a return on equity (ROE) of over 14.5%.
Coming to the “Order Book” front, our international business remained robust with 54% of H1 revenue delivered by overseas projects and international projects constituting 39% of our order backlog. We continue to build our O&M business with 41% of our order backlog coming from long-term O&M projects. Our order book remains robust at over Rs. 14,500 crores as of H1, with a healthy mix of EP, EPC and O&M projects, backed by adequate payment securities.
We will continue our emerging market focus on advanced technology projects, particularly in desalination, recycled and reuse, and effluent treatment.
We have also identified future growth opportunities in Ultra -Pure Water for Semiconductor Manufacturing, Solar PV and Green Hy drogen and also generating Clean Fuel from Biogas which will propel the group through its next growth wave. Business development efforts are being invested on these opportunities and already the first success is witnessed to the

Desalination Order for Indo sol Solar. These opportunities are perfectly in our sweet spot of contributing to creating a greener, cleaner and bluer planet.
We are deeply grateful for the trust and support reposed in us by our bankers, investors, Wabagites and all stakeholders who con tinue to champion our vision.
With this, we'll be pleased to open the floor for “Questions.” Thank you.
Moderator: We will now begin the question -and-answer s

ession. The first question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.
Nidhi Shah: I had a couple of questions on the new projects that we have won. Firstly, the Indosol plant. This 100 MLDs for the entire 10 GW line that we're putting, or is it only partial and we can expect more orders from this plant?
Rajiv Mittal: So, this is for the complete line. This will be implemented in about four or five phases as they keep on investing towards that and that's the reason the timeframe we mentioned will be over 38 months. And after we have built this plant for the full 100 MLD, then our O&M period of 15 years start s.
Nidhi Shah: On the Saudi Arabia order that we received recently, what is the timeline for execution of that order?
Rajiv Mittal: As I mentioned in my speech earlier, it's about 30 months .
Nidhi Shah: Do we see that there will be execution in equal parts in 6 or 10 month blocks, or do we see that execution to be heavier towards the second half?
Rajiv Mittal: It's never , projects of this magnitude and if you have been following the company over the years, the first part which is 15% - 20% of the time, it's normally for engineering it and during that time, the numbers, you see the invoicing, you see will not be proportiona te, then the phase comes up of about 50% - 60% of the project time where things pick up, the construction, the supplies and everything, and then again towards the end, 15% - 20% of the time it's the installation and commissioning phase, again, it will slow down. So, it is like slow start, picking up and again slow end.
Moderator: We'll move to the next question, which is from the line of Maharesh M, an individual investor. Please go ahead.
Maharesh M: Congratulations on the order won in this quarter and the visibility of the great order -book that we have in FY25. I have noticed that we have been winning orders. The order book has always been multi -fold. It was around Rs. 9,000 crores in FY22; it has crossed Rs. 15,000 crores now. But the execution has remain ed the same close to a bit less than Rs. 3,000 crores every year. So,

I just wanted to know the reason why the execution pace hasn't increased the same as the order book and what are we doing to increase the execution pace and what could be the revenues in the coming years?
Rajiv Mittal: Very good question and this is for all our listeners here, I'm sure the question you have is very valid for many of our other friends. See, as I said to the earlier participant that whenever we get an order, as it is a desi gn, construct and operation and maintenance. Almost half of our order book is because of operation and maintenance, which can only start generating revenues after we finish the construction and commissioning of the plant. Generally, it takes anything betwe en

3 - 3.5 years to complete the construction and commissioning of the plant. So, now we talk about the rest of the half of the order book or new orders we get. The first 20% odd of the time , as I said will take to set up the project, do the site investiga tion, to do the design, get the designs approved, then start ordering and then start doing the civil construction physically at site. So, that is the reason you will see a little lag in the initial phases for any order to pick up, but post that initial 20% - 25% of the time it picks up exponentially, and that goes on for the 50% to 60% of the time when construction is happening, equipment are getting delivered, and then again towards the last 20% odd when installation and commissioning happening, again, the revenues will come down. So, this is the nature of the business we are in and you will see that some of the large projects which we got almost a year back, have finished that initial 20% period. And now it is picking up because the construction, as I said in my speech wa

s in full swing, say in Peru r,
in Chennai, the ordering has started, the orders will start getting delivered in the H2. So, naturally, we'll see the revenues picking up from the orders which we booked over the last one year. And the orders which we have booked in this quarter, maybe it will take another two quarters to start generating appreciable revenues.

Maharesh M: So, what kind of revenue visibility do we see in the next two years considering the backlog of the orders we have already or we are going to execute in the next few quarters and then we start the maintenance for the same?

Rajiv Mittal: This we have discussed with all of you , when we had a physical meeting in Mumbai after our annual results in the month of May and earlier this year. And we had given a clear medium -term outlook and that we said that we are very, very bullish on not only our order intake but also the revenue gro wth and we had given a number of 15% to 20% CAGR for a medium -term which is three to five years. This is the number we expect the top line to grow.

Moderator: The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas La khani: I had two queries. First one being that if I take your revenue guidance of 15% to 20% for the year, that effectively means the delivery of about Rs. 2,000 crores in the second half, so could you specifically talk about your projects? You had mention ed in the last quarter, for example of two projects were coming on-stream , where you were executing, similarly, could you just sort

of call out which projects are coming on-stream , revenues of which you will book in the second half?

Rajiv Mittal: Yes, I th ink earlier I said and just before you the participant, I mentioned that, like the biggest project we have today in our order book is Chennai Desal Project. That will start now peaking. For the next 4 quarters, you would see this project really peaking bec ause that is where next four to six quarters you will see lot of construction happening. Luckily, the monsoon is out of our way, peaking will start, the marine work where we have to go offshore, that should start early next year, our equipment will start g etting delivered from next quarter onwards. So, lot of this will happen. Same will happen with our Pagla project in Bangladesh. It would have started a few months earlier because of the reasons known to all of us. A couple of months, there was disturbance and the work has to slow down, but luckily everything is settled, we are back on the track, our people are back on site, work is happening. Reliance projects which we recently won, Reliance projects are always and always on fast track. We will see good rev enues coming in. Indosol, at least the first phase, we have a very challenging timeline to do the first phase and give them some water. So, that will start peaking , at least a part of that project. So, this we are very hopeful and very rightly said that we expect in H2 close to Rs. 2,000 crores of revenues.

Aejas Lakhani: Sir, we had three HAM projects and congratulations on COD of one of the Kolkata project. Now, we had debt against all the three HAM projects. So, the Kolkata project , debt that we had invested, have we plowed it back? That's point number 1. And what is the stage of the other two HAM projects and when do you expect COD and when do you expect the release of our funds there?

Skandaprasad S : Aejas, I think first to clarify, of the three H AM projects, two have been already divested, there is no HAM debt on our books. Number 2, the way that the concession agreement works here is that we can plough our cash out only at COD plus three years. So, we have already invested only a small amount. We have explained it earlier also. Our strategy is that we take minority economic interest and we are there only to put our skin in the game. Maybe

3% - 4% of the project value
is the maximum we invest. And this amount is also ploughed back at COD plus three years . Let's say, our remit in the project or our interest in this project is only because we get the EPC and O&M . We are a technical partner and there is a financial partner who holds majority. So, even in this case, we have reached COD and the financial partn er has an option to buy us out at COD plus three. This is the same case for the other two HAM projects. Now, out of the three projects,

two are divested, there is no HAM debt. The third project also, we will look to divest very soon. The first project has achieved COD, Kolkata. The second project, Digha Kankarbagh and the third project is Ghaziabad. Ghaziabad is largely complete in terms of the project activities. Digha also is in a very, very advanced stage of completion. So, we would expect also to comple te these projects more expected in H2. So, our interest would be that all these projects are completed within this year so that then we have three years of stabilization , and we will plough back our capital.

Aejas Lakhani: Just a follow up. So, the Rs. 117 crores of debt today is against Kolkata or all the three?

Skandaprasad S : Only Ghaziabad is consolidated today and that also once divested will go out and that is why I mentioned in my speech that the debt if excluded, since it is transitory in nature our core business has close to a Rs. 340 crores net cash position.

Moderator: The next question is from the line of Mihir Dhami from Sharekhan. Please go ahead.

Mihir Dhami: I had a few questions on financial lines. The employee expenses have increased this q uarter from the previous quarter and the other expenses has gone down. So, particularly what was the reason for this?

Rajiv Mittal: I think the reason as we have informed to the stock exchange few months back, this is our centenary year, and the board had approved a ESOP scheme for our employees for motivating and retaining them. So, a part of this increase, what you're seeing is because of the provision as per the rules, we have to provide for the ESOPs which we have granted to our employees. And also I th ink some of the other expenses which you are seeing is reduced is also because of the three European subsidiaries which we have divested, so some of the cost of those subsidiaries you are not seeing in this quarter.

Mihir Dhami: On the working capital side , the payables were reduced this quarter because of some payments which are made. Do you see payables days continuing with this number? And also if you can give some guidance on the receivables days as well, would there remain at a similar number going for ward?

Skandaprasad S : Mihir, usually H1 versus H2 if you see, H2 is the stronger quarter, H1 is more in terms of putting in cash into the projects, expediting it, because you have the monsoon, you're just off the budget. So, there is a requirement of worki ng capital investment and in any case our payables have remained on track. We have been very timely in paying our vendors because we know that's going to expedite the progress, number 1. Number 2, you would see that this will also pay off into the H2 when monsoons are done, deliveries of some of the projects which Mr. Mittal also mentioned will start, construction can run at good pace. So, this is a cycle. H1 versus H2, 40:60, 35:65 is the usual mix of revenues, and we have more pumping of cash in H1 and mo re recovery of cash in H2. I think what you should also see here is despite this trend, we have even in H1 maintained a net cash position. We had about Rs. 340 crores if you see in March, excluding HAM and in September also we have a similar number. So, we have also managed our cash well, we have also improved the collection cycle, you will also see that the trade receivables have come down by 5% despite our

revenues growing by 10%. So, the cash cycle is improving, the vendors are being funded for expedited progress and you would see that H2 revenue expansion will also start as a result of this.

Moderator: The next question is from the line of Chirag Khashgiwala from Ne o Asset Management. Please go ahead.

Chirag Khashgiwala: As you just explained regarding t he working capital positioning, so if we look at your operating cash flow, that has continued to remain in negative territory. Given all the working capital investment that you are talking about, is there any roadmap to bring this operating cash flow in the positive territory or will it continue to remain in negative?

Skandaprasad S : I think history is testament of what we deliver. You have seen in the last year s, we have generated free cash… last three, four years , you can check even the recent history, we have generated free cash, we have generated operating cash and I have explained H1 versus H2 usually this is the case. Look at it at a full year basis, you will surely see that we will generate cash , number 1. Number 2, as I said, the vector trade receiva bles reduction, you are seeing cycles improving. In H1, you have to invest cash. This is the nature of business that contractors have to be fed to keep the project ongoing, and we've also still kept a net cash position. That means on an overall basis, we are doing well from the working capital front considering the context. But, yes, you should see it on an annual basis, you should also compare how historically we have done, we have generated free cash and we will continue to generate because that is the co re of our business.

Chirag Khashgiwala: For execution of the future projects, are you sufficiently funded, or will you be required to go for fundraising?
Skandaprasad S : We have Rs. 600 plus crores of cash, Chirag and we have liquid cash in our ba nk which will fund the projects, we have long term deposits of Rs. 350 crores, I mentioned this in my speech which we will use at appropriate time, we have Rs. 4,000 crores of bank lines, we have already applied for another Rs. 1,000 crores, we came to the sharehol ders for enhancement of this in AGM and we have an enhanced limit of up to Rs. 6,000 crores. So, there is enough and sufficient buffer for all the order book growth that we are envisaging. We don't need to raise any cash.
Chirag Khashgiwala: As you have be en guiding that your revenue could grow by around 15% - 20% CAGR over the next three to five years. But on a quarterly basis if I look this last quarter the revenue growth has been just mid-single digit. So, this quarterly I mean variation will be there or is it something one - off?
Rajiv Mittal: I think we have explained enough this thing. We are not into a consumer business as a quarter - on-quarter Company. That is the reason we have not even given an annual guidance. We have given medium -term guidance for t hree to five years. So, if you track the Company that way, and as we said that you will see the growth over the next two quarters and H2, you will see that we achieve this 15% - 20% number which we have given and we expressed our confidence, yes, we know w e have to achieve Rs. 2,000 crores revenue in the next two quarters and we're confident of it.

Skandaprasad S : And just to supplement, Mr. Mittal, Chirag, you would have seen our investor presentation, you've seen in the last four years our PAT has grown a t a CAGR of 45%. We concentrate on profitable growth. Sales is the consequence, but profitable growth, cash growth is what we focus on and that is what is our strategy to deliver.
Rajiv Mittal: And also, we had mentioned earlier that our strategy is to mov e away from EPC to EP. So, we may see a little subdued top line. In spite of that, we have still given

an outlook of 15% to 20%
growth, because what we are as a technology company, we excel in advanced technology where we hold the patents and trademarks fo r more than 125 products and processes. This is what we want to leverage and improve our margin and working capital and we have demonstrated that in the last few years.
Moderator : Thank you. The next question is from the line of Jainam Jain from ICICI Securities. Please go ahead.
Jainam Jain: Can we expect the margins to touch 15 % in FY25?
Skandaprasad S : Jainam , we have guided a 13 % to 15% EBITDA margin, and this is for the 3-to-5-year period. And we are confident and comfortable that we will be in this range.
Jainam Jain: How is the Middle East market looking like in terms of orders?
Skandaprasad S : Can you complain about this market? There is enough and more, it is so abundant that we are lucky to choose projects which are in our sweet spot.
Rajiv Mittal: And this we had also mentioned, we were also lucky , as India was going through general election, we expected a slowdown in India for 2 to 3 quarters. And we could shift some of our resources to this market. And you can see the results, the resources which we shifted timely to the Middle East market is giving the necessary results what we expected to g ive. So, I think, of course, we were smart to shift it, but we were also thankful tha t the country was going through a general election.
Jainam Jain: And so how does the margin profile looks like in the new order that we received during this quarter that's pertaining to 300 MLD plant in Saudi?
Skandaprasad S : We don't do a project wise margin guidance. I think if you've been in the previous calls, we have always said that we pick projects only which meet our threshold margin requirements. We are in no desperation to pick projects for the sake of topline. We wan t advanced technology projects , we want good cash flow projects , we want projects to be in the emerging markets and with adequate payment securities, either backed by multilaterals, backed by bilateral funding, sovereign fund, or letters of credit. These a re our criteria. And any project that we pick will meet a certain internal threshold margin. And you have seen in the past years how our contribution margin and EBITDAs have grown. This project will be no different.

Moderator: Thank you. The next question is from the line of Dheeraj Ram from Ashika Institutional Equities. Please go ahead.
Dheeraj Ram: Just wanted to know what is the amount of client retention money that is expected to be released in H2 FY25?

Skandaprasad S : See, this is a cycle, Dheeraj, at least 2-3 projects where we see retentions are there , should get liquidated. I mean, if it's okay, you can connect with the team to understand it a little better. I don't have a number of the cuff now, but our team can hel p you on this.
Dheeraj Ram: And one last question. Sir, are we facing any receivable delays from t his particular Senegal project?
Rajiv Mittal: Not at all. This is again a multilaterally funded project and this project as soon as the work is certified by o ur client, our bills are sent to JICA Tokyo, and the payments are received directly from JICA Tokyo.
Moderator: Thank you. The next question is from the line of Harshal Parekh from Equitas Capital. Please go ahead.
Harshal Parekh: My question was mainly re lated to our domestic execution. So, if I see this quarter, we de -grew by some 7%. Is it related to election related execution issues or is there anything specific that we would like to disclose ?
Rajiv Mittal: Also, you have seen a trend. Our order intake has also moved more international. Naturally, the revenues will also come more international. This is obvious. So, there's no delay in India and we have not seen delay because of election because there was adeq uate budget avai

lable. So, whatever we have executed , we are getting paid as per our expectations.
Harshal Parekh: My question was that the domestic revenues have de -grown by some 7% in Q2. So, I understand the international mix going up because of higher growth in international but my specific ques tion was on the domestic revenues being de -grown ?
Rajiv Mittal: Domestic revenues can only grow if our order backlog will also grow. Here our order backlog has not grown to the same extent as the international order backlog. So, naturally, you will see the international revenue growth will be higher and maybe the Indian de -growth will happen. And as my colleague Skanda mentioned that this second quarter is always a little difficult quarter from two points of view . One, the construction activity slows down b ecause the country is going through monsoon where the construction gets slow down. Second, also the budgets are getting approved towards April and May and finally they get implemented. So, the speed of that execution because of budget is also a little bit slower. Always in the second quarter you will see this happening.

Skandaprasad S : And Harshal, just to supplement Mr. Mittal, he also kind of explained earlier, it is also the stage that the project is in. And we are not a quarter over quarter company. We could have projects in procurement phase in the last year, there may be in the ins tallation and commissioning phase this year. So, it depends on the mix of projects and the phase in which the projects are. So, one is the international project mix, and second is also you have to see us more on an an nuated basis. Look at us more in a 1-to-3-year range at least, instead of just looking at it quarter -quarter segmented so much.
Moderator: Thank you. The next question is from the line of Omkar Chitnis from Trade Brains Private Limited. Please go ahead.
Omkar Chitnis: Sir, my first question is with operations spanning across multiple countries you have , how are you managing geopolitical risk that might impact project executions and profitability in the coming future and what are the regulatory challenges you are facing in different countries as of now?
Rajiv Mittal : As you know , Wabag has been a multinational company and for decades we have been doing this business. Somehow we have mastered this art of managing this geopolitical risk. Simple rather than giving too much detail into our business US Ps like we do. Simple is we take the payment security like Skanda mentioned earlier , we take contracts where the payment guarantees are there, like multilaterals as I told is some of this, it goes to Tokyo and JICA is paying directly, it is not coming to local governments. So, that is number one. Second, we take sovereign guarantees like Saudi Arabia. It's directly government of Saudi Arabia, who's placing these orders on us, and they will pay us directly. Thirdly, where we don't have both this available , we go for letters of credit plus we always try to split the contracts to the extent possible between offshore and onshore. We try to take a local currency for onshore activiti es and we take in US dollar for offshore activities. So, that also protects us against currency risk, payment risk and we have seen over the years that this strategy has fully worked for us and protected us against that. And where we find that there is som e risk, the Indian government provides us with ECGC coverage for the projects, which provides us again both the commercial risk and the political risk. So, these are some of the instruments we use to mitigate this risk.
Omkar Chitnis: And my second questio n is, are we expecting any projects in energy generations like thermal o r nuclear from PSU companies in India for the upcoming financial years?
Skandaprasad S : Are you asking us whether we would get into this?
Omkar Chitnis: Ar

e you expecting a ny projects from PSU companies?
Skandaprasad S : From PSU companies.
Omkar Chitnis: For thermal and nuclear waste water management.

Rajiv Mittal: Yes, if you're talking about the PSU companies, yes, I think we see some traction starting on , again thermal, okay? And thermal plants need a tremendous amount of water and there is a clear guideline from government of India and NITI Aayog that all these plants will have to use recycle water for their power plants from a sewage treatment plant which is in a radius of I thi nk 25 or 50 kilometers. So, if they are going for expansion , they are not going to get fresh water. They are going to depend on recycled water. So, naturally, these are all going to give us a tremendous business to provide them water, which is the core of our technology, recycle of water. So, this is what we have done. And if you see other oil and gas sector, companies like IOCL, companies like MRPL, they are investing in the growth. As we speak, we are working for a few projects in IOCL where they are putt ing up the additional capacities and additional lines. Same is with MRPL, they have gone for desalination plant to have a water security. So, yes, we do work with PSUs and have successfully executed these jobs.
Moderator: Thank you. The next question is fr om the line of Dhruv Joshi from Nuvama Wealth and Investments. Please go ahead.
Dhruv Joshi: I just had one query on the future prospects of the business that we're getting into. So, primarily we had tied up with peak sustainability ventures where we are planning to establish about 100 CBG plants. Just wanted to understand when and how much can this contribute to our business?
Rajiv Mittal: It's not about again a top line. It is more about our commitment to sustainability, our commitment to climate change. This CBG plants are not which a re going to give you a huge top line. Because what we are trying to do , this is t he value adder for such plants is getting this power or fuel which is green, clean and sustainable rather than going for conventional thermal fue ls. So, to reduce the greenhouse gases, to have a cleaner environment that no smoke is there, so that is where we are coming in as a sustainability company. And I think these plants, we have started educating the clients to see that it is also win -win for them. There is in it something for them also, not only for us. So, I think that is working very well. There are at least four projects which have moved well. I hope in the next few quarters, we will be able to announce a few orders based on this CBG techno logy what we have.
Dhruv Joshi: All right, so that's basically what I wanted to know.
Moderator: Thank you. The next question is from the line of Sama rth Khandelwal from ICICI Securities. Please go ahead.
Samarth Khandelwal: So, most of my questions have already been answered and you have answered them very patiently. Sir, I wanted to understand how ultra-pure water would be different from the kind of desalination water that we are supplying ?
Rajiv Mittal: The ultra-pure water is an ultra-pure water. Now, obviously, there are industries which need ultra-pure water is growing. Take an example of semiconductor is growing at a brisk pace. Take

an example of PV that is growing at a brisk pace. The new line of business, which is green hydrogen , whic h is again growing swiftly and very soon it will be economically viable. All this needs ultra-pure water. What is ultra-pure water? Ultra -pure water is like a distilled water where you do not have salts , inorganic salts in the water. You remove those salts so that it does not result in scaling, scaling of your cells, scaling of your electrodes so that the life and efficiency of your plant goes up and that is what is our business -like des

alination . We have 40 ,000-50,000
of salt in a seawater , we bring it dow n to 200 -300 and now ultra-pure water , we'll have to bring that 200 -300 down to what is required by client , some may insist for 5, 10, 20, that is what we say is ultra-pure water. We see a huge transaction in ultra-pure water, UPW as we call it short form. And you will see in the next few years, this business will really pick up globally.
Moderator: Thank you. The next question is from the line of Kaushik Poddar from KB Ca pital Markets. Please go ahead.
Kaushik Poddar: This year going by the figures you have supplied; it looks like you will be getting Rs. 8,000 crores plus worth of orders. Can we have simila r run rates for next few years?
Rajiv Mittal: Why not? As we are now in Middle East, we say, Insha Allah , God willin g. Why not?
Kaushik Poddar: Yeah, in that case, you guided the level of 3x your turnover being order book, it will be exc eeded by a substantial measure.
Rajiv Mittal: I think that's good, that we ov er deliver than what we commit.
Kaushik Poddar: So, can we take it that whatever the table you have given at the end of your presentation, these are the medium term goals? That is the minimum we can expect.

Rajiv Mittal: I think we are not saying that, but I'm sure you are smart enough to make your judgments.
Mod erator: Thank you. The next question is from the line of Basant Bansal, an individual investor. Please go ahead.
Basant Bansal: When I see your segment result, I see that the margin on the rest of the world is increasing, whereas on the India operation it is coming down. So, last year, that is September 2023, the margin was around 24%, which now stands at around 14%. So, can you give some color on it?
Rajiv Mittal: See, India is a mother company. There are a lot of corporate expenditures which are booked in India. And because we don't break up so much on India and international because we are submitting , we have consolidated results. And if the revenues of India are coming down, our overheads will not come down proportionally because some of the overheads ar e fixed. So, that should not be at all a concern area because those overheads will remain that doesn't necessarily mean the p roject margins are coming down.

Basant Bansal: And the second question is your billing in the rest of the world is all into US doll ar or they are into different currencies?
Rajiv Mittal : Some of them or most of them is US dollar , but some of the subsidiaries where we have in the central and western Europe like Austria and o thers, they do billing in Euro.
Basant Bansal: And how do you gauge your receivables? I mean, from foreign currency fluctuation point of view, how do you gauge your foreign currency receivables?
Skandaprasad S : We do a lot of imports also, and also we borrow in foreign currency, packing credit foreign currency. So, there is a natural hedge that is created, and hence we don't have too much that is left unhedged. I mean, it's a natural hedge. You don't need to typically hedge your receivables .
Moderator: Thank you. As there are no further questions , I would now like to hand the conference over to Mr. Mittal for closing comments.
Rajiv Mittal: Thank you friends for your active interaction. And I thank you once again for your participation in our Q2 & H1 FY25 earnings call. We have uploaded the analyst presentation in our website.
In case you have any further queries, you may get in touch directly with Adfactors, our Investor Relations Advisor based in Mumbai, or you can also get in touch with us direct ly. Thank you, bye for now.
Moderator: Thank you. On behalf of VA Tech Wabag , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: Mar 2025

WABAG
An ISO 9001 Company
March 25, 2025
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kuria Complex,
Bandra (E), Mumbai - 400 051
NSE Symbol: WABAG BSE Limited,
Floor 25, P J Towers,
Dalai Street,
Mumbai - 400 001
BSE Scrip Code: 533269
Dear Sir/Madam,
Sub: Transcript of the 'Analyst/Institutional Investors Call'
Please find enclosed the Transcript of the 'Analyst/Institutional Investors Call' held on Friday, March 21, 2025.
This intimation is filed pursuant to Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The abovementioned transcript of the "Analyst/Institutional Investors Call" is also available on the Company's website at www.wabag.com.
Kindly take the same on record.
Thanking You,
For VA TECH WABAG LIMITED
Anup Kumar Samal
Company Secretary & Compliance Offic
Membership No: F4832
Encl.: As above
Sustainable solutions, for a better life
VA TECH WABAG LIMITED
CIN : L45205TN1995PLC030231
CO--EWA BAG "WABAG HOUSE"
No.17, 200 Feet Thoraipakkam - Pallavaram Main Road,
Sunnambu Kolathur, Chennai - 600 117, India. Board : +91-44-6123 2323
Fax : +91-44-6123 2324
Email : wabag@wabag.in
Web : www.wabag.com

VA Tech Wabag Limited
Conference Call regarding “WABAG’s Non -Binding Equity Partnership of USD 100 Million with an Investor Consortium including Norfund, towards Capital Project investments in Municipal Projects”
March 21, 202 5

MANAGEMENT : MR. RAJIV MITTAL – CHAIRMAN AND MANAGING DIRECTOR – VA TECH WABAG LIMITED
MR. S. VARADARAJAN – WHOLE TIME DIRECTOR AND CHIEF GROWTH OFFICER – VA TECH WABAG LIMITED
MR. SKANDAPRASAD SEETHARAMAN – GROUP CHIEF FINANCIAL OFFICER – VA TECH WABAG LIMITED

Moderator: Good evening, everyone and welcome to the conference call of VA Tech Wabag Limited. On the call today we are pleased to have with us from the management team Mr. Rajiv Mittal, Chairman and Managing Director, Mr. S. Varadarajan, Whole Time Director and Chief Growth Officer and Mr. Skandaprasad Seetharaman , Group Chief Financial O fficer.
Before we begin, please note that during this conference call the company may make certain forward -looking statements regarding business prospects and profitability. These statements are subject to the risk and uncertainties. The actual results ma y differ materially from those expressed or implied.
This conference call will be archived and the transcript will be made available on the company's website for future reference. As a reminder, all participant lines will be in the listen -only mode and th ere will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference i s being recorded. We will start with the opening remarks from Mr. Varadarajan. Thank you for joining us today and with that I now hand over to you, sir.
S Varadarajan: Hi thank you and thank you all for joining us today. Good afternoon. It's a pleasure to connect with you and share an important strategic development that marks a significant milestone in Wabag 's growth journey.
As you know, our “Wriddhi ” strategy, one of ou r key focus areas has been to build long -term partnerships in finance, construction , and technology. Today we are pleased to announce that we have agreed with international investors to jointly invest up to 100 million USD over the next three to five years . This investment will support the equity requirements of Public -Private Partnership projects in the municipal water sector. We will provide you more information on this equity partnership as we proceed ahead on the definitive agreements.
At Wabag , we hav e always maintained our commitment to an ‘Asset-Light’ approach. In line with this, Wabag will participate as a minority investor in this equity platform while playing a pivotal role as the Technical Partner. Our core strength lies in our ability to delive r best -in-class EPC, which is Engineering, Procurement and Construction , and Operation & Maintenance Service s, and this partnership enables us to do so while keeping our financial exposure minimum.
Looking at the industry trends, the water sector has been evolving from a contractor -driven model to a performance -based model and PPP type of models are at the forefront of this transformation. Wabag is proactively positioning itself to be future -ready by establishing a dedicated platform with a long -term visio n. The potential in this space is substantial. We foresee a business opportunity of around a billion USD in PPP projects. Our capital projects team has been actively working on identifying and evaluating opportunities , and a few of these projects are ready for investment.
This partnership is strategically structured to combine financial strength with technical expertise. Our financial partners bring deep experience in water sector financing, which is critical for

scaling PPP projects efficiently. Meanwhile , Wabag , with over a century of leadership in the water sector, will provide the essential technical know -how and operational excellence.
Together, this collaboration will serve as a powerful platform to address the growing demand for advanced water treatm ent technologies and infrastructure development, both in India and emerging markets.
For Wabag , this is more than just an investment. It is a step towards strengthening our leadership positio

n, unlocking new revenue streams, and delivering sustainable val ue to all our stakeholders. We are excited about the road ahead and look forward to leveraging this platform to drive long -term profitable growth.
We appreciate your continued trust and support. Thank you so much. We will now open the floor for any questi ons you may have.
Moderator : The first question is from the line of Sani Vishe from A xis Securities. Please go ahead.
Sani Vishe: Hello. Ye s. Thank you, sir, for taking my question and congratulations on the new partnership. So, I'm just trying to understand, I think you briefly mentioned that it will be focused on India and emerging markets, but could you just brief on what kind of geographies you will be focusing on through this partnership?
S Varadarajan: Predominantly, it will be India to start with. We will also be looking at Southeast Asia and maybe very selectively the African opportunities also we will look at.
Sani Vishe: Okay. And most of these in terms of the PPP partnerships?

S Varadarajan: Yes, yes. This is meant for PPP.
Sani Vishe: Okay. So, do we have any estimate on the kind of opportunity that gets expanded because of this partnership?
S Varadarajan: That's exactly what I was giving the initial introduction. We currently see at least a billion dollar opportuni ty for us.
Sani Vishe: Okay. What I understood was that's a global opportunity, so that's why I asked for this particular partnership ?
S Varadarajan: For us, it's what I'm talking about.
Sani Vishe: Okay. I understand.
S Varadarajan: Global is actually much bigger. We are looking at selected geographies and we see India itself is moving towards this PPP. If you see, initially it started with the central government showing a lot of interest. It opened up with Namami Gange kind of flagship program. And you would find now slowly the other rivers are also taking up.
You see Yamuna was in a big discussion in the recent past. You would know about it. Like in Chennai, Adyar River is a river which is carrying sewage water. Now, they're already, you know,

it's a PPP model. They've already announced. There's another river here, Cooum River. They're planning for it.
Like this, there are multiple river cleaning. There are major rivers of India which will also be, you know, cleaned up. Now, apart from this, the state s are also coming up with various opportunities. Either it is hybrid a nnuity model or it is BOOT model. So, it is, the sector is opening up.
Sani Vishe: Great, sir. Great. Understood. Thank you.
Moderator: Thank you. Next question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.
Nidhi Shah: Thank you so much for giving me the opportunity. So, in your opening comments, you mentioned that there are certain projects that you have identified that would be fixed for this partnership. Could you throw some light on what kind of projects these are, what states these are, other than obviously what you answered in the previous participant's question?
Skandaprasad S.: No. Nidhi, what Mr. Varadarajan mentioned during the opening comments was that t here are opportunities which are available where we are either preferentially placed or PPP projects that we are currently doing. So, all of these are ready for investment. So, the opportunity is there today to activate this platform.
Nidhi Shah: What is t he opportunity size?
Skandaprasad S. : So, the opportunity size is a billion dollars, as Mr. Varadarajan mentioned in his opening speech .
Nidhi Shah: Can you share the breakup of the project that you are already in and then the pipeline.
Skandaprasad S. : So, the billion dollars is a three to five -year outlook based on the platform that we are establishing, Nidhi.
Nidhi Shah: Okay. All right. And lastly, we would want to know from you . So, you mentioned that

there are
two other partners and you cannot discl ose much about that. Are they similar climate funds that are in vesting ? Would they be foreign funds, local funds?
Skandaprasad S. : They are large international investors and marquee names in the market. And we will be able to give these names out. We are n ot able to give it because of confidentiality, but when we do the definitive agreements, you will surely hear the names. And these are large international marquee investors.
Nidhi Shah: All right , and also, these projects that you will be getting into on BOOT , the HAM projects, what would be the margin profile for these? The ones that we normally do, which is the E P and the E PC ones, what would those margins be?
Skandaprasad S. : See, these projects are similar to the projects that we are doing on a DBO ba sis. You know, we mentioned that we want to remain asset light. So, we want to be in this market for the EPC and the O&M opportunity that is there by being a technical partner and a minority investor. So, for

us, this is like any other opportunity. We will evaluate this like any other DBO opportunity that we are doing. So, the margins will be consistent with that.
Nidhi Shah: Right. And just one last question on some bookkeeping thing. So, when we will go in for bidding, it's this platform that will be bidding ? So, how much will be ? Like, when, say, the bid is placed and things like that , will it primarily be driven by the funds in the minority shares, the bidding, or will Wabag be very heavily involved in the bidding process as well?

Skandaprasad S. : Obviously, the heart of this investment is the treatment plan t. And being the technical partner, obviously, Wabag will have a very important role, while other partners will also obviously contribute in with their financial investment. Wabag will certainly ha ve an important role because we are the technical partners.
Nidhi Shah: Right. Thank you so much. Thank you. Those were my questions.
Moderator: Thank you. Next question is from Anupam Goswami from SUD Life Insurance. Please, go ahead.
Anupam Goswami: Hi, sir. Sir, I have not got a clear view, but this partnership that we did, what sort of projects are we looking into this or is it like, are we capable now to bid for higher ticket orders? How will this basically incrementally benefit us?
Skandaprasad S. : So, Anupam, you know the market has both design -build -operate contracts as well as PPP contracts, HAM, BOT, BOOT. Now, when it comes to HAM, BOT, BOOT, there is a capital investment that is required either in form of equity and, of course, from the lenders. We being an asset -light organization, we would like to minimize our capital outgo because we want to keep our R oCE's high.
So we have entered into this partnership with other marquee investors who are willing to take majority investment in the platform. T his platform will basically cater to the equity requirement of these PPP projects. And, of course, we will take money from the lenders and the project will be developed.
Wabag will remain the technical partner who is doing the EPC and the O&M. That's our interest here. We don't want the capital requirement as a restriction to our market. So we are making it as an enabler through this growth initiative while remaining asset -light. And, what's very important to know is that we are not going to raise any funds. This is minimal capital that we will invest through internal accruals .
Anupam Gosw ami: So, as I understand, we will now be able to bid for HAM projects where the capital intensive , is required. So, I just wanted to get a view that how much of an order, let's say, we can incrementally get out of this. Let's say if our order book is about 143 billion and let's say how much of a HAM project actually happens in the market industry?
Skandaprasad

S. : Mr. Varadarajan, in his opening comments, mentioned that the opportunity size considering this platform is billion dollars over three to five yea rs. And, you will see that as this grows, from an

order book perspective, sky is the limit, Anupam. There will be more and more projects coming in and we will be able to invest.
So, the crux of this is that we want to remain asset -light. We want mar quee financial partners to come in and we have a long -term base to tap this market as well without investing capital.
Anupam Goswami: Okay. So, basically our ticket size and the s cope of work will also increase?
Skandaprasad S. : Correct.
Anupam Goswami: Okay. Th at's great, sir. Thank you, sir. I'll join back in the queue.
Moderator: Thank you. Next question is from the line of Vin it Mane k from Karma Capital Advisors. Please, go ahead.
Vinit Manek: Thank you for the opportunity and congratulations on the platform announcement that you have made. Sir, just one clarification from my side that I wanted to be, is that these hundred million dollars of the investment will help us to bid what size of the pr ojects overall on a three to five year basis. So the way you mentioned that a billion dollar opportunity is there, but these hundred billion dollars of equity investment can help us support what size of bidding that we can do on the platform?
Skandaprasad S.: One billion dollars.
Vinit Manek: Okay. So, it's like one -tenth of the ratio. So, you need equity of one -tenth in these projects.
Skandaprasad S. : Correct. We will have a mix of HAM and BOOT, but broadly we see that one billion dollars worth of opportu nities can be pursued with this platform in its current level.
Vinit Manek: Got it. Got it, sir. Thank you. Thank you for the clarification.
Moderator: Thank you. Next question is from the line of Ankita Shah from Elara Capital. Please, go ahead.
Ankita Sh ah: Yes. Firstly, congratulations on the deal. Sir, you mentioned that in the project that you will pursue, the PPP project, you will be a minority investor in that project. So, what will be your financial commitment out of the total investment that you ar e looking at?
Skandaprasad S. : 26% at the maximum.
Ankita Shah: At the out circle , 26%. Perfect. That is the number that I was… Thank you so much, sir. Thank you and all the best.
Moderator: Thank you. Next question is from the line of Mi hir Dha mi from Sh arekhan. Please, go ahead.
Mihir Dha mi: Hi. Thanks for the opportunity. Sir, my question was related to the order book in general. We were preferred bidder worth around INR2,000 to INR2,500 crores of orders. This was mentioned

in the quarterly call. So, you got a INR 360 crore s order recently. What is the status on the rest of the preferred bidder book?

Skandaprasad S .: We announced these preferentially placed positions in the last call. We are pursuing all of them. They are under evaluation. You've already seen the first set coming in. You'll see in the next few months, the rest of the orders will also reach its logical completion.

Mihir Dha mi: Okay. And I also wanted to know how the quarter is progressing as such because we are almost at the quarter end and fourth quarter was supposed to be a good quarter for us. So, I wante d to know how it has progressed?

Skandaprasad S. : We are progressing as expected in line with our medium term outlook that we have already given. That remains and we are progressing well.

Mihir Dha mi: Okay. All right. Thank you.

Moderator: Thank you. Next question is from the line of S amarth Khandelwal from ICICI Securities. Please, go ahead.

Samarth Khandelwal: Yes. Thank you for taking my questions and congratulations on this partnership. My first question would be, we would be bidding for projects which would be in the

form of Namami
Gange and how much time would we be taking to execute these projects? Like if I am to, a billion dollar opportunity over five years, approximately INR1,500 crores per year if I am saying and if I get a project worth that for a year's time, how much time would I be generating revenue and when I generate that revenue, who will I be sh aring it with the lenders, with the equity partners? So, what would that transactional nature be? If you could highlight. Thank you.

S Varadarajan: See, whatever the execution of project, the cycle, the time, what you have seen in the past, it will remain same. For example, a desalination plant takes 24 to 36 months, assume. It will remain same depending upon the capacity, the complexities that the plant, the project comes. It is not going to change. Only thing about four to six months additional time will normally be given for financial closure and completion of all the conditions pre cedent . Nothing more than that. The tendering process, all other things will remain same. And we are talking about accounting. Yes, the EPC contractor here will be Wabag, O&M c ontractor will be Wabag. So, it is entirely in Wabag's books, whatever that we are executing.

Skandaprasad S .: So there is no sharing of revenue. This is an SPV which is holding the concession, but the entire EPC and O&M is done by Wabag . So, the revenues of EPC and O&M will be 100% to Wabag.

Samarth Khandelwal: Okay. And the previous participant asked a question about our equity investment. So, out of say 100 crores required, the equity would be 10 crores and of that 26% at most we would be doing. Am I correct?

S Varadarajan: See, let's say it is a hybrid annuity. 40% comes through a grant during the construction from the authority. Balance 60 will have to be funded by the concessioner. This will be the platform what we are talking about. So, out of that 60, 15 will come as equity, 45 will come as a debt. This could be a typical model. Ok, o ut of the 15 equity, we would be a minority investor is what we are explaining. If that clarifies.

Samarth Khandelwal: Yes. Thank you. Thank you so muc h.

Moderator: Thank you. Next question is from the line of Chirag from Neo Asset Management. Please go ahead.

Chirag: Yes. Hi. So just wanted to get some clarification regarding the Saudi Arabia order which was you know previously , the tender which was can celled and then it went into re -tendering. So you said that you have a few days to evaluate before you decide to go for the re -tendering and re -bidding there. So, what's the status there?

Skandaprasad S. : We didn't say we will re -evaluate. We said we continue to remain positive about this market. We have already seen. We have booked a 200 million project in Saudi Arabia, probably a $371 million project in Saudi Arabia already and we are following all of the other orders, pursuing the bids and we will b e putting bid for this project as well, which is ongoing right now.

Chirag: So, I mean, it was specifically for that INR2,700 crore s order which was previously cancelled. So, then you said it went into re -tendering?

Skandaprasad S. : Correct. So, the tender is already out. We are working on the tender. We will be placing the bid in the next month.

Chirag: Okay. And secondly, in the Jal Jeevan Mission, we are hearing a lot of news that a lot of payments are getting stuck from the government side. So, are you facing the similar issues?

Working capital getting stuck up? How is the situation?
Skandaprasad S. : So I am sure you know us. We are a technology system integrator. We are not into civil works. Jal Jeevan Mission is not our focus. That is all piping and ci vil works. We don't have any projects in Jal Jeevan Mission. So, we don't face any of this.
Chirag: Okay. Thank you.
Moderator: Thank you. Ladies and gentlemen, we w

ill take that as the last question. With that, we conclude today's conference call. On behalf of V A Tech Wabag Limited, we thank you all for joining us and you may now disconnect your lines. Thank you.

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Call: May 2025

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An ISO 9001 Company
Sustainable solutions, for a better life

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VA TECH WABAG LIMITED
CIN: L45205TN1995PLC030231
“WABAG HOUSE”,
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May 29, 2025

National Stock Exchange of India Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 BSE Limited,
Floor 25, P J Towers,
Dalal Street,
Mumbai – 400 001

NSE Symbol: WABAG BSE Scrip Code: 533269

Dear Sir/Madam,

Sub: Transcript of the ‘Annual Investors Meet 2025 and Q4 & FY25 Results Conference Call’
Ref. Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find enclosed the Transcript of the ‘Annual Investors Meet 2025 a nd Q4 & FY25 Results Conference Call’ held on Friday, May 23, 2025 , post declaration of A udited Financial Results (both standalone and consolidated) of the Company for the quarter and year ended March 31, 2025 .
The said transcript is also uploaded on the Company's website at www.wabag.com .
Kindly take the same on record.
Thanking You,

For VA TECH WABAG LIMITED

Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No. F4832

Encl.: As above

“VA Tech Wabag’s Annual Investor Meet 2025 ”

May 2 3, 202 5

MANAGEMENT:

MR. RAJIV MITTAL – CHAIRMAN AND MANAGING DIRECTOR
MR. S. VARADARAJAN – WHOLE TIME DIRECTOR & CHIEF GROWTH OFFICER
MR. SKANDAPRASAD SEETHARAMAN – CHIEF FINANCIAL OFFICER
MR. SHAILESH KUMAR – CHIEF EXECUTIVE OFFICER, INDIA CLUSTER
MR. ROHAN MITTAL – HEAD STRATEGY & BUSINESS GROWTH, GCC

Savli Mangle : Thank you , everyone. Ladies and gentlemen, a ver y warm good evening to you all , and a very warm welcome to V A Tech Wabag's A nnual Investor Meet 2025. Thank you again to all of you for taking time out today to be part of this wonderful occasion.
A little overview about the Wabag Group which was found ed in 1924. Today, as we speak , VA Tech Wabag is a pure play Indian multinational in the sphere of water technology. As a market leader in the water sector, its operations are spread across four continents and over 25 countries. Wabag is ranked among the t op three Global Private Operators and Global Desalin ation Players. The Company successfully delivered over 1 ,500 projects over the past 2 5+ years across drinking water treatment, wastewater treatment, recycled reuse, desalination and industrial water treatment for marquee clients in the municipal and industrial sector.
As a group, Wabag has a policy of remaining asset -light and is focused on technology and innovation to deliver sustainable solutions to its customers worl dwide. From ground breaking technologies to comprehensive water management systems, the Group has played a pivotal role in shaping the landscape of the water sector , while resiliently weathering the ups and downs of the markets over decades.
The brand , Wabag , it's a century old legacy in delivering innovative, affordable and sustainable water solutions, touching billions of lives across the world. It is our pleasure to host all of you for this informative and interactive session with the senior management of VA Tech Wabag .
From the leadership team today we have Mr. Rajiv Mittal, Chairman and Managing Director ; Mr. S . Varadarajan, Whole Time Director and Chief Growth Officer; Mr. Skandaprasad Seetharaman , Chief Financial Officer ; Mr. Shailesh Kumar, Chief Executive Officer, India Cluster ; and Mr. Rohan Mittal , Head Strategy & Business Growth, GCC.
Before we begin, I would like to add the presentations and discussions during this meeting may contain certain forward -looking statements about the Company and the Group which are based on beliefs, opinions, expectations as of date. These statements are not a guarantee of future performance and may involve risks and uncertainties that may be difficult to predict.
So without much further ado, I would like t o now request Mr. Rajiv Mittal to kick off the proceedings. Thank you so much . And looking forward to a wonderful, interactive and informative session. Over to you, Mr. Mittal. Thank you.
Rajiv Mittal: Thank you, Savli . Good afternoon, ladies and gentlemen , and thank you for taking time to come and be with us , share your views, share your comments and we also get your expectation and suggestions. This is something we do once a year where we come face to face with all of you , but other three quart ers we do it on a con -call and we find this very helpful that we could interact with you personally and take your comment s, suggestion on board.

As we do every time , we do a small presentation to give you what has been our strategy. And also, for peop le who are first time coming to this session , to give them a little bit about the Company and the strategy of the Company which we have adopted about three to four years back. Then of course our CFO, Mr. Skandaprasad Seetharaman , he will go on to go with the financial numbers and some of the commercial issues . Then Mr. Shailesh Kumar, who is our India Cluster CEO will talk about India business , India cluster business . And Rohan, who is Head of Strategy for GCC countries , he will talk a few slides on ho w the GCC business is shaping us . Because going forward, we recognize that MEA cluster, which is one of the three clusters we have, is going to be the next growth engine. We are mov

ing towards it and the expected results are coming , unfolding which we are sharing with you. So we are very bullish about this MEA sector going forward . And this will help us to reduce the reliance on India

cluster.
So let's start with the presentation. This is a standard statement Savli has already crea ted. And this will be the agenda of our presentation , as I explained to you. Little bit about the Wabag Group we will talk about :
As some of you would know, and last year we mentioned it, we feel very fortunate that we are the ones who get a chance to cele brate the Centenary year of the Group .
We have just completed 100 years and we have been celebrating , and also giving the thanks to all the stakeholders across the globe. That thanks giving session we have finished in all four regions where we are ; Asia, Europe, Middle East and India. So we have had four events which we have used to give our thanks and appreciation to all the stakeholders who have enabled us to reach this milestone.
I think this is again a slide which gives a little bit details a bout the Group . And I think as most of you know , and Savli mentioned, we are a pure play water Company. There are very few companies who have this profile of what we have , not only in India , but globally . We are a one - stop-shop in terms of water . But othe r than water we do not do anything and neither we aspire to do anything. We are happy to remain a pure play water Company. We see more than adequate opportunities there, which is growing every day , both India and globally . So, we are very convinced there' s enough business to grow and meet the aspiration we have without diversifying into other areas, which is not our core strength. We are best in water and we want to use that strength in our future growth.
Sustainable solutions , you all come from investment community, you know sustainability is a big topic. Clean , green all these are big topics, circular economy , and this is where your Company is right in the thick of such things where our business is only doing that . We do not have to do any spe cial effort to be in this sustainability , circular economy, resource recovery , reducing the greenhouse gases , climate change. Exactly we do this for our living, this for the business which we run. This is very important that you know this. And there are lo ts and lots of

funds which are specialized funds who are approaching us with a view to invest in this kind of companies , which they do not find many . And we also see that there are lot of investors who are focused on these topics.
We are an Indian multinational with presence in over 25 countries , close to about 2 ,000 employees globally. Most important is , we are a technology Company . We invest in our R&D, not many companies in India do that. We have been doing it for ages and we continue to do that . We do both in Europe and in India this development exercise . And this has worked very well for us . Today we have more than 125 IP rights, which we use it for our proprietary projects . We do not license it, we do not sell it , it's only used for projects where we are working on it.
Our order book is very robust. You will see it in our financial presentation also. It gives us a clear visibility of next three - four years so that the predictability is there , we do not have to book orders to give the revenues and the bottom line and the cash flows . We have enough order to execute over the next three to four years.
I think another important thing which we feel very proud of is Manufactured Water. Last time also I bri efly explained to you what is manufactured water , because you would say that manufacturing water is the bottle what you have on your table. To me, this is not manufacturing water, this is bottling water. They do not manufacture water, they bottle th

e water . And then
what is manufacturing water? Only God has proprietary rights to manufacture water, whether it comes from our glaciers or it comes from a rain , this is the water which is God -given.
Now question is , can we support the almighty in meeting this increasing demand or we are going to load God and keep praying to give us more rain and more glacier water? So, we have taken a position that being a water manager , it is our equal responsibility to find alternate sources of water. It cannot be only the glaciers , Yamunotri, Gangotri water that we get, or the rain water that we get t hat is the only water we can get. We say that let's work on water, which is normally not usable, not potable , and make that potable .
So what is t hat water , which is today , water is there but it cannot be used . One simple example is, we heard and we listen to it, water - water everywhere but not a drop to drink. That's the big ocean , sea. India has a 7 ,500 kilometers of coastline. And this water, the sea water is a perennial source of water. I t’s completely drought proof, even in drought you will have sea water. Now only you need technology to convert this salty water or sea water to a potable sweet water , which can be made potable . And that is what , today your Company is globally top three to convert this water to a drinking water.
So this is called manufactured water, we are not bottling it. We are manufacturing water. We are bringing water from a non -usable non -potable source and making it potable . That way we are reducing our reliance on groundwater, rainwater , and that is what we are proud of . And that is

what is expected of a water manager to reduce the water stress.

What is the other source which is giving you manufactured water? All the used water which goes from our houses, from our offices, from your washrooms, from your kitchens, from your showers , this water is not used. So far it was just dumped , open drain , you have rivers, you have sea, it just enters there . There is this Ganga cleaning program , who polluted the Ganga that we are now needing to clean it, it is us, humans, who have polluted the Ganga. When Ganga emerges from Gangotri, is the absolutely crystal clear water. Now, on the way we are responsible to put all dirty things into the river , and we ourselves have polluted it.
Now since we ourselves have polluted it, then it is also our own responsibility to clean it. And that's the work which we have taken, there are many projects going on, last time also I told you, we have number of projects , more than a dozen projects where we clean Ganga. And Ganga cleaning is not taking the river water and clean . Cleaning means you do not allow dirty solid waste or liquid waste to enter the river. And Ganga will remain clean as it is at Gangotri. So that is the job we do . We tap all those streams which are entering Ganga and making it dirty . We take it to a treatment plant and clean it.
And what we do ? We just do not clean it and dump it a gain. I ha d told many years back , 15 years back , that water is too precious to be used once. Let's understand it's not an infinite resource. Water is a limited resource. Use it with respect . Conserve water . And that is the reason I said , it's too precious to be used once , it has to be reused. And I always say it's used water, it's not waste. The moment we say waste, our grace thinks it's a waste , let it go . I do not say it's waste; it's just used. You have used it , you want to reuse it. And that is the tech nology we are top globally again where we have technologies to get potable water , I repeat, potable water from used water.
There are many plants globally. We were the first Company globally to have a direct potable reuse. This is in Namibia's capital city of Windhoek, 25 years back and people last 25 years

for
generation have been drinking this water and they are healthy . So that clearly demonstrates you have a technology, it's been tried, tested and used. And that is the next alternate source of water we have created. Again, drought proof, as long as we all are there we will continue to use water, whether we brush our teeth, we wash our face, we take a shower, we use our washrooms , kitchens are used, water will be produced . And that water is an asset, I repeat, is an asset. It's not waste. And that has to be reused .
And that we have demonstrated . Even recently , a couple of weeks back we were in Paris where the biggest Water Expo happens. And that's where we got an award for one of our projects in Ghaziabad, which is a water reuse project . At a global forum our project in India was recognized and awarded. And that is where the globe is going to and that is what we mean by manufactured water , okay .
Again, you see Sustainable Development Goals (SDG) are there. You know UN had come up with SDG goals and water is right in the thick of the things . And that's where your Company has

those sustainable goals , is our goals and also ESG. We do not have to do again something special. Our normal business will take us to meet the SDG goals and also ESG goals . And that is whether we are in our projects or in our service business or operation and maintenance, w e try to reduce waste , reduce the power consumption, recycle and recover most of the water and solid waste so that it's completely a circular economy with a resource recovery and not generate more waste.
The next one is our Board, the top row. You see Mr . Varadarajan here. And the second one is our senior management team , Skandaprasad , our CFO is here ; Shailesh, our CEO India Cluster is here ; Mahmut could not come , he is heading our Europe Cluster ; and then we have Rohan who is handling the Strategy and Heading the GCC business.
This is our client. And as you would see, most of the names you would expect are there, whether they are industrial clients or municipal clients globally. But more important, I want you to see at the bottom of the slide, you see the fund ing a gencies , the ADB, World Bank, IFC, KfW. A ll these agencies when they fund you , I am sure you know they are very elaborate due diligence process, legal, environmental. All that they do and see the governance of the Company , the management bef ore they put any money into it. And that's something we have won the confidence of such global multilateral companies or funding agencies who have funded us either in terms of loan , or in terms of debt for our special projects , or just funding the projects to the government. So we have worked with all of them and most of our projects today are funded by one of these agencies.

Next slide, you will remember this , this is after some time , about four - five years , we had given you guidance . And this is the guidance we have not given for one year , because we believe the project business is not a quarter -on-quarter or year -on-year business , it is at least a medium term and that is the guidance we gave you last year same time, same room for next three to five years . And you have seen, and I will show you the guidance which we have given for next three to five years where we stand with respect to the performance we have achieved in the very first year.
Now these are the slide s which talks about our long-term goals. And today, as we have discussed earlier, we are a global leader. We are not a national leader. Today , at the global level , we are recognized . We started as a small startup with six guys 27 years back . And 27 years we have become an institution, a corporation with a global recognition and global footprint. More than 25 countries we are present. And today we are growing that market. We are coming out of

markets which are stagnant and are not growing . And mainly we are focusing on the emerging world.
We are today the most valued Company globally. We try to create wealth for all the stakeholders. Collaborate , as I said, with multilateral agencies and other partners. And try to increase the institution holding in the Group . We always aim for g rowth. Growth is just not growth of top line or bottom line, we call it profitable growth, which means that our profits should grow faster than our top line. And that you have seen in the last three to four years, we have consistently

demonstrated that our bottom line is growing faster than the top line . And that is what we want to continue to focus on.
We talked about sustainability and circular economy. I will not repeat that. We also talked about how we advocate efficiency improvement with our R&D, n ew technologies, which reduces the life cycle cost of producing water and develop both proprietary processes and equipments. And obviously , our business is all about human asset. We say we always have two assets only ; you know we are an asset -light Company so we do not believe in asset ownership . But our two biggest assets which keeps us going ; one, of course is our technology basket. That gives us a huge advantage in the market where we have proprietary technology. We do not have to go and scout for new technologies, buy technologies, collaborate with somebody , license from somebody. We have most of these technologies that are proprietary to us . The second asset we have in the Group is our human resource . Because all the knowledge and experience resides i n people. So , for us that human asset is very important, very precious for us , and we do everything to keep them motivated, keep them engaged . And hence , we also did a survey and we are rated as one of the employer of choice.
The next one is our strategy, which we told you before also , Wriddhi . And this is what we implemented it from FY’22 onwards. So FY’22, FY’23, FY’24, this is the fourth year, and you have seen the performance since we implemented this strategy how the things have changed, how the complete turnaround has happened. So we believe in it, we are on it , and make sure that we stay on it another at least few more years to come , till we find something better to do.
It's very heartening to say that we are in our cent enary year , looking at our cash position and the performance which has been the highest ever , historical best fourth quarter , historical best annual performance, the historical best order backlog, historical best cash . We have almost close to Rs. 1,000 crores gross cash in our balance sheet . We have more than Rs. 700 crore s net cash. We have more than Rs. 350-odd crore s free cash . So, in the last three - four years I have been telling you we are conserving cash to invest in our finance projects like HAM or BOOT, which we have done already fo ur - five projects.
So this year with such a fantastic performance and having so much cash, our Board had no hesitation in saying we can afford and we should reward our shareholders . And they have agreed to give 200% dividend after four - five years . And we are happy that this is happening in our Centenary year. So , very pleased with the decision on the Board. And I am sure this will go for voting where you all will have to do , and you will be kind enough to vote for it so that we can share this dividend with our shareholders.
So with that , I would like to pass on to our CFO , Mr. Skanda prasad , for his financial performance.

Skandaprasad S.: Thank you, Mr. Mittal . I will q uickly take you through the slides relating to the strategy and finance which will cover our performance in line with our strategy , in line with our medium term outlook

, and also a snippet of this year's performance. So this was the strategy that we brought out and explained to a ll of you over the last three - four years.

The five broad pillars :

Go-to-market , building teams that will go to market on an agile way , nimble way and develop projects.

O&M , looking at building the O&M to 20% of overall revenues, which will give stability predictability, cash flows, low risk, low asset model .

EP, industrial and international, primarily the margin and EBITDA kickers which will , EP derisking us from construction , industrial giving us technology appreciation, international giving us geographical diversification , and all of these helping us climb the margin ladder.

Fourth is partnerships , being asset -light, we d id not want to own things which we do not need to own. People, technology , this we would like to have on books but not as sets on our books, while not compromising on the business. So , we work on construction partnerships to help in our EP projects , financial partnerships to ensure we remain asset -light but relevant in the capital projects market . And technology partnerships wherever required to use technology other than what we proprietarily own more than 125 IP Rs. So we collaborate to ensure that we are able to succeed in the strategy without having to compromise on our R oCEs.

Global delivery centers , we are spread around the world in over 25 countries. That means a hub -and-spoke model is important to be implemented. Having excellent centers in regions which are competitive and having execution centers where the jobs are actually executed on the ground. We have found a way to make this a good mix to establish engineering proposal procurement centers , while putting the construction team and the front facing sales team on the ground to get us jobs and execute the jobs.

Now, against this strategy, over the last four to five years this has been the performance . We have been able to reach every metric that we envisage to reach, whether it is industrial where we said that we will be around 30% of our overall business, we are at 28 %. Industrial International we said we will prog ress over the four - five years to get to 50% or more. We are well on track. We are at 41% in terms of average. EP , we said we will derisk ourselves from construction . More than one-third of our EPC revenues come from EP denominated projects.

O&M, w e are on track to get to the 20% , which is our medium term target to have O&M revenues at 20% of our overall revenue . And you can see all the return metrics , RoCE, R oE, EBITDA, PAT, all of them have near doubled or more than doubled. We have generated free cash flow ,

as Mr. Mittal mentioned , in this year of Rs. 353 crore s. Gross cash position we ended with of almost Rs. 1,000 crore s, and a net cash of Rs. 700 crore s. So this strategy has been successful, very successful for us to get to a position which we envisage which puts us in a very good track for further growth.

This is a summary of the Q4 and FY'25 results . This year has been a historic high on every single metric that you see on the screen, whether it is quarter or year. Highest ever order boo k position, highest ever sales, highest ever EBITDA , highest ever PAT, highest ever net cash, and higher ever free cash flow. And on the return metrics we have delivered that 15% on RoE, while continuing to remain operationally efficient by delivering a working capital days of 110 .

Our PAT at 9% and EBITDA at 13 % is in line with the medium -term outlook that we ha d given to all of you. And with this you can see that even externally our credit rating has been upgraded to AA from A. Especially , I would believe that you all understand from an EPC company's perspective a AA is gold standard . You would require a lot of things going your way an

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discipline to get to a AA. Usually it is an A or lesser when it comes to EPC companies.

We also did the non-binding equity partnership to establish a municipal platform for capital project investments, again , in line with our asset -light strategy while remaining ready and relevant for accessing HAM jobs without having to go for each job to a new investor. T he year we had an order intake of around Rs. 6,000 crore s, and we are a preferred bidder in jobs worth Rs. 3,000 crore s as we speak.

This is our closing order backlog position , and here you can see , whether it is from an EPC - O&M mix, municipal - industrial mix , and India - RoW mix , and the growth year -over-year, it is very satisfy ing, we are on the right track. We would like to keep the RoW m ore towards the 50%, which we are working . The municipal - industrial in the 70 :30 ban d, again , we are working towards that . And the EPC - O&M backlog, the 43% O&M gives a very strong predictability for future revenues . And close to Rs. 7,000 - Rs. 8,000 crore s of EPC backlog will be very well enough for the next two to three years of revenues.

Now , this was the medium term outlook that we gave last year, which is a multi -annual outlook . As an EPC Company, there's no point of us giving you an annual outlook. We believe in decad al views for a business like this. So , on a three to five year s scale, on the first row you see what were the targets that we gave. On the second line you see what we have performed against those targets . And you can see almost on every single parameter we have either achieved , surpassed or in the direction of the target t hat we have given. I think it is important also to understand that this is a five year range that we have given and right in the first year we have been able to strike in most of the parameters that we gave you as a target.

This is an important slide which shows the transition for us , from years of being net debt we moved to a net cash Company . But that was not enough for us. We wanted to keep improving

on the net cash position . And here you can see over the last five years , from a net cash positive position of Rs. 44 crore s that we had in March ’21, we are today at Rs. 705 crore s which is a 16 x improvement over a five-year period. Clearly demonstrating the kind of changes we have brought in , in-line with strategy, whether it is how we execute, how we collect and what kind of quality of jobs that we are taking . All of these are demonstrated in a single slide, which is the most important metric for us because sales, margins, orders these are all consequence . I think the business is st rong enough to do it . But this is where the real operational efficiency indicator is.

Thank you very much. I will now leave the dais to Mr. Shailesh to take you through the India Cluster presentation.

Shailesh Kumar: Thank you , Skanda. Good evening, ladies and gentlemen. I would be covering basically three aspects. The prospects potential of the Indian Cluster market where we operate in. The second aspect which we would be talking is our robustness, agility, our strength, our com petitive edge. That is what helps us in performing better. And I will also give you an update on some of the key projects that we are executing.

So first of all, as we marched towards the fourth largest global economy, both sectors, social sector and indu strial sector is definitely powering the economy . And as a part of that, we see a lot of potential. The government's flagship program of Namami Gange, Jal Jeevan M ission, then AMRUT, Swachh Bharat , all are throwing immense potential for us . And we are work ing on many facets of it to come to our way in terms of delivering th e business on them.

While we are working on the social sector , industrial growth is at its peak. Today, the country'

s

power generation capacity is around 240 gigawatts , and in the next five years we are going to add something like 80 gigawatts . And as you all know, the power sector is a water guzzler . In the next three four years a humongous amount of investment is going to happen. We have started talking to people. People have started talking to us . And we see a lot of prospects in power sector. As we all know, by 2050 India's energy demand is going to double. And f rom that point of view, the refining and petrochemical sector , that also is poised for around 25% growth . Today, the country has a refining capacity of 80 million metric tons per annum, which is going to go to 98 million metric tons in next four or five years. And that is again fueling demand for water . And that dovetail with petrochemical, what we see in refining and petro chemical sector is propelling the demand . And that is water, desalinated water, and effluent treatment , all are taken into ambit in terms of refining petrochemical prospects.

Then, as Chairman talked, water is precious to be used only once , and we are se eing a lot of interest in this aspect. Many of the industrial projects are talking about water reuse . And we have delivered our project. We are the one who have delivered these projects , demonstrated our capability multiple times , and we are very much in forefront to capture market in this sector.

Then we remain focused on the way market is shaping up, whether it is bio CNG, whether it is hydrogen, whether it is semiconductor , that remains on our horizon , that remains on our radar . And as it progresses , hydrogen sector is evolving , we are connected with this sector and we look at the prospects in this.

In terms of India Cluster manages some of the more geographies across the globe. Indonesia is another country where after India t hat is a sweet spot for global growth . And we have lot of prospects there and we are working in that country. We are looking at , we are connected with the people , and we see some of the prospect coming in that sector .

Singapore, we are very much th ere. You know Singapore has its own success story , the way they have reused the water for potable purpose . And they are going to go from 40% to 55% of Singapore ’s water is going to be reused from the present capacity of 40% . And that is the aspect which will fuel demand for prospects for our interest.

Vietnam is another country which is growing , and correspondingly water sector demand is there . And this , again , is the market that we are focused on.

Malaysia, another country which is under responsibility of India Cluster , and we see that there

is a growth prospect and growth is to the scale of 4.2% in this market .
So, all are throwing opportunities . We are working closely in this . Beyond , we are working also in Russia where present geopolitical situation it has and the interest rate . There are prospects , we are working with customer. There is a gestation period considering the fluidity there . But we remain focused in that area also.
In terms of number, this is our interest, Rs. 35,800 crore s of market prospect what we see is of our interest , which is of our relevance . And out of that , around Rs. 24,000 crore s is municipal and Rs. 11,000 crore s is industrial . And what you can see , the breakup of it is different components of it. So , as we have always been talking, we are very selective in choosing the project . We have a very robust risk assessment of the prospects that we look at and we accordingly bid for it. But these are the num bers and the market potential, which is there in this market , or of our interest . And we would be chasing most of these prospects in the coming days.
Now , beyond market prospect , in terms of our competitive edge, the agility, the robustness of Wabag . Be it water sec

tor, any sector, the biggest differentiator for a n EPC Company is the
people ; and to be precise, engineering people . They create value, so what AI is , yes, we all talk about artificial, but we have actual intelligence of more than 1 ,000 engineers who are working with us and they are real value creator s. They are the ones who create that differentiator, and we are proud of that technological pro wess that they have, they are our jewel in the crown . And that is what is our edge w hat we have in the market.

Then we have those people, we have innovation , as Chairman talked with R&D and the patents, they come as an inherent part of our solution . And we create value out of our value engineering. There are prospects, marke t organizations who work in this . And for an EPC Company, it's very important that we learn from our own projects and continual improvement is a part of our life.
And full life cycle is that , we are so confident of our capabilities that we take long-term responsibility of O &M. That is our strength . And over those 20 years we learn and everyday improve on our project delivery . And that is what is our differentiator.
Nobody takes such a long view of the project, and nobody has that deep strength , deep capability , deep confidence in itself the way we have that we take such a long-term view of the project . And that not only gives us an edge , that also bestows responsibility on us that the quality of project that we deliver . And that wins customer sa tisfaction. So that's our competitive edge.
Yes, we are present in 25 countries, and we bring best at all location. We bring the best practices, best learning out of all locations. We are managing more than 50 sites in terms of O&M in this country only . And all these sites give us a lot of learning , which is a privilege of very few of the organization. That is what is our edge.
Yes, we have a diverse portfolio, industrial, municipal , desalinization, tertiary treatment. So this helps us in getting over the cyclicity of the business , or none of this works in a complete 3D way, as you know business has its own cyclicity . But since the portfolio is so diversified that our predictability , our horizon is very clear that we work on either of the areas to remain intact on our promises.
Digitization and AI driven , we keep our ears and eyes open so that we continue to create differentiator. We have embraced this AI. We have developed a solution for our customers. We are working on B2B as well as B2C . And when we are working in B2C, we have couple of applications developed on AI which is creating value for our customer and for ourselves.
Yes, we talked about new energy frontiers. That is what is the agility in us . While we continue to work on these projects , but any of that hydrogen , bio CNG, those prospects our team is very well geared up and equipped to look into that , and that is what is the wide range what we have in terms of our c apability.
And as Chairman said, people are our biggest asset and Great Place to Work institute has certified that , yes, they see the enthusiasm of people working with us . And they proudly take forward the mission every day they work with us.
So that's on our competitive edge . Now, I will give you some of the highlights of the project s that we are working on.

This is our gargantuan project that we are working , Perur desalination project. I will leave you with a video and maybe Chairman w ill explain. That is another aspect that even the management and the Chairman , he is on the forefront when this line was being laid, right throughout the night, right from 4:00 AM till 24 hours, he was on site to ensure that it goes smoothly . And that is the wide range of our capability what we have.

So this is

the project. As most of the orders have been done, engineering is done , most of the supplies are intact and progressing well . And some of the site construction is ha ppening and that video will tell you what is the stage of the project in which we are. And this is one of the biggest projects of Asia in terms of capability and the scale and the magnitude . And this is real infrastructure scale project that we are constru cting.
This is a project we are working on in Bangladesh. It is progressing well in spite of the turmoil that we saw in political situation, we have got over that . Now the project is smoothened, engineering is matured. We have started supplies. We have started the field work. Piling work is doing. So , challenges are part of our life, but we are getting over it every day . And in spite of the political situation there , we are finding our way to deliver this project .
This is another project , we are workin g in Nepal , progressing well . By next year we are going to complete this project and well on track in Nepal. So beyond India, these are the some of the geographies that we are working on . And this is another water treatment project which we are working in CIDCO area, and this is also progressing well.
So that's the brief about the projects . And now I will leave you with a video which you will see that the magnitude that we are creating as a team.
Rajiv Mittal: This is the toughest job in building this plant because this is 20 meters into the sea, into the bed. First we have to create a trench where it has to sink exactly into that trench. So it's all GIS controlled. You see number of boats and number of divers which are ensuring that it sinks into the trench. You see the number of boats which are helping . You see from this side the pipe has already gone under sea , the block is going down , this is sinking . And it's going to the sea bed so that the boats can still go without affecting the pipe, it's not going to be hindrance. This is a mammoth construction. I only request you all to find some time during the next six months , please come and witness what is going on. Such things can also happen in India . It is a mammoth construction work. You can see , not only in the sea but also on the shore. Tremendous work is going on and this is Asia's largest desalination plant and Chennai is going to be India ’s and Asia’s desal capital. Almo st 40 % to 50% is already being served , and with completion of his plant, it will be almost 70% - 75% of the population which will be served . I will pass it on to Rohan to take you through the Middle East operation.
Rohan Mittal: Good afternoon, everyone. So, Middle East is, as stated in our strategy Wriddhi, i t is a growth engine for Wabag . We have been focusing in the last two - three years , we have been working

hard to grow in the market. We have a robust team . We have applied all the strategies that we had laid , all the five . And we are seeing that , the fruit of applying this strategy Wriddhi . GCC as a market is very promising in which Saudi is contributing a lot. Also Africa , Africa is seeing a lot of light due to the funding from various institutions , whether you call it JICA , you call it funding by IFC, you call it E DRD, we are getting a lot of funds in Africa which is giving us a lot of security.
So Middle East, yes, water consumption , it's a growing economy. Rapid urbanization is going on. We are seeing a lot of water demand . By 2025 we expect 62% that the water demand would go up. So this is something really for a water Company , we have seen that there's a lot of projects over there , technologically advanced projects, not just projects that are mundane. They are also not just looking at building projects, but being more advanced, more digitized. So these are good projects that we are seeing in Middle East.

So , 63%, as you know, there is no perennial source

in maximum of the countries in Middle East. Saudi and UAE are becoming self-reliant by desalin ation and reuse.
The Green Riyadh Initiative , we have seen a lot of our STP treated water. We have executed many projects over there , Marafiq, Jeddah , all of this water goes for development of the country . With the Riyadh Green Initiative, all of this water goes for watering the crops . So we are seeing an initial push on reuse in Saudi a lot, which is a good thing because they have so much of desal water that is getting treated through waste.
Africa, like I said, we have a lot of investments . PPP projects, E PCF project , not only that, we are also focusing on those countries that are very secure, which is in the northern sides. We are predominantly in Tunisia, Senegal where we have done two desal jobs, one is nearing completion , the P GTR is over . Other we are executing, it's in its final stages , Senegal . And we have recently , in the past year we had won a job in Zambia which is one of its kind . It is the first STP in the country which your Company is building.
Now, obviously , Saudi is the main country that as a cluster we are focusing. Saudi is a place where we see a lot of investments going, not just in water but in other sectors. We all know the new cities that they are developing NEOM you call it , Qiddiya you call it , the whole industrial

belt in Jubail , Ras Al -Khair , all these are guzzlers in water because of the industrialization. And we see a lot of scope in securing better technological projects in those belts.
UAE , yes, so Dubai, Abu Dhabi , there have been projects in the past . They are coming to an equilibrium . But we are seeing the other Emirates, Fujairah, Ras Al -Khaimah , we are seeing a lot of promising projects that have started to come up , especially with the focus that they want to develop Ras Al -Khaimah and Fujairah a lot. Ajman, Sharjah , yes, we see few projects , but these two Emirates are promising now.

Africa , yes, it's the focus. All the projects get a lot of backing, a lot of funding from all the institutions , as I told earlier.
So this is the market size that we are interested in. These are all in USD million. So if you can see, the total market size that we see in the next two - three years coming as RFQs, consultants getting appointed, this is the market size that is actually moving. So , $4.6 billion is the market size. And in which Middle East has around $3.2 billion. Obviously , desal and wastewater both are in focus due to various sustainability goals, NEOM is also looking to do more sustainable business. Africa , yes, it has been a stable market, a very good market for Wabag . We have been present there for many years . And now we see a lot of traction, lot of movement in the market.
So what is helping us to expand in the market ? Your Company has always been a front runner in the market. We are present for the past four years in countries like Saudi . We have done some strategic jobs. We have done some good technological jobs. We have worked with the best of the customers . We are number three in desal, w e are number three in O&M. The brand is well reputed. So it was n ot very difficult for us to venture into the market with such a big brand. So, our strategy, we are looking to grow sustainably. We are not looking to take projects that increase the risk. We are selecting our projects, we are not going for those projects that are very aggressive . Yes, Middle East is competitive, but we know how our technology is supporting us. All these jobs that we are winning is on a technological edge. So that is our focus in the cluster.
New market, yes , while we are very focused on markets in Africa, Tunisia, Senegal and in Saudi, we are looking to venture in new markets . Like I told you that

Fujairah and Ras Al -Khaimah are
looking for rapid expansion , urbanization, new hotels getting built, resort , people moving to these Emirates, we see a lot of water demand. So this is good. So , now we feel that UAE has a lot of potential . So this is a market that we are focusing in .
Kuwait as a market , it’s one of the most water -stressed market in GCC. But we are not seeing a lot of decisions being made. It takes a lot of time to make any decision in Kuwait, whether you call it on the projects getting released or it getting retendered. But the market has potential because it is the most water -stress ed.
Jorda n, yes, we are seeing a lot of traction in Jordan. We have three projects in which one major project is , we are keeping an eye on it . Morocco, there is a lot of water scarcity. We are seeing a lot of movement in Morocco where we are also now focusing . Uzbe kistan, Kazakhstan are these countries where even players from GCC are focusing. This market has a lot of promise. Wastewater treatment, you call it , big projects are all coming there. All are $500 million plus, we have at least three - four projects . So this is a very, very promising market that we are looking to venture into.
So, glocal strategy . Globally we are doing things, but we do not forget that we have already a base in India. We have our strengths which we are using to our advanta ge in the market. We

have built an onshore and offshore team which gives us a very good competitive edge over others. So this has been our strategy in Middle East. We are putting our frontline runners. We are recruiting guys in business development .
And that is the next point , team development . We have put in a lot of effort in developing and building a local team , local sales and marketing team, a local execution team. The market demands us to build a local team because of the localization that is their target. Saudi is very aggressive on it. We are seeing even Middle East being starting or UAE starting to get these local content. So , this is something that we are focused on.
So, also a big part in the Middle East are the O&M jobs that are coming up . The old O&M jobs what we re built in the past, they are not performing to its capacity and quality. So we are seeing that NWC , a well-known client in the region , he has come up with a program called LT OM where your Company is qualified to bid on these all . There was a first package that came in where there were nine projects. These projects are huge with a 20-year O&M , so that is something that we fancy our chances to increase our O&M portfolio in the Middle East , because

this is something that th ey are looking to improve the plants , there is a rehab portion , plus there is 15 - 20 year O&M portion.
EP, yes, we are already doing an EP job with Aramco, where SAPCO is our EPC. This is a 20 MLD Ras Tanura , it is very technically advanced project . And we all know Aramco , they are very choosy , they are very stringent, very careful when they are selecting a contractor, a vendor. So in this project we could see that they had immense regard for what we have done in the past in Jazan for them. And the treatment scheme that we gave , they really liked it. It's a 12-barrier stream where we are treating a cocktail of nine plants, all the worst of the effluent is getting mixed and we are treating it. So like I say, they are also moving towards sustainability. So this is a project where that shows that.
Technology know -how. So, we have always been a technology Company . And what you would say, how is Wabag competitive with so many Chinese play ers in the market , so many old p layers. So today , the technologies that we have are really , which we use for our captive use . Like few examples flap walls , or you take it NEREDA that we have already supplied in Je

ddah, we were
confident enough to go with that and we were more competitive even though they quote at lower margins because of these technologies. So this is an advantage that your Company has. We are not aggressive as them, but we use our technology for a comp etitive edge.
So, the Al Haer STP, this project we had ba gged in the last year . Obviously, it was a finance project, it took it s time to come to us . Because Miahona was doing the financial closure, but we did not wait for it , we went ahead proactively. W e have a relation with them, and we have completed the basic engineering. T he project now , it is financially close d, and we are executing it on full fledge. The basic engineering package is approved. The site and office is mobilized. Some excavation has started. So , this project is underway.

This is our project in Senegal where we are doing the EP in Africa where our partner is Eiffage , a big French Construction Company. Ordering is complete. Major equipments are delivered . Installation is going on. We expect Q2 FY '26 for this project to come to its close with P GTR handing over.
This is Ras Tanura . Capacity would be small, but as a project it really excites us as a technology Company to do a project of this caliber , and that too with a good client like Aramco. So , this engineering is about to be completed in Q1 , this quarter it should complete. We have placed majo r orders, so pre -commissioning construction activities is going on, but we are talking about commissioning, pre-commissioning proactively with the client.
So this is , we would say , an entry project. This is Bahrain O&M . This is a WWTP. We have also got a industrial job in Bahrain where this is the first O&M from our incept ion in getting an industrial client in Bahrain. S o that is also there, but this is another bigger one . AMAS . We are very proud of this project. This is a showcase project for us. We have built this project. The customer is extremely happy with us. And we have been getting repeat orders. We have completed the five year contract. We have proved our performance , treated quality is fully compliant . This has a solar dryer with 90% accuracy and everything is achieved in it. The main important part is that we have achieved 0.6 million safe hours from the inception of this project without a LTI. So we are very proud of this project.
With this, we open the floor f or interactive Q&A. Thank you.
Savli Mangle : Hi. Thank you, Rohan . We will now take questions. Please state your full name and the name of your organization as well. Thank you.
Chirag Khasgiwala: Yes, hi. This is Chirag Khasgiwala from Neo A sset Management. So I have few questions. So first is regarding the Middle East opportunities. So as you are increasing more and more exposure towards the international market , so what stops you from achieving , let's say more than 20% CAGR in revenues and maybe more than 15% margins ? And just aligned to this , so in the Middle East, so since oil prices are going down so is there a possibility or a risk that the funding might get delayed in these projects because of those ? And secondly, any update on the Norfund JV, any successful orders being received over there?
Rajiv Mittal: The first thing about margins, why cannot we go for higher margins? Yes, as they say, dil maange more, we can go for higher margins, but we also have to sink in with the reality. We are not the only player in the market . We do not want to go for higher margins and lose business . Because we have to see what is sustainable, what competition is doing . Because the competition is even lower margin than us , but their overheads are much higher than us. So even with the higher margin, because our overheads are less, we are competitive in the market . So we want to keep that situation . And we are guessing

each t ime what competition is going to do , and tactically we

are placing our price sometimes just less than 1% lower than the next bidder. So we are not leaving a lot of money on the table.
So, it is all competitive bid and we have to ensure that we are the lo west bidder . And for that a lot of work the team does to see that we are not leaving a lot of money on the table . Because most of the European companies work with the single digit margin , for them 3% - 5% margin is a good margin . In India, if you talk about 3% or 5%, somebody will throw us out of the boardroom. So we have to go to a double digit already. Now , should we go higher double digit, should we go to 20s? Yes. If the market has that potential to get it, of course we will go, of course we will not leave the money on the table . But that has to be seen as a continuous effort and a development what we do .
Chirag Khasgiwala: Sir, can the top line grow more than 20% CAGR with the more international exposure ?
Rajiv Mittal: The to p line can go infinite if you are willing to take a hit on the bottom line , okay. But as we had announced a couple of years back , we are not going to focus on top line , we are more focused on bottom line , and more especially on cash. So even if you have se en our cash to profit ratio , it is 1.2 X. That shows that it's not only a book profit, it's actually the cash we have generated for that profit , 20% more than the book profit. So that's the business we want to do. We do not want to just have a book profit. So this is very clear. Our targets are clear . I hope you agree with our strategy that top line should be incident al what we will get . But if we remain top line focus ed, we can go and book orders with the 3% - 5% margins. But we are not going to do that.
Skandaprasad S.: So on Nor fund, the Nor fund led consortium . Right now the due diligence is on , technical is largely done , financial is majority done . And we have already started discussing with them on the l egal and the contracting part . In the next few months, we should be able to close that formally . But in the meantime, of course, we continue to scout for good capital projects. And now that this is only a formality to take it to a conclusion , our partners are also looking at projects which can be brought into this platform, so that the platform can start running from day one.
Chirag Khasgiwala: The Middle East funding getting tight because of oil market going down , is that a risk?
Rajiv Mittal: See, this oil is a very temporary phenomenon , because of the disturbances of the geopolitical and the US creating those disturbances . We strongly believe that it's a ver y, very limited time phenomenon . And th e oil prices have not gone substantially down , margin ally down. A nd today the cost of production of oil , especially in Saudi Arabia , is far, far lower than what they sell. So there's enough money on the table for the government to invest in infrastructure.
Also you must note , yes, today in Saudi most of their infrastructure development is on a private finance project s. So they are not putting a lot of their money into this project , it is the private sector who's putting the money, and they get revenue over the next 25 years. So the oil prices

today wil l have no impact on the projects going forward. Their affordability over the next 25 years to repay , that is important.
Participant: First of all, hearty congratulations to what the management has achieved. It's commendable to have Rs. 1,000 crore s in EPC business from where we started. So , congratulations on that. Just two quick questions. First, how is a Blue Seed venture panning out? Are we evaluating some good opportunities there where we can continue to have those IP -related edges? That's part one. Secon

d part, again , related to the funding. But what we are seeing is that the World Bank, IMF, which was so far considered like gold standard of funding, there was no doubt of payment , but US tightening everywhere , do we see any impact that could flow through to these agencies ? And if yes, how are we going to protect ourselves in that case?
Rajiv Mittal: Good. Let me first talk about Blue Seed . I think it's a purely initiative we have taken that what we have got from the society , we want to give i t back, especially in our Centenary year. Today , when I started , there were some people , I did not have enough wealth , I did not have enough courage , but somebody held our finger and told , go ahead child , we are going to support you. So we got lot of support , whether it's from financial institutions or from our clients , encouraged us to grow. And we thought it's just appropriate to give back what we have received from the society . So, this initiative is to give back to the society , that we help ed these young budding entrepreneurs who have a brilliant idea and are been working on it, but they do not have money . So we have developed this initiative to have a pre -startup and startup money. It's more than the money , it's not that we are one of the biggest people who are going to invest in this initiative. But what we are bringing value to this is to these entrepreneurs , our technology guys are going to work along with them. Once we select a few companies where we are g oing to invest , our technology guys are going to work with them to fast track their development and guide them to have a product which is marketable. Once that prototype is done, we are going to open them our

25 offices around the globe for marketing. So t his is what support we want to give it to the youngsters who have th ese good technolog ies.
We have done already three sessions. One we did it in -house. Other thing we did with WASH Initiative from Hyderabad . And the last one we did it with IIT Madras . And today , we have selected almost half a dozen companies where we have found that they are investable. Already two we have put up to the Board and got in principle , okay , we are starting the due d iligence . And in another three we are doin g little more work , maybe in next quarter we will have another three which will go to this.
So, I believe in next two quarters we will have at least five or six companies where we are starting to invest and work with these young budding entrepreneurs or technocrats who have this thing . And we will help them to make this commercially successful. So that is about Blue Seed.

Second you talked about , with Mr. Trump . One thing is clear , with US money or without US money , this is clearly a priority sector funding . And th ese multilaterals are not funding any commercial cause ; they are funding a social cause. A nd our strong belief is not only World Bank who's putting the money, but it's also Asian Development Bank , JICA , Japanese Bank, German KfW. This is not going to come dow n at all, because every organization has a target to meet , to support the social funding . And we have only seen this funding has gone up year -on-year and we believe that will continue to happen.
Mihir Dhami: This is Mihir Dhami from Sharekhan. Sir, in the RFQs which are going to come in Middle East in the next few years , how much do you all expect to win the order book size ? And typically what has been the win rate in Middle East for you all?
Rohan Mittal: So R FQs getting , moving in the Middle East , we are seeing a lot of them . There main clients where we see a lot of traction , one is obviously Saudi Water Authority where we are seeing many projects getting finalized. Second is SWPC. Now these are PPP projects where one of them we have won already, Al Ha er. We are seeing a lot of tracti

on in the market, especially
from SWPC. They have already announced a list of jobs that would be out in the market and they are going as per their plan. They have also told which job would be out .
So even though they have a longest duration of first pre -qualification , then the tenders coming to the pre -qualified developers. So, we are seeing a lot of traction in that. So , if you see the numbers , we have shown 4.6 billion . But some of this is in the ideation stage , in PQ sta ge. Okay , so our win rate in the market has been 25% - 30%. These are some projects that we decide that , okay, because being PPP we have seen some projects do carry their risk. Some clients like Miahona look Wabag as adding value in CAPEX , OPEX , that's where we thrive on. So our win ratios are generally 25% - 30%.
Mihir Dhami: In the region ?
Rohan Mittal: Yes.
Mihir Dhami : Another question was , can you all give an order book guidance for FY’26?
Rohan Mittal: Order book , yes, we have internal targets. The only issue with Middle East is that many of the customers , NEOM we are not seeing a lot of movement, the budgeting they are going through their clearance. So somewhere around at least we believe that $300 million - $400 million we could do in the Middle East.
Mihir Dhami: Okay , got it . And Company wise ?
Skandaprasad S.: See, you already have a medium -term outlook that we have given , and at least a 3 x of our revenues is what we would like to maintain our order backlog position at . And we are today at 4x. So if you consider the CAGR , plus the 3 x of backlog , I am sure it’s a simple math , you would

know what kind of booking that we are targeting and what kind of backlog that we are aspiring to be over the next three to five years.
Mihir Dhami: Okay , alright . Thank you.
Ramesh Bhojwani: Sir, Ramesh B hojwani from Mehta & Vakil. F irst and foremost, my heartiest congratulations on 100 successful years of a 100% Indian Company which is a multinational in true sense, spirit of the word and action , 25 countries and 125 plus IP rights with 1 ,500 plants . The audio video which you showed us for the 400 million liters per day desalin ation plant in Chennai , I believe, will become a showcase capsule for many state s in India as well as outside going forward. Of course , you also indicated to us a 260 million liters per day desalin ation plant in Mumbai. So the Maharashtra Government is very proactive despite having good rainfall and having a sea coast. But two thoughts came to my mind. We have a 7,500-kilometer coastline. At the same time, the second highest rainfall comes in Cherrapunji, Assam. But that whole water goes away into t he

sea. The anomaly and the irony of a situation of two excesses. Now the thought which came to me was, sir, you mentioned you are having 110 days working capital cycle, can that be , I mean , you have an 80% order from municipalities , so municipalities take a longer period of time to pay. So can this 110 days of working capital cycle , can it be compressed say by 10%?
Rajiv Mittal: See, you have seen this year our cash has increased , our working capital cycle has substantially reduced from the past. S o already we are on the job doing exactly what you expect us to do. And definitely answer is why it cannot be reduced , it should be reduced, it must be reduced .
Now you talked about municipal corporations take a lot of time to pay. I want all of you to note, though we have said multiple times, we do not work with municipal corporations ’ payment guarantees. We do not work with them , because they are not credit worthy to work with them . Because in India water is a state subject , we are forced to take contr acts from them . But the payment guarantee does not come from them.
It comes from multilateral institutions, as per our Constitution , only Ministry

of Finance , Central
Government , is allowed to sign this multilateral loan agreement, so the guarantee is fr om the central government, not from the state government . And the multilaterals which they fund these municipal corporations or state cannot be siphoned off this money, which they used to do earlier . Now it is in a dedicated escrow account and only has to be used for a project . And every quarter they have to give a disbursement statement to the funding authority for them to release the next tranche.
So our payment security is not municipal authorities, it is the central and the multilateral funding agency . Shailesh mentioned you about Bangladesh. Now we know in last six months the amount of disturbance in Bangladesh. But the project is on . Yes, it little bit slowed down, but the project is not cancelled or suspended because it is funded by World Bank. So B angladesh cannot

unilaterally cancel this project because the World Bank is involved. If it was not backed by Multilateral Funding, they may have cancelled it. But it is World Bank , so the project is on .
So that is the reason , 95% of our order book is funded from multilaterals or sovereign guarantee like Namami Gange . It’s not again a s tate guarantee . We may be working for Bihar, we may be working for UP , Uttarakhand, but the guarantee comes from Namami Gange, which is Central Government , Jal Shakti Ministry , and backed up by World Bank. So that is the difference you must know . Short answer is , yes, working capital has to come down , must come down.
Ramesh B hojwani: Wonderful. Excellent. Thank you very much. All the best.
Rajiv Mittal: Yes, gentleman here, please.
Navaz: This is Navaz from Dalal & Broacha. I have two questions. Firstly, there is on the other expense item, this is a book keeping question . The other expenses have been negatives of Rs. 1 3.5 crore s. Can you explain this item? There is a first question . And secondly, any update on the Saudi Arab project of Rs. 2,700 crore s which went for rebidding , is there any chance of that coming back, or at least part of it coming back in the near future ?
Rajiv Mittal: I think Skanda will answer you on the other expense , negative.
Skandaprasad S.: See, the other expense negative that you see is primarily because of the ECL provision , so the provisions for receivables which are reversed . You know the quality of the order book and quality of receivables have been improving. So whenever we are able to collect , and you have already seen the free cash flow generation which has come through , the cash that we have closed with, all of this have helped us recalibrate our provisions . And that provision reversal comes through in the other expenses. So that is what has happened during Q4 and that's why your overall other expenses is negative. Other than that, there is no inordinate increase or decrease in the other expenses.
Navaz: This reversal has happened based on items that has happened in last financial year itself or the previous financial year.
Skandaprasad S. : No, it could be accumulation of provisions. We recalibrate our provisions every quarter. There could be addition or there could be release . But you can see that our receivable days have come down , our working capital days have improved. So , obviously , my provisions also will get reversed because I do not have that kind of age in my receivables , right? So that reversal has to come to P&L. And it gets booked in other expenses . And that is why other expenses as a number shows as negative. But there are two parts. If you take out the ECL provisions, the rest of the other expense, which is our overheads and things, there is nothing inordinate in that , that's fairly the same or normal increase year-over-year.

Rajiv Mittal: Regarding

your second question on this Saudi order , I think there was always a talk of town when this order was postponed. We always told the project is getting postponed, but some or many of you , and the media started talking about cancellation. So , I do not know , English is always a funny language, whethe r we call it cancellation or postponement. But it turned out to be right what we told. It was only the government was recalibrating. I think you all have read in the newspaper the strategy which was developed for Saudi Arabia by McKinsey was thro wn out of the window by the Saudi Government few months back and contract of McKinsey , you can go through Google and see , was terminated , and McKinsey was blacklist ed in Saudi Arabia saying that you have advised us wrongly on the strategy .
And they started their own consulting firms from Saudi working on this strategy . And lot of these projects came back , some with small changes, some with big changes. And our project in question what you are asking came back with very minor, not even sm all, minor changes. You will be happy to know , we have rebid it , there were five bidders . And we are confident that the evaluation is going on. We will remain a preferred bidder. We are keeping our fingers crossed and we are very confident and hopeful that we should be able to share a good news with you very soon, not in months, maybe weeks.
Navaz: Okay. Thank you so much.
Anupam Goswami: Hello sir. Anupam Goswami from SUD L ife. Sir, my first question is on the gross margin decrease that we have seen in Q4. If we avoid the other expenses , just at the gross margin level we have about 500 basis points came down. What is the reason for that , first ? And in India, with our peers, which are not of course at our size, but do we see any competition from them in projects in India?
Skandaprasad S.: So, second question first, I do not know who are my peers because we do not see any of the Indian competition when we go for bidding the kind of projects that we are bidding . We are completely a different Company; we focus on technology. We are not a contractor. Our strength is EP. Our strength is technology. We like to call ourselves as a technology system integrator. We are not an engineering procurement and construction contractor. And h ence, I will leave it there. And then we will see, we will see over a five - seven years period who's there, who's not there, who's performing , the way it is.
Second, on the gross margins , as you know , this b roadly depends on the mix of projects. And that's why we g ave you a range of guidance, EBITDA between 13 % to 15 %, when it is more of EPC where construction will pass through our books, it will be closer to the lower end . And when there is a higher mix of EP , it w ill be closer to the higher end. So all this is dri ven by the mix of projects. But every project we take, you need to understand that we have certain sieves through which we pass the project . Payment security , advanced technology , margins which meet our threshold , and also being in the emerging economies. So all t he projects , the key projects especially that we have , all of these have passed this s ieves. There are no projects with low

margins below our strategic margin targets. It's only the mix of projects, but yo u will see this swing between 13 % and 15 % depending on whether it is more EPC or more EP.
Anupam Goswami: Sir, we had t arget ed to reduce our EPC 's C part in our orders. So , should we say that Q4 was a little reverse to that or there would be more EPC happened ? What sort of mix are we looking at , as minimum as possible how do we take that mix?
Skandaprasad S.: Mathematically, statistically you are right, but I will not evaluate the Company on a quarterly basis. Look at it on a multi annual. If you see the figures that we presented on stra

tegy , on a five
year basis we still have one-third of our EPC coming from EP. So there may be a year where I will have 80% of my EPC coming from EP revenues . There will be year where it will be the other way. So that's why we have given you a range and we are in that range. But yes, you are right , in Q4 projects like Perur, Pagla, all of these which are EPC heavy , into execution you saw the pipe sinking , you see the amount of construction that is going on. So the quantum of EPC projects is higher in Q4, but you have to see it over a two to three -year period where you will see these margins normalize .
Rajiv Mittal: And we cannot completely eliminate EPC be cause some places client requires a single point responsibility , like the very mega project like Perur, 400 MLD desal , it's JICA funded. They are not allowed to break up the EP and C . So we had to take a total responsibility of C also , including the marine work, which is a very complex , I would say , very technically challenging work . We have taken that and we have shown you how successfully we have completed it. It's not that we do not have the skills to do the C . We have the skills, but we want to refrain from it to improve our valuation, improve our cash flow and reduce our delays. Because most of the delays happen in C because of RoW, and those things we want to reduce it . So it's by choice , it's not by compulsion.
Anupam Goswami: Thank you , sir.
Rajiv Mittal: Yes, next please. Gentleman.

Vikram: This is Vikram from Prodigy Investment Management. So my question was on the market size to restrict that you showed us. So out of the Rs. 70,000 crore s opportunity , combining both the clusters, what percenta ge share would you expect to capture or would you be targeting for the next 5 - 10 years ?
Rajiv Mittal: See, Rohan did mention that about one in three, 25% to 30% has been our hit ratio. So we do not see that why we should be very different in this coming year. So we can technically take it that at least 35% we should be able to get that.
Vikram: And this is over how many years, over 5 years - 10 years t his market size opportunity of Rs. 70,000 crore s?

Rajiv Mittal: See, it is something every year you will have something coming in, something getting done and something is replacing. So , whatever we bid as a project we will bid anything between Rs. 15,000 crore s to Rs. 20,000 crore s every year. Of which we should be able to take 30 % to 35%.
Vikram: Okay . That is all. Thank you.
Rajiv Mittal: Next please.
Participant: Good evening . Sir, many c ongratulations on the delivery. Although we started on a week leg initially , the fourth quarter has been really, really what you had promised. Sir, my question is, could you speak a little in detail about the factors that could hamper our margins or could support our margins going forward ? Or what initiatives we have taken to improve our marg ins or would be taking?
Rajiv Mittal: I think we can talk about it for next 15 minutes. It's definitely not one of the factors , okay . It starts right from our business development efforts . To improve the margin, we have to develop a project. We cannot bid a plain vanilla project and expect to be L1 and improve the margin , you know that. So if we want to have a margin improvement, we have to develop the project . We have to ensure that we limit the competition . We have to ensure that we have competition what we like . We do not have a competition which we do not want to compete.
So, all that needs a huge marketing effort which is what Skanda showed you that go -to-market teams we are developing , technology we are advocating to our client and consultants . Because these are some of the things which put barriers to some of the companies which we do not like to compete , if it is a plain contractor , we do not like

to compete. We would like to compete with companies of equal capability. So this starts from there.
Then obviously during bidding , it's all how smart you can structure your bid, conceptualize your bid, select the right technologies, do the value engineering , and put in a price. And post that , its tremendous effort goes into value engineering. This I b elieve is our strength and will remain as our strength where we improve the margin during execution.
Invariably, most of the projects from the sale to execution, we improve the margin . And it's all because the way we execute the projects, the way we cont rol our margins, the way we do value engineering, the way we do our procurement , control the cost at site , a number , number of factors which go in margin improvement . That in fact itself is one of the big topics in the Company which is continuously debated, discussed and improved quarter -on-quarter.
Devesh: Hello sir. Devesh here from Finvest Capital. I was asking about balance sheet. Sir, in your balance sheet, if you could give clarity about loans and advances which have increased to Rs. 800 crore s, so if you could clari fy on that.
Skandaprasad S.: Rs. 800 crore s?

Devesh: Yes, loans and advances in your balance sheet have increased to Rs. 800 crore s.
Skandaprasad S.: No.
Devesh: Maybe you can answer that.
Skandaprasad S.: No, I would like to see it.
Rajiv Mittal: But anyway, I think forget about the number , you can say what is the loans and advances.
Devesh: Yes, i f you would just give that.
Skandaprasad S.: See, loans and advances has only two components , whatever we give to our subsidiaries, whatever we have given to our HAM SPVs .
Rajiv Mittal: And our suppliers and contractors.
Skandaprasad S.: Yes, that's what we have in that. So , if you take th e supplier advances, those are in the normal course of business. Apart from that, some of the investments into our SPVs will be structured in this form. Legally, it has to be represented there . But I do not recollect anything else that is inordinate. But yes, we can take it offline. You show me the number, I can explain it to you with example .

Rajiv Mittal: During the dinner break you please talk to Skanda, show t he number , we can give you a detailed explanation.
Devesh: Okay sir. And my second question was, you have been mentioning about the free cash flow increasing and also borrowing s getting reduced if you have free cash flow . So you were mentioning about the bottom -line impact , you have to increase the bottom line more than the top line. So do we aim to reduce your borrowings in coming forward times?
Skandaprasad S.: We have reduced our borrowings. We use only short term, wherever it is required . But if you would see , if you have Rs. 1,000 crore s cash and Rs. 700 crore s net cash, I mean , Rs. 200 crore s to Rs. 300 crore s of borrowing to run a Rs. 3,500 crore s business is just transitory in nature, right . So we do not have any long-term borrowings today , we have only working capital. Only working capital for the bridge, that is all we have. And our continual endeavor has been and will continue to be reducing the borrowing usage , because as the organization keeps increasing the accruals, our need to borrow will be lesser. Our dependency on banks is only for the non -fund limits. That's the lifeline of the business , guarantees , LCs, and that's what we want the banks to do, w hich we have sufficient lines for . When it comes to funded limits, we will use it to the minimum levels . And as we have accruals, our endeavor is also to see that that is reduced to as less as possible .

Devesh: Okay , sir. Thank you. Thank you. That's it from my side.
Rajiv Mittal: Anybody else? Yes, please .
Omkar: My name is Omkar , I am an individual in

vestor. First of all , congratulation to you. 100 years of Wabag and Rs. 100 crore s of net profit in Q4, i t was an amazing achievement. So congratulation s to you and entire Wabag team, first of all. I am having two questions . As very much mentioned in the presentation where you are a preferred bidder for a Rs. 3,000 crore s order book , so that order includes one of that big order of Saudi Rs. 2,700 crore s. Apart from that Rs. 3,000 crore s or that Rs. 3,000 crore s preferred bidder you are already including that Rs. 2,700 crore s in that Rs. 3,000 crore s? That is point number one.
And I am asking for particular this financial year , my second question, what are we expecting in India , specifically in India what orders we are expecting ? Because overseas we are doing very well from last couple of years , so any specific orders we are expecting from India in this particular financial year ? And major orders will come in first half or second half?
Rajiv Mittal: See, I think the last one first , in India or why globally we focus on both industrial orders as well as the municipal orders . And municipal orders , again, I repeat, they have to be multilaterally funded or there has to be a sovereign backup for that. So , the orders which we ha ve targeted for this year will include both. The industrial orders, mainly the industrial orders will come from the power plant which is getting revived , the thermal power plants , and also from oil and gas companies like IOCL, GAIL which we are getting , and we will continue to get that.
And municipal orders is regular run -of-the-mill for some of the states where we like to work , we want to work , from those states the municipal orders will also come. Now , if we target Rs. 6,000 - Rs. 7,000 crore s of order , I think India should give us at least half of that , and half of it has to come from international . So that is the breakup what you are looking for .
Now on the Rs. 3,000 crore s. We have maintained the number Rs. 3,000 crore s and just now as I said, let's keep the fingers crossed for Saudi order , because a lot of people talked about it, various comments were coming , we did not respond to it. Let the results respond. We are very hopeful that what was due to us will come back to us. It's only a matter of weeks. We believe that we will be declared as a preferred bidder . And this we will be able to give you back more or less the same order of magnitude what you mentioned.
Omkar: So, I am saying that , as of now I am assuming that Rs. 2,700 crore s is already with Wabag, I am just saying. But I am saying, apart from that any overseas orders , that Rs. 3,000 crore s order is a part of some orders also or that order includes –
Rajiv Mittal: There are other orders , but as a conservative Company, we always report the numbers a little less.

Omkar: Thank you. Thanks for taking my questions.
Aniket: Sir, I am Aniket from YES S ecurities. It looks like that order backlog for Bangladesh and Zambia project has increased by almost Rs. 45 crore s to Rs. 50 cro res. I wanted to check is it mainly because of increase in currency? Is it because of currency depreciation or is there any increase in scope of work?
Skandaprasad S.: See, when it comes to B angladesh, obviously there is a forex element which will increase the

order backlog , you have seen from where we booked to now . In case of Zambia, we have also received a variation order which is about \$8 million - \$9 million , if I remember right , and that has increased the order backlog . So the scop e in the Zambia order has increased , and in case of Bangladesh it is primarily because of the forex translation.
Aniket: Thank you, sir. That's it for me.
Rajiv Mittal: Yes, please.
Yash: Hi. This is Yash . I am an individual investor. Sir, a lot of us in the room are good with the number crunching

and understanding the Company at a balance sheet , P&L level. However, I would want to know in these past 12 months , I mean , we got an opportunity to meet the management last year at the same place. So in these past 12 months what were those few key moments which added the feather in your hat at the Company level ? And maybe a few t wo, three instances which you felt shouldn't have h appened , have tampered the growth of the Company , if you could reflect on those thoughts.
Rajiv Mittal: I do not know, maybe my colleagues here. You want to start , what is that feather in your cap?
Shailesh Kumar : Yes. As I was telling you , the good part what we are doing is we remain focused on what we are doing. We never lose sight of what is the business, and we never lose sight of what we should be doing. The whole team we have activated in such a way that we are on the job, on the toes. And there is a lot of enthusiasm in the team. This is the buzz what we have created and that is what is helping us in remaining intact on our commitment .
As far as the challenges are concerned , yes, that's the part of EPC life. Surprises will hit you. They hit us also . we are not insulated from the m, but we know how to handle those surprises. There are many sites, many situations when it c omes to you , it is about to knock you down. But we know how to handle this. This is what is our robustness , this is what is the differentiator what we have , and we continue our journ ey accordingly.
S Varadarajan : You are talking about a feather in the cap. Maybe as a CFO I expected him to say, you got AA rating during the year which we mentioned. And you also mentioned about you got certified as a Great Place to Work. And so as an organization your rating , and you also mentioned about an international award for reuse plant in Ghaziabad. So these are all possible feathers in the cap that

international or external agencies are certifying that you are doing w ell. What should p ossibly we have to learn and work on? I am not sure what is th ere. B ut there's so many learnings which we internally discuss. But what is that we should share here? I do not know.
But then we are working on many things , one is on succession pla n, that's learning from the past. And so we have brought in our 250 + odd trainees, which we never did in the past, which is making the organization very young. We have done about 60 – 70 - 80 kind of fresh trainees from the best of the colleges. But this year we decided to go big and making the organization very young. And we are also working, we have engaged in an organization which is putting its search for the best talent which are very youn g so that we can give them a development path which is fast, and which is accelerated . This is learning what we have failed in the past and we are trying to learn from it and do something about it. So these are some things which I can look forward to .
Skan daprasad S.: I think we are all used to see outcomes , the feather in the cap is an outcome, but what's not seen is those small changes every day that we do , the discipline that we have had . So I would not peg it on any single or two or three events. I think all of these are culmination of the discipline of the organization that . And it's not just this year , this has gone over decades , more importantly over the last five years where we have been very true and firm in our actions towards a strategy , and that's all the reflections that I heard, whether it is Great Place to Work, whether it is the Ghaziabad project being awarded .
I mean , for us, I would look at those small efforts that we do and remain true and committed to our strategy . And more importantly , what we did , we always had the confidence that this is what we would deliver on an annual basis . Maybe for you it took a year, we always wer

e working towards this and this was the cycle of projects , right . I mean , if I could have delivered 30% in Q1, why would I deliver anything lesser? But that's the cycle of projects. We were always confident. We are very happy that we are able to come here one year later and show you that we have delivered what we promised. That' s more important for me , the smaller steps which has led to what we internally thought we will deliver , and we have delivered that.
Rohan Mittal : So, yes, I mean , the whole organization has been upbeat. I think we are all waiting. We did had some rough patch in the past, but now we are up and running. So the whole organization, all the department s, we are a very connected organization , we are very emotionally connected. We have people with us from 25 years. They are all looking to scale up . And everybody saw the

opportunity this year, you would see that Middle East also , we are upbeat, we have got good jobs. So it's not just a single department , but the whole organization was really excited to do much better. Every year it's been the motto, but this year they have done a lot of hard work because they wanted the organization to perform.

I think that is one , and obviously you could see that we have got an award that substant iates that our organization is well connected. We call our guys Wabagites, and we have got the Great Place

to Work award. So that substantiates that our people have done a lot of hard work. We cannot single out any department , everybody has given their bes t. So I feel that we have seen a lot of fire in the belly this year and we expect to keep that momentum, keep that fire in the belly and do much better next year.

Rajiv Mittal: We are running out of time, so I would say , one, you saw passionately we projected sinking of pipe for a largest desal plant , is definitely an achievement. Nobody has done that before , 2.5 meter , 1.2 kilometer for a 400 MLD twin pipe, sinking 20 meters under the sea , that is a major achievement. Winning about $0.5 billion project from Middle East was also a great achievement. Starting execution in Middle East after a long, long time of a $200 million project , we have not done in the recent past. We were always like a specialist contractor , not a general contractor, so that's another one which we see is something which we are very, very proud of.

I think another thing which we are definitely you want to call a feather in cap or something which we feel proud of that we are celebrating our centenary year , okay , that is somethin g which not many individuals or Company have the ability to survive 100 years. We are happy that we have survived. We are live , kicking, performing , and celebrating our Centenary year.

Now some of the things which did go wrong, we did not expect it to go wrong. Somebody talked about the Saudi order. We did not expect to postpone because it's postponed by at least six months. Otherwise , we would have started the revenues this quarter of that order. Now probably we will go into the second qu arter to start our revenues. That's fine , that's a thing you have to reconcile. But we are happy that we will get it back. So , some things like that do go wrong.

But I think the most important aspect of Wabag , we are a very resilient organization. We do not give up. Things can happen, mishaps can happen, accidents can happen , but we quickly get up and start running again . And this attitude that we can and we will is something very unique with Wabag . We do not accept the defeat. We do not throw our towels. We just fight till the last and make sure we are successful. And that's one of the great reasons why Wabag is successful. Again I say , we are a very resilient organization.

Yash: Thank you and all the best, sir.

Rajiv Mittal: Anybody else? Or should we break for dinner and then we can con

tinue our discussion unless somebody wants to ask the last one ? We can. Okay , let's break for dinner and we will continue our discussion. Thank you, gentlemen. Thank you , ladies.

Call: Aug 2025

An ISO 9001 Company

Sustainable solutions, for a better life

VA TECH WABAG LIMITED
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August 20, 2025

National Stock Exchange of India Limited BSE Limited,
Exchange Plaza, Plot No. C/1, G Block, Floor 25, P J Towers,
Bandra Kurla Complex, Dalal Street,
Bandra (E), Mumbai – 400 051

NSE Symbol: WABAG Mumbai – 400 001

BSE Scrip Code: 533269

Dear Sir/Madam,
Sub: Transcript of the ' Q1 FY26 Earnings Conference Call'
Please find enclosed the Transcript of 'Q1 FY26 Earnings Conference Call' held on Wednesday, August 13 , 2025 , post declaration of unaudited Financial Results (both Standalone and Consolidated) of the Company for the quarter ended June 30, 2025 . This intimation is filed p ursuant to Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The Transcript of the 'Q1 FY26 Earnings Conference Call' is also available on the Company's website at www.wabag.com .
Kindly take the same on record.

Thanking You,

Encl.: As above For VA TECH WABAG LIMITED

Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No: F CS 4832

"VA TECH WABAG LIMITED
Q1 FY26 Earnings Conference Call"
August 13, 202 5

MANAGEMENT :

MR. RAJIV MITTAL – CHAIRMAN AND MANAGING DIRECTOR
MR. SKANDAPRASAD SEETHARAMAN – GROUP CHIEF FINANCIAL OFFICER
MR. ROHAN MITTAL – HEAD STRATEGY AND BUSINESS GROWTH, GCC

Moderator: Good evening, and welcome, everyone to this Earnings Call , Post Announcement of Q1 FY26 Results of VA Tech Wabag Limited. On the call today from the management team, we have Mr. Rajiv Mittal, Chairman and Managing Director; Mr. Skandaprasad Seetharaman, Group Chief Financial Officer; and Mr. Rohan Mittal, Head Strategy and Business Growth - GCC.
Kindly note that during this call, the C ompany may make certain forward -looking statements concerning the business prospects and profitability, which may be subject to risks and uncertainties, and the actual results could materially differ from those in such forward -looking statements . The conference will be archived and a transcript will be made available on the company's website.
The company's results update presentation has been uploaded on the website of the Company and Stock Exchanges , which provides an overview about the core of ferings and analysis of the results for this period. We trust that you had an opportunity to look through the same. We will start with the opening remarks from the management, post which we will open up for the interactive Q&A.
I now hand the conference o ver to Mr. Rajiv Mittal to take you all through the key business highlights. Over to you, Mr. Mittal.
Rajiv Mittal: Thank you. Good evening, ladies, and gentlemen. We extend a very warm welcome to all of you to the earnings call post announcement of our Q1 FY26 results of VA Tech Wabag Limited.
Your continued support and engagements are invaluable to our growth journey, and we appreciate your presence today. Joining me today are Mr. Skandaprasad Seetharaman, our Group CFO; and Mr. Rohan Mittal, Head Strategy and Business Growth - GCC.
We have started the year with a very strong quarter, building on the growth momentum from the last year. This quarter, we have improved on every single parameter. Our top line is higher, our EBITDA is stronger , PAT is growing faster than the top line, denoting profitable growth.
Importantly, this quarter marked the 10th consecutive quarter of being net cash positive, a testimony to our disciplined financial management, operational efficiency and focus on quality execution.
Wabag further reinforced its leadership as a pure -play water technology Company , expanding across the Middle East, Africa and Asia with over 40% of the revenues now from the international market. Our expertise in reuse, industrial effluent management, energy -efficient desalination plant continues to give us a competitive edge. We have maintained a balanced revenue mix of 75 :25 between municipal and indus trial clients , and progressing steady towards our strategic goal of increasing O&M revenue share, which exceeded 20% this quarter. This healthy mix strengthens earnings resilience and ensures geographic diversification.
With our continued focus on emerging market s and efforts of agile go -to-market team, we secured two major orders. The first one of INR 380 crores for design, build, operate order from Bangalore Water Supply and Sewerage Board funded by World Bank for a state -of-art energy -efficient w ater reuse facility in Bengaluru , and a Letter of A ward for the much anticipated 300

million liters a day of seawater desalination plant at Yanbu in the Kingdom of Saudi Arabia worth about INR 2,332 crores from the Saudi Water Authority.
As you may recall , last quarter, we informed our preferred bidder status in the project worth INR 30 billion. And you can see that we have already converted the majority of the same into firm orders. And it does not stop here. We continue actively on our bidding effort s for several large orders from India's massive infrastructure investment to Middle East desalination leadership, Africa's emerging water projects and Asia's urban indu

strial growth. Wabag is pursuing a
‘Glocal ’ Strategy, combining global reach with local dept h to capture opportunities across diverse geographies. As a result of our effort s, we have secured preferred bidder status for projects worth over INR 35 billion.

Our order book currently stands at over INR 15,750 crores , well balanced between EPC and O&M segments , between municipal and industrial clients and in India and international market. Importantly, majority of these orders came with adequate payment security. This robust pipeline gives us strong visibility and the confidence in delivering sustainable performance in the coming quarters.

Looking ahead, opportunities remain promising drive n by government -led investments in water security, wastewater recycle and river rejuvenation to raise municipal demands for a sustainable treatment and reuse. Industrial water management needs spurred by ESG commitments and regulatory tightening. Internati onal opportunities across the targeted emerging markets where Wabag's references and execution track record position it competitively. This robust funnel, combined with our disciplined bid selectivity and risk -calibrated commercial models put us in a stron g position to capture these opportunities.

I would also like to share the update s on some of the key projects. The prestigious 400 MLD Perur desalination project in Chennai funded by JICA , Japan is progressing well. We have successfully completed the crit ical marine work, sinking all 3 marine pipelines, 2 in the intake and 1 in the outfall, each of 2.5 meter s diameter, including launch of largest and longest single intake pipeline of 1,151 meters. This milestone stands a testament to our resilience, teamwo rk, commitment to excellence. Key process civil structures are also moving steadily towards completion.

Last year, Wabag secured large repeat orders from Reliance for water treatment systems at Dahej and Nagothane facilities. The basic engineering package has been completed. Detailed engineering is in advanced stage and civil works of this water treatment and effluent treatment facilities are progressing at full pace.

The 200 MLD Pagla STP project in Bangladesh jointly funded by World Bank and AIIB is the country's first of its kind plant where bio -gas engines will generate power from the digested sludge promoting sustainable wastewater management. The project has achieved significant milestones, including completion of most sand filling work and pile c asting currently underway.

200 MLD municipal sewage treatment plant at Al -Haer, near Riyadh in Saudi Arabia is a significant repeat order from our esteemed client, Miahona . Engineering and ordering of t hese

supplies are progressing at its peak. Temporary facilities at the site are deployed and adequate resources are mobilized. Civil works commenced and gaining momentum.

In Zambia, Wabag is executing a landmark sanitation projects for Lusaka Water Supply and Sanitation Company funded by European Investment Bank and German KfW. Site survey and soil investigations are complete. Engineering is in full swing, temporary facilities and construction resources are being deployed.

On the occasion of our C entenary year, backed by robust performance and a healthy cas h position, Board had recommended to the shareholders for approval a dividend of INR 4/- per share, 200% of the face value for the year ended March 31, 2025. We are very pleased to share that shareholders have approved this resolution and the disbursement is underway. We remain committed to deliver long -term shareholders' value while maintaining a prudent balance between rewarding shareholders and reinvesting in our growth investments.

So to sum up, strong start to the year, steady progress on our strategy , robust financial and a healthy order book that positions us for continued su

ccess. Our innovation, partnership and
purpose -driven growth will continue to shape a more sustainable, equitable world, one drop, one community and one breakthrough at a time. A s we embark on the next century, I invite each one of you to join us in this journey, let us continue to work together to preserve our most precious resource, water, while powering economy and protecting our environment. Our mission has never been more relevant, and our res olve has never been more stronger .

In closing, I want to thank each one of you for your continued confidence in Wabag in making a positive environment and societal impact through its mission to deliver sustainable water solutions glob ally.

With that, I will now hand it over to Rohan to share the update s on Middle East and Africa. Over to you, Rohan.

Rohan Mittal: Good evening, distinguished investors, partners, and colleagues. Middle East and Africa, a region where the demand for qual ity, sustainable and scalable water solutions is rising at an unprecedented pace. For over four decades, Wabag has been present in the Kingdom of Saudi Arabia, delivering marquee projects that have significantly enhanced our brand value in the

region.
Today, as we celebrate 100 years of global excellence, we are channelling our focus towards the right projects and priority markets with the Middle East and Africa positioned as a key growth engine in line with our strategy 'Wriddhi ' and our portfolio continuing to expand with a balanced mix of EPC, O&M and PPP ventures.
Africa's water infrastructure landscape is also undergoing a transformative shift driven by urgent demand for safe and improved sanitation across urban and rural reg ions. The Africa Water Investment Action plan, which targets US D 30 billion in annual investments by 2030 is catalysing this momentum. In the UAE and CIS market, we are deepening our engagement through strategic opportunities that strengthen our foothold a nd reinforce our presence in emerging municipal and industrial sectors. With our legacy expertise and strategic focus, Wabag

is well positioned to lead the next wave of water sector transformation across the Middle East and Africa region.
Now on to a key order intake development during this quarter. Yanbu mega desalination order represents a defining milestone for VA Tech Wabag , a 300 MLD worth USD 272 million EPC contract and the largest international order in our history from a very esteemed client, Saud i Water Authority ('SWA '), the Kingdom's flagship water utility and one of the most respected names globally in large -scale desalination, formerly known as Sali ne Water Conversion Corporation ('SWCC '). The plant will incorp orate dual media filtration, a tw o-part reverse osmosis and remineralisation processes, delivering premium quality portable water. This win is a powerful endorsement of our technological leadership, execution excellence and competitive edge in the global water sector, secured in one of th e most demanding procurement environments in the region.
Yanbu II was achieved through rigorous value engineering, strategic procurement optimization and leveraging competitive subcontractor pricing, all while upholding the highest standards of technological innovation and professional reliability. The Yanbu II award is a testament to two defining strengths of Wabag , our resilience and ability to secure high -specification desalination projects and our capacity to enhance unit economic s without compromising quality. This win reinforces our position as a global water leader and accelerates our growth trajectory in the Kingdom of Saudi Arabia.
Now to a quick update on 2 major projects under execution in the region. First, the technologically advan ced Ras Tanura project , has reached an overall 80% completion. Engineering and procurement is complete with all major eq

uipment ordered and currently in
shipment to site. Installation has commenced. The project is progressing well on track.
In Wabag 's lar gest EPC order under execution in the region, the Al -Haer wastewater treatment plant, basic engineering is complete and the detailed engineering activities are underway. Site mobilization has also been completed and construction works have commenced as we ll and progressing well on track. Notably, sludge treatment will be achieved through solar drying while extensive use of solar PV panels will contribute renewable energy to plant operations, reinforcing Wabag 's commitment to environment stewardship.
Wabag 's future in MEA is focused, strategic and growth driven with client development at the heart of our approach. The regional transformative agenda led by Saudi Vision 2030 and the upcoming FIFA World Cup 2034 is creating an unprecedented demand for sustaina ble large - scale water and wastewater infrastructure.
In parallel, Africa's rapid urbanization and industrial growth are driving significant opportunities for advanced water solutions across the continent. We are positioned to capitalize on this momentum, actively pursuing opportunities across industrial, municipal and utility segments in both the regions. Supported by a robust pipeline of Greenfield desalination EPC projects, annuity -based O&M contracts and advanced industrial water solutions. Our strategy is clear ; leverage technology as a key differentiator and partner locally wherever required to deliver world -class solutions.

This quarter alone, we submitted multiple bids and are evaluating a strong slate of opportunities. Every project we deliver from mega desalination to advanced reuse is a step towards cleaner oceans, lower carbon footprints and a resilient economy for the communities that we serve. With the region's growth trajectory, Wabag is primed to play a pivotal role in shaping its water futur e.

I will hand over to Skanda to share the financial performance.

Skandaprasad S. : Thank you, Rohan. Good evening, everyone. I trust you had a chance to review our results update presentation, which ha ve been uploaded on our website and with the stock exc hanges.

I'm pleased to share that we have delivered another profitable growth quarter. Our financial performance reflected disciplined bidding, vigilant cost control, a sharper focus on cash conversion and prudent risk management across our operating geog raphies. Profitability remains at the core of our strategy and the progress we have achieved over the past several quarters and years is translating into stronger earnings quality and healthier balance sheet metrics.

Now let me quickly walk you through ou r performance highlights for the quarter.

Our consolidated revenue stood at INR 734 crores , growing by 17% year -over-year. Standalone revenue for the same period stood at INR 640 crores . Our consolidated EBITDA stood at INR 96 crores , growing by around 18% year -over-year. Standalone EBITDA for the same period stood at INR 86 crores . Consolidated PAT stood at INR 66 crores with a PAT margin of 9%, growing at over 20% year -over-year. Standalone PAT for the same period stood at INR 61 crores .

The top line growth for this quarter was driven primarily by strong progress in several large projects, including the 200 MLD Al -Haer independent sewage treatment plant in Riyadh, the 400 MLD Perur desalination plant in Chennai, the Ras Tanura Industrial water treatmen t plant at the Ras Tanura Refinery Complex in the Kingdom of Saudi Arabia and the Chennai Petroleum Corporation Limited project in Tamil Nadu.

A year ago, we provided a 3 to 5 year medium -term outlook to all investors. We have been working diligently on t he same to meet the outlook. The results are evident in our performance of the last year and also in this quarter. For Q1,

top line grew by 17%, well within our guided range of 15% to 20%, while EBITDA margins were maintained in the 13% to 15% band as guided. We have delivered this growth profitably in line with our strategic priorities. This performance underscores our operational efficiency, disciplined project execution and the strength of a well -balanced portfolio across EPC, industrial and internationa l markets, complemented by a steadily rising contribution from our high -margin O&M business.

As of June 2025, our net cash position stands at INR 510 crores . Excluding net debt on HAM entities, which is transitory in nature, considering our asset -light st rategy, our net cash position stood at INR 627 crores . We closed the quarter with a gross cash position of INR 815 crores . As mentioned by Mr. Mittal earlier, this is our 10th consecutive quarter where we closed the period with a net cash positive position, primarily driven by disciplined cash flow management and prudent debt control. Our strong cash reserves allow us to swiftly fund projects, accelerate

execution time lines, pursue opportunities in new geographies, and invest in enhancing our talen t and capabilities.

We remain steadfast to our a sset-light model, delivering a R eturn on Capital Employed (‘RoCE‘) over 18%. We continued to create long -term shareholder value, generating a Return on Equity (‘RoE’) of 15%.

With the recent order win of INR 380 crores wastewater treatment and reuse facility for BWSSB , Bengaluru and INR 2,332 crores , 300 MLD mega desalination plant in Yanbu for Saudi Water Authority, the order book stands at over INR 15,750 crores , approximately 5x of our annual revenue.

With our robust order book, strong pipeline visibility, we are confident of sustaining both revenue growth and profitability while maintaining our net cash positive position as we move ahead in this year. Our focus will remain on emerging market opportunit ies and advanced technology projects particularly in desalination, recycling, reuse, and affluent treatment.

I once again thank everyone, our shareholders, fellow Wabag ites, customers, partners, vendors, bankers and all the stakeholders for the continued trust and unwavering support over the past century. It is because of you that Wabag stands tall today, ready to face the challenges and capitalize on the opportunities of the future.

With that, we now open the floor for the interactive Q&A session.

Modera tor: The first question comes from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: I would like to congratulate you, sir, on the excellent execution as well as the order inflow. So my question is firstly on the project that we have declared L1 in , which is the JV with HEISCO in Kuwait. My understanding is that the order value is close to INR 27 billion. What would be our share of that project?

Rajiv Mittal: This is still just an opening result, what you are referring to. We can say other than bein g a preferred bidder, nothing more of that. We want to make sure that the evaluation is completed. And post evaluation, they should declare us as a party who gets the award. So our portion in that

consortium will a little more than 50%, close to about US D 200 million.
Nidhi Shah: All right. And also another question I had on the order book was , the Lusaka Water Supply and Sanitation Company project that we have, which is the 73 MLD project. For the last 2 quarters, I have noticed that the order value has been increasing. Is there any reason for that as a scope increase or this is just due to exchange rates and inflation, things like that?
Rajiv Mittal: Of course, the exchange rate has not increased so much, Nidhi. So first part of your guess is right. The client, because it is funded by 2 international funding agencies, they wanted certain scopes to increase to make it more sustainable

and environmental friendly. So they have increased the scope by about EUR 7-8 million before we got a start date to the con tract. So that is how the value has gone up.

Nidhi Shah: Yes. So my last question is, so last quarter, you mentioned that there were six active inquiries on the ultra -water pure segment that you were hoping to sort of realize in H2. What is the progress on that? Are we any closer to closing any order ?
Rajiv Mittal: Yes, we are. A couple of orders. Our boys are working very hard. They're taking a little longer than what we would have expected, but nothing to be concerned. We are still in this couple of orders. We are progressing well. We would like to believe that we have been positioned well. But in the next couple of months, we'll know the results.
Moderator: Our next question comes from the line of Sailesh Raja with B&K Securities.
Sailesh Raja: Congrats for the great set of numbers. Sir, my first question, in the domestic municipal segment, we are seeing a moderate 4% growth in the order backlog number s. Could you explain the reason for this? And since we are focusing more on the industrial segment domest ically and on overseas market, have we become more selective in taking orders in the municipal space in the domestic market? Or is the slower growth linked to demand challenges due to overcrowded market?
Rajiv Mittal: I think I would not say that we have n ow become more selective. We were always selective, and we have informed all our investors and potential investors that we have very strict bidding criteria where we take a bid, no -bid decision. And top of that criteria is our payment security. And if you see most of our order backlog, 98% plus will have a complete payment security, which are funded either by Federal G overnment, Central Government or by Multilateral Agencies like World Bank, JICA, KfW, ADB kind of organizations. And we don't bid if this is not available to us.
And I think also, we don't bid unless there is a strategic reason for projects which are funded by the state government. Hence, our selectiveness is very, very robust. And we only go for where we think we have a payment security and also where we have a technological edge. That's all it means, and we are not dependent on any single market.
And as we have told you before, it's not that every market we have to grow at X percentage. If other markets are giving us a better opportunity, o ther sectors are giving us better opportunity, we will go for it because our execution workforce is common, whether we deploy them for municipal projects, industrial projects, international projects, it doesn't matter to us. They have a versatility to exec ute any projects with any standard, whether they're large, complex, they are geared up to do that.
Sailesh Raja: Since you spoke about the payment , regarding the 100 MLD solar desalination project, since Indosol Solar is a new entity, so how do they plan t o arrange the funding for the project?
Rajiv Mittal: I think the funding is already in place. The reason for delay is because there was a change of government and the land which was allocated to them had to be reallocated. So they had to do all the environ mental studies and because of the change of location. And there, they lost about 6 months. Now I believe they have got all this in place. And within a month or 2, it will kickstart again that project, and we would like to see this moving really at a brisk pace.

Sailesh Raja: So how this project is funded, sir?
Rajiv Mittal: I think they have investors who are funding this. And we are not privy to that. But I think they have a financial closure on the project.
Sailesh Raja: Okay. Okay, sir. Sir, on the plan to set up 100 biogas to CNG units, could you elaborate on the business opport

unity here? Will this be developed as a standalone vertical or through any partnerships to achieve scale and secure funding? And what business scale are you targeting

over the nex t 3 years? And when is the project expected to commence? And also how this raw material that solid waste will be procured and what is the payback that you're expecting?
Rajiv Mittal: First and foremost, this was announced almost 1.5 years back that for thi s venture, we have partnered with PEAK Ventures as a funding agency. They will pa rtner us in funding this project, and this will develop and we will be the technical partner and a minority investor in that. This is again a concept selling. This was not ava ilable in the country and only recently, large corporates are investing in it.
They are securing the raw material. It is not our business to get the raw material. They will secure raw material and hand it over to us. Our business is to take that raw mater ial and produce this compressed biogas. And this is what we will again sell it at the tariffs which are fixed by the Government of India, which are very, very attractive tariff.
Again, it is all going into sustainability, clean environment and circular ec onomy, very well fits into our strategy. Hence, we are there. And anything like this, which are concept selling is always slow to take. Initially, there are small -sized plants coming up, which we are giving it a pass. And once we see a medium to large oppo rtunities, we will jump in.
Sailesh Raja: Okay. Sir one last question.
Moderator: I'm sorry to interrupt, Sailesh. Those were your two questions. Could you please fall back into the queue? The next question comes from the line of Sabil Dabhoya from Unifi C apital.
Sabil Dabhoya: Yes, sir. So congratulations on a great set of numbers. My first question was around the investment platform. Could you please update us on the progress of the same? And if you could please call out any existing HAM projects, which w e transferred to the investment platform.
Skandaprasad S. : So as we informed in the last quarter, the due diligence is already underway, and we are close to getting a sign -off on that from the Investors side. Once that is done, since these are large international investors, they will go through their internal processes, and then we will move into the signing of definitive agreements and making the platform effective. As we told you in the last quarter, obviously, our interest would be to monetize as m uch of the investments as possible into this platform, which can include also the existing projects.
Sabil Dabhoya: Okay, sure. I mean, I understand that we don't guide on a short -term basis for revenue and EBITDA margin. But just structurally, because our O&M revenue also went up, and we are entering into the EP stage for some of our large projects, is it fair to assume a directionally better margin for FY26 as a whole?

Rajiv Mittal: See, our endeavour is to improve the margins alway s. That is the reason l ast year, we have given a direction to you for the next 3 to 5 years. We have not given for 6 months or for a year. So that shows the confidence in our order book, what we have that enables us to give for 3 to 5 years a direction so that you can do your modelling .
And obviously, I think our aim is always now, as we said before, to improve the margins and improve the cash flow. And top line is evident with this kind of order backlog, the top line is inevitable that it will grow. There's no doubt about it. We just have to focus on margins and cash flow.
Moderator: The next question comes from the line of Aniket Jain with YES Securities.
Aniket Jain: Actually, I ha ve two questions. In the last presentation, you mentioned , you were the preferred bidders on orders of about INR 3,000 crores without the Yanbu project, if I remember correctly, of w

hich I think we have won INR 380 crores from the Bengaluru. Now we are preferred bidders of about INR 3,500 crores .
So I wanted to check if we're expecting finalization on some of them in this quarter, that is Q2. And what is the status on the remaining INR 2,500 crores of orders which are pending from the last bidding pipeline? That is question number one. I can ask question two later on.
Rajiv Mittal: No problem. You can wait for us to finish the answer. See, I think it's not about Yanbu was in or not. When we ga ve this direction, we were confident and we have informed you that whatever restructuring the client wants to do on Yanbu, we will get it back. And that was a kind of a confidence the team has exhibited. And when we give you a preferred status, that is included in it that we will get Yanbu, no doubt about it.
Again, we are giving you a guidance that we are preferred bidder for INR 3,500 crores , as we speak, which includes some of them we are already -- like somebody had asked a question on Kuwait project. We are already declared L1. And some other projects are also there, which at the moment, we can't disclose the names, but we are very confident that maybe by the time we meet you next call, we should be having most of them in our order backlog.
Aniket Jain: Understood, sir. And probably a second one would be, as per the press release, Yanbu project was mentioned at INR 2,332 crores , while in presentation, it is mentioned at INR 2,038 crores .
So just wanted to check what's the differential? Is it tax or something else?

Rajiv Mittal: Your guess is right. It's the VAT portion because what we take in our sales is excluding VAT and what is the project value is including VAT. So it's only the VAT portion.
Moderator: The next question comes from the line of Jainam Jain with ICICI Securities.
Jainam Jain: Sir, my first question is, we have seen execution on the Indosol Solar order has been slower than expected. Sir, can you just help us understand what are the factors causing the delay?
Rajiv Mittal: I just answered to one of our friends and investors who had raised this question that there was a slowdown of about 6 to 7 months because of the change of land because their land, which was

allocated to them and that finished all the studies and environmental studies and soil investigation su rvey and everything was taken back by the government for some other priority project . And instead of that, they were allocated another land, which last 6 to 8 months, they finished all the environmental studies and investigation, geotechnical surveys. Now having done that, I understand from next month, this project will get kick started again. And you wil l see the progress picking up in the next few quarters.
Jainam Jain: Okay sir. Sir, my next question is, the order value of the Yanbu desalination project has dropped from INR 23 billion to INR 20 billion this time around. So is this because of Mackenzie's exit? Or has there has been any change in scope of work?
Rajiv Mittal: I think it's a combination of few things, as we have said before. One, some of the scopes have changed, but also because of the experience, because we had 6 months of this order in our books, our team had worked the execution, the basic engineering, detailed engineering, we had alread y started, and we have already started collecting quotations from the market.
So there is also a part of value engineering, which has gone into this project, which is making us more competitive. But you must also know that we have just won this project by just 0.27%. That shows how competitive we are and how we could judge this. And this 6 months of getting this engineering before it was reinvited for bidding has really helped us to do value engineering.
Moderator: The next question comes from the line of Kaushik Poddar from KB Capital Markets Pri

vate
Limited.
Kaushik Poddar: Yes. See, this year, we have already won something like INR 26 billion, and we are preferred bidder for INR 35 billion. So that makes it around INR 60 billion. So can we end the year a round INR 80 billion of order book, new order?
Rajiv Mittal: There is Hindi phrase "Aapke muh mai ghee shakkar". So I think we love all this. I think the more positive we speak, the more positivity will come to the Company . We are always very bullish. The team has been working very hard. Even in the last couple of months, we have submitted bids worth more than USD 1 billion. So yes, market is very conducive. Sector is looking up, not only in India but globally. So we are keeping our fingers crossed.
Kaushik Poddar: This USD 1 billion is on top of the INR 35 billion , rather?
Rajiv Mittal: No. some of them are also included in this. We didn't say that, but one of you asked this question on Kuwait. So Kuwait was also bid as a part of this USD 1 billion.
Moderator: The next question comes from the line of Sriharsha KJ from Alpha Capital Vent ures.
Sriharsha KJ: I had just one question. Like I want to know the translation reserve of INR 321 million, which is classified u nder other comprehensive income?
Skand aprasad S. : Yes. This is primarily coming from translation of assets and liabilities for the change in exchange rates, and it happens every quarter. This is required as per the accounting standards. But what

you have to look at is what passes through the P &L, which is basically the profit after tax attributable to owners.
Moderator: The next question comes from the line of Sailesh Raja with B&K Securities.
Sailesh Raja: Sir, could you please talk about the opportunity in NWC second phase LTOM package number 16, 17, 18, 19. So there are 72 STPs are there. Is tendering has started?
Rohan Mittal: This is a full block from 10 to 19. We have recei ved tenders for 10, 11 and 12. The 14th is under discussion. The rest would follow. We have already received the 10th where the Company has bid with in a partnership. The 11th, we have also bid. The 12th is currently under preparation. The 13th is unlikely to come or not come, it's a discussion between their Board. But the 14th is positively going to come in, say, 2 month s.
Sailesh Raja: Okay. That's great.
Rajiv Mittal: The bottom line is we are qualified for all these LTOM tenders, and it's up to us to do the review and check if we will bid for all of them.

Sailesh Raja: Okay. Okay. Great. Sir, in the BLUE SEED division, is there any update on finalizing the new technology? Also, are there any plans to venture into B2C water chemical business? As you know, recently, chemical Company , Atul Limited, they have tied up with Ba tman Labs for delivering advanced water treatment solution.
Since Wabag has strong expertise in desalination, that is a process involving significant chemistry and extensive experience in this domain. So why not consider launching any water chemical solut ion products so that will help diversify the portfolio and also make the business less volatile?
Rajiv Mittal: One thing is , we are very satisfied with what we do. We have a very clear focus on what we want to do, and we don't want to look right or left be cause others are doing. Others may have expertise in what they do. We have certain expertise, and we want to leverage our expertise in what we do. We want to be second to none in the projects and the business we run.
Also keeping in mind our strategic goa l of remaining asset -light. And you would have noticed that we have one of the lightest balance sheet in this sector. We want to continue that and not invest into manufacturing and consumer selling. That's not our business. We are into large, complex, tech nically challenging projects. And I think at least in foreseeable future, we will like

to remain focused on that.
Moderator: The next question comes from Aniket Jain with YES Securities.
Aniket Jain: Sir, so you recorded one of the strongest gross margins of about 28.7% over the last 25 quarters, so exceptionally well gross margins that you recorded this time. So just wanted to check, is this mainly because of lower component deliveries in this quarter? I think last quarter was impacted by high component de liveries? Or are we expecting some structurally higher margins going forward?

Skandaprasad S. : See, Aniket, this is always a mix of projects, right, projects in different stages. If you see the kind of projects we had, we had Al -Haer, which is in early engineering stage and just started. We had Ras Tanura. Ras Tanura is an EP project. We had CPCL, which again is in early delivery stage. We had the Perur desalination, which is in an advanced stage of engineering completion and deliveries have begun.
So it's a mix, and that is why we recommend that you do not look at us quarter -over-quarter because it can be very different. You have to look at it on a multi -annual basis, which is a 3 to 5 year range, and that's how we would recommend you to compare the mar gins. There can be quarters which can be one -offs like even the last quarter as well as this quarter. But on an average, our margins will fairly remain stable, and we will continue to keep growing.
Aniket Jain: Understood, sir. And probably second one, if I can squeeze in. So your other expenses increased sharply. So as a percentage of sales, these are 6.6% as of now. I assume some of this is impacted by higher forex . So is there something else that also led to higher other expenses ? That is my second quest ion.
Skandaprasad S. : Largely, it is forex . And of course, you know we had also issued the centenary ESOP in the last year, and we will have to accrue some expenses on account of that, which is below the contribution margin. These are the larger ones. But largely, you would see ESOP. Apart from that, the regular expenses, and few provisions, which is normal what requires us to be made as per our accounting policy. But largely, it is forex because of the kind of movement that has happened in the exchange rat es period -over-period.
Aniket Jain: So ESOPs, we won't be accruing this in future quarters, right? Is it largely done? Or do we expect some more?
Skandaprasad S. : No, no. It will be staggered because it started in the last year. You are seeing that this ye ar, there is an ESOP accrual. As it moves forward, it will taper. The first 2, 3 years are a little higher because it's a 4 -year accrual that we have to do. But it will happen every quarter.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Rajiv Mittal for the closing remarks.
Rajiv Mittal: Thank you, friends, for your active participation in this Q1 FY26 earnings call. We have uploaded the analyst presentation in our website. In cas e you have further queries, you may get in touch with AdFactor IR or feel free to get in touch with us directly. Thank you once again. Enjoy your evening. Bye -bye.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of VA Tech Wabag Limited, that co ncludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

An ISO 9001 Company

Sustainable solutions, for a better life

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November 14 , 2025

National Stock Exchange of India Limited BSE Limited,
Exchange Plaza, Plot No. C/1, G Block, Floor 25, P J Towers,
Bandra Kurla Complex, Dalal Street,
Bandra (E), Mumbai – 400 051

NSE Symbol: WABAG Mumbai – 400 001

BSE Scrip Code: 533269

Dear Sir/Madam,
Sub: Transcript of the ‘ Q2 & H1 FY26 Results Conference Call’
Please fin d enclosed the Transcript of ‘Q2 & H1 FY26 Results Conference Call’ held on Monday , November 10, 2025, post declaration of unaudited Financial Results (both Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 2025 .
This intimation is filed pursuant to Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The Transcript of the ‘Q2 & H1 FY26 Results Conference Call’ is also available on the Company's website at www.wabag.com .
Kindly take the same on record.

Thanking You,

Encl.: As above For VA TECH WABAG LIMITED

Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No: F CS 4832

“VA T ECH WABAG LIMITED
Q2 and H1 FY26 Earnings Conference Call”
November 10, 202 5

MANAGEMENT :

MR. RAJIV MITTAL – CHAIRMAN AND MANAGING DIRECTOR
MR. SKANDAPRASAD SEETHARAMAN – GROUP CHIEF FINANCIAL OFFICER
MR. ANOOP KARTHA – HEAD SPECIAL INITIATIVE S

Moderator: Good evening, and welcome, everyone, to this Earnings Call Post Announcement of Q2 and H1 FY '2 6 Results of VA Tech Wabag Limited. On the call today from the management team, we have Mr. Rajiv Mittal, Chairman and Managing Director; Mr. Skandaprasad Seetharaman, Group Chief Financial Officer; and Mr. Anoop Kartha, Head, Special Initia tives.
Kind ly note that during this call, the company may make certain forward -looking statements concerning the business prospects and profitability, which may be subject to risks and uncertainties, and the actual results could materially differ from tho se in such forward -looking statements.
The conference call will be archived and a transcript will be made available on the company's website. The company's results update presentation has been uploaded on the website and Stock Exchanges , which provides an overview about the core offerings and analysis of the results for this period. We trust that you had an opportunity to look through the same.
I now hand the conference over to Mr. Mittal to take you through the key business highlights. Over to you, sir.
Rajiv Mittal: Thank you. Good evening, ladies and gentlemen. A warm welcome to you all on the earnings call following the announcement of Q2 and H1 FY '26 results of VA Tech Wabag Limited. Your continued encouragement and trust remains invaluable to our gr owth journey, and we truly appreciate your presence this evening. Joining me today are Mr. Skandaprasad Seetharaman, our Group CFO; and Mr. Anoop Kartha, our Head, Special Initiatives.
We are pleased to report continued profitable growth for the half year , driven by our disciplined financial management, efficient resource utilization and unwavering focus on quality execution. Our bottom line grew profitably by 20% year -on-year. We maintained our guided EBITDA margins and continued to deliver healthy top li ne growth with a PAT margin of 10%. We further strengthened our balance sheet by reducing debt and sustaining a net cash positive status for the 11th consecutive quarter, reflecting our prudent financial stewardship.
This year, nearly half of our revenues were generated from international projects, underscoring WABAG's leadership and growing stature in the global water industry. In line with our committed strategy, we continue to focus on increased contribution from our O&M business, providing stable, pred ictable cash flow and long -term value creation.
Our order book continued to expand with significant strategic wins. As of H1 FY '26, it stands over INR160 billion, comprising of well -balanced mix of 62% EPC and 38% O&M projects, ensuring strong revenue vi sibility and deepening client relationship. International projects continue to contribute nearly 50% of the order book, driving margin improvement and reinforcing our global footprint. In addition, WABAG has emerged as a preferred bidder for marquee projec ts worth over INR30 billion, which is almost INR3,000 crore, both in India and overseas.
Among our key wins in this quarter, we bagged two breakthrough orders in the ‘Future Energy Solutions ’ sector.

We bagged an advanced technology order t o deliver U ltra-Pure Water, Effluent Treatment Plant and Zero Liquid D ischarge solutions for RenewSys solar cell manufacturing facility in Hyderabad. This aligns with our strategic focus to expan d into emerging sector such as Solar, Green Hydrogen and S emiconductors.
Another milestone achievement is our breakthrough project for setting up of Biogas Upgrada tion Unit for Compressed Biogas p roduction . The project captures and upgrades raw biogas into clean renewable CBG fuel , preventing methane emission and replacing conve ntional fossil fuels, an excellent demonstration of circular economy in action, turning municipal w

aste into clean
green energy , and our contribution to India's carbon reduction goal. This project will leverage

the benefits of SATAT (Sustainable Alternative Towards Affordable Transportation) scheme of Government of India, which offers a very high attractive framework for CBG producers with both commercial and strategic advantage. The scheme provides government -backed support and assured offtake by public sector oil marketing companies at a benchmark price fixed by Government of India, ensuring consistent demand, stable revenue streams and sustainable business model with strong growth potential across both urban and rural sector.

In line with our c ontinued focus on long -term O&M portfolio, we also secured a repeat O&M order for 5 years valued at 5.12 million Bahraini Dinars , which is approximately INR1,181 million for 40 MLD AMAS, which is Madinat Salman Sewage Treatment P lant in Bahrain.

Let me now share a few updates on our ongoing projects.

The JICA funded 400 MLD Perur Desalination P lant in Chennai has been doing well, has achieved a major milestone with the completion of all marine activity. Civil construction is progressing well. Key equipment deliveries have commenced. Plant piping, pre -fabrication activities is set to begin shortly and the project is on schedule.

200 MLD Al Haer STP project in Saudi Arabia, another prestigious repeat order from Miahona is moving swiftly and all pro ject activities are in full swing.

300 MLD Yanbu Mega Desalination Plant in Saudi Arabia is progressing well. While we await the effective date of commencement, we are significantly ready with our basic engineering package submission to the client. Key pe rsonnel have been deployed and the procurement of long lead equipment has started.

Lusaka Sanitation P roject in Zambia , funded by EIB and KfW Germany is also on track. Construction drawings for major structures are being finalized. Purchase orders for key equipment are getting issued, and civil subcontractors getting mobilized to the site.

Under the One City One Operator model, WABAG continues to manage the cities of Agra and Ghaziabad successfully. We recently introduced robotic se wage cleaning system in Ghaziabad, an innovation that enhances safety, efficiency and hygiene. This initiative underlines our commitment to deliver technology -driven, citizen -centric and sustainable urban sanitation solutions.

We also had a privilege of h osting a national conference on One City One Operator in Agra under the theme of "Transforming Cities Through Responsibility - One Operator. One Solution . One Future. ". The event brought together over 100 delegates, including government officials, utility leaders, bureaucrats, industry experts , reaffirming WABAG's role as a thought leader in India's water management space.

Looking ahead, we remain steadfast in our strategy to expand into new markets, advanced technology adoption, maintaining strong financi al discipline and driving sustainable growth. Our healthy balance sheet, robust order book and a strong pipeline of opportunities, WABAG is well positioned to sustain its growth momentum and create enduring value for all stakeholders.

Before I close, I wou ld like to thank each one of you for your continued confidence in WABAG and for supporting our mission to deliver sustainable water and environmental solutions globally.

With that, I now hand it over to Anoop to share his insight s on new initiatives. Over to you, Anoop.

Anoop Kartha: Thank you, Mr. Mittal. Good evening, everyone. I'm delighted to have this opportunity to share our business strategy for the Future Energy Solutions segment, and this encompass es Solar, Green Hydrogen, Semiconductors, Compress ed Biogas , and Data Centers . This marks an exciting phase in WABAG's journey as we align our strength and expertise to serve these fa

st

evolving high -growth sectors that are shaping a sustainable and technology -driven future.

Over the past year, we have implemented several strategic initiatives that have already delivered tangible resul ts, including two breakthrough orders to establish an integrated water and wastewater treatment facility for a PV Solar Manufacturing facility and Compressed B io-Gas treatm ent s ystem.

For over a cen tury, WABAG has partnered with global client s to deliver sustainable technology - driven water and wastewater solutions. Our proven expertise in producing demineralized and deionized water using both resin -based and advanced membra ne technologies, as well as our long-term operation of Zero Liquid Discharge systems has provided us with rich experience forming the foundation for our entry into the Ultra -Pure Water segment.

Our recent order from RenewSys , Hyderabad marks a major miles tone, where we are designing and building an advanced technology plant featuring ultrafiltration, reverse osmosis , and electro deionization to produce Ultra-Pure W ater, which is essential for wafer cleaning and conditioning in solar cell manufacturing. The plant will also recycle and evaporate effluent s to ensure zero

liquid discharge , fully aligned with the RenewSys 's sustainability goals.
Now with strong policy support through Make in India and the PLI schemes, India is targeting 130 gigawatt of solar ce ll manufacturing by 2030, which will drive demand for our 100 to 150 MLD of Ultra-Pure Water capacity. Similar requirements are emerging across Green Hydrogen, Data Centers a nd Semiconductor Fabs , where high -purity water and recycling are critical. Our execution capability and track record position WABAG to become a leading player in this fast - growing market.

In the CBG segment, we achieved a significant milestone with the latest order to establis h a CBG plant from Sewage in Uttar Pradesh. The project will convert sludge into biogas through anaerobic digestion , followed by advanced purification to produce fuel -grade methane. This initiative represents our transition from conventional biogas utiliza tion to high -value CBG production, creating a true circular economy. Supported by the government incentives under the SATAT scheme, India 's CBG sector is poised for rapid growth with a vast feedstock potential from existing STPs. We are currently pursuing multiple tenders, and we see a strong opportunity ahead.
In the Data Center segment, we are actively engaging with the market to explore the emerging opportunities . As major IT players expand their data center capacities across India , the demand for relia ble water, particularly for cooling operations is expected to rise significantly. City administrations can address this sustainably by recycling the treated sewage through advanced membrane technologies and promoting water reuse within data centers. With t he proven expertise and award -winning tertiary treatment RO plants in Chennai and Ghaziabad, WABAG is ideally positioned to partner in developing sustainable water infrastructure that enables India's data center growth to remain both resource efficient and environmentally responsible.
To conclude, WABAG's strategic foray into the Ultra -Pure Water for Solar, H ydrogen and Semiconductor sectors, Comprehensive Water Manageme nt solutions for Data C enters and leveraging the thirst on biofuels through CBG project s underscores our commitment to sustainability, innovation and long -term value creation, shaping the next era of green, circular and future -ready water energy solutions.
Thank you again for this opportunity. I will now hand over to Mr. Skanda.
Skandaprasad S. : Thank you, Anoop. Good evening, everyone. I trust you have had the opportunity to go through our results update presentation, which is available on our website and has been filed

with the
stock exchanges.
The first half of this fiscal year has been gratifying on multiple fronts. We continued our journey of profitable growth , with PAT growing faster than the top line and margins remaining firmly in line with our mid -term outlook, driven by enhanced execution efficiency, quality industria l and international projects and the increasing contribution from our high -margin O&M business.
For H1, our consolidated revenue stood at INR1,569 crore, marking a growth of over 18% ye ar-over-year, while stand alone revenue was INR1,330 crore. This top -line performance was primarily driven by timely project execution , and new and large projects picking up pace. Our O&M business continues to perform strongly, contributing 19% to the total revenue, while international business accounted for 47% of the revenu e during the half year, further reinforcing WABAG's global leadership in water technology solutions.
On the profitability front, consolidated EBITDA for H1 stood at INR216 crore with a margin of 13.8%, in line with our target band of 13% to 15% EBITDA , as per the medium -term outlook. Standalone EBITDA stood at INR189 crore. Consolidated PAT for H1 stood at INR151 crore with a margin of 10%, growing 20% year -on-year. Stand alone PAT stood at INR131 crore.

Consistent with our mantra of profitable growth, ove r 5 years, consolidated PAT has had a CAGR of 38% with the earnings per share more than tripling, 3.6x to be precise, reflecting strong shareholder value creation driven by execution excellence, a quality order book, growth in O&M portfolio, increased inte rnational business from marquee industrial clients and efficient cash management.
Turning to our balance sheet. Despite the top line growth, we maintained control over the net working capital, which compared on a year -on-year basis in H1 was lower despite the growth in top line. This strong control over working capital was further reflected in our net cash positive position for the 6th consecutive year and 11th quarter in a row. As of September 2025, our net

cash position stood at INR561 crore.
Excluding the transient debt under our HAM entity, our net cash stood at INR675 crore. We closed the half year with a robust gross cash balance of INR798 crore. Through disciplined cash management and prudent debt control, we have consistently reduced debt levels year after year. This focused approach has turned our net interest cost into a net interest income scenario.
Remaining true to our asset -light model, we continue to deliver strong retu rns with a Return on Capital Employed of around 18.5% and Retur n on E quity of 15%, reaffirming our commitment to long -term value creation for all stakeholders. All our efforts on profitability improvement, excellence in execution and robust balance sheet status has also reflected in consistent upgrades in our credit r ating profile and outlook over the last 5 years.
As highlighted by Mr. Mittal and Ano op, this year, we have secured two breakthrough orders in the emerging Future Energy Solutions sector, further opening new strategic venues for growth. This is a sector w here we have taken a decadal view of growth and expansion , and we remain steadfast in our focus to build and develop specialist teams to win and execute orders for leadership in this niche space.
During the first half, we achieved new order intakes almost worth INR3,500 crore.
Consequently, our order book position rose by 17% since the start of the year to reach over INR16,000 crore as of September '25, supported by strong payment securities. The order book continues to reflect a high -quality and robust ba cklog with a balanced mix, 38% comprising of O&M contracts that ensure steady cash flows and predictable long -term revenues. International orders accounting for nearly 50% of the total order book furt

her reinforce WABAG's position
as a global leader in wat er technology solutions.
With a strong order pipeline, robust financial position and continued execution excellence, we are well positioned to sustain our growth momentum while remaining firmly aligned with our mid-term guidance. Guided by our Wriddhi str ategy, we continue to focus on profitable growth, maintaining a net cash positive position and creating long -term value for our shareholders.
Before I conclude, I want to take this opportunity to thank our bankers, investors, customers, vendors, subcontra ctors, partners and all our Wabagites for their unwavering trust and support.
With this, we will now open the floor for the interactive question -and-answer session. Over to the moderator.

Moderator: The first question is from the line of Kishore Kumar from Unifi Capital.
Kishore Kumar: Sir, my first question is on the gross margin impact. Is it because of the EP via -a-vis EPC proportion and that change actually led to some impact at the gross margin level?
Skandaprasad S. : Kishore, yes, you have seen th at even in our mid -term guidance, we did mention about growth, and it's obviously a case of mix of projects. And you have seen , we presented last year that our EP mix in the EPC was about 1/3rd. But it's an average over a period.
So it is based on mix of projects. But again, with volume, we have guided this band of 13% to 15%, within which we are firmly there. We are at 13.8% with the growth. So I don't see any impact, if at all, we are only growing the margins year -over-year.
Kishore Kumar: Got it, sir. A follow -up on this, actually, similar mix expected in the coming quarters as well, sir?
Skandaprasad S. : Yes, of course. If H1 is good, we should know that H2 is much better on revenues. It should only be better.
Kishore Kumar: Got it, sir. And my second q uestion is on the forex gain actually for this quarter. So, if I look at the USD -INR rate, the depreciation is about 4% to 4.5%. And if I convert it into USD revenues, whatever we actually got it from the rest of the world, the growth is about 20%. But the gain is about INR30 crore compared to INR9 crore in the previous year Q2. How should I look at it, sir, actually? Is it because of any onetime impact or because the number is very huge. How should I look at it actually?
Rajiv Mittal: First, we want to con firm to you , there is no onetime impact. Our business is spread over 27 countries. And as you know, we said even today, that around 50% of our revenues come international and 50% come through the local Indian business. So naturally, if we do an invoicing on a certain date and we receive a payment on another day, so that is what will go into forex gain.
So exactly, we cannot measure what is the exchange. And we have to see the date of invoicing and the date of payment received. These two dates will decide what is the exchange gain. And that gain what you have seen is fully based on this forex gain. Again, I repeat, there is no onetime gain in this.
Kishore Kumar: Got it, sir. Do we hedge 100% of the invoicing value , whenever we rise invoi ce for the overseas project, sir?

Rajiv Mittal: See, we only hedge the delta. You must understand that as we receive our money, we also have a liability to pay and sometimes we also take a packing credit in U.S. dollar. So this becomes a natural hedge for us. If you take a packing credit in U.S. dollar and also the payments, we have to make to contractors and suppliers are also in foreign exchange. So we don't hedge the full amount. If there is a small residual amount, that is the only amount we hedge. Otherwise, we mostly depend on natural hedge. As we get paid, we'll pay to our suppliers and contractors.

Kishore Kumar: Got it, sir. That's clear. I have one more que

stion, if I can ask. Sir, any update on the monetization of the existing HAM projects to the investment platform that we created? And I also see that you have mentioned the biogas project as BOT. Is it through that platform that we are actually pursuing?
Rajiv Mittal: See, yes we told earlier also , because we have marquee international investors into the platform, their due diligence and gettin g the agreements finalized and signed. We are in a very advanced stages of finalizing these agreements. Once these agreements are finalized and the platform is in place, which should happen very soon, then only we can think of transferring some of our asse ts into the platform, including the present CBG project.
Kishore Kumar: So this is through our own standalone entity. It's not through the platform, the biogas BOT.
Rajiv Mittal: As of today, yes, you are right.
Moderator: The next question is from the lin e of Priya from B&K Securities.
Priya: Congratulations for good results. So m y question is a follow -up to the previous participant. So can you provide us out of the overall order backlog of INR160 billion, INR92.1 billion stands for the EPC. Can you quickly say the mix between the EP and the EPC?
Skandaprasad S. : See, these will, of course , vary with period. I would probably put it at more 80 %-20% or 85%-15% at this point. But yes, as you would know, when new o rders come, the mix keeps changing. But for us, every order is the same. We look at benchmark margins irrespective of what is the scope of the project.
Priya: Okay. Understood. And the next question that I had was, in the previous call , as mentioned the Saudi NWC long -term O&M contract in those segments, we have mentioned that there is a very good business opportunity in that segment. So , can you please explain , what i s the status on these O&M projects? Also, in the Middle East region in the near -to medium -term in which region you see more business opportunities, the new projects coming up?
Rajiv Mittal: Yes, true. I think as we have mentioned, probably we were the first company in India who gave enough emphasis on O&M, both in India and now we are co ntinuing the same emphasis internationally. And we mentioned this opportunity, which is Saudi is more towards privatization. So, these are the existing assets which they have. They want to upgrade it and also do renovation , because some of them are old ass ets, they want to renovate it and also they need to upgrade the plants to the present standards. So they want this small investment to be funded by a private sector and then they give you a long -term O&M, and that is a reason they call it LTOM (Long -Term O peration a nd Maintenance), where the investments are small, but the O&M revenues over 15 years is a huge number. So, we have participated in some of these projects. And it's a matter of time. We will secure one and experiment it. But there's a big pipeline of projects which are expected in the next couple of years.
Moderator: The next question is from the line of Hardik from Yes Securities.

Rajiv Mittal: Hardik, we can't hear you. You have to come closer to the speaker and speak up because we can hardly hear you.
Hardik: Can you hear me now?
Rajiv Mittal: Yes, better.
Hardik: I just wanted to ask why have other income increased materially?
Rajiv Mittal: Sorry?
Hardik: Why has other income increased materially?
Rajiv Mittal: We just said , it's basically on the forex . Rest everything is interest income and all have been standard. The main difference last quarter was forex loss and this quarter is forex gain. That is the only material change in other income. And as we explained, being an international company , global company with presence in more than 27 countries and 50% of our revenue is coming in foreign exchange. So this foreign

exchange income or losses is part of our business. And that's
how I explained to the earlier participant, how do we manage this forex gain and loss in our business. So that is the nature of our business.

Moderator: The next question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami: Sir, my first question is on the margins. When you say margins without the other income, then we see a dip, right, from Y -o-Y as well as Q -o-Q. So what's the reason behind it? I think it's percolating due to lower gross margin as well. So what is that impact for us?

Rajiv Mittal: My friend, it's not true. If you would have concentrated on the few of the other participants who asked questions before you, all this we discussed. The only difference is the other income, which consists of forex . And if you just take the forex part, which I just explained why it is a business income or loss f or us. If you take that, it is well within guided margin of 13% to 15%. There is no drop of margin and there's no drop of our operating margin or gross margin.

Anupam Goswami: Okay. Ye s, I'll take that in off -line, S ir. Sir, also if you can give a little c olor on what kind of orders we have in our pipeline in the second half? And how do you look at the order inflow versus last year? Last year, we did about INR5,600 crore. How do you think we could end up this year?

Rajiv Mittal: See, I think as earlier it w as told to the participant and also in our interview, see, we have a very, very solid order pipeline where we are already a preferred bidder, like L1 bidder, both in India and internationally . We have a good INR3,000 crore or INR30 billion of solid backlog of orders which are in pipeline , which can get converted in next few months.
So that is very solid. And this includes some seawater desalination, includes sewage treatment plants, includes some industrial plants for oil and gas, also includes one unique technology we are using for brackish water reverse osmosis, where we are using ceramic membranes. So all this pipeline is good.

And another at least INR2,000 crore, which we are very sure in the next couple of months, we should get a good position in that, which is under evaluation, and we are very hopeful of those projects also get ting closed. And some of them, again, even are in Indian oil and gas sector where we are very bullish about our success.

Anupam Goswami: So mostly are the domestic or international orders?

Rajiv Mittal: As I told you, some of them are international orders, like large ticket orders are international, but there are orders which are in India, both on the municipal side and also on the oil and gas side, where we are placed well. Some of them are already in the preferred status. Some of them we are expecting in the next couple of months to get into the preferred status.

Anupam Goswami: Okay. Sir, lastly, on the HAM platform that we have invested, are we getting any traction so far?

Rajiv Mittal: Just can you emphasize exactly what you mean by traction , in which a rea you are looking for?

Anupam Goswami: Sir, the partner in HAM that we have tied up with. So there are we seeing any new inquiries or order pipeline build?

Rajiv Mittal: The partners we take are not strategic partners because from a qualification perspec tive, from execution perspective, from long -term O&M per se, everything is done by our company. So we are looking mainly for financial partners, and that's what we have so far. And even in the platform which we are creating, which is a $100 million platfor m, there also, we will have financial partners. So we will only leverage their financial experience, management experience, but all the technical experience, domain expertise will remain with WABAG.

Moderator: The next question is from the line of Harshil Parekh from Acuitas Capital.

Harshil Parekh: Sir

, my question is on our preferred order book, which we mentioned last year, where we were the lowest bidder in Doha's desalination plant. So sir, what's the status update on that project?

Rajiv Mittal: See, f irst, I would say it's not last year, it's last quarter, okay . And this is a project which is in Kuwait for the Ministry, and we are a declared L1 bidder. This is under the evaluation process. Generally, it takes about 4 to 5 months. I would say that they are in advanced stage of evaluation. Post evaluation, they will recommend to the Ministry for acceptance. And post that, they will announce the order announcement. And then I think we can inform you if that happens in the next couple of months, we are hopi ng for , we can make an order intake announcement.

Harshil Parekh: Fair enough, sir. Sir, the second question is more targeted towards our other expenses line item. Q-o-Q, if we see, right, Q2 is usually better than Q1 in terms of revenues. However, if I lo ok at the other expenses part, the other expenses have declined drastically from INR48 crore in Q1 to INR23 crore in Q2. So sir, what's the reason for that?

Skandaprasad S. : See, that's why I would urge you to look at the investor presentation where we have separately disclosed the forex part. When it is a loss on account of forex , which was the case in quarter 1, it gets reported under other expenses. And when it is a gain, w hich is the case in quarter 2, it

gets reported under other income. So other expenses of Q1 and Q2 do not have comparable elements. So please look at the investor presentation that will give you a better view.
Moderator: The next question is from the line of Raghav from Kamaaya K ya Wealth Management.
Raghav: Yes, I had a couple of questions. First is about the order book turnaround time, specifically asking for the EPC orders.
Rajiv Mittal: This is, as we have said many times, generally, it's about 3 to 3.5 years depending on the size and the complexity of the project.
Raghav: Okay, sir. And also just to understand a bit better, is there any upper cap on the order intake that the management feels that, yes, this should be the upper cap?
Rajiv Mittal: I think I can only tell you “Dil Maange M ore” that there is no upper cap. We only have a criteria for shortlisting our tenders where we like to bid. So we have a very strong screening process, which bids we should bid, which we should let go. If it has cleared that, then there is no upper cap because financially and technically, we are able to handle much more than this.
And you have seen that the starting of the company, it was almost like a start -up or more than 25 years back, we just started as 6 people. Tod ay, we are more than 1,500. We started with the revenue, which was in lakhs. Today, we are talking about moving towards INR4,000 crore. So I think we know how to scale up, and we have a demonstrated track record of that. So we don't put unnecessarily cap o n things which can grow profitably.
Raghav: Understood, sir. And any competition you are facing because there are so many entrants in this industry?
Rajiv Mittal: I don't know any industry where you don't have competition, especially water industry, water sector, which is booming, competition is welcome, and we see competition. A lot of non -expert players, general contractors are trying to enter. But I think that will happen to any sector which sees a traction. So we welcome the competition, and we are happ y that more and more companies are focusing on water.
Moderator: The next question is from the line of Kaushik Poddar from KB Capital Markets.
Kaushik Poddar: Yes. I want to draw your attention to the management comment on the last line in which you are quoted as saying we are poised to accelerate our growth trajectory. So what do you mean by the accelerate beyond that 15% to 20% that you have

guided?
Rajiv Mittal: I think that is always an endeavor, Kaushik, because we have been a growing company and an aspiring company. We don't go for consolidation; we've always looked at growth. And today, the sector is offering that kind of opportunities. So our endeavor and our message to our team is always look for growth, don't stop, like the previous question, whether we are going to stop, are we going to put a cap?

And the answer is no, we are not. When market is offering as long as your selection criteria is good, I think we are just going to go for it. And if all the orders which we are talking about, they come, we have no choice but to go beyond that 15% to 20%.
Kaushik Poddar: That's quite reassuring.
Moderator: The next question is from the line of Ranodeep Sen from MAS Capital.
Ranodeep Sen : I wante d to understand more about the U ltra-Pure w ater opportunity. I understand Semiconductor, S olar are big areas of focus and so much of traction between both these sectors happening in India. Can you allude some light into the opportunity size that we have? And given we have industry leadership, any early wins, any indications you would like to share?
Anoop Kartha: Sure. Ranodeep, see, we are talking about a major growth in the PV Solar Manufacturing, Battery C ell Manufacturing and S emiconductor, as well as we are also seeing good potential in the emerging field of Green Hydrogen, okay. Now , we are t alking about set ting up around 130 gigawatt of solar cell manufacturing by 2030, and currently we are at 25 gigawatts . And that gives an opportunity to set up PV Solar Cell M anufacturing of around 105 gigawatt by 2030. And you can see that on a thumb rule basis, you can say that 1 gigawatt will require approximately 1 MLD of U ltra-Pure W ater, which means that we are talking some where around 100 to 150 MLD of U ltra-Pure W ater in the next 3 to 5 years' time line. And roughly, you can say that this will be a market of around, say, INR3,500 crore.
Ranodeep Sen: Okay. Okay. My second question, read in an article that only 7 states and union territories presently have policies to reuse the domestic wastewater. And this is in the context of th e country is home to 17% of the global population, but holds only 4% of the world's water stock. Any traction from the government side from a policy perspective that you're seeing and which quantifies this opportunity?

Rajiv Mittal: Yes. I think from the g overnment side, if you think , they have taken the right steps. I think if you see the Niti Aayog report, which is almost 7 to 8 years back, then followed by government's directive about reuse of water, they have gone very clear on especially the industrial or commercial water saying very clear, if you have an industry which is in a radius of 50 kilometers from a Wastewater Treatment Plant , then you will not be given fresh water, you will have to depend on Recycled Water . This is a clear direction from the g overnment. But in our country, the implementation of that direction is very slow, and that's what is happening.
But the good news is, at least in recent past, things are picking up , it's not only because of directive from the government, it's also commerc ially making sense for industries to go for it. Number one, they're not depending on domestic water, which is given by local bodies because always whenever there is a drought, this water goes for domestic users and not for industries and then industries wi ll have to close down.
This is not a very smart thing after investing hundreds and thousands of crores, they have to shut their industry for 1 month, 6 weeks or more. So reliability of this water, recycle is a drought -proof water. As long as you have dome stic population in that vicinity, you will always produce

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stewater. So it's an anti -drought, drought -proof water resource. And industry is self -reliant. They produce themselves a lot of wastewater. And if they do this internal recycle, that itself is serving almost 80% of their water need. So it is no longer they are waiting for government directive because it makes business sense to go for recycle. I think slowly, the industry is aware of it like the oil and gas industry, you take a case like IOCLs, G AILs, BPCLs kind of organization, they have become a state -of-the-art. All their wastewater treatment plants, not a drop will go out. They are mostly going for Zero Liquid Discharge and all their used water is getting recycled. So these kind of things are emerging.
We did a few years back something for the steel industry. So I think oil and gas is, as I told you, is a state -of-the-art technology to do that. So I think slowly this is becoming popular. And also that day is not far when this recycled water wi ll be used for portable purpose, when there will not be any choice , they will have to use for either direct portable or indirect portable. And that is the future of this recycled water we think .
Ranodeep Sen: Sure. I appreciate the long response. If I can just squeeze in one last question. A lot of new cities are in the making, be it the future city in Hyderabad or Visakhapatnam taking a lot of stance. So are there proposals from the management to state government in terms of in the lines of One City One Op erator model being pitched to the new cities, which are coming, which are state -of-the-art? Just wanted to check on management's thought on this aspect.
Rajiv Mittal: You are very right, and that is definitely a focus area, growth area. Earlier, this initi ative used to be called a smart cities, some of the existing cities got the name of smart cities and a lot of investment went into that. Similarly, this now new cities initiatives, we are in touch with the state government and water will definitely play a huge role to have the sustainability and give a secure water resource.
See, water security is going to be one of the major things , which city is going to be successful, both from a commercial industrial demand of water as well as the domestic demand. So w ater security will play and we depend on manufactured water, like Visakhapatnam you said. It's right on the coast. So we have a suggestion to the government , have a combination of seawater desalination as well as recycle of water to bring in water sustaina bility and security.
Moderator: The next question is from the line of Santosh from SKK HUF .
Santosh: Okay. Sir, I have one question about debtors ’ level, trade receivables. Like I can see that in the consolidated balance sheet, the debtor level is something like INR2,960 crore. So is this business which is very receivable intensive? Or we are looking at getting this reduced over time? Because if you see our turnover, it's almost 79% of our consolidated turnover. So what is the reason? Is this because of government contracts? Are you seeing any issues in getting recoveries?
Skandaprasad S. : See, I think there are 2 to 3 main aspects you have to see. N umber one, look at debtors as current and noncurrent as a first step. Noncurrent is an inherent part of the contracted structure when we go for large projects, especially municipal projects, projects which are funded by multilaterals there is a retention c lause that is there, which is payable at the COD commissioning PGTR or at

the end of the defects liability period. So these are deducted from each bill and it is paid at the end.

Number two, there are advances that we receive at the start of the project. Now that has to be because of the reporting requirement, it has to be shown separately, and it is not netted off against receivables.
Number three, you also have to see that there is a na

tural connection between our receivables
and payables because they a re broadly back to back. Most of the vendors clearly understand that if I have to collect from the customer, the customer has to certify my invoice and unless they certify my invoice, my vendor also do not get paid. So we would encourage that instead of ju st seeing the asset side alone, look at it from a net working capital basis, and that will give a better answer to this question.
Number four, with larger projects that we are undertaking, especially with multilaterals, especially with sovereign guarantee s, you see there is a process of approval. There is a work that is done. We submit an invoice. It goes for a quantity survey. The client has to approve, then the client checks, tax, all other compliances, then they have to forward it to the funding agency. The funding agency has to again approve this invoice, release money under an LC, it comes to the customer and then the customer pays us. So this is a cycle that you will have to also see.
Number five, you also have to see that most of these billing happe ned towards the end of the quarter, end of the half year because these deliveries are done sequentially and there is an approval process. So usually, you will see more bulks towards the end.
But I would take an example, there is one billing which we did t owards the end of the last quarter. Even as I speak, we have collected 100% of it. And it's a large project, large international project. So this is a cycle you have to see.
So variables of payables, receivables, advances, the time line for collection and the retention, all these factors have to be seen in tandem. And you can see, if we do not manage these well, how would we have a net cash position of close to INR700 crore. We're sitting on an INR700 crore net cash position for an annual turnover of INR3,000 crore to INR3,500 crore. So this has to be seen in tandem instead of seeing only receivable on an isolated basis.
Santosh: So just one more question connected with this that along with more focus of O&M contracts coming our way, can you see that trad e receivables will be at the same level or it will go down? Because what I understand is that, O&M contracts are not as capital intensive or your billing would be assured and then regularized by payment from the clients. So how does it work out for O&M con tracts? My question is that, are we expecting a reduction at the level of debtors in times to come?
Skandaprasad S. : Yes. Very clearly, that is an affirmative, yes. With O&M, there will obviously be better receivable cycles because it is a cash and carry b usiness, high margin, low asset and quick turnarounds. Number two, with larger projects, as the cycle moves, the collection cycles will also improve.

With more international and industrial projects, the profile of the order book or the quality of the orde r book keeps improving with every day. All these factors, and you rightly said , O&M is an important contributor , will also add to ensuring that our receivable cycles come down and our cash collection cycles are better and our working capital cycles are eff icient.
Moderator: The next question is from the line of Ashiwani Kumar from Statpro Fintech.
Ashiwani Kumar: So my question is that, on the USD100 million municipal platform with Norfund, what's the potential project pipeline we are looking at, like could it scale to 3 x to 4x of the fund size, like say, INR3,000 crore or INR4,000 crore over time?
Rajiv Mittal: Yes, I think it should be much more than that because you know that we have a mantra in WABAG that we want to remain asset -light, which means we will never invest more than 25%. And from platform, if we invest 25% or even 50%, our share in the platform will be less than or equal to maximum 25%. You can see we can easily get 8 x to

10x investments. And that is what
we want to remain in this field, an d we also don't want to make our balance sheet debt heavy hence the platform.
Ashiwani Kumar: So will the margins be the same like 12% to 13% or since this is municipal project so , will the blended margin then go to 17% to 18% for the entire company?
Rajiv Mittal: See, we are not focusing on so many funded projects. Our main bread and butter would come from EP, EPC and O&M. This will be an addition. So I think it can go up over a period of time. We have to see how many good projects which are bankable are r eleased by the government and based on the bankability we may decide to bid for those projects.
Moderator: The next question is from the line of Priya from B&K Securities.
Priya: Sir, could you please talk about the industrial segment business opportunity in the MENA and

CIS region? And in the overseas market we are largely taking desalination and STP projects. So what is the right to win the business for the industrial segment in the overseas market? And also can you please let us know the initiatives that we are taking to win these businesses?
Rajiv Mittal: Yes, you have seen this, Priya, that we, as a company have excelled in industrial projects. Probably there's no comparable company, not only in India, but globally when we talk about mega , complex, chal lenging industrial projects, which mainly is coming from oil and gas sector. Take an example of projects we do for Petronas, w e did about 10 years back. Okay. That was successfully completed.
Take a project we did in Dangote, which was recently completed. And also before , this war broke out between Russia and Ukraine, we took a project in Russia, which is again a mega oil and gas project with technology focus. Again, we have completed our supplies. They are in the final stage of erection and commissioning.
So there is no equal company to us who has this kind of a track record. And hence, whenever there is an opportunity to go for something which is challenging large ticket orders, we are always ahead of the queue. And always we would be preferring that.

Even if you see the Indian segment today, the oil and gas sector is booming with a lot of investment coming from BPCL, IOCL kind of organizations where they're investing a lot of money. Of course, Reliance is always ahead of the queue, and they are also ou r preferred companies that we work with.
So there is a lot of opportunities in oil and gas. And as Anoop mentioned to you, there's also now developing new opportunities in PV Solar Cells. You talk about S emiconductor, and it's only a matter of time, Hydrogen also will become very popular. So all this, we are extremely focused. And I don't think anybody is better than us or we are second to anybody.
Moderator: The next question is from the line of Sanjay from VT Capital.
Sanjay: Sir, as we talk like we are going for the clean water proje cts for different sectors like H ydro, all these Semiconductor, Data Center , all these things. So what kind of margins would that get impacted because of that? Like are we thinking of getting higher margins if we just slowly s hift to those segments going forward?
Anoop Kartha: See, it will be kind of a normal margin, which we see across all the industry sectors. So it will be something similar only.
Sanjay: Okay. And what could be the time line for execution of our order book, which is standing at INR16,000 -odd crore?
Skandaprasad S. : The EPC, as Mr. Mittal mentioned earlier, the EPC would be anywhere between 3 to 3.5 years, some of them even shorter, some of them longer depending on the size of the project and the scope of the project. And O&M would be more long term because we have 5, 7, 10, 15 and even 20-year O&M. So this would be in diff erent phase. So average maybe 7 -10 years of O&M, if

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have to take a very blind average would be about, say, INR500 crore to INR600 crore a year with the current order.
Moderator: The next question is from the line of Sanjay Kohli from Gold Stone Capital.
Sanjay Kohli: You had mentioned about the platform for HAM and the impending transfer of the assets which will take place. Can we get a flavour on where these marquee investors are from even if you can't reveal the name?
Rajiv Mittal: Do you have a particular country preference?
Sanjay Kohli: No. So, the purpose being you always would have had the alternative , but you mentioned in the past th at you wanted to be asset -light. So you don't want to take it on your balance sheet because the currency being there and now you have a very decent cash balance. So why going for any sort of equity dilution but that sort of option is always there or some s ort of reward in the way of some traditional rights issue which Tata’s used to do. So one is curious to know whether they are large Indian investors who are really lining up and want to partner with us.
Rajiv Mittal: Okay. Now to be on a serious note, I thi nk common sense would say Indian investors expectation of return would always be much higher than an international investor, okay . So only I can tell

you, these are international investors, either they come from Europe, Central Western Europe or they come from U.S. So these are the investors who will be on the platform, and they would be long-term investor s with a reasonable expectation of return and , they leave this expertise work of executing the project and also managing during the operation and maintena nce period

completely on us. So that's the agreement, and that's what is getting finalized now with the lawyers, and I'm sure very soon we should sign that.
Sanjay Kohli: Congratulations. And one question , I live in Delhi, our office is in Gurgaon and I'm in South Delhi. And this so -called posh area, where as people don't see it, t here is essentially a water crisis over here. So, the government must have approached you, that something is happening for Delhi in this area, and with the announcement of the Yamuna clean -up and the Yamuna Maya projects, and in this area, and the Noida, the D&D area, there is, I mean, what's happening o ver here? And the government's attitude towards, has the government's attitude modernized or is it still squeezing the bidders towards this L1 business?
Rajiv Mittal: I think government is there and they have to maintain the transparency and they are answe rable to various departments like vigilance and all that. The L1 business will continue. The only thing is, with the requirement, like you said, of reuse water, recycle of resources, obviously, there are a few players who have those experiences and capabil ities and that will come. I think slowly things are changing like in earlier days before this government, we used to say better days are coming . So let's hope better days will come .
Moderator: The next question is from the line of Hrushikesh Shah from Alch emy Capital. As there is no response, I take the next question from Sandeep, who is an Individual Investor .
Sandeep: Is this question for me?
Rajiv Mittal: Yes, Sandeep. Is it Sandeep?
Sandeep: Operationally, your company has been doing very well. I think there is some confusion among a lot of the media as well as analyst community as to the operating margins of the company , because many of the people don't realize that what you report as other income is actually translation, which is part of the business income.
And many in the media actually reported your operating margins as some 10.7% and I think that's created a lot of confusion in the minds of investors. I think you need to make the investor community in general aware of the fact that this is because of the accounting standards as the

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are and the operating profit margin actually 13.75%.
Rajiv Mittal: Sandeep, first Ska nda will answer. In our country, negative news is sold, so negative news, media, print media, enjoy printing it. We are not a new company to the market. We have been there for 25 years. We have continuously explained we are a company with 50% of our revenu es come from international business, international projects.
Still they want to beat us on something which is not true, what can you do? You can keep repeating it. Today also, we repeated at least 10 times. But if this is what they want and I don't know t here's lack of understanding or not wanting to understand, I don't know.

Skandaprasad S. : Thank you, Mr. Mittal. I think Mr. Mittal has answered your question largely. We see a lot of people wanting to see the glass half empty. We always see the glass half full and this is what you see even in our communication in our press release or in our investor presentation, in our interaction with analysts, we've been very clear.
And I think we are also thankful to analysts who understand and who have appreciated our position. We are a truly global company. 50% of our revenue is coming from outside India. So forex is completely operational. And we will continue to keep telling this till probably the last investor understands. And thank you for that suggestion. We'll surely take it, and we'll keep repeating this.
Unfortunately, as of today, the reporting standards require us to report it in this manner. The earlier Clause 41 had an allowance to put forex separately, then it was a little easier. But now because of the standard reporting structure, it is coming throu gh like this. But yes, we will continue to keep informing and interacting with investors until this is very, very clear to people who do not understand.
Sandeep: One suggestion I had was that, see, you have been coming out with a press release every quarte r with the company results, which is standard 1.5 page, which exactly just replaces the numbers which are there with some comments replaced from Mr. Mittal and exactly the same thing is put out.
In that, if you could put out a small explanation of the fac t that what out of that income reported is operational income and what is actually treasury income, I think that will go a long way in addressing the concerns of many people.
Skandaprasad S. : I appreciate the suggestion, Sandeep. We'll take it on board.
Moderator: The next question is from the line of Tanubhav from KIFS.
Tanubhav : Congratulations on a good set of numbers. My first question was some time back, the company had received a demand from the Customs department to the tune of INR87 crore. Is there any update on that, sir?

Skandaprasad S. : Yes. Tanubhav, we also disclosed in the same announcement that we will take appropriate legal or other recourse, which we are currently pursuing. Once we have an important milestone, that we expect in the next few months maybe, subject to how soon the courts or the Appellate Authority hear it, we will surely put that out.
But as of now, as we have mentioned also in the announcement, we are very, very confident that this demand is not something that would stand, an d there is very good chances that we will be able to argue our position and turn this over.
Tanubhav: Secondly was a question -cum-suggestion. Since company has completed 100 years and is also consistently generating free cash flow, is there any bonus issue in the offering?

Rajiv Mittal: I think, Tanubhav, very clear. If anything like this is there, I'm sure the shareholders like you should be the first one to know about it. Yes, we have definitely discussed many times at the Board level. And I'm sure this d iscussion will continue. As soon as we have some good news, you w

ill be the first one to hear about it.
Moderator: As there are no further questions, I now hand the conference over to Mr. Mittal for closing comments.
Rajiv Mittal: Thank you once again. I t hink it was a little longish call, and appreciate your active participation in this Q2 & H1 FY '26 earnings call. The analyst presentation is available on our website. In case you have any further queries, you may get in touch with our Adfactors IR team or you can also feel free to reach out to us directly. Thank you once again, and have an enjoyable evening. Bye-bye.
Moderator: On behalf of VA Tech Wabag, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: Jun 2026

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Sustainable solutions, for a better life

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June 01 , 2026

National Stock Exchange of India Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 BSE Limited,
Floor 25, P J Towers,
Dalal Street,
Mumbai – 400 001

NSE Symbol: WABAG BSE Scrip Code: 533269

Dear Sir/Madam,

Sub: Transcript of the ‘Annual Investors Meet 2026 and Q4 & FY26 Results Conference Call’
Ref. Regulation 30(6) and 46 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find enclosed the Transcript of the ‘Annual Investors Meet 2026 and Q4 & FY26 Results Conference Call’ held on Monday, May 25 , 2026 , post declaration of the Audited Financial Results (both standalone and consolidated) of the Company for the quart er and year ended March 31, 2026 .
The said transcript is also uploaded on the Company's website at www.wabag.com .
Kindly take note of the above.
Thanking You,
Yours faithfully,
For VA TECH WABAG LIMITED

Anup Kumar Samal
Company Secretary & Compliance Officer
Membership No: FCS 4832

Encl.: As above

VA TECH WABAG LIMITED
“Annual Investor Meet 2026
&
Q4 & FY2 6 Results Conference Call ”
May 25, 202 6

MANAGEMENT : MR. RAJIV MITTAL – CHAIRMAN AND MANAGING
DIRECTOR
MR. BHUPESH CHOWDARY NAGINENI – DEPUTY
MANAGING DIRECTOR
MR. S. VARADARAJAN – DIRECTOR AND CHIEF
GROWTH OFFICER
MR. SKANDAPRASAD SEETHARAMAN – CHIEF
FINANCIAL OFFICER
MR. SHAILESH KUMAR – CHIEF EXECUTIVE OFFICER ,
INDIA CLUSTER
MR. ROHAN MITTAL – HEAD – STRATEGY & BUSINESS
GROWTH (GCC)

Management : Hi, good evening, everyone. Thank you so much, and a very warm welcome to you all for coming to VA TECH WABAG 's Annual Investor Meet 2026 and Q4 & FY26 Results Conference Call . I will just give you a little bit of an overview of the company. The WABAG Group, founded in Germany in 1924, today a s we speak VA TECH WABAG is pure-play Indian multinational in the sphere of water technology.
As a market leader in the water sector, its operations are spread across four continents and in over 25 countries. WABAG is ranked among the top three global private operators and global desalination players. WABAG has successfully delivered over 1,500 pro jects over 25 + years across drinking water treatment, wastewater treatment, recycle -reuse, desalination, and industrial water treatment for marquee clients in the municipal and industrial sectors.
As a Group, WABAG has always strived to remain asset -light and technology -focused to deliver sustainable solutions to its customers worldwide. From the ground -breaking technologies to comprehensive water management systems, the group has played a pivotal role in shaping the landscape of the water sector , while res iliently weathering the ups and downs of the markets over decades. WABAG celebrates over 100 years of legacy in delivering innovative, affordable, and sustainable water solutions, touching the lives of billions of people across the world. It is our pleasure to host all of you for this informative and interactive session with the senior management team of VA TECH WABAG .
Today we have with us Mr. Rajiv Mittal, Chairman and Managing Director; Mr. Bhupesh Chowdary Nagineni , our new Deputy Managing D irector; Mr. S . Varadarajan, Whole Time Director and Chief Growth Officer; Mr. Skandaprasad Seetharaman, Chief Financial Officer; Mr. Shailesh Kumar, Chief Executive Officer – India Cluster; as well as Mr. Rohan Mittal, Head ; Strategy and Business Growth - GCC .
Before we begin, I would like to add that the presentations and the discussion during this meeting may contain some forward -looking statements about the company and the group. These may be based on beliefs, opinions, and expectations as on date. These statements are not a guarantee of future performance and can involve risks and uncertainties that may be difficult to predict.
Without much ado, I now request Mr. Rajiv Mittal to kick off the proceedings. Thank you so much , looking forward to a wond erful and interactive session. Over to you, sir.
Rajiv Mittal: Good evening, ladies and gentlemen and friends. It's my pleasure to welcome you all to our quarterly and annual result interaction. It's become a tradition for WABAG , once a year, to meet and have a face -to-face interaction with you all. It's been very beneficial for us, this face -to-face interaction. We carry a lot of messages from you, we can clarify a lot of your doubts and expectations what you may have, and we have always found it very fulfilling to have this face -to-face interaction, and I hope that we will continue this in the future.
I think it's a time when water is becoming even more important, and there's a huge awareness about this resource, which is very undervalued, to suddenly come to the limelight and we know

that it is an economic resource, it's a valuable resource, and especially in this recent war time in the Gulf area, this has become a very precious resource.
I'm sure we all are following this. We know each of the countries where we are present, including India are focusing on water. And we'll go through some of these slides just to create this feeling about why water and what is the role of WABAG in this water sector ?

This pr esentation will be covered into these four topics. We'l

l talk about WABAG as a Group,
then about the Strategy , then Shailesh Kumar, our India Cluster CEO, will take you through the India Cluster, and then Rohan Mittal will take you through the MEA Cluster (Middle East and Africa Cluster). And we will have our new addition to the WABAG family, Mr. Bhupesh Chowdary , will talk to you about his initial impression about WABAG and his interaction with the WABAG team, and what he believes this sector has t o offer and what will be his role in shaping the future of WABAG .
Let's start ; WABAG as a Group. See, this is very important to see that even today, when we talk about water, we realize that more than 2 billion people still are lacking access to safe drinking water. This is a basic necessity for a human and this is not available to more than 2 billion people across the globe.
So just to give you an idea what this requires, what is the opportunity here ? This is also WABAG is looking at providing t reatment to the wastewater or used water so that unused or untreated water is not discharged into the streams, into the surface water and polluting our freshwater resources. So that's another opportunity we have to talk about is what we need to do to treat this water ?
Next, our industry is dependent on availability of reliable, sustainable and affordable source of water, which can keep the industry going. Otherwise, we see that industry can suffer up to 80 billion per year if this water is not made availabl e to the industry. Even today, we see that freshwater is declining because of climate changes , 7% in a decade, the freshwater resources are declining.
Other side, the demands are going up because urbanization, quality of life. Maybe our parents and grandpa rents used to take bath in one bucket of water. Today we are used to tub baths, power showers; we consume maybe three times, five times of that one bucket. So our demands have gone up.
Washing machines, dishwashers, all consume a lot of water compared to w hat we were using , maybe a few decades back. One side the demand has gone up, other side the availability has come down. So there's a big gap between demand and supply.
Again, if water is not available as a reliable source 365 days in a year, this can affe ct almost 50% of global GDP. This 70 trillion is almost 50% of the global GDP , that's the impact water has on our daily life, on our economics. So when we say why water , this is the reason water is important

and we all have to consider water. We have to look at this and say , how we as water managers can help to resolve this situation, correct this situation and be the brand ambassadors for water.
See the capital which is allocated for water is all -time high. There has never been an opportunity where so much capital was allowed for water. Today, this is what is capital allocation for water , you can see even in India in last 10 years, including the COVID years, the funds whi ch were allocated for water sector has never reduced. Year on a year, these funds have increased and so is that in other geographies where we are present. So we are not seeing any dearth of funds available for water sector and that's another good news that we can look at it bullishly, we can be very positive about the future of water sector.
Last, the new demands, the new sector which has emerged over the last 5 to 10 years. You know during the COVID crisis, the chips, the semiconductors were not available ; almost every country was dependent on China to supply this. And almost for a year, the supply from China was stopped or partially available, which affected almost every industry, every country of what they had to deliver.
So all the countries ; including t he developed world, have taken a decision to set up their own manufacturing. No more depend ency o

n China to supply these chips. And this sector requires
special , what we call it as a ultra-pure water. Almost zero salts in that water because they don't want any salt deposited on the chips, which affects the performance of the chips. So that's a new sector which has come up.
India recently got a license to manufacture PV cells. We were making panels. Now these PV cells for solar panels require again ultra -pure water. And this is a again a new sector for water which we need to supply for PV cell manufacturing.
Data Centers , another new thing which was not there five years back. Today, massive data centers across the globe are coming up. You must have read it, you must have researched it, and you know the biggest consumption for a data center is power and water. And that is m ainly for air conditioning. And this water is again a new area for growth for us, and we are focusing on.
Next, we have heard for last decade, the Green Hydrogen . It's a talked -about it, a subject still

economically not very viable, but because of certain carbon emission reduction targets various countries have taken, they are still investing in this sector. And as the production goes up of this green hydrogen, I'm sure the cost economics will be more favourable to make it economically viable, whic h we believe in next three to four years we'll see more of these plants coming up and hydrogen will get converted into ammonia, which is a basic raw material for fertilizer.
Again, AI is a hot topic. Everybody is talking about it. Do you know for AI also t here is a water consumption? And that's another new area which we are focusing on. So these are the new five sectors which we didn't have a few years back and suddenly the focus is there. And identifying an opportunity, we have a separate vertical, separat e team who's focusing on this opportunity.

You see, this is the question is why WABAG ? If water, yes, it is important; yes, there is opportunity; yes, funding is available; new sectors are available; then why WABAG , why not somebody else?
We are showing you the performance of the company and how it is well -suited to take advantage of the opportunity which is available in this sector. Today we have INR17,200 crore of order backlog. We have a record high of INR 371 crore of PAT. We have a rev enue growth of almost 20%, which we had told you in the same forum about three years back that we'll be having a growth of 15% to 20%. We are at that 20%. Our rating is AA - stable on long -term and for short - term A1+.
Our net cash, excluding the investment in HAM, is INR 950 crore, because our borrowing is less or more or less close to INR 100 crores because that's the working capital we take because we don't want to break our fixed deposits. So that is the reason, otherwise we are completely debt - free comp any. ROCE, we had given you a target of 20% and we are almost there, 19.4%. EBITDA, we had given you target between 13% to 15%, we are there. So, you can see that what we committed to you, we have delivered.
This is the same thing. You see as a company, w e are present in 25 + countries, mainly as developing countries or emerging world. Except a few countries which are in the developed world, mainly our business is in the developing or the emerging world. We have almost 2,000 technically qualified, competent engineers who are working across the globe, who are full -time employees of WABAG . We have built more than 1,500 plants since 1995.
We are globally number three, both in terms of number of people we serve as a private operator and also in desalination pla nts. So, we are number three globally. India we are top company by far, we are bigger than anybody else. All businesses put together, we are still bigger than anybody. But globally also, we are recognized

as number three.
We are a technology company, we h ave our own R&D, and we spend a portion of our revenues for R&D and upgrading our technologies. We have more than 125 patents and trademarks. We have R&D centers both in Europe and in India. And we have probably the lightest balance sheet. If you see our gross block in this sector, nobody has less than what we have. So we are very, very low on assets in our balance sheet. So we are a very asset -light company and that is what we want to continue, what we have achieved in the last over 25 year s, and we want to continue that.
We have told you before and I want to repeat, we are more than a 100 -year-old organization, started in 1924. And we have gone through various phases. Significant is the Indian business was established in 1996. Post that 20 05, we did the management buyout. And then we did a historic event where we as a subsidiary company bought our parent company.
This is a historic milestone globally, and that was done in 2007 where we bought the global business of WABAG from Siemens in 20 07. And then we became a listed company in 2010.

And after that, all this you can see, the major projects we have taken, including the recently we won the Asia's largest desalination plant, which we are building, and next year around this time we should be commissioning this plant.
Now if you see as a company, we follow the UN SDG goals and also ESG goals. And just want to tell you on one slide how we are following by being clear about power, water. First, we want to say that carbon emission, greenhouse ga ses emission, we want to be Net Zero. We want to be water positive. Waste to energy or waste to wealth as many may call, we have been in that business for over 25 years where we are converting waste into wealth.
Resource recovery, like many other products, water or wastewater, nothing goes waste. We

ensure all the three forms the gas, the liquid, and the solids are used as valuable economic resource s, so there's no waste from the used water. Circular economy , everything which comes goes round and t here is no external discharge, so everything is reused in this model.
On this ESG side (environmental, social, and governance), I think we have talked enough to you about it and we are proud to say that this remains as our focus and we are always very clear that this is something which we focus on and we want to remain very focused on ESG goals.
This is our board. We have the management here. As you can see, we have four Non -Executive Directors and only two are Executive Directors. So majority is Non -Executive Directors.
Further, all our committees are headed by Independent Non -Executive Directors. Not a single committee is headed by Executive Director.
That's how we bring in the governance and independence of y our board. Very few companies you would find this kind of structure, but we have achieved it. And then at the lower section of this slide, we have our top management. All of them are here, except we have a Mahmut Gedek who's from Europe, could not join tod ay, but otherwise the management is in full attendance here.
These are our clients. You can see all the marquee names both in India and abroad are our clients.
As you know, payment security is a biggest factor when we select our projects. All these multil ateral or funding agencies are important for us because only projects funded by them are on our order book. We don't take projects which are funded by state government or municipalities because we consider that as a big risk.
You can check our order backl og; either they are funded by these multilateral agencies or they are sovereign funded by the government like Government of India funds Namami Gange, AMRUT, Jal Jeevan Mission, and this kind of projects. Yo

u go to Saudi, it's a Saudi government
which will fund or Ministry of Finance which will fund these projects.
In the industrial side, you can see we really work equally good in the industrial side. The major sectors where we work is oil and gas, power, steel, fertilizer. These are major industrial infra structure where there's a massive requirement of water. And we focus on only large, mega, and complex projects, and these are coming from this kind of projects you see this.

Now regarding the market opportunities. This is what is the opportunity we have. If you see, everything is in billion dollars in next five to seven years. So you see India itself is more than $25 billion in next five to seven years. Saudi more than $30 billion in next five to seven years. Then comes Africa, Europe, Southeast Asia and CIS countries.
This is the region which we are operating. And if you put all this together, this is almost 75 billion to 100 billion in next five to seven years is the opportu nity. And the future energy sector, which I told you solar, semiconductor, data centers and all , this is further 5 billion to 6 billion . This is just emerging now. I'm sure as we go along in future, the opportunity will be much bigger than this, but the in itial this is a number we have.
This is what I've broken down. That's our core market, which is $75 billion . Then future energy solutions is $4 billion to $6 billion . And then we have another vertical, you know very well, is operation and maintenance, whi ch is a predictability in this which brings because these are long - term contracts , 10 years, 15 years, 20 years contract and that is another $10 billion in next five to seven years.
Now if you see what is helping the sector and what is providing the headw inds which we need to be aware of and trying to navigate that. See, one, there is enough opportunity in the water sector, we have seen it in the last few slides. There is a huge investment India has allocated, whether it's Jal Jeevan Mission, AMRUT, Namami Gange all these initiatives the government has funded for the water sector.
GCC and Africa, there is this Saudi 2030 vision, plus you know there is a FIFA World Cup which is being hosted by Saudi Arabia. That's another opportunity to invest in the infras tructure.
Then new economy, we have seen the new sectors have further requirement of all this ultra -pure water and then reuse market.
When you see the headwinds, we are seeing recently the geopolitical situation in Gulf area, which is trying to affect the smooth operations of this market. We have to be careful about it, we have to be aware of about it, not to be over -concerned about it, but we must know that there is an area which can destabilize it and we should be able to navigate that.
Government spend ing, it depends like now, if we are spending more money on the oil, naturally government will have to cut down some spending somewhere. So that is another risk which we should be aware of, and we hope that this doesn't happen, but we know it can also happen.
Currency and raw material volatility , this is also something which is an effect of geopolitical situations. First , we saw Ukraine -Russia war, now we see Gulf crisis. So these are the things

which can have an effect on the business. Of course, when sector is so attractive, the competition is going to grow. We are aware of it; we should have our strategy how to beat the competition. Also , when we look at this is what I had told you, the company's result. In spite of all these headwinds, the tailwind s had more effect to give a positive result than the headwinds trying to affect our speed and reduce our speed.

As a goal, what we as management work on. If you see global water leader, we aspire to be the most trusted name in water. And we have a lot of awards and recognitions to get that. We are sustainability champion, we try to advocate circular economy, we try to do resource recovery, we reduce carbon emissions, greenhouse gases , so we want to be seen as helping the environment in general by giving cl ean and safe environment for our future generations. Technology -wise, digitization is a top of our agenda. And going forward, you will see that WABAG is taking, we have already adopted that in few of our plants, going forward we are expected to do mu ch more. Employer of the choice I think when the growth is there and resources are limited, we somehow have to be attractive to the employees that WABAG as a brand should attract the best talent in this sector a nd that is what we try to do. And we also maintain diversity, so that is equal opportunities are given to all the gender. This is something we work and also because we work at site, so we have a lot of labour force at site, we try to see that there is a zero loss of time because of injury.

We always have a mantra that we grow. We not only grow on top line, but our growth on bottom line has to be more than top line. That's what we call as profitable growth. If we grow on top line 20%, we ensure that the bottom line grows more than 20%. That's what is profitable growth. We don't grow at the cost of our profit. And also we ensured that at the same time our cash generation is more than this 20%. So that's profitable growth and t hat's how we want to grow. Most valuable water company, again return on capital employed, return on investment, all these ratios we want to have the best in the class. We also want to enjoy you as investors' confidence and trust and that's will make us a most valuable company. I will give it to my colleague, our Group CFO, Mr. Skandaprasad Seetharaman to continue the financial part of the presentation.

Skandaprasad S : Mr. Mittal, thank you. Good evening to you all. Thank you very much for joining us today and allowing us to present to you what we have achieved this year and what we are going to do for the future years. I'll quickly take you through the strategy and performance. This is the performance fo r the quarter and year ended FY 2025 -26.

As you can see, we've grown at a 20% year -over-year on top line and on PAT we've grown at 26%. So the profitable growth mantra which Mr. Mittal mentioned, we have been demonstrating and it is not different this year. Likewise, also for the quarter, we have grown profitably.

These are the key performance metrics: EBITDA at 13.3%, PAT at 9.4%, closing with a net cash of INR 9,500 crore, return on equity of over 15%, net working capital days hovering around 100 days and our return on capital almost 20%. In terms of the key things that happened through the year one.

Our order intake we closed with INR 7,500 crore almost that is year -over-year. L ast year we did about INR 5,700 crore this year we have done INR 7,500 crore a nd closed with an order book of INR 17,200 crore with a robust revenue visibility as well as a robust pipeline visibility as we move forward.

We also secured many mega projects, some of them here. One is the mega project at Chennai, the 45 MLD TTRO plant, which is on a rehab plus O&M. When we say mega, these are 1,000 + crore projects. One more was the ADB -funded Chennai city -wide looped water grid. This is the first in the country to build a ring main which ensures equitable water distribution for Chennai. And also the Mega Yanbu Desalination order in Saudi. So this year we had three mega orders, three INR 1,000+ crore orders. We closed the year as net cash positive for sixth conse

cutive year
and thirteenth consecutive quarter. So it's not just year -ends that we are positive, even quarter - ends we ensure that we remain net cash positive.

And in line with the performance, the board recommended a final dividend of INR 5/- per share, up from INR 4/- last year, r ecommended to the shareholders for approval. Now having seen the numbers, we also wanted to show you the measurement against the commitment. The first

column you would see the commitments that we made in terms of the medium -term outlook.
We said we will k eep our order book at least 3x of revenues. We are at over 4x of revenues, giving a robust revenue visibil ity. 15% to 20% CAGR of revenue, this year we did almost 20% on the higher side of the band. EBITDA 13% to 15%, we've firmly remained in that band not just this year, but over the last 2 to 3 years.
ROCE over 20% we are getting closer to that and I'm sure in the next couple of years we wi ll surely cross 20%. O&M at 17% we said that our medium -term 3 to 5-year outlook is to take it to 20% and we are wor king and on track from th at perspective. ROE over 15% we are closer to 16% now, inching upwards, profitability, better returns a nd net cash positive for the sixth consecutive year.
Now it is not just this year, you would see six consecutive years and just I put out the 3 years from the time we gave commitment. W hen w e came here, we were about INR 100 crore net cash positive. Today we stand at close to INR 1,000 crore net ca sh positiv e over a period of 24 months, 30 months.
And thanks to the focus from the entire business team to look at profitable growth, cash -accretive profitable growth and focusing on better working capital management and debt and cash management.
Cash flo w for the year , the free cash flow to firm was almost INR 300 crore. We started with an opening gross cash at the start of the year at INR950 crore . Through the year, this is the cash generation on a free cash flow basis. We further reduced our debt. Today our debt stands at about INR 100 crores . We reduced about INR 140 crore from the cash we generated, de -risking the company from a debt perspective.
Today we take debt by choice, not by compulsion. So we take debt more as a strategic decision rather than as a decision to run the business. And we also paid dividends last year, which is reflected here. This is the interest . We closed with about INR 10,500 crore of gross cash, adjusted for INR 100 crore to INR 110 crore of debt would be the INR 950 crore o f net cash. And year -

over-year, you would see our net cash growth is 35%. Last year we had INR 700 crore. W e closed with, this year we're closing with INR 950 crore.
This is the revenue break -up: EPC O&M about 83% and 17%, Municipal Industrial 80 % and 20% and India ROW almost 50 % and 50% in line with what we said. As we move forward, we would see that we are inching towards our commitment in terms of the O&M moving to 20%.
On the closing order backlog, again our India and ROW is 60 % and 40%.
I think in a couple of quarters we should be more in 50 % and 50% if you take the average, we've been around 50 % and 50%. O&M is almost 40% of our order backlog. This is a high revenue visibility segment where you can see almost INR 6,500 crore of order backlog is th ere. We have orders which range from 5 , 10, 15 and even 20 years of O&M.
This is recurring annuity, cash -accretive, margin -accretive, asset -light, very, very low on risk.
And this is what we see as one of the levers to build the business both from a reven ue and margin perspective as we move forward a nd these are the major orders in our order book. You can see most of the orders we have are all technology orders.
If you see out of the top five, three are desalination, one

is a reuse order and this is the f irst of
its kind in the country, a looped water grid in Chennai that we are building. And it is well -spread across the world India, Saudi Arabia, Middle East, Africa, SAARC countries, Southeast Asia.
So there is a fair spread also, which gives both geogra phical diversification and opportunities to improve revenue. Year -over-year, our order backlog grew by 26%. When our revenue grew by 20%, we have grown our order backlog by 26%. That gives better visibility on the revenue growth as we move forward.
With t his, I'll hand it over to Mr. Shailesh to take you through the India Cluster highlights.
Shailesh Kumar: Thank you, Skanda. Naturally, with this kind of result what we have given and the outlook what we have projected, natural interest would be where is th e next phase of numbers, our result would be coming from. And from that point of view, I'll take you through some of the geographies which I'm responsible for, what is the growth which is coming from.
So India will continue to remain a growth engine for u s as we have humongous opportunity here.
We are treating still 28% only of the sewage which gets generated in the country. And we are moving towards a d eveloped nation, Viksit Bharat and that definitely creates lot of opportunities for us to be creating our impact in this market.
Having said that, SAARC countries, again on social sector, the multilateral funded projects will opportunities are there. And numbers what you are seeing, I ndia 20 billion to 25 billion opportunities we foresee. An d SAARC countries again 5 billion to 10 billion opportunities which are there, which we are connecting with the people and there we are hopeful of converting some

of those to our advantage.

Southea st Asia is another geography where we are putting our foot there and we are successful in some of the places. We are consolidating our position in some of the countries and that is what we see further expansion into this region. So all this growth which wi ll be comi ng from this geography , we'll continue our focus that the projects are sovereign guaranteed and MDB funded project.

We will have also mix of social sector and industrial sector and from that point of view industrial capex would be another driver for us growth. As we saw, future energy is another component of our growth. Though it is what we are going to create value, it may not be contributing significantly to the top line, but in times to come it will be having volume also. So we have started wo rking in that and there are certain success also. And of course, across all the geographies the urbanization pressure is there and from that point of view growth is coming. Some of these projects Skanda was talking about in the last financial or recent pa st, we had these successes. The Chennai project what he was talking, the grid which is first of its kind and not only we have bagged this, this puts us into advantageous position that we would be able to get advantage out of it in other prospects which are going to come and other cities are definitely going to follow the route .

We have in our endeavo ur towards reaching 20% of our component on O&M, this is a major win what we had, mega win on O&M and Kodungaiyur plant. So this is again a tertiary treated plant and this is water reuse, which is further we are unique in the country in terms of tertiary treated and we are helping industries and the nation of effective water utilization a nd naturally in the process we have good opportunity in terms of O&M.

Nepa l is another geography, I was there a few days back and major project on water sector and wastewater sector both we are doing there. We are probably doing the maximum volume in this country and we see further opportunities again multilat

eral backed fund is there and they are
ready to invest and we see opportunities going there.

RenewSys is one where ultra -pure water which is of interest everybody's talking about and we are helping this solar prospect or solar industry. And ultra -pure water ETP and ZLD is o ne which we have bagged and the project is going well. That is one aspect.

Industrial is another. BPCL is the another project which we got, big project, large project . And again we have this is a consolidating our position in terms of industrial prospects in the country. And BWSSB, again mix of it, industrial and this is on social sector, that project is also what we have probably bagged and we see further opportunities in this place in Bangalore and BWSSB which would be coming our way.

The numbers what we see are also coming from some of these big projects what we have been executing. And I am really pleased to announce you that this Digha -Kankarbagh STP project which we have recently completed, this was awarded as the best wastewater treatment project of the year by GWI.

There was a thorough competition and jury decided with this at GWI that best project of the year. And this is a proud achievement by your company at the international forum amongst the competition from all the place a cross the globe, this project got the best project award. This is Bhagalpur again is another project in Bihar which we have done and this is state -of-the-art technology and we are serving that social sector and it has a huge impact.

Project has entered in to O&M phase. This is the third project what we are looking at is a TTRO project. This is again to serve the industry and the impact it is created that industries which were on verge of close down, they are coming back and telling us you have helped us in surviving. One we feel happy that we are doing the business, but one when we hear that Commissioner was telling me that industry is coming and telling them we never expected such a pure water, clear water would be coming and they are reorienting their business and pl ant based on the quality of water we are supplying and industries are surviving.

So this is a proud success by the company that we have been able to do this. There are three Philippines project which we have almost completed, it is in process proving stag e and the project is on the verge of getting concluded. So these are the project status and those definitely are adding to the number.

These are some of the mega projects. Perur desalination, I'll be leaving you with the video of

that plant, but this is s omething a jewel in our crown that this is a Southeast Asia's largest desalination plant and we have done it very well, so far went well. Every facet of the project being the specialized offshore area, onshore area, with each passing day we are improving o ur position on this project and project is looking more promising.
Second project is in Bangladesh in spite of all the turmoils what we had. We are well on path, there were few challenges though those are history now and we are moving towards advanced stage of completion of this project and project is doing well. And along with this, again we see more prospects coming on the similar line to our country, that country is also focused on social sector, there is opportunity for river cleaning. I wa s there with the Minister there and they were talking that how can we follow the suit w hat is being done in the India.
And that gives us opportunity to be there in that country and helping these prospects to grow. Nepal is as I told you, we are major player there and this is another project which we are doing and almost moving towards completion by the end of this year, three projects which are there we are going to complete. And Reliance is one of the project,

there are more Reliance projects,
this is also in advance d stage of completing.
So having said that, this is these are enablers for our success, what is what we will be focusing on and this is what is going to help us in consolidating our position. We will continue to maintain our market leadership. The volume what we have exclusively in water sector, pure -play water company and the volume what we are doing on EPC, this is unparalleled and we will continue to maintain our leadership position.

The strategic focus, profitable growth, few of the selective projects we would be going, we will not be chasing every prospect and from that point of view that focus we'll maintain, which project, which geography, with which multilateral funding agencies we'll be working on.
In our business, the everything is dependent on the team that we have and we are growing, growing close to the 20% what is the biggest need is team development. And we have a great plan in terms of consolidating or improving or reinforcing our team and that is a work in progress and that will continue t o remain because the kind of growth what we are talking about will not work without this, so this r emains on the management focus.
We will have a diversified portfolio and we'll ensure that O&M and EPC and even amongst EPC, the desalination, wastewater an d water treatment, all these balancing of the portfolio would be there so that it goes in a coherent way. And we'll definitely enabler is technology, we are a we have that technology edge and we will continue to g row on that technological edge.
And that m eans we will continue to focus on our R&D as well as the engineering capability what we have, that is what we bring in the value proposition, value engineering, that is our competitive edge and we'll maintain that and these would be our focus areas with wh ich we would be increasing our consolidation.
So that's all from my side. This is the way we would be growing and I leave you with this video of our proud project what we are doing in.
[Video Presentation]
Rohan Mittal: Hi, good evening, everyone. It's been a good year for not just the company but exceptionally a good year for the Middle East and Africa cluster. We have chosen the right jobs, we have kept our strategy as set out in WRIDDHI that Middle East and Africa is g oing to be the growth engine for VA TECH WABAG .
We have picked up orders, we've picked up good orders, we have not been, desperate in the market, we have picked up orders that are going to be sustainable and will protect the company's risk. That is what is our aim a s a cluster.
So GCC, yes, one of the biggest markets as what was shown earlier in our presentation. For the next 10 years, we see an average of $5 billion per year of opportunity. This would be coming from various initiatives in GCC like the V ision 2030 or the FIFA World Cup 2034 or the FIFA World Cup 2030, which is, driv ing a lot of growth in Morocco.
Also, following Saudi and Morocco, Oman has now announced their Vision of 2040, which we expect that, it will bring in a lot of growth. We are seeing a lot of traction also, which we are very happy about. Kuwait, a lot of potential in the market. We've been trying to win some jobs there, but we weren't successful before . But now with Doha, we are proud that we are in a preferential position. We should be, signing the job in a short span. So this is our foray into Kuwait. Also, we have opened not just Kuwait, we are also in a good position to foray into UAE.

This would be our first order. The branch has been there for a long time, we've been t rying hard, but we would be happy that we would

be finally entering into the UAE.
So it's been a mix of everything, getting mega orders like Yanbu. We've been getting into new geographies. I think this has been an excellent year for the Middle East and Af rica cluster. Also, keeping that in mind, such a big demand requires a big team and we are working on that. So GCC we see that $50 billion give or take. This is what the market research, our research, our talks with, the authorities in Saudi, UAE, we are seeing projects, we're seeing consultants starting to, do their feasibility studies. So these are few numbers that are astonishing for us to see that this is the size of the market. And I'm sure when we did our strategy, we recognized correctly that Middle East and Africa would be the growth engine.
Africa also as a market has a lot of focus. The best part about Africa is all of these projects come under multilateral funding, you know, which we've been talking about gives us a lot of payment security, a lo t of professional contracts, a very good market too for us that we 've been doing steady business.
We've been prevalent in the Francophone region. Now we are seeing / fortifying , looking at projects in Sub -Saharan. We have won our Namibia job there and we are executing it. So we are really hopeful that we'll keep up the tempo, we will keep up and we will be getting more and more growth to your company.
Now, yes, obviously the desalination has been the mega driver in the region. So wastewater, especially, t he wastewater they are treating it, they are using it for fauna and flora basically. It's all their initiatives of Riyadh Green is using treated wastewater, which is a sustainable way and there if really you go to Riyadh or some pla ce, it's as green as Ind ia now.
So I think their vision is correct, they are implementing it. We have executed Jeddah, we are executing Al-Haer , we are in a preferential position for another. All this water is going to be used for irrigation. So we are seeing a lot of, strategy being put, right projects being imp lemented for the right purpose.
They're not wasting on comparatively expensive water, desalination for irrigation like they used to do. A lot of thought being there. SWA is now leading that thought with the othe r government entities and this is something that we are seeing that there's a lot of push from the government to be more sustainable and which is something that synchronizes with our vision what we want to be at WABAG , which excites us to be in a market as such.
One place where we have, yes, we have got few jobs that we have done in the past. I think we have done Jazan, Ras Tanura, but industrial is a big plethora where we are now looking to expand exponentially as Aramco is coming up with big plans . We are seeing a lot of traction in industrial, especially as we said earlier, AI and mining is a field that we see will bring in a lot of growth i n Saudi Arabia.

We are there, we are keeping ourselves upbeat, we are getting ourselves registered, we are already registered with Aramco, now we're working on work groups, so we will see more and more of industrial jobs being added as we move along. As we because we've been focusing on municipal, now we want to increase our industrial mix. That is something th at we are focusing.
All the projects in Saudi are sovereign guarantee funded, so they are all secure. There is no issues on security. In fact, SWPC, you know, this concept of it being a BOOT project brings in a lot of security and hence you see a lot of i nterest from companies globally going there and bidding.
Obviously now with all this FIFA coming in, all the attraction of Saudi developing cities, developing, you know, parks, you're seeing a lot of population going there that, sometimes they also don't give us vis

as on time. So you're seeing that a lot of influx is there and when there's influx, definitely the water follows it. So that's a good sign for us.
So what makes us special? WABAG is already there for four decades. We have a good name, we have d one some discrete projects, we have done executed projects. Yes, 1,500 since 1995, but from the inception we have built 7,000 plants and all of these plants have been functionin g well. We have no black marks. You know, we don't just talk, we walk the talk. So that's something that, you know, in a market like Middle East, it matters more than just talking.
They trust us. We are one of the Indian companies who are, getting so much of attention, applaud s, like Shailesh told we have won the wastewater project of the year. Not just that, we got selected for the desalination company of the year. Unfortunately, a bigger developer who is in a developer stage won it, but we were one of the five that got selected as a desalination company of the year.

So, I think we have everything. Now it's the time to use it, to use our technologies, to use our know -how, to use our engineering , manpower, and to win jobs, execute it, and that's what is our goal at Middle East. It's a young team, we are all young. I mean, the oldest person in our team would be I think 42 and he's been with us for 20 years, so he's looking after our execution. So this is what we are aiming to do.
These are few orders. We would have picked up much more. Everybody knows about the Yanbu desalination, a m ega entry into the market. This brings in a lot of trust with our clients. We always had a good name in wastewater, but never in desal although we had done a few projects there, but we hadn't done many others.
Now this project has opened a lot of entries with all of the other customers. They have got their trust on us, they've seen our technical capabilities, they've seen that even if, unfortunately the client had to recalibrate, we have gone again, we have worked with the client, we have won it again, we understand the subject.
And I think more than anything, that confidence gives them a lot of, hope on us. And today we are working with the who's and who of the market. Every job we are there with our foot, we are one of the bidders. We are not just lying back and doing nothing. So, this is something that we

see that we are wanted in the market, which is a shift we were eyeing to have and now we are in the right position to capitalize on the shift.
BWRO Al -Jouf, this again shows that what our focus on tech nology is. Ceramic membranes, radium removal, everybody stays away from it but not us. We have built tough oil and gas plants and we love to showcase it, we don't run away from opportunities. And this is something that we have built.
We are second to none when it comes to, building industrial plants, whether you take it for oil and gas, whether you take it for in minus 50 degrees in Russia we're building one, for PETRONAS we have built one. So there's a lot of trust on the company that they are the ones that can deliver industrial plants.
And obviously the repeat order, this repeat order shows what confidence the customer has on us. We built the plant, we operated for seven years, we have got it again. Client is happy, we have safely executed our work, eve rything positive about this plant and we are looking to keep the same trust of the Client .
These are our few projects that are in execution stage. Al -Hair, yes, one of our first, one of our biggest orders into the Middle East, 200 MLD. We are in with a partner where we are the leader. We are building the STP, they are building the pipeline. Again, pipeline not being our core, we gave it off as a consortium to our partner.
This project is underway. It is in advanced sta

ge. The construction is o ver, we have achieved
83% of physical progress , the latest progress what last month we had posted and we are keeping up on it, we are on track and we should be commissioning this. Again, a technology job, won by technology. We have given our client a lot o f positive IRR, increase in IRR through technology. For us also it's beneficial . For him also it's beneficial. This shows that our focus on technology, how it can add value not just for us but for our clients also.
Senegal, again one of our projects, the supply is done . The commissioning has started . The pre - commissioning activities have started and we are expecting to close it soon. Zambia, new country we had forayed . The project is going good. The civil works have started and we are looking to successfully build and commission this plant.
These are our O&M projects. O&M what we have been having, but as a cluster we are also focusing on bringing in more O&M business, even though the market is not as big because it's a developer market where developer develops the job and operates and maintains it. So generally , they keep the O&M part . But we are talking to them, we are trying to add value to them and see whether we can convert them. So thes e are our few O&M.
As told, in Bahrain the project is going good. We are doing a n O&M for BAPCO, this is our first industrial O&M in the region. The project is going good. Duqm, we had built the plant, we were operating it for three years and th en somebody else took it from us, augmented it by 2

MLD, then we took it back and we have been operating it successfully. The client is really happy with what standards we maintain.
Qatar Energy, yes, we have been focusing on Qatar a lot. We have our mark eting team there. So

this O&M is also going on good. There's been no complaints and the operation and maintenance, even we have won safety awards for keeping the site neat, tidy, safe for this project by the government.

So our strategy has been to go into new markets. We are as a cluster looking to expand into not just keep our focus on KSA or in Francophone regions and bring in risk in the sense of a fixed market, a fixed risk, geopolitical risk. We have been trying to expand into other markets which I had told before. We have been successful . We're keeping at it . We're recruiting people in the CIS.

We have recruited a very senior person, we are serious about it. This year we are really hopeful that other than Georgia, we will also be taking two to three more. It's a good market . It has to develop the Mundane municipal small jobs have been coming, but a developer job we are still waiting for it and we are hopeful that soon we'll get one job cracked through, a big one there.

Global strategy, we've been ta lking about it ; offshore, onshore, 'Go glocal '. This is what we have done . We have been successful by this model. We have been having our local marketing team who's in touch and connected with the client. We control all the bids from here. We do bid camps with our clients for weeks or two weeks or months to understand, to talk about strategy, how to win it, add value to them.

We have had repeat customers like Miahona , EtihadWE . They have a lot of good hope, good trust on us that whatever we say, we mean it and we have a lot of operating data as we are the third largest, which supports them a lot. So, this shows that we are here to partner with people, we are a serious company and we want to do good work in the market.

Team development, yes , when you're growing, you need people. It's never a one -man's show. This has been on constant that we have been looking to develop a team. It's a new market, new team. We're looking to add in more and more people so that we can penetrate bet

ter. Like I sa id,

we've been focusing on EPC, EP in the past, O&M and industrial is something that we have to start focusing on.

So, we have put in our thoughts, we have put in a registration team, we are getting registered, we expect good amount of inquiries coming to us and you would see the next year we would be in a very good position to do more diversified portfolios. We obviously have a technical know - how; we have built a lo t of technologically advanced projects.

Ras Tanura there was only one of us, only WABAG in the market that could build that plant. There was a treatment scheme with eight barrier system. Not easy, not easy to design. Water is not the easiest subject where you have to look at the smallest of the impurities, how to remove

them, exactly how to be competitive, what is the right scheme that you have to give, you should not be expensive.

And this was one of those projects where a lot of companies from Netherlands , from France tried to be competitive, tried to work on it. We went in post -bid, we did our presentations, we showed what we have built and immediately after the presentation it was told to us, we will give the job to you. We discussed everything else late r. So, I think that's something that WABAG has built, they've built a brand and we are just exercising it. So that's it from my side.

I think I'll be showing you the video of our marquee projects Al -Haer . It's a 200 MLD STP with Nereda technology.

Rajiv Mittal: As the last, I will take this pleasure to introduce our senior colleague, Mr. Bhupesh Chowdary Nagineni , who joined us at the senior management level as Deputy Managing Director. He joined us very recently, only a few weeks back, so we said i t's good to come along and get introduced to all of you.

So, I'll request him to talk a few words about his early impressions, what he has spent time with us in the last few weeks.

Bhupesh Chowdary: Thank you very much, Chairman. Good evening to all of you , ladies and gentlemen. It's wonderful to be amongst all of you. It gives me a privilege and also happy to be there going through all the discussions with the investor -friendly team in the first half and also the team here in the second half.

I am Bhupesh Chowdary . 30 years of industry experience . I come across with the large portfolio of managing some of the organizations which has been built from scratch to scaling it up. Few of them are like the last assignment with the Tata Projects Limited heading the utilities , power, utility of water and oil and gas and the metals and minerals. And also, the Larsen & Toubro, primarily again utilities.

And also, with long term with the Adani Group, started many of the verticals from scratch and built a billion -dollar company and listed it. Also spent in the overseas on an as an expat, both in Middle East and also in the Southeast Asia, again onto the utility projects, building and executing

and operating them.
Three things that I thought I should share with you my firs t the opinion or the interaction that I had with the team at with the WABAG . A, about the people and the organization. I can only say that it is though it is a few weeks, as if I am feeling that it is more than 10 years old, I am in the company. The warmth and also the team that has been interacting with me has been very transparent, very professional, and also very attached to the company and to the business that they do it. And I am really impressed that it is to say that people are very dedicated in a wa y to take things forward what has been given and they ensure that it is done to the minute level. An organization which is very detailed, which is very important in the industry that what we are in

as a tech EPC and solution provider in the water segment. We deal with the people and the society.
The quality and the performance that comes out of this company is very important for us to be successful. That's where it is about 100 -year-old company. The legacy that has been built, now it's in our hands to take the legacy to the next level and what it the future could be, you all can imagine that we would have to take it forward to the much best, better and better and to the bestest.
Now coming to the business positioning part of it, what I understood and what I see, WABAG is not new to me. Been in the industry, have used their projects in terms of some of the businesses that I have been involved in many of it as a clientele. What you give the job; they deliver it on time as well as on quality. And that's very imp ortant to look at it.
As a user has been very much appreciating in a way to see that most of the clients they give the repeat orders. That shows the legacy that carries as part of performance part of the organization. So, when you see the opportunities tha t has been talked about by my colleagues, the sales funnel is phenomenal, the opportunities are galore. And the company is also has positioned itself into a very different business models.
We address and also serve to the need of the requirements, whether it is municipality or whether it is industrial, both in terms of the wastewater treatments vis -à-vis at the desalination projects across. Now having positioned ourselves as a number one company in the water segment, which is a sunrise sector today, having so much of the presence in India, it is also has moved out of in India to see that we expand as an Indian company to a global company. And happy to be there with the company to take it to the next level.
If you look at it, the opportunities in Middle East and Southeast Asia and Africa are much more, but we need to go calculated way and also to build as an organization future -ready to take those opportunities and challenges to make it as a successful endeavour to make the organization to a great leve l. And that also lies with all of our hands.
And I am also started working in a way to say that , we have a strategy plan for the next five years that will be also as a blueprint will be drawn , and the short gaps , and also the capabilities that need to be b uilt for the organization and the structure, that would also get in place , so that we have a robust mechanism as a part of organization not only to execute successfully , but also to scale and also to grow to the newer heights. That's all from my side. Thank you very much.
Rajiv Mittal: I thank you for your patience listening. We'll now open the floor for Q&A and any suggestions you may have for us. So, please put up your hand, the mic will come to you , and please say your name and the organization and ask a question. Please ensure that you don't ask more than two questions and if you have more, we'll come back to you. Please start.
Nitin Gandhi: Thanks, at the outset. My name is Nitin Gandhi, I am from Inoquest Advisors. I wish to understand vis -à-vis the business that's like India 20 billion to 25 billion vis-à-vis world 40

billion , 50 billion , almost two times. So, how does the revenue and the g rowth rate shaping up for next five -year vision which is here if you can share some thoughts on that? Because order book is also now started tilting that side. And second thing is , how do we benchmark ourselves vis-à-vis top two in both the markets, techno logically as well as the execution capability -wise, and how do we plan to reach those execution levels and something which were there.
And second question is with reference to technology, like advanc

ed equipment company, some
tech is Xylem is extraordinar ily on that side. So, I'm not saying we are planning to become equipment, but are we intending to do some capability building towards that which helps and

aids to get more margin products as compared to the execution what we have been doing? Because they h ave been most of the time operating beyond 14% to 16% margin , all the times in in that equipment. Of course, it's a smaller opportunity, but does that technical capability building helps us or aids us to get some better mileage? Thank you. Those are the tw o questions.
Skandaprasad S : Thank you for the question. I think I'll answer the second question first because it's a little more easier than the first one. First one is more long -term. See, we focus on what we are good at. What we are good at is producing solutions to treatment problems that the customers have. And today , we don't have to get into a product or any kind of those kind of de velopment to improve our margins.
There is enough and more, as you saw, as the opportunity both in the core market , as well as in the new market, plus the O&M. So, we keep doing our R&D when it comes to process. So, we look at various issues like how do we crystallize the salts that come out when you when you do a tertiary treatment. How do you look at putting in ceramic membranes over polymer membranes to enhance the life of a project and reduce the total life cycle cost?
So, these are the kind of technolo gies that we invest our time, effort, and resources on. As I say, there are three things that a plant has to be optimum on. One, i t can occupy the lowest footprint. Second, it can have lowest totex , i.e. in terms of capex plus opex. And it has to be run on the lowest power possible. This is how a plant can be efficient. And all and everything that is required to meet these objectives is how we invest on our technology.
Your first question was around the growth for the next three to five years. We've already given out an outlook three years back and as our Deputy Managing Director said, they are also working on a strategy which we will put out once that is ready through this year. But broadly the guardrails remain , that we will grow at a 15% to 20%, continue to grow profitably. Our EBITDA margins will remain 13% to 15%.
And key levers in terms of margin growth will be ; one, with the kind of sizes you see, there will be economies of scale which will improve the margins. Number two, we have been saying that our international mix will go up as we move the years. Today we are at 50 % and 50%, we're looking at Middle East, Africa, you've seen the sizes that are there, so this will provide an opportunity for better margins as well as better working capital profiles.

And third is, of course, our medium -long term objective of taking O&M to 20%. O&M is a high margin -accretive business, very close to the customer which can allow us to access new business as it comes, a lot of repeat business can come when we are more close r to the customer. And it , in a way is also competitive advantage. Only somebody who is strong and confident of the process can take long -term O&Ms. Otherwise they will remain a contractor.
You can build the plant, somebody else, like Rohan said, the Duqm plant which we built, we maintained it for a couple of years, then somebody else took it, they didn't run the plant well, the client came back to us and today we are maintaining for two years, we have brought the plant back to shape and it is producing at optimum capacity. So, we look at this as a competitive advantage where we can take these long -term calls, maintaining the plant with the least amount of power consumption and best quantity and quality.
So, this is the broad outlook in terms of gro

wth. As w e see, the business is growing. Once we have the new strategy, obviously new guardrails will be drawn out and I'm confident the new guardrails will only be better than what we have already guided for and achieving, and we will put that out to the larger ma rket once that is ready.
Rajiv Mittal : Regarding your question on how you are building capacities, I think today there are not many large water companies where we can take experienced people. We are the globally third largest and India's largest. The only way we can build capacities is to take freshers. We almost take 200 fresh engineers from the colleges every year . We have a both classroom training and on -the-job training for almost year and a half, train them and then put them on the job.
This we have been doing for many years, it has worked for us , and this is something we'll continue to do. It's like a institution. You keep on training, building capacities, deploy them on the projects and that's how we build kind of a loyalty to the company, they get trained to our technologies, they get tra ined to our system and they become very productive. So, that's the strategy we have followed.
Rajiv Mittal : Okay next here the gentleman . Please give the mic to the gentleman in the first row , yes.
Ramesh Bhojwani: Sir, Ramesh Bhojwani from Mehta & Vakil. You have made an all -encompassing presentation. You have touched virtually every aspect of your business, which has fructified and grown in scale and size. The two questions ; one, you are putting up the biggest 400 MLD desalination plant in India, in Tami l Nadu, and second, a 200 million litres desalination plant in Saudi Arabia, which is acronym Sharaqat.

I personally believe desalination plants are the way forward because of climate change. It is for the first time in our city we are having humidity touching 84% and it was the first time the midnight temperature touched 30 degrees. So, climate change is no w a reality and possibly there is a forecast of a lower -than-average rainfall. That means we have to get ready ourselves to meet the challenges of climate change.

The thought which came to me, this 400 MLD and 200 MLD plants desalination, once you put up and you operate and they are running, one, what is the cost of each and two, why not we standardize the models of these two plants instead of picking up a 60 MLD or a 80 MLD, I mean in as I can understand Reliance you have done a kind of a pilot plant of 30 MLD. Reliance is such a large conglomerate, it can itself give you 400 MLD plants for desalination. Would like your thoughts on the same?

Rajiv Mittal: I think very right question and very apt observation you have and we fully agree with you. See, today b ecause of this climate change and we talked about 7% lower freshwater which the earth is receiving, and over the years this is going to be more and more. So quickly we realized this fact and act on it. So as a company, last almost a decade, we have advocat ed a concept called "Manufacture d Water."

So, somebody can ask, what do you mean by Manufacture d Water? Nobody can manufacture water, only Almighty God manufactures water by having glaciers in the higher altitude and rainfall during this three -four months, which we call as a rainy season or monsoon. But these are all prone, as very rightly said by you, prone to the climate change.

So, we wanted something which is not prone to climate change, which is immune to climate change, so there are no droughts. It's drought -proof. So, we thought of taking something which is perennial. What is perennial? Like you talked about desalination as one example. The seawater, take an example of India, we have a 7,500 kilometers of coastli ne. We have a huge coastline.

Now if we use this seawater for desalination as you m

entioned, the sea is never going to dry,
even in the worst of the worst climate changes, this always will be a water. It's a perennial source. So, we said why not we use thi s water, which is not normally available as an available water or a drinking water or potable water, why don't we use our technologies to convert seawater into a potable water.

And that's what you are mentioning that we are building Asia's largest plants a nd some of the plants for Reliance or Middle East. This is the seawater which we are using and today the technology has made it very affordable. There's a myth, I'm sure in this room also some people must be thinking desalination water must be very expensi ve. That's not true, it's a myth. Because today a desalination water, the bottles on your table, if you go and buy, one litre of bottle it cost about INR 20 from the market, and nobody today puts a hand under the tap and drinks, we all drink this water. So INR 20 we are willing to pay, and a desalination water is 8 paise a litre. I repeat, 8 paise a litre. It's affordable.

So why don't we build these capacities and make this lovely earth of our water secure rather than water scarce? We all can pay 8 to 10 p aise a litre, happily we'll pay, rather than I'm sure in Mumbai also you have limited water, some of the times you are taking in your society or buildings tanker water.

You don't know what the tanker water is bringing and dumping in your s umps. The watchman starts goes up nobody analyses what water you get. It's an water -prone diseases all are coming into us. Whereas the desalination water will come in a pipeline, enclosed pipeline, absolutely safe and clean. If it is affordable, reliable, drought -proof, sustainable, what more we want? That's number one as a manufac tured water.

What is number two? This is done, the community gets drinking water, safe drinking water, good. Second resources we found that as long as human being are there, we will always generate used water. This used water goes from our washrooms, from our baths, from our toilets, from our kitchens. All this water goes. Where does it go?

It goes and pollutes something. It goes into surface water, it goes into the sea, it goes into rivers, lakes, or open nalas. Why do we allow that? Collect all this, trea t it, and recycle it. This is a second perennial source. As long as we all live, we will produce used water. It will never dry up. This is also drought -proof.

This water we are producing in many plants in the country and abroad which are perfectly potable. If you come to our plants, I will take an empty bottle, fill up and I'll drink and I'll show it to you. But you know the human mind, because if I tell you it is produced from used water, you'll say "yuck," I don't want to drink it. Okay, but we all go, w e all go to Ganga -ji, Allahabad, Sangam, Haridwar.
My wife tells me go and get a bottle, we go obediently, fill up the water, bring it to our puja room. Every day we drink two drops. If we can drink raw sewage, why not treat ed? And that's the myth, okay. B ut doesn't matter, it will take some time to do the PR exercise to convince people that this is perfectly potable, you can do biological test, chemical test, everything is perfectly passing all the test, it will be better than this bottled water.
But in th e meantime, we are using this water to give it to the commercial establishment, institutes, factories, and release the drinking water which they were getting. So, this water is used for industrial purpose, for irrigation, for agriculture, for commercial in stitution, and the water which is released goes back to the domestic users. So that's the second source we have, which is even cheaper than desal, maybe 5 paise to 6 paise a litre.
And that way we can make the industries self -suf

ficient in terms of water b ecause we are reusing
the water and they will never be short of water, they will never have to close down their factories, they will never have to reduce their production for lack of water. And this is how we are contributing to the economy.
So, we are ver y convinced our concept as we call " Manufacture d Water." Why we call manufacture? This is not God -given; this is something we have manufactured. So, this is how we are helping the economy, helping the domestic users, helping the industry to sustain. So yes, number one, your question is right and this is how our contribution.

Number two, yes, very correct observation, these plants are very modular in nature. They can be replicated in certain capacities and that's what exactly we are building a nd doing so that when we get a project, we replicate the modules so that we don't have to do re -engineering, redesigning, and we can build the plants faster. That's the future of this manufacture water.
Thank you very much.
Ramesh Bhojwani: Sir, with your permission, you have an order book of INR 17,300 crore . You have been very conservative in guiding us a 18% to 20%.
Rajiv Mittal: Coming from Chennai, we are a conservative lot, not like you in Mumbai.
Ramesh Bhojwani: That is very well said. What I see is this order book you will finish off in inside two years. You may refrain from commenting today as you said that you are in the process of rescheduling, reworking, and recycling the whole activity, making it much more fine -tuned and refined. So maybe next time when we meet, you will revise this guidance.
Rajiv Mittal: As they say in Arabic, "Inshallah" , God bless you .
Ramesh Bhojwani: Thank you and all the best.
Aakash Dalge: Thank you, sir, for inviting us here. My name is Aakash Dalge and I represent ET Financial Consulting. I had very specific questions relating to contract life cycle, just to fill the missing gaps. Like I've read the annual report, seen your presentation, but I could not get those complete answers, so thought to directly ask you and of course it might help other investors as well.
So, on the order winning, specifically the international order, let's say if an order comes up in Middle East and top five competitors are bidding for that order, so what are we bidding on? Like are we bidding on the price or the technical parameters? I'm assuming both, but like who wins the contract? So how do we ensure like if a new contract comes and among those five people, we win the contract? So, do we bid on the price or like we have those meetings and sp ecify our technical parameters, history, and then win those orders?
Then the second question was asset -light. Like we use the word quite often. Sir, like in a technology company, like a pure technology company, it's very easy to understand what asset -light means ? But for our company, I'm assuming you're mentioning like your engineering, operation, design is in -house and the construction is given to other people. Does that mean asset -light and like typically for an O&M contract, what does asset -light mean? Like what do we retain and what do we go out and since this is just the last part of it ?
Rajiv Mittal: Two questions only. You can get up to ask the next question.
Aakash Dalge: Yes sir.
Rajiv Mittal: I'll take the second one first and then tell Rohan to take answer the first one about the Middle East how the orders are awarded. I think asset -light is a simple word, especially you all finance

wizards. You take the balance sheet and see the gross block, net block, and you see what is the asset we have inves ted in the company for doing this business wh

at we are doing.

Almost INR 10,000 crore valuation INR 4,000 crore top line INR 370 crore bottom line. What are the assets we have invested to achieve this performance? And that's what when we say asset -light, w e are sure when you analyze us and compare with other equivalent companies, you will see our gross block, net block to be the lowest.

So basically, what we are saying, we don't invest in real assets, real estate, buildings, offices. We don't invest in equi pment; we don't invest in manufacturing. We are a design technology company, which is all brain here. Our asset is in our human resources, okay. These are our first asset, our people. They are our asset.

And the second is our technology, over 125 patents, trademarks, this is the second asset. So that's what we mean when we say asset -low. Some have a manufacturing base, some have construction companies, huge infrastructure , they have as an equipment, construction machiner ies, and all that. We don't have all that. So, from the investment we do and the return on investment is always good because our assets employed for this business is very, very, very low okay good .

Rohan Mittal: Yes, so on the first question, you know, Middle East, that's where why it was recognized as a growth engine for WABAG , because it recognizes not just coming L1, you know, anybody can come, drop the price, that's something that is not well -rewarded. Basically, Middle East, the major chunk are PPP projects.

There's a mix of power, opex, capex. So, we being a technology company, why we are doing so good? In the last six STPs, we've won three. What sets us apart? First is, obviously, we are the third largest opera tor, we have a lot of operating data. We're four decades in the country. This gives us a lot of benefit than the entrants. We have all the connections; we have all the data for the plants where few plants are operated by us.

Second is , obviously our focus on the technology and we have kept it captive. We don't sell our technology. That brings in a lot of competitiveness in our proposals, not just in capex but also in opex. We are the -- we are one of those few companies that do end -to-end, from building the plant to operating the plant is known by us.

And this is very rare in the market; there are only people who build plants or only people who operate plants. If you remember that I had told that the developers develop and operate the plant, so there are not many companies or EPC contractors who have operated the plants who understand what would what will help my developer to be competitive in opex.

So that's something that is a knowledge that inherently comes in us. Maybe the capex might be little higher tha n others, but on a whole, our power, our opex , and capex has to be minimum. This is really hard , we work a lot. We have to find each and every project is different. We have to find that thin line, you know, how much whether we should go for IE3, whether we should go for IE4, w hether we should go IE5 motors.

We go to that details on motor efficiencies, 0.5% to 1%, and we add that value because one big advantage that we have that, you know, I can say that other companies don't have, we have 500 engineers sitt ing and engineering plants at house, understanding the iss ues why what decision was taken.

This I think is the biggest advantage that we as a company have. And obviously we are, you know, a very technology -driven company. So immediately, as soon as you tak e a project, we look at it, okay, you know, you change this orientation a little, it will help us. That is something that as a package when you do it, we have the biggest advantage.

So I think that keeping that in mind, that's what makes us competitive, ma kes us, you know, to be more than double of what margins the

y bid at and execute at. These are few advantages that WABAG has.

Rajiv Mittal: So basically it's a life cycle cost. It's not your capex , it's not your opex, it i s a life cycle cost which makes the developer competitive when they take concession contracts which are 20 years and 25 years. Only when they are competitive, we will win the jobs. First they have to win the job, so we ensure that they win the job so that afte r they win, we have an exclusivity with them, we win the job. Yes, young lady behind him please . Yes.

Questioner: Hi, thank you for taking my question and hosting us , as you correctly said your assets are the humans and the patent and technologies that we have built over the past just wanted to understand what type of development uh technology development you are planning in the

coming future and how do you see your R&D cost as percentage to sales moving , here onwards ?
Rajiv Mittal: Good. Good question for a technology company so that we again emphasize we are an engineering and technology company we are not just contractor . Okay ? We do like our technologies and we use our technologies .
We use our technologies for our captive use we don't sell our technologies we don't license out our technologies it's only used for captive use our team of engineers are continuously working on tech nology development , technology improvement , technology acclimatization to the local condition . This is what we do we have a budget each year which we invest when we took this company from Siemens in 2007 almost S iemens had stopped any investment on R&D.
When we took over though we were much smaller compared to what giant S iemens was , but we quickly realized that our USP is technology and we must continuously upgrade and enhance our technology skills . So we are investing every year and that's how you see our patents and trademarks which are developing every year , though some of the old patents will expire but we quickly have new patents .
And this is the advantage we have which the new technologies are more efficient space saving less energy consumption less p ower consumption , which we just said it lowers our life cycle cost and that helps us to win our projects . That is the advantage the technologies are doing you wanted to know which kind of technologies we are using ? Today it's all about clean technologies .

When we talk about desalination we talk about reuse most of the technologies are membrane - based technologies , and also like Rohan said earlier , recently we did a very large plant using ceramic membranes mostly these are polymeric membranes , ceramic membran es are made of ceramic .
One of the biggest cost in any of such plants is a membrane cost . Membranes have to be replaced after three to four years because they get clogged and the efficiencies go down but ceramic membranes have a huge advantage being cerami c you can put it in the furnace and fire it and all the junk which is settled on it or clogged it they burn out and then you bring the membrane back and load it they are fresh membranes .
So we also do a lot of work on ceramic membranes though they are expe nsive at the moment but very effective and I think future thus belong to ceramic membranes .
Questioner: Hello, sir. Thanks for the presentation. Sir, my question is like, when you look at the last decade, basically the strategic pivot what we made earlier, that we will choose high margins, payment security business, asset -light business, and that is we are reaping the benefit of that as of today , in terms of higher growth, higher ROCE, be tter margins, better cash flow.
Now looking at the next decade now, we are sitting on a good decent order boo k and probably with another INR10,000 crore to INR 12,000 crore of order book in the next two year

s, we are
secure for the next four years and we will reach from 18% CAGR INR 4,000 crore to INR 8,000 crore.
Wha t after that? Will size become a constraint from there that probably at INR 8,000 crore we will need another USD 1.5 billion each year to maintain that 15% growth, 15 % to 18%, 20%? Or will we have to make a strategic pivot now within the water segment or ma ybe some outside water segment that four years down the line, when we look at next five years, will we be able to maintain the 15 % to 20% growth mark there? What are your thoughts there?
Rajiv Mittal: Good. I think one thing I want to clarify as of now, th ere is no need, and we are not looking at in the near future of any diversification which is outside water. We call ourselves pure -play water company and in the near future we don't see that changing. I showed you the market. I showed you the opportunity f or the next five to seven yea rs. There's a tremendous scope.
There's hardly anything done in water globally, especially in the developing world or the emerging world. So we believe at least our grandchildren will don't have to worry. So we don't have to worry about the next five years. So we believe that there's enough and more opportunity available in the market for water companies to grow and maintain the growth target s whatever each company builds.
Plus, we have shown you some of the new areas like solar PV, data cent res, hydrogen. These are the new areas. There was never a need for water in those areas. So that's developed. So these markets itself will grow in next few years. Plus, the standards what we are treating today. In

future, if you go to a developed world like Switzerland, Europe, Germany, the standard of

treatment itself is very high.
Now we cannot afford that at the moment. So we are compromising for the standard of treatment. Maybe in 10 years, maybe in 20 years, we also w ill migrate to a better standard which will need more investment. Plus, the old assets will need replacement, renovation. So I believe water market is big enough and we don't have to move out of water to achieve our growth targets.
Questioner: The seco nd question, just a small follow -up there. We are sitting on INR 1,000 crore cash now. Okay. And that number will keep moving higher as we execute the projects.
Rajiv Mittal: Absolutely.
Questioner: Now are we looking at a small maybe bolt -on acquisition f or the technology globally where it can add or help our technology pro wess ?
Rajiv Mittal: Definitely. Short answer is yes.
Questioner: Thank you, sir.
Rajiv Mittal: This gentleman here. First. Yes.
Questioner: Good evening, everyone. Good evening. Sir, in quarter three, we missed your voice. If I'm not wrong, quarter three con call you were not there.
Rajiv Mittal: Slowly we have to take a break. We have capable leaders coming in. You will hear them more.
Questioner: Point noted. Sir, last year, 100 ye ars of W ABAG, we made almost INR 100 crore of profit, quarter four net profit. This year we are at INR 130 crore. So I will not be surprised next year when we will meet it will be INR 160 crore to INR 170 crore. As far as my two questions, I had already di scussed with you before the presen tation started for that margin.
In your presentation, operat ing profits are reflecting INR 177 crore. But when we go through CNBC news o r whenever we go through Trendly ne where your ope rating profit is reflecting INR 157 crore. So this discussion always takes place in t he last con call also, that INR 20 crore of forex income is missing?
Rajiv Mittal: Somebody put a hole in our pocket and we lost this INR 20 crore.
Questioner: This is the last time in last con call?
Rajiv Mittal: What can we do? We have explained this many times.
Questio

ner: No, no, I agreed. We almost discussed half an hour. I am not expecting this time to discuss more than five minutes, but my sincere request to Skandaprasad as well as for you . Whenever we do release this media release, in that media release, if we can mention quarter four is always the best quarter for the W ABAG.

So in quarter four, when I see this media release, here all annual numbers are reflecting. My sincere request to you, if you can reflect quarter four number because this is the best quarter and I'll not be surprised, the revenue as of now always quarter four is in four digits. I will not be surprised quarter two revenue will start reflecting in four digits. Hope I'll not be wron g when the quarter two results will come.
Rajiv Mittal: You are never wrong and we expect more people to say such things so it comes true.
Questioner: So my sincere request, my first question related to request where if you can put that numbers in your media release where you can just mention your revenue, net profit, profit margin, it will be highlighted bette r. That is question number one.
And as far as question number two is concerned, there are two big orders are coming. One is of Kuwait and second o ne is of Had da project if I'm not wrong . So when are we expecting both the orders, end of June, quarter two, any specific guidelines you want to give? And just one more question for this year, what is the value you are looking for order, w hether it will be more than INR 7,000 crore, for entire year? I'm not saying for quarter one or quarter two.
So as far as orders are concerned when these two orders are coming, because we are already lowest bidder for both the projects. So these are my two questions. And m y again sincere request to you, as far as that profit margin is concerned, you please mention it properly so that your investor feel happy and your stock price will also go up. So it is a win -win situation for everyone. Thank you very much.
Rajiv Mittal: Rest everything is information. Thank you for your suggestion. Our CFO is listening to you and I'm sure he will consider your request and give the requested data you have asked for. Regarding the two orders which you are mentioning, everybody knows we are a preferred bidder. It's in the public domain. They have announced their open ed. They had a public opening and they have announced us as the lowest evaluated bidder.
I think we are on the verge of it. And being in Middle East, especially with the disturbed conditions there, plus Eid is coming. So all those things have some disturbances, but I don't think we have to wait too long. It's very imminent the one from Kuwait should happen I think next month. Within this quarter we can get that. And the Saudi one ma y go to the next quarter. That's my best guess I can tell you. Next. Yes. At the back.

Aniket: Good evening, sir. I'm Aniket from YES Securities.
Rajiv Mittal: A little louder and closer to your mouth.
Aniket: Can you hear me now?
Rajiv Mittal: Yes.
Aniket : Yes. So I wanted to check on the price variation clause. Whether we have those in our existing long-duration projects?

Rajiv Mittal: Very much. Projects which are long duration, generally two and a half, three years and above, have this. In international, generally we don't have those clauses. But in most of the large Indian orders, we have a price variation clause where we are covered by any fluctuation which happens. But still, it only covers 70% of our costs, not 100% of the cost.
Aniket: Understood. And my second question is on what's the status on municipal platform that we are considering and have we started bidding for the H

AM projects considering we might be towards the later stage of the finalization?
Rajiv Mittal: Mr. Varadarajan will answer.
S Varadarajan: I think I have to wait for another quarter to bring that kind of information or news to you. We are on the verge of getting closer with whatever that we need to agree. And it will be a vision for creating a platform where we can b id for multiple municipal projects and we don't have to scout for new partners every time.
And we will be asset -light as Mr. Mittal has emphasized many times, we will continue to remain asset -light. Our vision is to, you know, contribute more towards whate ver the infrastructure requirement that Government of India has been emphasizing. You heard Finance Minister talking about 100 bankable projects, do not waste any drop of water, 100% recycling, etc etera . So taking the cue from , we are now working with lot of state authorities and I see lot of very good response that they are wanting us to do some piloting where the water is not only sent to industry what is tertiary treated, but is also used for non -potable water, use d for non -potable purpose, okay?
So abo ut 40%, 50%, 60% of each household is all non -potable purpose, right? So for that is something which we are looking at and this should be, you know, enhancing the kind of value for the project which we are working on. Our pilot initial studies are very pos itive. I was there last Sunday with the group of houses, y ou know, is a row of some 2,000 to 3,000 houses in one small pocket we just piloted we wanted to do. A lot of association members were there. And I mentioned about this that we wanted to take their feedback, they said, When are you going to do that? We are just waiting for that because they are suffering with handling the sewage themselves.
There is no infrastructure created by the municipality so far. Sewage lot of tanks are there, they struggle with that. They say about INR 6 crore to INR 8 crore per annum we are having revenue, but this handling the sewage is so very difficult for me. So how can you support us? So we said we'll come back to you with this. So the feedback is there's a law that all the gated communities need to have their own infrastructure, but we are now seeing how they are not being efficiently handled because technology is something which they want somebody to support.
We think by making a centralized kind of offering to them, we can contribute to whatever not only the sewage part which they are because a lot of authorities come, inspect and thre aten them, this is what they are saying, so they feel not very good to handle that. We will take care of these

kind of requ irements and this is something going forward, so you will expe ct to hear from us on platform.
We are working on both industrial also because industries are also moving towards, you know, taking out their non -core part of it and then trying to see a private operator like us can build as well as run the plant. We actually we were closer to get one in Chennai, but that the project is getting delayed, but I was I was happy to listen to lot of other industries, the tenders are going to come very soon. They are a ll big in sizes and they are all talking about investment as well as trying to take care of their needs, so the core activity will be something they focus, non -core water we will take care, something like this. So you have to wait for this to happen.
Rajiv Mittal: There are some investors who have joined us virtually also. There are some questions, let us take one or two questions from the investors who have joined virtually. Please.
Moderator: Sure. So there is one question which is asked: A few months ago, you had announced company

partnered with Pani Energy to deploy an AI -driven operational int

elligence platform. Every
infrastructure company today talks about AI. However, very few quantify ac tual economic benefits. In WABAG 's case, can management share any specific KPIs or early outcomes from the Pani partnership that demonstrate tangible operational and commercial benefits rather than just digital experimentation?
Shailesh Kumar: Rightly poin ted out, we started with our AI journey with Pani when some time six -eight months back. And we have gone through the complete journey. It was not for the notion of it or for the heck of AI. We had a very specific KPI whomsoever such partners we talk, we t alk on outcome result oriented.
So there is an expectation or what we are realizing: reduced chemical consumption, better utilization of water. There are very many other parameters on which result is positive, we are enthused. And now what we are talking w ith them is h ow do we expand to other plants? Not only on this, as a technology advanced organization or technology embracing organization, we are working on other AI prospects also where we can bring in operational efficiency. So definitely this intervent ion has worked well, we are seeing the advantage and we are planning to replicate to other installations beyond Coimbatore.
Rajiv Mittal: Can we have a last question from the audience? Yes please. This gentleman in the centre. Yes?
Yash Shah: First of all, congratulations on the good set of numbers. But I have two questions. First is on the financial part for Mr. Shailesh. The Indian business shows a slight slowing of the growth specifically on the profitability part. The profits have come down from INR 127 crore to INR 60 crore in the last quarter. So it shows that the profitability has slowed a bit.
And second question is on the biogas CNG thing. So where do we have set up the first plant? I guess we are in the process of setting up the first plant and we are in the partnership for 100 plants that we have projected. So what is the revenue that we see from this project?

Shailesh Kumar: So second question I'll take first. This bio -CNG, yes, we have signed off and this is one of its kind and we ha ve taken early advantage out of it. The volume what we are going to generate is going to serve per day around 3,500 homes can get their cooking gas or 400 vehicles. That' s the magnitude we are talking.
In terms of investment, in terms of revenue, it may no t be very lucrative, but this is only one project what we have started and we intend to multiply at many other locations. And with that, we will be aiming at volume. But we have taken this first project taken off after lot of pursuance, after lot of convin cing, and we are well -placed to give the output what we had planned. In terms of profitability Skanda will answer.
Skandaprasad S : I understand you're talking from the segment reporting, right? Yes. See, to look at it as only for the quarter will not be th e right way to see because projects are at different phases, right? Today we have two or three large projects which are in construction phase. And you know construction is more or less a pass -through for us.
So at an overall project level, if you compare u s over say six to eight quarters over which the projects have come out, the Indian projects are still performing well, number one. Number two, you know the Middle East cluster and the India cluster are kind of joined at the hip. There are common resources which are getting used. Not everything would be very clearly allocatable between the two. There is an engineering team which works for b oth, there's a procurement centre, procure ment team which works for both.
So here this distribution of cost will also ha ve to be seen. And that's why we say look at blended margins and look at it multi -annually instead of for a

quarter because for a quarter could be very
distorted because of the phase that the projects are in. And one heavy construction project could mean t hat the margins are lower, but the project at an overall level is still producing a sufficiently good margin.
Yash Shah: On the revenue fund, it has been quite flat, like if we consider for the entire year, it has been INR 1,800 crore plus versus INR 1,860 Crore for this year. So it has been quite flat, not even a 5% growth year -on-year. So any concern on that or do we see that picking u p soon as the projects advance?
Skandaprasad S : See, you've already seen our order book on India is about 60%, right? 58% to be precise. So these phases and cycles of geographies will be there. And now these two projects have come which will start generating revenue, one is the Kodungaiyur project, other is the ring main project, plus we have BPCL, we have Reliance, we also announced the DJB project day before yesterday on Friday.
So all these projects will start again generating revenue. There is no concern. If you would

remember even two years back closer to the elections or post -elections, we sai d the market has not picked up as much as we thought and the resources were even earlier redeployed to the Middle East and Africa wher e we were able to reap returns.

Now with the market opening up here both on industrial and municipal, you're already s eeing us booking a lot of orders. There was BWSSB, BPCL, two Chennai orders, you have DJB. All these orders will again start bringing in revenues. And that's why I'm saying don't look at us from year -over-year because it's EPC, it's a lumpy business. I mea n, next year I would be 35% higher.

You coul d ask the same question to me, w ill you do 35% the next year? My answer will be yes and no, because projects will have its phases and geographies. So look at us at a blended basis. This geographic diversification gives us a lot of comfort in terms of giving steady, sustainable, and profitable returns. And that is wh at we'll continue to focus on.

Rajiv Mittal: Rest we'll take it over. There is also discussion over food, over t ea, so now it will be over food . Thank you. And t hank you, gentlemen, ladies. I think it's wonderful to have you all here. We thank you once aga in for your patience. Please, please join us for dinner and cocktails. We'll spend one hour together chatting and you're all welcome to join us. Please do that. Thank you very much.